

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

MGT503 — Principles of Management

Final Term Preparation File By **M. Mubashir Ali**

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Introduction

رَبِّ زِدْنِي عِلْمًا

"Ay mere Rab, mere ilm mein izafa farma." (Surah Ta-Ha 20:114)

Allah ne Quran mein ilm haasil karne ki bahut takeed ki hai toh yeh file sirf exam preparation nahi, balke ek ibadat ka zariya bhi hai.

Yeh MGT503 ki new updated syllabus based Final Term Preparation File 27(19 - 45) Lectures ko cover karti hai, jisme har Lecture 9 sections mein divide hai.

Concep In Simple Words, Detailed Explanation With Examples, Common Mistakes And Traps, Practice Problems, Conceptual Questions aur Lesson Quizzes shamil hain.

Mehnat karo, Allah par tawakkul rakho kamyabi Inshaallah zaroor milegi

Baki Bhai ko duaon me yad rakho Fi Amaan Allah.

Lecture 19: Group Decision Making and Creativity

Subject: MGT503 — Principles of Management

Topic Type: G — Decision Making, Creativity, and Group Techniques

Difficulty: Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek cricket captain hai jise match jeetna hai — woh akela sochta hai toh ek hi tarika dikhta hai, lekin jab poori team se ideas maange toh 10 naye options saamne aa jaate hain. Creativity

matlab naya tarika sochna, aur Innovation matlab us tarike ko actually kaam mein laana. Jaise kisi ne socha "online paisa bhejna chahiye" — yeh creativity thi, aur Easypaisa banana innovation tha.

PART B — Core Concepts

- 1. Creativity:** Alag alag ideas ko milana ya unusual connections banana — sochne ki power.
- 2. Innovation:** Creative idea ko actual product ya service mein badalna — kaam mein laana.
- 3. Convergent Thinking:** Ek masla lo, seedha logical solution ki taraf jao.
- 4. Divergent Thinking:** Masle ko alag alag angles se dekho, naye raaste dhundo.
- 5. Domain-Relevant Skills:** Us field ki expertise — jaise accounting mein accountant ka tajurba.
- 6. Creativity-Relevant Skills:** Naye angles se sochne ka andaz aur style.
- 7. Task Motivation:** Kaam mein apni dil ki dilchaspi — bahar se reward ki zaroorat nahi.
- 8. Brainstorming:** Group mein jitne ideas aa sakein sab bolte jao, koi criticism nahi.
- 9. NGT (Nominal Group Technique):** Pehle akele socho, phir group mein share karo, phir vote karo.
- 10. Delphi Method:** Experts se baar baar anonymous opinion lo, consensus tak pohoncho.
- 11. Scenario Analysis:** Future ke mukhtalif scenarios banao aur har ek ke liye plan tayar karo.
- 12. PDCA:** Plan-Do-Check-Act — Deming ka quality improvement cycle.
- 13. Lateral Thinking:** Masle ko rotate karo, naye angles se dekho — computer nahi kar sakta yeh.
- 14. Vertical Thinking:** Ek hi direction mein logical soch — computer wali thinking.

PART C — Key Frameworks and Models

- **Creativity Process (4 Stages):** Preparation → Incubation → Illumination → Verification — idea paidaish ka safar
- **Brainstorming:** Group creativity technique — ideas freely generate karo, evaluate baad mein
- **NGT:** Structured group technique — individual + group dono ka mix, silent voting ke saath
- **Delphi Method:** Expert panel ko repeat surveys — future predictions ke liye
- **Scenario Analysis:** Multiple future possibilities — counter-strategies develop karna
- **PDCA Cycle:** Plan-Do-Check-Act — Deming ka improvement tool, cyclic fashion mein
- **Lateral vs Vertical Thinking:** Lateral = creative multi-angle; Vertical = logical single-direction

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Creativity vs Innovation

Creativity sirf sochne ki ability hai — kuch naya combine karna ya unusual association banana. Innovation us soch ko real duniya mein laana hai. Example: Kisi ne socha "ghar baithe grocery order honi chahiye" — creativity. GrocerApp banana — innovation. Dono alag hain, dono zaruri hain.

Convergent vs Divergent Thinking

Convergent thinking mein manager ek specific problem leta hai aur logical steps se solution ki taraf jata hai — seedha raasta. Divergent thinking mein masle ko ghumaate hain, naye angles dhundte hain, multiple alternatives sochte hain. Creativity ke liye dono zaroori hain — pehle divergent (ideas generate karo), phir convergent (best idea choose karo).

Three Ingredients of Creativity

- 1. Domain-Relevant Skills:** Field ki knowledge — textile manager ko fabric aur market ka ilm hona chahiye.
- 2. Creativity-Relevant Skills:** Naye tarike se sochne ki aadat aur mental style.
- 3. Task Motivation:** Intrinsic interest — kaam isliye karo kyunki acha lagta hai, sirf salary ke liye nahi.

Individual Creative Process — 4 Stages

- 1. Preparation:** Problem ko har angle se samjho — data ikatha karo, alternatives socho.
- 2. Incubation:** Problem se thodi der door raho — subconscious kaam karta rehta hai.
- 3. Illumination:** "Aha!" moment — achanak insight aati hai, breakthrough hota hai.
- 4. Verification:** Us insight ko test karo — kya yeh actually kaam karta hai?

Brainstorming

Group ke saare members freely ideas dete hain — koi bhi idea judge nahi hota us waqt. Quantity pe focus hota hai, quality baad mein. Computer-assisted brainstorming aur bhi behtar results deta hai kyunki sharmindagi nahi hoti. Pakistani example: HBL ki marketing team naya campaign sochne ke liye brainstorming kare.

Nominal Group Technique (NGT) — 4 Steps

- 1.** Har member akele apni ideas likhta hai.
- 2.** Ek ek karke ideas share kiye jaate hain, sab ke saamne list banai jaati hai.
- 3.** Ideas discuss hote hain — clarification aur evaluation ke liye.
- 4.** Members silently vote karte hain rating procedure se.

NGT brainstorming se zyada ideas generate karta hai kyunki criticism ka darr nahi hota. Lekin computer-assisted brainstorming se thoda kam.

Lateral vs Vertical Thinking

Feature	Vertical Thinking	Lateral Thinking
Direction	Ek hi logical direction	Multiple angles, rotate karo
Style	Computer jaisi soch	Human creative soch
Use	Clear problems	Dead-end situations
Output	One solution	3-4 alternatives

Manager ke liye lateral thinking bohot kaam ki cheez hai — jab ek raasta band ho toh dusra dhundo.

Delphi Method

Future predictions ke liye experts ka structured panel. Pehle survey bheja jaata hai, phir results wapas experts ko bheje jaate hain, woh estimate revise karte hain. Agar consensus na ho toh minority ko explain karna hota hai. Agar zyada farq ho toh process dobara hota hai. Example: VU ka future e-learning trends predict karna.

Scenario Analysis

France mein develop hua. Future ke mukhtalif possible scenarios banao — har ek mein major variables evaluate karo, competitors ki strategies assess karo, counter-strategies banao. Aim yeh hai ke organization ki future choices limited na hon. Example: PTCL 5G aane ke different scenarios plan kare.

PDCA Cycle — Deming's Tool

- 1. Plan:** Problem identify karo, solution socho.
- 2. Do:** Chhoti scale pe implement karo.
- 3. Check/Study:** Results dekho, kya plan kaam aya?
- 4. Act:** Agar kaam aya toh full scale karo; agar nahi toh dobara Plan se shuru karo.

Yeh cyclic hai — khatam nahi hota, improvement ka continuous process hai. Japanese companies ne isse quality management mein use kiya.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Creativity aur Innovation ko ek samajhna

Wrong Approach: "Maine naya idea socha — main innovative hun."

Right Approach: Idea sochna creativity hai; use implement karna innovation hai.

Wajah: Dono alag steps hain — sirf sochne se product nahi banta, karna bhi padta hai.

Mistake 2: NGT aur Brainstorming ko same technique samajhna

Wrong Approach: Dono mein bas ideas dete hain group mein.

Right Approach: NGT mein pehle akele kaam hota hai, phir structured sharing aur silent voting — brainstorming mein yeh structure nahi hota.

Wajah: NGT ka structure criticism ko rokta hai; brainstorming mein yeh guarantee nahi.

Mistake 3: Vertical thinking ko hamesha better samajhna

Wrong Approach: Logical = better, creative thinking time waste hai.

Right Approach: Jab ek raasta band ho, lateral thinking zaroori hai — dono ka apna waqt hota hai.

Wajah: Sirf vertical thinking se dead-end mein phanso ge jab naya solution chahiye ho.

Mistake 4: PDCA ko ek baar ka process samajhna

Wrong Approach: Plan kiya, kiya, check kiya — khatam.

Right Approach: PDCA ek cycle hai — continuous loop hai, organization hamesha improve karti rehti hai.

Wajah: Deming ne isse continuous improvement ke liye banaya — ek baar use karna iska purpose khatam kar deta hai.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1: A textile factory in Faisalabad wants to improve its dyeing process. The manager uses PDCA. Describe what each step would look like in this context.

Hint (Roman Urdu): Socho pehle kya plan hoga dyeing problem ke liye, phir chhota test, phir results check, phir poori factory mein lagao — cycle complete karo.

Problem 2: A university professor wants to generate new ideas for a student engagement program. She has 8 faculty members available. Compare which technique — Brainstorming or NGT — would be better and why.

Hint (Roman Urdu): Soch lo — kya faculty openly bol sakti hai ideas, ya koi senior hone ki wajah se chup rehta hai? Us hisaab se decide karo konsa method better hai.

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

A Pakistani telecom company (imagine PTCL) wants to decide whether to invest in fiber optic expansion or satellite internet for rural areas over the next 10 years. The future is highly uncertain. The CEO has access to 12 industry experts spread across Pakistan who cannot meet in

person. He also wants to prepare for three possible futures: (a) rapid urbanization, (b) stable rural population, (c) government nationalization of internet. Which decision-making method(s) should he use for expert opinion gathering, and which for planning against multiple futures? Justify your choice using lecture concepts and explain how both methods complement each other.

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why is task motivation considered more important than external rewards for creativity?

Think About It (Roman Urdu): Socho — jab tum koi kaam dil se karte ho vs siraf paise ke liye, dono mein se kab zyada creative ideas aate hain?

Answer: Jab koi kaam apni dil ki dilchaspi se kiya jaaye toh insaan zyada deeply soochta hai, naye angles explore karta hai. External reward sirf effort badhaata hai — intrinsic motivation actually thinking style ko creative banata hai. Isliye task motivation creativity ka core ingredient hai.

Q2: How does the Incubation stage of the creative process contribute to breakthrough ideas?

Think About It (Roman Urdu): Kabhi socha hai ke answer tab aata hai jab tum paper chord ke so jaate ho ya nahaate ho? Kyun hota hai aisa?

Answer: Incubation mein conscious mind rest leta hai lekin subconscious kaam karta rehta hai — divergent thinking chhup ke chalti rehti hai. Is rest ke baad illumination (aha moment) aata hai. Direct focus karna kabhi kabhi block karta hai; distance dene se naya connection banta hai.

Q3: Why is Lateral Thinking particularly valuable for managers compared to Vertical Thinking?

Think About It (Roman Urdu): Agar ek raasta band ho toh kya karte ho — wohin khade rehte ho ya naya raasta dhundte ho?

Answer: Managers ko aisi situations face hoti hain jahan standard logical solution kaam nahi karta — competition, market change, ya unexpected crisis. Lateral thinking unhe problem ko rotate karne aur 3-4 alternatives sochne deta hai. Vertical thinking sirf ek direction mein kaam karta hai — jab woh direction band ho toh lateral thinking hi bachata hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange the four stages of the individual creative process in correct sequence:

Illumination, Preparation, Verification, Incubation

Answer: (Preparation → Incubation → Illumination → Verification)

Q2: Match the technique with its key feature:

A) Brainstorming — B) NGT — C) Delphi — D) Scenario Analysis

1) Silent voting after structured sharing 2) Expert panel with repeated surveys 3) Multiple future outlines with counter-strategies 4) Free idea generation without evaluation

Answer: (A-4, B-1, C-2, D-3)

Q3: A marketing manager at a Pakistani FMCG company is stuck on a product launch strategy — every logical option has been tried and failed. Which thinking style should she now adopt?

Answer: (Lateral Thinking — rotate the problem, seek novel entry points)

Q4: Compare NGT and Brainstorming: which one includes a silent individual work phase before group discussion?

Answer: (NGT — members independently prepare ideas before sharing)

Q5: PDCA was originally taught by Deming to which country's companies for quality improvement?

Answer: (Japanese companies)

Q6: A scenario analysis approach was developed in which country, and what is its primary purpose?

Answer: (France; to evaluate multiple possible futures and develop counter-strategies without limiting future choices)

SECTION 8 — EXAM MCQs (VU Style)

Q1: What is the correct definition of Innovation in the context of management?

- A) Combining ideas in a unique way
- B) Generating multiple alternatives to a problem
- C) Taking a creative idea and turning it into a useful product, service, or method
- D) Developing domain-relevant expertise in a field

Correct Answer: C — Taking a creative idea and turning it into a useful product, service, or method

Exam Tip (Roman Urdu): Creativity = sochna; Innovation = banana — yeh difference MCQ mein pakka aayega.

Q2: Which of the following is NOT one of the three necessary ingredients of creativity?

- A) Domain-relevant skills
- B) Task motivation
- C) Financial incentives
- D) Creativity-relevant skills

Correct Answer: C — Financial incentives

Exam Tip (Roman Urdu): Teen ingredients yaad karo: Domain skills, Creativity skills, Task motivation — external reward creativity ka ingredient nahi hai.

Q3: A product development team at a Pakistani pharma company wants to generate maximum ideas without fear of judgment. Which technique is most suitable?

- A) Delphi Method
- B) Scenario Analysis

- C) Brainstorming
- D) Nominal Group Technique

Correct Answer: C — Brainstorming

Exam Tip (Roman Urdu): "No evaluation during idea generation" sunao toh Brainstorming — NGT mein structure aur voting hoti hai.

Q4: In NGT, what happens immediately after group members present their ideas one at a time?

- A) Silent voting takes place
- B) The facilitator selects the best idea
- C) Members discuss ideas to clarify and evaluate them
- D) A second round of individual idea generation begins

Correct Answer: C — Members discuss ideas to clarify and evaluate them

Exam Tip (Roman Urdu): NGT ka order yaad karo: Write → Share → Discuss → Vote — is sequence se question aata hai.

Q5: Which decision-making method is best suited when a manager needs expert opinions on future technological developments but experts cannot meet face-to-face?

- A) Brainstorming
- B) NGT
- C) Delphi Method
- D) PDCA

Correct Answer: C — Delphi Method

Exam Tip (Roman Urdu): Delphi = experts + anonymous + future predictions + repeated surveys — yeh combination unique hai.

Q6: Vertical thinking differs from lateral thinking in that vertical thinking:

- A) Generates multiple alternatives simultaneously
- B) Is used when logical approaches have failed
- C) Follows a single logical direction toward a solution
- D) Relies on subconscious processing

Correct Answer: C — Follows a single logical direction toward a solution

Exam Tip (Roman Urdu): Vertical = computer jaisi ek seedhi soch; Lateral = insani creative multi-angle soch.

Q7: Who developed the PDCA cycle and taught it to Japanese companies for quality improvement?

- A) Henri Fayol
- B) Frederick Taylor
- C) W. Edwards Deming
- D) Peter Drucker

Correct Answer: C — W. Edwards Deming

Exam Tip (Roman Urdu): PDCA = Deming — yeh pair pakka yaad karo, dono ka naam saath aata hai exam mein.

Q8: Scenario Analysis was originally developed in which country?

- A) United States
- B) Germany
- C) Japan
- D) France

Correct Answer: D — France

Exam Tip (Roman Urdu): Scenario Analysis = France — yeh unusual fact hai isliye VU MCQ mein directly poochha jaata hai.

Q9: A manager at a government hospital in Lahore wants to continuously improve patient discharge procedures. She implements a cyclic quality tool. Which tool is she using?

- A) NGT
- B) Scenario Analysis
- C) PDCA
- D) Delphi Method

Correct Answer: C — PDCA

Exam Tip (Roman Urdu): "Continuous improvement" + "cyclic" sunao toh PDCA — yeh keywords MCQ mein clue hain.

Q10: Which of the following correctly pairs a creativity technique with its distinguishing feature?

- A) Brainstorming — silent anonymous voting at the end
- B) NGT — free idea generation with no rules
- C) Delphi — face-to-face expert discussion
- D) NGT — individual preparation followed by structured sharing and silent voting

Correct Answer: D — NGT — individual preparation followed by structured sharing and silent voting

Exam Tip (Roman Urdu): NGT ki pehchaan hai: akele likho, phir share karo, phir silently vote karo — yeh teenonka combination sirf NGT mein hai.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein creativity aur innovation ka farq, creative process ke stages, aur group decision making ke techniques (Brainstorming, NGT, Delphi, Scenario Analysis, PDCA) seekhe.

PART B — Yaad Rakhne Wali Baatein

- **Creativity** = sochna; **Innovation** = banana — dono alag hain

- Creative process ke 4 stages: **Preparation** → **Incubation** → **Illumination** → **Verification**
- **NGT** mein pehle akele kaam, phir share, phir silent vote — brainstorming se structured zyada
- **Delphi** = future predictions ke liye experts ka anonymous repeated survey
- **PDCA** = Deming ka cyclic quality tool — Plan, Do, Check, Act — kabhi khatam nahi hota

PART C — Zaroor Yaad Karo Yeh Frameworks

Creative Process — 4 Stages:

1. Preparation
2. Incubation
3. Illumination
4. Verification

NGT — 4 Steps:

1. Akele ideas likho
2. Ek ek karke share karo
3. Discuss karo
4. Silently vote karo

PDCA — 4 Steps:

1. Plan
2. Do
3. Check/Study
4. Act

Lateral vs Vertical: Lateral = multi-angle creative | Vertical = single logical direction

PART D — Exam Mein Ghalti Mat Karna

[!] Creativity aur Innovation ko same mat likho — ek sochna hai, doosra implement karna.

[!] NGT aur Brainstorming ko same technique mat samjho — NGT mein silent individual work aur voting hoti hai.

[!] PDCA ko ek baar ka process mat likho — yeh cyclic aur continuous hai, Deming ne Japanese companies ko sikhaya.

Lecture 20: Planning and Decision Aids — I

Subject: MGT503 — Principles of Management

Topic Type: H — Planning, Decision Aids, and Goal Setting

Difficulty: Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek textile factory ka manager hai jo agla season plan kar raha hai. Pehle woh market scan karta hai — kaun competitor kya kar raha hai, cotton ki prices kahan ja rahi hain. Phir woh predict karta hai ke agle 6 mahine mein demand kitni hogi. Aur akhir mein woh dekh ta hai ke sabse successful factory kaise kaam karti hai — taake woh bhi wohi best practices apnaye. Yahi environmental scanning, forecasting, aur benchmarking hai.

PART B — Core Concepts

- 1. Environmental Scanning:** Bahari aur andaruni maahol se zaruri information dhundna taake future changes samajh sakein.
- 2. SWOT Analysis:** Organization ki Strengths, Weaknesses, Opportunities aur Threats ka jaiza lena.
- 3. Competitor Intelligence:** Competitors kya kar rahe hain yeh pata lagana.
- 4. Global Scanning:** Duniya bhar ke trends aur changes ko monitor karna.
- 5. Forecasting:** Mustaqbil ki conditions aur events ko predict karna.
- 6. Benchmarking:** Best-performing organizations ke practices dhundh kar apnana.

PART C — Key Frameworks and Models

- **Quantitative Forecasting:** Numbers aur math models se future predict karna
- **Qualitative/Technological Forecasting:** Experts ki raay se long-term trends predict karna
- **Judgmental Forecasting:** Individual ya group judgment se estimate karna
- **Time-Series Method:** Past data ke patterns dekh kar future forecast karna
- **Explanatory/Causal Models:** Past causes dhundh kar future predict karna
- **Delphi Method:** Experts ke rounds of opinions se forecast banana
- **Scenario Analysis:** Alag alag future situations ke liye plans banana
- **Benchmarking (4 Steps):** Planning → Data Collection → Analysis → Action Plan

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Environmental Scanning

Environmental scanning matlab hai ke manager bari miqdar mein information ko screen karta hai taake environment mein aane wale changes pehle se samajh sake. Research ne sabit kiya hai ke advanced scanning systems use karne wali companies ne zyada profits aur revenue growth hasil ki. Yeh scanning aage ki planning aur forecasting ki bunyad banati hai.

SWOT Analysis

SWOT andaruni aur bahari dono environments ko ek jagah laata hai. Andaruni: Strengths aur Weaknesses. Bahari: Opportunities aur Threats. Iska maqsad ek aisa strategic niche dhundna hai jo organization exploit kar sake. Misal: PIA ki Strength — domestic network; Weakness — high costs; Opportunity — tourism growth; Threat — private airlines.

Competitor Intelligence

Yeh ek specific scanning activity hai jismein manager identify karta hai: (1) competitor kaun hai, (2) woh kya kar raha hai, (3) uske actions ka apni organization par kya asar hoga. Misal: Jazz yeh track karta hai ke Telenor kya new packages launch kar raha hai.

Global Scanning

International trends, foreign competitors, aur global economic shifts monitor karna. Pakistani export companies ke liye especially important hai.

Forecasting

Forecasting ka matlab hai mustaqbil ki changing conditions ko predict karna. Yeh production planning, budgeting, sales analysis, inventory control, marketing, aur logistics mein use hoti hai.

Forecasting Effectiveness Improve Karne Ke Suggestions

1. Simple forecasting techniques use karo.
2. Har forecast ko "no change" scenario se compare karo.
3. Sirf ek method par rely mat karo.
4. Trend mein turning points accurately identify karne ka guman mat rakho.
5. Forecast ki time period choti rakho.
6. Forecasting ek skill hai — practice se behtar hoti hai.

Methods of Forecasting

A. Quantitative Forecasting

Numbers aur mathematical models use karta hai.

1. Time-Series Methods

- Past historical data se patterns dhundh kar future predict karta hai.
- Assumption: future past jaisa hoga.
- **Trend:** long-term upward ya downward movement (e.g. HBL ka 10-saal mein loan growth)
- **Seasonal Pattern:** saal ke specific points par change (e.g. Eid season mein retail sales)
- **Cyclical Pattern:** ek saal se zyada span wale changes (e.g. economic recession cycle)
- Weakness: agar environment tezi se badal raha ho toh past patterns mislead kar sakte hain.

2. Explanatory/Causal Models

- Past mein causes identify karo, phir current predictors se future forecast karo.
- **Regression Models:** ek ya zyada variables ke fluctuations se target variable predict karna.
- **Econometric Models:** kai simultaneous regression equations — economy ke relationships measure karna.
- **Leading Indicators:** woh variables jo main phenomenon se pehle move karte hain (e.g. construction permits → future economic activity).

B. Technological/Qualitative Forecasting

Long-term trends predict karne ke liye, especially jab numbers available na hon. Delphi Method aur Scenario Analysis yahan use hote hain.

C. Judgmental Forecasting

Individual ya group judgment par based. Bias ka risk high hota hai.

- **Jury of Executive Opinion:** Top executives mil kar ek forecast estimate karte hain.
- **Sales-force Composite:** Salespeople, sales managers, aur distributors se sales outlook collect karna.

Forecasting Methods Comparison

Feature	Quantitative	Technological	Judgmental
Time Horizon	Short-to-medium	Medium-to-long	Short-to-long
Development Cost	High	Medium	Low
Pattern Accuracy	High	Medium	Medium-to-high
Turning Point Accuracy	Low (time-series)	Medium	Low
Ease of Understanding	Difficult	Easy	Easy

Benchmarking

Benchmarking ka matlab hai best practices dhundna — chahe competitors se ho ya non-competitors se — jo unki superior performance ki wajah hain, aur phir unhe apnana.

Benchmarking Process — 4 Steps

1. Benchmarking planning team banaao — identify karo kya benchmark karna hai, kaun si organizations compare karni hain, data collection method kya hoga.
2. Internal aur external data collect karo.
3. Data analyze karo — performance gaps identify karo aur farq ki wajah samjho.
4. Action plan taiyar karo aur implement karo.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Sirf Ek Forecasting Method Par Rely Karna

Wrong Approach: Manager sirf time-series data dekh kar decision leta hai.

Right Approach: Multiple methods combine karo — quantitative + judgmental.

Wajah: Ek method kabhi bhi complete picture nahi deta; different methods alag alag aspects cover karte hain.

Mistake 2: SWOT Ko Surface Level Karna

Wrong Approach: Generic strengths/weaknesses likhna jaise "good team" ya "lack of resources."

Right Approach: Specific, measurable, aur actionable points likhna.

Wajah: SWOT ka maqsad strategic niche identify karna hai — vague points se koi strategic decision nahi banta.

Mistake 3: Benchmarking Sirf Competitors Tak Limit Karna

Wrong Approach: Sirf same industry ki companies se compare karna.

Right Approach: Non-competitors se bhi best practices seekhna.

Wajah: Definition mein hi "competitors or non-competitors" dono شامل hain — sometimes best practices dusri industries mein hoti hain.

Mistake 4: Long Forecast Period Ko Accurate Samajhna

Wrong Approach: 5-10 saal ka detailed forecast banana aur us par poora trust karna.

Right Approach: Forecast period choti rakho; longer forecasts mein accuracy drastically girti hai.

Wajah: Environment rapidly change karta hai — jitna lamba forecast, utna zyada uncertainty.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

A textile company in Faisalabad wants to predict fabric demand for the next quarter. They have 5 years of monthly sales data available. Which forecasting method should they use and why? Also identify one limitation of that method.

Hint (Roman Urdu): Past data available hai — toh quantitative method sahi lagti hai. Lekin soch: agar COVID jaisi unexpected situation aa jaye toh past data kitna kaam aayega?

Problem 2:

Daraz Pakistan wants to improve its warehouse delivery speed. It decides to look at how Amazon and Alibaba manage their logistics. What process is Daraz using? List the steps it should follow.

Hint (Roman Urdu): Yeh apni performance improve karne ke liye doosron ke best practices dekh raha hai — iska ek specific naam hai jo is lecture mein aaya. Steps numbered hain — chaar hain.

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

A mid-sized Pakistani FMCG company is planning its 3-year growth strategy. The planning team has collected 10 years of historical sales data, conducted interviews with 12 industry experts, and asked its regional sales managers to submit their estimates for next year's sales. The CEO now asks: "Which of these three information sources maps to which forecasting method?"

Additionally, the CEO wants to benchmark the company against Unilever Pakistan. Outline: (a) which forecasting method corresponds to each data source, (b) one strength and one weakness of each, and (c) the complete benchmarking process the team should follow.

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why is environmental scanning considered the foundation of forecasting rather than a separate activity?

Think About It (Roman Urdu): Agar aapko pata hi nahi ke maahol mein kya ho raha hai, toh aap future kaise predict karoge? Pehle information chahiye, phir prediction.

Answer: Environmental scanning raw information provide karta hai — market trends, competitor actions, global changes. Forecasting usi information ko mathematical ya judgmental tools se future mein project karta hai. Scanning ke baghair forecasting blind guessing hogi.

Q2: Why should managers use multiple forecasting methods instead of relying on the most accurate one?

Think About It (Roman Urdu): Ek doctor sirf ek test se diagnosis nahi karta — woh multiple tests karta hai. Isi tarah ek forecasting method poori picture nahi deta.

Answer: Har method ki apni strength aur weakness hai. Quantitative methods patterns identify karte hain lekin turning points miss karte hain. Judgmental methods flexible hain lekin bias-prone hain. Combined use se errors reduce hote hain aur decision zyada reliable banta hai.

Q3: How does benchmarking differ from simply copying a competitor's practices?

Think About It (Roman Urdu): Copy karna matlab sirf dekh kar wahi karna. Benchmarking mein structured process hai — planning, data collection, gap analysis, aur phir action plan. Blindly copy karna aapke context ko ignore karta hai.

Answer: Benchmarking ek structured 4-step process hai jo performance gaps identify karta hai aur reasons samajhta hai. Sirf copy karne mein apni organization ki strengths/weaknesses ka koi analysis nahi hota. Benchmarking context-aware adaptation hai, blind imitation nahi.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange the benchmarking process in correct sequence: (a) Collect data, (b) Form planning team, (c) Analyze gaps, (d) Implement action plan.

(b → a → c → d)

Q2: Match the forecasting method to its description:

1. Time-series — 2. Econometric model — 3. Sales-force composite — 4. Delphi method

A. Multiple simultaneous regression equations — B. Past data patterns — C. Experts' iterative opinions — D. Salespeople's estimates

(1-B, 2-A, 3-D, 4-C)

Q3: A manager at PTCL uses last 8 years of subscriber data to predict next year's growth. Which forecasting method is this?

(Time-series quantitative forecasting)

Q4: What is the key difference between time-series methods and explanatory/causal models?

(Time-series uses past patterns only; causal models identify variables that cause outcomes and use current measures of those variables)

Q5: A company compares its customer service process with a top-rated hospital even though both are in different industries. What concept does this represent?

(Benchmarking with a non-competitor)

Q6: Which forecasting method has the highest development cost but greatest accuracy in identifying patterns?

(Quantitative forecasting)

SECTION 8 — EXAM MCQs (VU Style)

Q1: What is environmental scanning?

- A) Setting organizational goals for the future
- B) Screening large amounts of information to anticipate and interpret environmental changes
- C) Analyzing only the internal strengths of an organization
- D) Developing a budget based on past expenditures

Correct Answer: B — Screening large amounts of information to anticipate and interpret environmental changes

Exam Tip (Roman Urdu): "Anticipate and interpret changes" — yeh key phrase yaad rakho; scanning sirf internal nahi, bahari bhi cover karta hai.

Q2: Which component of SWOT analysis deals with the external environment only?

- A) Strengths and Weaknesses
- B) Weaknesses and Threats
- C) Opportunities and Threats
- D) Strengths and Opportunities

Correct Answer: C — Opportunities and Threats

Exam Tip (Roman Urdu): S aur W = andaruni (internal); O aur T = bahari (external) — yeh simple rule yaad rakho.

Q3: Time-series forecasting methods are most useful when:

- A) The environment is rapidly changing
- B) No historical data is available
- C) Patterns exist and the future is expected to resemble the past
- D) Expert opinions are needed for long-term predictions

Correct Answer: C — Patterns exist and the future is expected to resemble the past

Exam Tip (Roman Urdu): Time-series ki bunyadi assumption yahi hai — past = future pattern. Agar environment rapidly change ho raha ho toh yeh method weak hai.

Q4: A Pakistani bank asks its regional branch managers to submit their individual sales estimates for the next quarter. These are then combined into an overall forecast. Which method is being used?

- A) Jury of executive opinion
- B) Econometric modeling
- C) Sales-force composite
- D) Time-series analysis

Correct Answer: C — Sales-force composite

Exam Tip (Roman Urdu): Salespeople ya sales managers ke views collect karna = sales-force composite. Executives ki meeting = jury of executive opinion. Dono confuse mat karna.

Q5: Which forecasting method is most susceptible to individual bias?

- A) Time-series
- B) Regression modeling
- C) Judgmental forecasting
- D) Econometric modeling

Correct Answer: C — Judgmental forecasting

Exam Tip (Roman Urdu): Judgmental = individual ya group ki raay — bias ka risk highest yahan hota hai kyunki koi mathematical check nahi hota.

Q6: What distinguishes econometric models from simple regression models?

- A) Econometric models use qualitative data only
- B) Econometric models involve multiple simultaneous regression equations with several predictor variables
- C) Regression models measure long-term technology trends
- D) Econometric models do not require historical data

Correct Answer: B — Econometric models involve multiple simultaneous regression equations with several predictor variables

Exam Tip (Roman Urdu): Simple regression = ek ya do variables; econometric = kai simultaneous equations — complexity ka farq yaad rakho.

Q7: Compared to quantitative forecasting, judgmental forecasting methods are:

- A) More expensive to develop but less accurate
- B) Less expensive to develop and easily understood
- C) More accurate in identifying turning points
- D) Suitable only for short-term forecasting

Correct Answer: B — Less expensive to develop and easily understood

Exam Tip (Roman Urdu): Comparison table yaad karo: Judgmental = low cost, easy to understand, lekin turning points mein low accuracy.

Q8: Who is credited with developing the concept of benchmarking as a systematic management tool?

- A) Frederick Taylor
- B) Henri Fayol
- C) The search for best practices among competitors or non-competitors
- D) Peter Drucker

Correct Answer: C — The search for best practices among competitors or non-competitors

Exam Tip (Roman Urdu): MCQ mein aksar benchmarking ki definition poochi jaati hai — "best practices among competitors OR non-competitors" — dono words important hain.

Q9: Leading indicators in forecasting are variables that:

- A) Lag behind the main phenomenon being forecasted
- B) Have no correlation with the phenomenon of interest
- C) Tend to occur in advance of the phenomenon of major interest
- D) Are used only in judgmental forecasting

Correct Answer: C — Tend to occur in advance of the phenomenon of major interest

Exam Tip (Roman Urdu): "Leading" = aage chalte hain — jaise construction permits future economic activity se pehle move karte hain.

Q10: Which of the following is NOT a suggested way to improve forecasting effectiveness?

- A) Use simple forecasting techniques
- B) Rely on a single proven forecasting method for consistency
- C) Shorten the length of forecasts
- D) Compare every forecast with a "no change" scenario

Correct Answer: B — Rely on a single proven forecasting method for consistency

Exam Tip (Roman Urdu): Lecture mein clearly kaha gaya: "Don't rely on a single forecasting method" — yeh ek common trap MCQ hai.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein managers ko environment assess karne ke teen tools sikhaye gaye:
Environmental Scanning (maahol padhna), Forecasting (mustaqbil predict karna), aur
Benchmarking (best practices dhundna).

PART B — Yaad Rakhne Wali Baatein

- **Environmental scanning** se organizations ko profits aur revenue growth milti hai — yeh forecasting ki bunyad hai.
- **SWOT** = andaruni (S, W) + bahari (O, T) — strategic niche identify karta hai.
- **Quantitative forecasting** = high accuracy in patterns, lekin turning points mein weak; high development cost.
- **Judgmental forecasting** = low cost, easy to understand, lekin bias-prone aur turning points mein low accuracy.
- **Benchmarking** ka maqsad sirf copy karna nahi — structured 4-step process hai jismein gap analysis aur action plan zaroori hai.

PART C — Zaroor Yaad Karo Yeh Frameworks

Forecasting Methods — 3 Types:

1. **Quantitative:** Time-series + Causal/Explanatory models — numbers se predict karna
2. **Technological/Qualitative:** Delphi + Scenario Analysis — long-term, expert-based
3. **Judgmental:** Jury of Executive Opinion + Sales-force Composite — group/individual raay

Time-Series Sub-Types:

1. **Trend** — long-range upward/downward movement
2. **Seasonal Pattern** — yearly specific points par change
3. **Cyclical Pattern** — ek saal se zyada span

Benchmarking — 4 Steps:

1. Planning team banaao
2. Data collect karo
3. Gaps analyze karo
4. Action plan implement karo

Forecasting Effectiveness Tips — Key 3:

1. Simple techniques use karo
2. Single method par rely mat karo
3. Forecast period choti rakho

PART D — Exam Mein Ghalti Mat Karna

[!] Time-series aur causal models dono quantitative hain — inhe alag categories mat samjho; dono quantitative forecasting ke andar hain.

[!] Benchmarking sirf competitors tak limited nahi — non-competitors se bhi best practices li

jaati hain; yeh exam mein trap ki tarah aata hai.

[!] Jury of executive opinion aur sales-force composite dono judgmental hain — farq yeh hai ke ek executives karte hain, doosra salespeople — confuse mat karna.

Lecture 21: Planning and Decision Aids — II

Subject: MGT503 — Principles of Management

Topic Type: H — Planning, Decision Aids, and Goal Setting

Difficulty: Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek construction foreman hai jo naya school banwa raha hai. Uske paas paisa limited hai, time fix hai, aur kaam alag alag logon mein banta hua hai. Woh budget banata hai ke kitna paisa kahan lagega, Gantt chart se dekhta hai kaun sa kaam kab hoga, aur PERT se pata karta hai ke kaunsa kaam delay hua toh poora project late hoga. Yehi sab techniques is lecture mein hain.

PART B — Core Concepts

- 1. Resources:** Organization ki assets — financial, physical, human, intangible, structural.
- 2. Budget:** Numerical plan jisme resources ko specific activities ke liye allocate kiya jata hai.
- 3. Fixed Budget:** Ek specific volume assume karke banaya gaya budget.
- 4. Variable Budget:** Volume ke sath costs bhi badle — yeh variation ko account karta hai.
- 5. Scheduling:** Kaam ki list, sequence, zimmedari, aur time plan karna.
- 6. Gantt Chart:** Bar chart jo planned aur actual output ko visually dikhata hai.
- 7. PERT:** Bade aur complex projects ko manage karne ki network planning technique.
- 8. Critical Path:** PERT mein sabse lamba aur time-consuming sequence.
- 9. Slack Time:** Wo time jitna ek activity delay ho sakti hai bina poore project ko late kiye.
- 10. Breakeven Analysis:** Wo point jahan total revenue = total cost.
- 11. Linear Programming:** Mathematical technique jo limited resources ko optimally allocate karta hai.
- 12. Project Management:** Kisi ek-baar ke kaam ko time, budget, aur specification ke andar mukammal karna.
- 13. Scenario Planning:** Future ke alag alag possible situations ke liye contingency plans banana.
- 14. Queuing Models:** Mathematical models jo waiting-line situations describe karte hain.
- 15. Simulation:** Complex situations ki mathematical imitation.
- 16. Decision Trees:** Graphic models jo alternative actions aur unke outcomes dikhate hain.

PART C — Key Frameworks and Models

- **Revenue Budget:** Future sales project karta hai
- **Expense Budget:** Unit ki activities aur unka dollar allocation
- **Profit Budget:** Revenue + Expense combine karke unit ka profit contribution
- **Cash Budget:** Cash availability aur zaroorat ka forecast
- **Gantt Chart (Henry Gantt):** Bar chart — planned vs actual progress dikhata hai
- **PERT Network:** Flowchart — activities ka sequence aur time estimate
- **Breakeven Analysis:** Revenue = Cost ka point dhundhta hai
- **Linear Programming:** Single objective optimize karne ki mathematical technique
- **Project Management Process:** 7-step process — define karo, plan karo, complete karo
- **Scenario Planning:** Future uncertainty ko "agar yeh hua toh" plans se handle karna
- **Queuing Models:** Single-server ya multiple-server waiting-line situations
- **Simulation Models:** Jab LP aur queuing bhi complex lagein — tab mathematical imitation
- **Decision Trees:** Alternative paths aur unke outcomes ka graphic display

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

1. Techniques for Allocating Resources

A. Budgeting

Budget ek numerical plan hai jo resources ko activities ke liye allocate karta hai. Yeh har tarah ki organization mein use hoti hai.

Types of Budgets:

1. Revenue Budget: Future sales ka projection. Jaise HBL predict kare ke agla quarter mein kitne loans issue honge.

2. Expense Budget: Unit ki primary activities list karke har ek ke liye dollar/amount allocate karna. Jaise hospital ka medical supplies budget.

3. Profit Budget: Revenue + Expense dono combine — unit ka net profit contribution nikalta hai. Jaise PIA ke ek route ka profit check karna.

4. Cash Budget: Haath mein kitna cash hoga aur expenses ke liye kitna chahiye — forecast. Jaise textile factory ka monthly cash flow plan.

Fixed Budget: Ek specific predicted volume pe based hota hai.

Variable Budget: Volume change hone par costs bhi adjust ho jaate hain — zyada realistic.

B. Scheduling

Scheduling mein yeh decide kiya jata hai:

- Kaun kaun se kaam zaroor hain
- Kس sequence mein honge
- Kaun karega
- Kitna time lagega

Gantt Chart (Henry Gantt)

- Specialized bar chart hai
- Left side pe main activities list hoti hain
- Top/bottom pe time frame hota hai
- Bars se duration aur scheduling dikhti hai
- **Limitation:** Activities ke darmiyan interrelationships nahi dikhata

Example: VU ka semester schedule — har course ka start aur end date bar se dikhana.

PERT — Program Evaluation and Review Technique

Bade, ek-baar ke complex projects ke liye network planning method.

PERT Key Terms:

- **Activity:** Kaam ka ek hissa — arrow se represent hota hai
- **Event/Node:** Ek specific point in time — activity ka start ya end
- **Expected Time:** Teen time estimates se calculate hota hai
- **Critical Path:** Sabse lamba sequence — agar yahan delay hua toh poora project late
- **Slack Time:** Wo extra time jisme koi activity delay ho sakti hai bina project late kiye

PERT Process Steps:

1. Saare major activities specify karo
2. Unka sequence determine karo
3. Network diagram banao (arrows = activities, nodes = events)
4. Har activity ke liye 3 time estimates lagao — expected time nikalo
5. Critical path identify karo
6. Project shuru hone ke baad actual times record karo — adjustments karo

Example: PTCL ka new fiber network installation project — kaunsa kaam kab shuru, kab khatam, delay ka risk kahan hai.

C. Breakeven Analysis

Wo point jahan **Total Revenue = Total Costs** — na profit, na loss.

Use: Manager decide kar sakta hai ke minimum kitna produce/sell karna hai profitable rehne ke liye.

Example: Ek textile factory mein fixed cost Rs. 5 lakh hai — breakeven batata hai ke itne meters kapra bechna compulsory hai.

D. Linear Programming (LP)

Mathematical technique jo limited resources ko best possible tarike se allocate karta hai taake ek single objective (usually profit) optimize ho.

Conditions for LP:

1. Single objective ho (jaise profit maximize karna)
2. Attainable constraints hon (jaise budget limit, machine hours)
3. Variables aur objective ke darmiyan linear relationship ho

Most widely used quantitative planning tool in business.

Example: PIA decide kare ke limited fuel aur seats ke sath kaun si flights most profitable hain.

2. Contemporary Planning Techniques

A. Project Management

Project: Ek-baar ka kaam jiska definite beginning aur ending point ho.

Project Management: Kaam ko time, budget, aur specification ke andar complete karna.

Project Management Process (7 Steps):

1. Define objectives — kya achieve karna hai
2. Identify activities and resources — kaun se kaam, kya chahiye
3. Establish sequences — کس کس order mein hoga
4. Estimate time for activities — har kaam ka time estimate
5. Determine project completion date — overall deadline
6. Compare with objectives — kya plan se match karta hai
7. Determine additional human resource requirements — aur log chahiye?

Role of Project Manager:

- Formal authority kam hoti hai
- **Communication skills** aur **persuasion** hi asli tools hain
- Team members ek saath 2-3 projects pe kaam karte hain — project manager ko coordinate karna parta hai

B. Scenario Planning

- **Scenario:** Future ka ek consistent possible view
- Contingency planning ka ek form hai
- Goal prediction nahi — **uncertainty reduce karna** hai
- "Agar yeh condition ho toh hum yeh karenge" — yahi approach hai
- **Limitation:** Random events forecast karna mushkil hai

Example: Ek business decide kare ke agar dollar Rs. 350 ho jaye toh kya karen, aur agar Rs. 250 ho jaye toh kya karen — dono scenarios ke liye alag plan.

3. Other Planning Techniques

A. Queuing (Waiting-Line) Models

- Mathematical models jo waiting-line situations describe karte hain
- **Single-server queue:** Ek hi point pe service — jaise ek ATM machine
- **Multiple-server queue:** Multiple stations, ek single line se — jaise bank ke multiple counters
- Manager parameters vary karke probable effects dekh sakta hai

B. Simulation Models

- Complex situations ki **mathematical imitation**
- Jab LP ya queuing theory bhi situation handle na kar sake — tab simulation
- **Example:** Hospital mein emergency room flow simulate karna

C. Decision Trees

- Graphic models jo alternative courses of action dikhate hain
- Har path pe **payoffs** aur **probabilities** dikhate hain
- Decision making mein visual clarity deta hai

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Gantt aur PERT ko same samajhna

Wrong Approach: Dono ko scheduling tools samajh ke ek jaisi cheez maanna

Right Approach: Gantt simple projects ke liye bar chart hai; PERT complex interdependent activities ke liye network diagram

Wajah: Gantt interrelationships nahi dikhata, PERT dikhata hai — yeh fundamental difference hai

Mistake 2: Critical Path ko sabse chota path samajhna

Wrong Approach: Sochna ke critical path fastest route hai

Right Approach: Critical path sabse **lama** aur most time-consuming sequence hai

Wajah: Isi path pe delay hua toh poora project late hota hai — isliye "critical" hai

Mistake 3: Fixed aur Variable Budget mein confusion

Wrong Approach: Dono ko same maanna kyunki dono budgets hain

Right Approach: Fixed budget ek volume assume karta hai; variable budget volume change ke sath costs adjust karta hai

Wajah: Realistic planning ke liye variable budget zyada useful hota hai jab demand predictable na ho

Mistake 4: Linear Programming ko har problem pe apply karna

Wrong Approach: Sochna ke LP kisi bhi resource allocation problem solve kar sakti hai

Right Approach: LP tabhi kaam karti hai jab single objective ho, constraints attainable hon, aur variables linearly related hon

Wajah: Agar yeh teen conditions nahi hain toh simulation ya other tools use karne chahiye

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

A textile factory in Faisalabad has a fixed cost of Rs. 2,00,000 per month. Each meter of cloth costs Rs. 50 to produce and sells for Rs. 90. How would a manager use breakeven analysis to determine the minimum production level needed?

Hint (Roman Urdu): Pehle fixed cost aur per unit contribution margin nikalo — contribution margin matlab selling price minus variable cost per unit. Phir fixed cost ko contribution margin se divide karo.

Problem 2:

A project manager at a government hospital is overseeing the installation of a new IT system. She has 8 activities to schedule with some being interdependent. Which scheduling tool should she use and why? Identify what a "critical path" would mean in her project.

Hint (Roman Urdu): Soch ke kaunsa tool interdependent activities dikhata hai — Gantt ya PERT? Phir critical path ki definition yaad karo aur hospital context mein lagao.

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

A regional airline (imagine a Pakistani domestic carrier) needs to allocate its limited aircraft hours, crew availability, and fuel budget across five different routes. Management wants to maximize total profit. Some routes are more profitable per flight but require more fuel; others are less profitable but have lower costs.

(a) Which planning technique is most appropriate here, and what are the three conditions that must be met for it to work?

(b) The airline's planning team also wants to prepare for two scenarios: oil prices doubling vs. oil prices dropping by 30%. What planning technique covers this, and what is its purpose?

(c) If one of the project activities — crew training for new aircraft — gets delayed, and this activity is on the critical path of the airline's fleet expansion project, what is the direct consequence?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why is the critical path called "critical" in PERT, and why does slack time not exist on it?

Think About It (Roman Urdu): Socho ke agar ek chain mein sabse kamzor link toot jaye toh kya hoga poori chain ka — yahi PERT mein critical path ka concept hai.

Answer: Critical path isliye "critical" hai kyunke yeh sabse lamba sequence hai — agar iss path pe koi bhi activity delay ho toh poora project late ho jata hai. Slack time iss path pe zero hoti hai kyunke yahan koi bhi extra time nahi hai — har activity ki last possible completion time = earliest possible time.

Q2: Why is scenario planning NOT the same as predicting the future?

Think About It (Roman Urdu): Socho — agar koi keh de "kal baarish hogi" vs "agar baarish hui toh hum yeh karenge, agar nahi hui toh yeh" — dono mein fark kya hai?

Answer: Scenario planning prediction nahi karta — woh uncertainty reduce karta hai. Woh alag alag possible futures ke liye alag alag plans banata hai. Goal yeh nahi ke future exactly pata ho, balke yeh ke jab bhi koi bhi situation aaye, organization ready ho. Random events ke liye yeh technique zyada effective nahi hoti.

Q3: Why might a project manager rely more on communication skills than formal authority?

Think About It (Roman Urdu): Ek project manager ke paas HR manager jaisi power nahi hoti — woh doosre departments ke log apne project mein use karta hai jo unke apne boss ko report karte hain.

Answer: Project team ke members usually 2-3 projects pe kaam karte hain aur apne functional departments ko bhi report karte hain. Project manager ke paas unhe directly punish ya reward karne ka formal authority nahi hota. Isliye communication, persuasion, aur interpersonal skills se hi kaam karwana padta hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange the Project Management Process in correct sequence:

(i) Estimate time (ii) Define objectives (iii) Establish sequences (iv) Identify activities (v) Determine completion date

(Correct: ii → iv → iii → i → v → Compare with objectives → Determine HR requirements)

Q2: Match the budget type with its function:

1. Revenue Budget — **A.** Combines income and spending to show profit
2. Cash Budget — **B.** Projects future sales
3. Profit Budget — **C.** Lists unit activities and their cost allocations
4. Expense Budget — **D.** Forecasts cash availability and cash needs

(Correct: 1-B, 2-D, 3-A, 4-C)

Q3: A construction company is building a dam. Several activities are interdependent and the project must finish by a government deadline. Which tool is most appropriate?

(Correct: PERT — because it shows interdependencies and identifies the critical path)

Q4: Compare Gantt Chart and PERT: What is the key difference?

(Correct: Gantt shows planned vs actual progress as a bar chart but does NOT show interdependencies among activities; PERT shows the full network of interdependent activities and identifies the critical path)

Q5: A manager finds that Activity D has 5 days of slack time in a PERT network. What does this mean?

(Correct: Activity D can be delayed by up to 5 days without delaying the overall project completion date)

Q6: Which of the following is a condition required for Linear Programming to be applicable?

(Correct: A single objective must be optimized, constraints must be attainable, and variables must be linearly related to the objective)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following best defines a budget in management?

- A) A verbal plan for distributing workload among employees
- B) A numerical plan for allocating resources to specific activities
- C) A chart that shows employee performance over time
- D) A qualitative forecast of future market conditions

Correct Answer: B — A numerical plan for allocating resources to specific activities

Exam Tip (Roman Urdu): Budget ka core word "numerical plan" hai — qualitative ya verbal nahi.

Q2: What does "slack time" mean in a PERT network?

- A) The total duration of the entire project
- B) The time difference between planned and actual output on a Gantt chart
- C) The amount of time an activity can be delayed without delaying the whole project
- D) The time allocated to the critical path activities

Correct Answer: C — The amount of time an activity can be delayed without delaying the whole project

Exam Tip (Roman Urdu): Slack = flexibility — critical path pe slack zero hoti hai, yeh yaad rakhna.

Q3: A university is planning a new campus construction with 20+ interdependent activities. Which scheduling tool is most suitable?

- A) Gantt Chart
- B) Revenue Budget

- C) PERT Network
- D) Queuing Model

Correct Answer: C — PERT Network

Exam Tip (Roman Urdu): Jab activities interdependent hon aur project large ho — answer almost hamesha PERT hai.

Q4: Which type of budget is specifically designed to adjust for changes in activity volume?

- A) Fixed Budget
- B) Cash Budget
- C) Revenue Budget
- D) Variable Budget

Correct Answer: D — Variable Budget

Exam Tip (Roman Urdu): "Variable" naam hi bata deta hai — volume badhe toh budget bhi adjust hota hai.

Q5: A bakery in Lahore sells bread at Rs. 60 per loaf with variable cost of Rs. 35 per loaf and total fixed costs of Rs. 50,000. Which planning technique helps the manager find the minimum number of loaves to sell to avoid a loss?

- A) Linear Programming
- B) Scenario Planning
- C) Breakeven Analysis
- D) Queuing Model

Correct Answer: C — Breakeven Analysis

Exam Tip (Roman Urdu): Jab bhi "minimum production to cover costs" wali baat ho — Breakeven Analysis hai.

Q6: What is the PRIMARY purpose of scenario planning?

- A) To accurately predict the single most likely future outcome
- B) To reduce uncertainty by preparing plans for different possible future conditions
- C) To allocate resources mathematically based on a single objective
- D) To create a bar chart showing planned versus actual performance

Correct Answer: B — To reduce uncertainty by preparing plans for different possible future conditions

Exam Tip (Roman Urdu): Scenario planning prediction nahi karta — yeh uncertainty reduce karta hai multiple plans banake.

Q7: Which of the following correctly distinguishes a Gantt Chart from a PERT Network?

- A) Gantt shows interdependencies; PERT does not
- B) PERT is only used for financial planning; Gantt is for project scheduling
- C) Gantt shows planned vs actual output; PERT shows activity interdependencies and critical path
- D) Both tools are identical in function but differ only in visual format

Correct Answer: C — Gantt shows planned vs actual output; PERT shows activity interdependencies and critical path

Exam Tip (Roman Urdu): Gantt = bar chart, PERT = network — aur sirf PERT critical path dikhata hai.

Q8: The Gantt Chart scheduling tool was named after which contributor?

- A) Frederick Taylor
- B) Henri Fayol
- C) Henry Gantt
- D) Max Weber

Correct Answer: C — Henry Gantt

Exam Tip (Roman Urdu): Henry Gantt ne Scientific Management era mein yeh chart develop kiya tha.

Q9: Which of the following is NOT a required condition for applying Linear Programming?

- A) A single objective must be achieved
- B) Constraints must be attainable
- C) Variables must be linearly related to the objective
- D) Multiple objectives must be simultaneously optimized

Correct Answer: D — Multiple objectives must be simultaneously optimized

Exam Tip (Roman Urdu): LP sirf ek (single) objective optimize karta hai — multiple objectives LP ka kaam nahi.

Q10: Which planning technique uses a flowchart-like diagram showing activity sequences, event nodes, and expected completion times for a complex one-time project?

- A) Decision Tree
- B) Gantt Chart

- C) Simulation Model
- D) PERT Network

Correct Answer: D — PERT Network

Exam Tip (Roman Urdu): "Flowchart-like diagram, events, activities, one-time project" — yeh saari keywords PERT ki taraf point karti hain.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein resources allocate karne ki techniques seekhi — budgets, Gantt, PERT, LP, breakeven, aur project management process.

PART B — Yaad Rakhne Wali Baatein

- **Budget chaar tarah ke hote hain:** Revenue, Expense, Profit, Cash — aur Fixed vs Variable budget ka fark zaroor yaad rakhna
- **Gantt Chart** simple scheduling ke liye hai lekin interdependencies nahi dikhata
- **PERT** bade complex projects ke liye hai — critical path aur slack time iske core concepts hain
- **Critical path** = sabse lamba sequence — iss pe delay = poora project late
- **LP sirf tab kaam karta hai** jab single objective ho, constraints attainable hon, aur linear relationship ho

PART C — Zaroor Yaad Karo Yeh Frameworks

4 Budget Types:

1. Revenue Budget — future sales
2. Expense Budget — unit activities + costs
3. Profit Budget — revenue + expense combined
4. Cash Budget — cash availability forecast

PERT Key Terms:

1. Activity — arrow (work component)
2. Event/Node — point in time (start/end)
3. Slack Time — delay without affecting project
4. Critical Path — longest sequence, zero slack

Project Management Process (7 Steps):

1. Define objectives 2. Identify activities & resources 3. Establish sequences 4. Estimate time 5. Determine completion date 6. Compare with objectives 7. Determine HR requirements

Other Tools:

- **Breakeven Analysis** — Revenue = Cost point
- **Linear Programming** — single objective optimization
- **Scenario Planning** — contingency for multiple futures
- **Queuing Models** — waiting-line situations
- **Simulation** — mathematical imitation of complex reality
- **Decision Trees** — graphic alternative paths with payoffs

PART D — Exam Mein Ghalti Mat Karna

[!] Critical path sabse **lamba** path hota hai — sabse chota nahi — aur iss pe slack time zero hoti hai

[!] Gantt aur PERT dono scheduling tools hain lekin Gantt **interdependencies nahi dikhata** — yeh difference exam mein aata hai

[!] Scenario planning ka matlab **future predict karna nahi** — sirf uncertainty reduce karna aur multiple futures ke liye ready rehna hai

Lecture 22: Planning: Functions & Benefits

Subject: MGT503 — Principles of Management

Topic Type: H — Planning, Decision Aids, and Goal Setting

Difficulty: Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek school principal ne saal ke shuru mein decide kiya ke is saal 90% pass rate achieve karni hai. Iske liye usne teachers ko targets diye, schedule banaya, aur resources allocate kiye. Yahi planning hai — pehle goal set karo, phir usse achieve karne ka roadmap banao. Bina planning ke school ek din mein hi chaos mein aa jaye.

PART B — Core Concepts

1. Planning: Organization ke goals define karna aur unhe achieve karne ka comprehensive roadmap banana.

2. Goals (Objectives): Woh desired outcomes jo individuals, groups, ya poori organization achieve karna chahti hai.

3. Stated Goals: Jo organization publicly kehti hai — stakeholders ko dikhane ke liye.

4. Real Goals: Jo organization actually pursue karti hai — asli kaam yahi hota hai.

5. Financial Goals: Profit, revenue, return on assets jaise monetary targets.

6. Strategic Goals: Market position, competitive advantage jaise broad organizational targets.

7. Plans: Documents jo batate hain ke goals kaise achieve honge — resources, schedules, actions.

PART C — Key Frameworks and Models

- **Hierarchy of Goals:** Strategic → Tactical → Operational — har level ka goal neeche wale level ka means ban jaata hai.
- **Types of Plans by Level:** Strategic plan (top mgmt, 5+ years) → Tactical plan (middle mgmt, 1-3 years) → Operational plan (lower mgmt, under 1 year).
- **Types of Plans by Use:** Single-use plans (ek baar kaam aane wale) vs Standing plans (baar baar use hone wale).
- **Mean-End Chain:** Lower level goals upar wale goals ka zariya (means) hote hain — sab link hain.

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

What is Planning?

Planning matlab hai: goals define karo, overall strategy establish karo, aur ek comprehensive set of plans banao jo organizational work ko integrate aur coordinate kare. Yeh formal planning hai. Research kehti hai ke planning ki quality aur uski proper implementation performance pe zyada asar dalti hai, sirf planning ki extent se zyada.

Purposes of Planning (6 Points)

- 1. Gives direction:** Sab employees jaante hain kahan jaana hai — PIA ka staff jaanta hai ke flight on-time departure hi goal hai.
- 2. Reduces impact of change:** Agar market change ho, plan already prepared hai — textile factory ka backup plan monsoon mein.
- 3. Establishes coordinated effort:** Sab departments ek hi direction mein kaam karte hain — hospital mein surgery team ek saath move karti hai.
- 4. Reduces uncertainty:** Future uncertain hai lekin planning se hum prepared rehte hain.
- 5. Reduces overlapping and wasteful activities:** Do log ek hi kaam na karein — resources waste na hon.
- 6. Establishes standards for controlling:** Goals hi later mein control ka benchmark bante hain.

Goals vs Plans

Element	Definition	Example
Goal	Desired outcome to achieve	HBL ka goal: 20% profit growth
Plan	Document showing how to achieve goal	New branch opening schedule + budget

Types of Goals

- 1. Financial Goals:** Return on assets, profits — quantifiable monetary outcomes.
- 2. Strategic Goals:** Market positioning, competitive standing — broad directional targets.
- 3. Stated Goals:** Official public statements — PTCL ka slogan "connecting Pakistan."
- 4. Real Goals:** Actual pursued outcomes — cost-cutting behind the scenes.

Hierarchy of Goals

- 1. Strategic Goals:** Top management set karta hai — broad, long-range targets (e.g., VU ka goal: affordable quality education across Pakistan).
- 2. Tactical Goals:** Middle management set karta hai — department-level targets (e.g., VU IT department: 99% uptime for LMS).
- 3. Operational Goals:** Lower management set karta hai — specific measurable outcomes (e.g., help desk: resolve 95% tickets within 24 hours).

Yeh teen levels milke **mean-end chain** banate hain — har lower goal upar wale goal ka zariya banta hai.

Benefits of Using Goals

1. Performance improves.
2. Expectations become clear.
3. Controlling becomes easier — progress measure hoti hai.
4. Goal achievement increases motivation.

Types of Plans by Organizational Level

1. Strategic Plans

- Whole organization ke liye — top management banata hai.
- Time horizon: 3 to 5 years ya zyada.
- Example: Army Public Schools ka 5-year expansion plan across Pakistan.

2. Tactical Plans

- Strategic plan ko support karte hain — middle management banata hai.
- More specific and concrete than strategic.
- Time horizon: 1 to 3 years.
- Example: HR department ka recruitment drive plan for next 2 years.

3. Operational Plans

- Tactical plans ko support karte hain — lower management banata hai.
- Most specific — exactly kya karna hai yeh batate hain.
- Time horizon: usually less than 1 year.
- Example: Weekly production targets in a Karachi textile factory.

Types of Plans by Use (Single-Use vs Standing)

Single-Use Plans — Ek specific goal ke liye, jo achieve hone ke baad dobara use nahi hoga.

- **Program:** Complex, major non-recurring goal ka comprehensive plan. Example: VU ka new campus construction program.
- **Project:** Limited-scope activities ka plan, program se narrower. Example: One building construction project within that program.

Standing Plans — Recurring activities ke liye ongoing guidance.

- **Policy:** Broad parameters define karta hai — general guide. Example: HBL ki policy ke customers ko 24-hour service milegi.
- **Procedure:** Step-by-step prescribed series of steps. Example: Bank mein account kholne ka SOP.
- **SOP (Standard Operating Procedure):** Well-established, formalized procedures.

Time Horizons Summary

Plan Type	Time Frame
Strategic	5+ years
Tactical	1-3 years
Operational	1 week to 1 year

Planning and Innovation

- Organization ki **mission statement** innovation encourage karti hai.
- **Goals** mission ko innovation-supporting direction mein translate karte hain.
- **Plans** innovative outcomes achieve karne ke actual steps provide karte hain.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Stated Goals ko Real Goals Samajhna

Wrong Approach: Jo company officially kehti hai wahi uska actual goal hai.

Right Approach: Stated aur real goals alag hote hain — asli pursuit dekho.

Wajah: Bohat si companies public mein kuch kehti hain, lekin andar se kuch aur pursue karti hain — dono ko alag rakhna zaroori hai exam mein.

Mistake 2: Strategic aur Operational Plans Ko Mix Karna

Wrong Approach: Dono ko ek hi cheez samajhna — sirf time frame ka farq hai.

Right Approach: Strategic = broad + long-term (top mgmt); Operational = specific + short-term (lower mgmt).

Wajah: Teen alag levels hain — strategic, tactical, operational — har ek ka scope, maker, aur time frame alag hai.

Mistake 3: Program aur Project Ko Same Samajhna

Wrong Approach: Program aur project interchangeable hain.

Right Approach: Program broader hai aur multiple projects contain kar sakta hai.

Wajah: Exam mein yeh comparison seedha aata hai — program = comprehensive + major goal; project = limited scope.

Mistake 4: Planning Ko Sirf Goal-Setting Samajhna

Wrong Approach: Planning sirf goals decide karna hai.

Right Approach: Planning mein goals + strategy + comprehensive plans — ends AND means dono shamil hain.

Wajah: Definition specifically kehti hai "concerned with both ends (what) and means (how)" — dono zaroori hain.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

A garment factory in Faisalabad sets a goal: "Increase export orders by 30% in 3 years." The factory owner then directs the production manager to improve quality standards within 18 months, and the floor supervisor to reduce daily defect rate to under 2% within 6 months. Identify the type of goal and plan at each of the three levels.

Hint (Roman Urdu): Teen levels yaad karo — top, middle, lower. Har level ka time frame aur scope alag hai. Kaunsa goal broad hai aur kaunsa most specific?

Problem 2:

PTCL has a written policy that all customer complaints must be resolved within 48 hours. There is also a step-by-step guide for customer service agents on how to log, escalate, and close a

complaint. A special task force has also been formed to launch a one-time 5G pilot project. Classify these three items into the correct plan types.

Hint (Roman Urdu): Ek cheez har baar repeat hoti hai, ek sirf ek baar hogi. Policy aur procedure dono standing plans mein aate hain lekin kaise alag hain? Project kahan fit hoga?

PART B — Challenge Problem

"Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya."

A newly appointed CEO of a Pakistani public hospital says: "Our goal is to become the most patient-friendly hospital in the country." The hospital's annual report, however, shows that 60% of budget is spent on administrative salaries with minimal investment in patient care. The operations manager has a written rulebook for staff attendance but no documented process for patient admission. There is no multi-year expansion or improvement roadmap in place.

Using planning concepts from this lecture, identify: (a) the stated vs real goal, (b) what type of plans are missing at each level, (c) what standing plan element is absent in patient admission, and (d) what the mean-end chain should look like if the CEO's stated goal were to become the real goal.

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why is planning considered the primary management function, and how does it support the other functions like organizing, leading, and controlling?

Think About It (Roman Urdu): Agar aapko pata hi nahi ke jana kahan hai, toh team ko organize kaise karoge? Resources kaise allocate karoge? Aur check kaise karoge ke sahi ja rahe ho?

Answer: Planning sabse pehle aata hai kyunki yeh goals aur strategy establish karta hai. Organizing resources unhi goals ke liye arrange karta hai. Leading logon ko usi direction mein motivate karta hai. Controlling check karta hai ke goals achieve ho rahe hain ya nahi. Sab functions planning ke bina incomplete hain — yahi iska "primary" hona justify karta hai.

Q2: How does the hierarchy of goals create a mean-end chain, and why is alignment between levels critical for organizational success?

Think About It (Roman Urdu): Agar factory supervisor ka daily target factory ke overall annual goal se match nahi karta, toh kya hoga? Har chota goal bade goal ka zariya banta hai — agar chain toot gayi toh?

Answer: Hierarchy mein strategic goals top par hain. Tactical goals unhe achieve karne ka zariya hain. Operational goals tactical goals ka zariya hain. Agar alignment nahi hai — jaise ek

department alag direction mein kaam kare — toh poori chain fail ho jaati hai. Har level ka goal upar wale ka means hona chahiye, tabhi coordinated effort milta hai.

Q3: What is the difference between a policy and a procedure, and why do organizations need both?

Think About It (Roman Urdu): Policy ek broad rule hai — "customers ke saath respectfully pesh aao." Procedure batata hai exactly kaise — "pehle greet karo, phir ID verify karo, phir issue log karo." Dono alag kaam karte hain — kya ek doosre ki jagah le sakta hai?

Answer: Policy ek general guide hai jo broad parameters set karta hai — flexibility hoti hai. Procedure ek prescribed step-by-step series hai — specific aur inflexible hoti hai. Organizations ko dono chahiye: policy direction deti hai, procedure execution guide karti hai. Sirf policy se kaam nahi chalta kyunki staff ko exact steps bhi chahiye hote hain.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange the following plan types from broadest to most specific: Operational Plan, Strategic Plan, Tactical Plan.

(Strategic Plan → Tactical Plan → Operational Plan)

Q2: Match each plan type with its correct time horizon:

Strategic Plan — (a) Under 1 year / (b) 1–3 years / (c) 5+ years

Tactical Plan — (a) Under 1 year / (b) 1–3 years / (c) 5+ years

Operational Plan — (a) Under 1 year / (b) 1–3 years / (c) 5+ years

(Strategic = c, Tactical = b, Operational = a)

Q3: A university announces "We are committed to student success" publicly, but internally allocates 80% of budget to building construction. Which type of goal is the public announcement, and which is the real goal?

(Public announcement = Stated Goal; Budget allocation = Real Goal)

Q4: Compare a Program and a Project. Which is broader, and what is the key difference?

(Program is broader — it coordinates a complex set of activities for a major non-recurring goal; a Project is a limited-scope plan within or alongside a program)

Q5: A bank has a written rule: "All loan applications must go through a 5-step verification process." Is this a policy or a procedure? Why?

(Procedure — because it is a prescribed series of specific steps, not a general guide)

Q6: Why does the quality of the planning process matter more than just the extent of planning?

(Because high-performance outcomes depend on how well planning is done and implemented, not merely on how much planning is done)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following is the most accurate definition of planning?

- A) Setting rules for employee behavior
- B) Defining goals, establishing strategy, and developing plans to coordinate work
- C) Allocating resources to different departments
- D) Monitoring employee performance against targets

Correct Answer: B — Defining goals, establishing strategy, and developing plans to coordinate work

Exam Tip (Roman Urdu): Planning ki definition mein teen cheezein yaad karo: goals define karna, strategy establish karna, aur plans develop karna — teeno saath aate hain.

Q2: What are "real goals" in an organization?

- A) Goals officially stated in the annual report
- B) Goals communicated to external stakeholders
- C) Goals the organization actually pursues through its actions
- D) Goals set by top management for public relations

Correct Answer: C — Goals the organization actually pursues through its actions

Exam Tip (Roman Urdu): Stated goals woh hain jo bolte hain, real goals woh hain jo actually karte hain — dono alag ho sakte hain.

Q3: Which level of management is primarily responsible for developing strategic plans?

- A) First-line management
- B) Middle management
- C) Top management
- D) Operational supervisors

Correct Answer: C — Top management

Exam Tip (Roman Urdu): Strategic = top mgmt, Tactical = middle mgmt, Operational = lower mgmt — yeh teen pairing zaroor yaad karo.

Q4: A company launches a one-time project to build a new warehouse. Once complete, this project will not recur. What type of plan is this?

- A) Standing plan
- B) Tactical plan
- C) Single-use plan
- D) Policy

Correct Answer: C — Single-use plan

Exam Tip (Roman Urdu): Single-use = ek baar ka kaam; standing = baar baar repeat hone wala kaam — yeh distinction exam mein seedha poochha jaata hai.

Q5: Which of the following correctly describes a "procedure" in organizational planning?

- A) A broad guide specifying parameters for employee behavior
- B) A long-term organizational roadmap
- C) A prescribed series of specific steps taken under recurring circumstances
- D) A one-time plan for a unique non-recurring situation

Correct Answer: C — A prescribed series of specific steps taken under recurring circumstances

Exam Tip (Roman Urdu): Procedure = specific + step-by-step + recurring; policy = general + flexible — dono standing plans hain lekin farq yaad rakho.

Q6: A textile factory's floor supervisor sets a daily target of producing 500 units with less than 1% defect rate. This is an example of which type of goal?

- A) Strategic goal
- B) Tactical goal
- C) Financial goal
- D) Operational goal

Correct Answer: D — Operational goal

Exam Tip (Roman Urdu): Operational goals: lower management, specific measurable outcomes, short time frame — supervisor level pe jo specific daily/weekly targets hain woh operational hain.

Q7: Which of the following best distinguishes a program from a project?

- A) Programs are short-term; projects are long-term
- B) Programs are broader and coordinate complex sets of activities; projects are limited in scope
- C) Programs are used by lower management; projects by top management
- D) Programs are standing plans; projects are strategic plans

Correct Answer: B — Programs are broader and coordinate complex sets of activities; projects are limited in scope

Exam Tip (Roman Urdu): Program > Project — program andar kai projects ho sakte hain. Scope ka farq hai.

Q8: What contributes more to high organizational performance than the mere extent of planning?

- A) The number of plans created
- B) The seniority of managers involved in planning
- C) The quality of the planning process and appropriate implementation
- D) The length of the time horizon chosen

Correct Answer: C — The quality of the planning process and appropriate implementation

Exam Tip (Roman Urdu): Kitna plan kiya ye nahi — kitna achha plan kiya aur kitna sahi implement kiya, yeh zyada important hai.

Q9: The mean-end chain in goal hierarchy means:

- A) Goals at each level are independent of each other
- B) Lower-level goals serve as the means to achieve higher-level goals
- C) Operational goals are more important than strategic goals
- D) Each department sets its own unrelated goals

Correct Answer: B — Lower-level goals serve as the means to achieve higher-level goals

Exam Tip (Roman Urdu): Mean-end chain = har lower goal upar wale goal ka zariya (means) hai — chain ki tarah sab linked hain.

Q10: Which of the following is an example of a standing plan?

- A) A construction project plan for a new factory building
- B) A nationwide marketing campaign for a new product launch
- C) A standard operating procedure for processing customer refunds
- D) A five-year corporate growth strategy

Correct Answer: C — A standard operating procedure for processing customer refunds

Exam Tip (Roman Urdu): Standing plan = recurring, ongoing guidance — SOP, policy, procedure yeh sab standing plans hain. One-time kaam single-use hai.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein planning ki definition, uske 6 purposes, goals aur plans ke types, aur unki hierarchy samjhayi gayi — ke kaise strategic se operational tak sab linked hain.

PART B — Yaad Rakhne Wali Baatein

- **Planning** = goals define karo + strategy banao + comprehensive plans develop karo — ends AND means dono.
- **Stated goals** woh hain jo bolte hain, **real goals** woh hain jo actually pursue karte hain — dono alag hote hain.
- **Strategic** → **Tactical** → **Operational** — yeh hierarchy of goals AND plans dono par apply hoti hai.
- **Single-use plans** ek baar ke liye hain (program, project); **standing plans** baar baar use hote hain (policy, procedure, SOP).
- **Mean-end chain** mein har lower-level goal upar wale level ka zariya banta hai — sab aligned hone chahiye.

PART C — Zaroor Yaad Karo Yeh Frameworks

6 Purposes of Planning:

1. Gives direction
2. Reduces impact of change

3. Establishes coordinated effort
4. Reduces uncertainty
5. Reduces overlapping/wasteful activities
6. Establishes standards for controlling

Types of Plans by Level:

1. Strategic Plan — top mgmt — 5+ years
2. Tactical Plan — middle mgmt — 1–3 years
3. Operational Plan — lower mgmt — under 1 year

Types of Plans by Use:

- **Single-use:** Program (broad), Project (limited scope)
- **Standing:** Policy (general guide), Procedure (step-by-step), SOP (formalized procedure)

PART D — Exam Mein Ghalti Mat Karna

[!] Program aur Project same nahi hain — program broader hai, project limited scope wala hai.

[!] Stated goals = jo kehte hain; Real goals = jo actually karte hain — inhe kabhi mix mat karna.

[!] Planning ki quality aur implementation zyada matter karti hai, sirf kitni planning ki — yeh trap question ban sakta hai.

Lecture 23: Planning Process and Goal Levels

Subject: MGT503 — Principles of Management

Topic Type: H — Planning, Decision Aids, and Goal Setting

Difficulty: Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek school ka principal hai. Pehle woh decide karta hai ke is saal 90% pass rate chahiye — yeh goal hai. Phir woh teachers ki timetable, extra classes, aur tests ka schedule banata hai — yeh plan hai. Bina plan ke goal sirf ek khwaab rehta hai, aur bina goal ke plan ka koi direction nahi hota.

PART B — Core Concepts

1. Goal: Woh future result jo organization achieve karna chahti hai — jaise HBL ka target "10 lakh naye accounts khoolna."

2. Plan: Goal tak pohonchne ka tarika — jaise HBL ki marketing aur branch expansion strategy.

3. Mission Statement: Organization ki buniyadi wajah-e-wujood — "hum kyun exist karte hain" ka jawab.

- 4. Strategic Goal:** Top management ka broad target — jaise PIA ka "Asia mein best airline banana."
- 5. Tactical Goal:** Middle management ka departmental target — jaise PIA HR ka "staff training 80% complete karna."
- 6. Operational Goal:** Lower management ka measurable, specific target — jaise "is hafte 200 tickets sell karna."
- 7. Goal Commitment:** Goal se lagan aur dedication — bina commitment ke goal bekar hai.
- 8. Contingency Planning:** Agar original plan kaam na kare toh backup plan ready rakhna.

PART C — Key Frameworks and Models

- **Hierarchy of Goals:** Strategic → Tactical → Operational — top se neeche goals ka chain
- **Mean-End Chain:** Neeche wale goals upar wale goals ka zariya bante hain
- **5 Criteria for Goal Content (CASTRL):** Challenging, Attainable, Specific, Time-limited, Relevant, Measurable
- **4 Work Behavior Factors:** Direction, Effort, Persistence, Planning
- **Types of Plans:** Breadth (Strategic/Operational), Time (Short/Long), Specificity (Specific/Directional)

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Planning as a Two-Part Function

Planning mein pehle goals set kiye jaate hain, phir unhe achieve karne ka tarika decide hota hai. Goal = destination, Plan = route. Dono lazim hain — sirf ek kafi nahi.

Mission Statement

Mission statement organization ki unique identity hoti hai — yeh batati hai ke hum kya karte hain, kiske liye karte hain, aur kyun. Yeh teen groups ke liye kaam karti hai:

- **Managers ke liye:** Success measure karne ka benchmark
- **Employees ke liye:** Common purpose aur loyalty ka source
- **External groups ke liye:** Organization ki values ka aks

Mission Statement ke 8 Components

- 1. Customers:** Hamara customer kaun hai?
- 2. Products/Services:** Hum kya offer karte hain?
- 3. Location:** Hum kahan compete karte hain?
- 4. Technology:** Hamari basic technology kya hai?
- 5. Philosophy:** Hamari core values kya hain?
- 6. Self-concept:** Hamari competitive strength kya hai?

7. Public Image: Hum society mein kya role chahte hain?

8. Concern for Employees: Hum apne employees ko kaise dekhte hain?

Types of Plans

Dimension	Type 1	Type 2
Breadth	Strategic (organization-wide)	Operational (specific details)
Time Frame	Long-term (3+ years)	Short-term (1 year or less)
Specificity	Specific (no room for interpretation)	Directional (flexible guidelines)

Note: Strategic plans typically cover 5+ years, depending on industry stability.

Hierarchy of Goals

1. Strategic Goals — Top management set karta hai, broad targets hote hain.

Example: PTCL ka goal — "Pakistan mein number one telecom provider banana."

2. Tactical Goals — Middle management set karta hai, department-level targets.

Example: PTCL marketing department — "is quarter mein 5 lakh naye users add karna."

3. Operational Goals — Lower management set karta hai, specific aur measurable.

Example: PTCL Lahore branch — "is hafte 500 connections install karna."

Yeh teen levels milkar **mean-end chain** banate hain — operational goals, tactical goals ka zariya bante hain, aur tactical goals, strategic goals ka.

Benefits of Goals

- Performance improve hoti hai
- Expectations clear hoti hain
- Controlling function easy hota hai
- Motivation increase hoti hai

5 Criteria for Well-Designed Goals

1. Challenging: Hard enough to push people — easy goals lead to low performance.

2. Attainable: Impossible goals demotivate — realistic hona zaroori hai.

3. Specific and Measurable: "Zyada sales" nahi — "30% sales increase in Q1" chahiye.

4. Time-Limited: Deadline ho — "kabhi bhi" wale goals kaam nahi karte.

5. **Relevant:** Employee ko samajh aaye ke yeh goal kyun important hai.
6. **Measurable:** Progress ko ek time interval ke baad measure kiya ja sake.

Goal Commitment — Fostering it

1. Supervisory authority — manager ka pressure kaam karta hai
2. Peer/group pressure — team milke motivate karti hai
3. Expectations of success — coaching se confidence badhta hai
4. Incentives and rewards — goal achieve karne par reward milta hai
5. Participation — agar employee khud goal set kare toh zyada committed hota hai

4 Work Behavior Factors Influenced by Goals

1. **Direction:** Goals attention ko sahi activities ki taraf channel karte hain.
2. **Effort:** Committed goals energy mobilize karte hain.
3. **Persistence:** Mushkil aane par bhi goal ki taraf lage rehna.
4. **Planning:** Challenging goals khud-ba-khud planning ko trigger karte hain.

Other Factors Affecting Goal-Performance Link

1. **Job Knowledge and Ability:** Bina skill ke goal achieve nahi hoga.
2. **Task Complexity:** Zyada complex kaam mein goals ka asar thoda slow hota hai.
3. **Situation Constraints:** Tools, materials, equipment ka na hona performance rok sakta hai.
4. **Feedback/Knowledge of Results:** Progress pata ho tabhie course correct ho sakta hai.

Planning and Innovation

- Mission statement innovation encourage kar sakti hai.
- Goals mission ko innovative direction de sakte hain.
- Plans specific innovative outcomes ke liye roadmap provide karte hain.

Obstacles to Planning and How to Overcome Them

Obstacle	Solution
Rapidly changing environment	Contingency plans banana
Managers resist formal planning	Top management support dikhaye
Day-to-day pressure	Planning ko priority mein rakhna
Poor preparation of managers	Training aur planning staff rakhna
Staff specialists dominate	Staff sirf help kare, takeover na kare

Contingency Planning: Agar environment original plan ke against jaye toh alternative plan ready hona chahiye. Jaise PIA ka backup plan agar fuel prices achanak barh jayein.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Goal aur Plan ko same samajhna

Wrong Approach: "Hamara plan hai ke hum number one banen" — yeh goal hai, plan nahi.

Right Approach: Goal = "number one banana," Plan = "marketing strategy, product improvement, pricing."

Wajah: Goal destination hai, plan wahan pohonchne ka raasta hai — dono alag concepts hain.

Mistake 2: Mission Statement ko sirf slogan samajhna

Wrong Approach: Mission statement sirf brochure mein likhi hoti hai, koi kaam nahi karti.

Right Approach: Mission managers, employees, aur outsiders teeno ke liye alag purpose serve karti hai.

Wajah: Exam mein mission statement ke teen audiences poochhe jaate hain — yeh aksar miss hota hai.

Mistake 3: Sirf Strategic Goals yaad karna, hierarchy bhool jaana

Wrong Approach: Goals sirf top management set karta hai.

Right Approach: Teen levels hain — Strategic (top), Tactical (middle), Operational (lower) — mean-end chain banate hain.

Wajah: Hierarchy aur mean-end chain ek saath connected concept hai — dono yaad hone chahiyein.

Mistake 4: Well-designed goal criteria mein "Measurable" aur "Specific" ko ek hi samajhna

Wrong Approach: Specific aur Measurable ek hi cheez hain.

Right Approach: Specific = clearly defined (kya karna hai), Measurable = quantifiable (kitna aur kab tak).

Wajah: Lecture mein yeh alag criteria ke tor par diye gaye hain — MCQ mein dono alag options mein aa sakte hain.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1: A textile factory in Faisalabad sets the following statement: "Hamara maqsad Pakistan ke har ghar mein quality fabric pohonchana hai, employees ki wellbeing ko priority dete hue." Identify whether this is a goal, a plan, or a mission statement, and explain which components of a mission statement it covers.

Hint (Roman Urdu): Mission statement ke 8 components yaad karo — customers, products, philosophy, aur employees ki concern dhundho is statement mein.

Problem 2: A VU campus manager says: "Is semester mein 95% students pass karwane hain (strategic), isliye har department 85% attendance ensure kare (tactical), aur har teacher weekly quiz le (operational)." Is this a proper hierarchy of goals? Does it form a mean-end chain?

Hint (Roman Urdu): Mean-end chain ka matlab hai ke neeche wala goal upar wale ka zariya banta hai — check karo ke kya yahan yahi ho raha hai.

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

PTCL's top management sets a strategic goal: "Become the most digitally connected telecom in South Asia within 5 years." The HR department sets a goal: "Train 80% of technical staff on fiber optic technology by next year." A field supervisor sets a goal: "Install 150 fiber connections in Islamabad's G-sector by month-end."

Now: (a) Classify each goal by level. (b) Show how they form a mean-end chain. (c) Evaluate each goal against the 6 criteria for well-designed goals. (d) Identify two possible obstacles to planning that PTCL might face in executing this, and suggest how to counter them.

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why is goal commitment considered just as important as goal content?

Think About It (Roman Urdu): Socho agar tumhara teacher tumhe ek bahut acha goal deta hai lekin tum us se bilkul agree nahi — kya tum mehnat karoge?

Answer: Goal content batata hai "kya karna hai" lekin commitment batata hai "karna hai ya nahi." Bina commitment ke best-designed goal bhi bekar hai. Isliye managers participation, incentives, aur coaching se commitment foster karte hain — sirf goal assign karna kafi nahi.

Q2: How does the mean-end chain connect the three levels of goals in an organization?

Think About It (Roman Urdu): Socho ek chain hai — agar ek kadi tooti toh poori chain kaam nahi karti. Yahi goals ke saath hota hai.

Answer: Operational goals lower management ke targets hote hain jo tactical goals achieve karne ka zariya (means) bante hain. Tactical goals middle management ke targets hote hain jo strategic goals ka zariya bante hain. Yeh chain ensure karti hai ke sab levels ek direction mein kaam karein.

Q3: Why might contingency planning be more important in some industries than others?

Think About It (Roman Urdu): Kya PIA ka plan aur ek local bakery ka plan same stability rakhte hain? Kyun nahi?

Answer: Jo industries zyada volatile hain — jaise airline, technology, energy — unka

environment jaldi badalta hai. Wahan original plan obsolete ho sakta hai. Contingency planning ensure karti hai ke agar conditions change hon toh organization ke paas ready alternative ho — warna planning ki saari mehnat waste ho jati hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange the following in correct order from broadest to most specific goal level:

Operational Goal → Strategic Goal → Tactical Goal

(Strategic Goal → Tactical Goal → Operational Goal)

Q2: Match the plan type with its description:

- Covers entire organization / Sets overall objectives → **(Strategic Plan)**
- Covers 1 year or less → **(Short-term Plan)**
- Sets general guidelines, flexible → **(Directional Plan)**
- Specifies exact details, no interpretation → **(Specific Plan)**

Q3: A hospital sets the goal: "Reduce patient wait time by 20% within 6 months." Which criteria of well-designed goals does this satisfy?

(Specific, Measurable, Time-limited — all three present)

Q4: Compare goal and plan: What is the key difference?

(Goal = desired future result / end; Plan = means/method to achieve that goal)

Q5: A company has a mission statement but no goals and no plans. What is missing and why does it matter?

(Goals translate mission into targets; Plans show how to reach them. Without both, mission remains abstract and unachievable.)

Q6: A manager says "we'll improve sales somehow this year." Which goal criteria is this violating?

(Specific, Measurable, and Time-limited — "somehow" and "this year" are vague and unmeasurable)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following best defines a "goal" in management?

- A) A method for tracking employee performance
- B) A future target or end result an organization wishes to achieve**
- C) A document outlining daily operational tasks
- D) A set of rules for managerial decision-making

Correct Answer: B — A future target or end result an organization wishes to achieve

Exam Tip (Roman Urdu): Goal = destination, Plan = raasta — dono ko mix mat karna.

Q2: Which type of plan sets out general guidelines and allows for flexibility?

- A) Specific plan
- B) Strategic plan
- C) Directional plan
- D) Operational plan

Correct Answer: C — Directional plan

Exam Tip (Roman Urdu): "Directional" = direction deta hai, exact instructions nahi — flexible hota hai.

Q3: A regional sales manager sets a target for the sales team to increase regional sales by 15% in Q2. This is an example of which level of goal?

- A) Strategic goal
- B) Operational goal
- C) Mission-level goal
- D) Tactical goal

Correct Answer: D — Tactical goal

Exam Tip (Roman Urdu): Middle management + department level = Tactical — yeh combination yaad rakho.

Q4: Which of the following is NOT one of the criteria for a well-designed goal?

- A) Challenging
- B) Confidential
- C) Time-limited
- D) Relevant

Correct Answer: B — Confidential

Exam Tip (Roman Urdu): Criteria hain: Challenging, Attainable, Specific, Measurable, Time-limited, Relevant — "Confidential" koi criteria nahi hai.

Q5: A factory supervisor notices that workers perform better when they have specific daily targets rather than a general instruction to "work hard." This best illustrates which benefit of goals?

- A) Goals reduce the need for supervision
- B) Goals improve direction and boost effort
- C) Goals eliminate the need for planning
- D) Goals replace the need for a mission statement

Correct Answer: B — Goals improve direction and boost effort

Exam Tip (Roman Urdu): Goals ke 4 work behavior effects yaad karo — Direction, Effort, Persistence, Planning.

Q6: Which of the following best describes "contingency planning"?

- A) Planning only for short-term operational needs
- B) Developing alternative plans if original plans become unfeasible
- C) Setting goals without considering environmental factors
- D) Assigning planning responsibility to frontline employees

Correct Answer: B — Developing alternative plans if original plans become unfeasible

Exam Tip (Roman Urdu): Contingency = backup plan — environment badla toh hum bhi tayyar hain.

Q7: How do tactical goals relate to strategic goals in the mean-end chain?

- A) Tactical goals replace strategic goals when the environment changes
- B) Tactical goals serve as the means to achieve strategic goals
- C) Tactical goals are set by top management to guide strategic direction
- D) Tactical goals are broader and less specific than strategic goals

Correct Answer: B — Tactical goals serve as the means to achieve strategic goals

Exam Tip (Roman Urdu): Mean-end chain = neeche wala goal upar wale ka zariya banta hai — yeh sequence ek direction mein chalta hai.

Q8: Which of the following is identified as an obstacle to effective planning?

- A) Having a planning staff assist top management
- B) Pressure of day-to-day responsibilities keeping managers from planning
- C) Employees participating in goal-setting
- D) Using contingency plans in uncertain environments

Correct Answer: B — Pressure of day-to-day responsibilities keeping managers from planning

Exam Tip (Roman Urdu): Obstacles mein "daily kaam ka bojh" ek common aur realistic barrier hai — MCQ mein trap hai.

Q9: Frederick Winslow Taylor is to Scientific Management as a mission statement is to:

- A) Daily task scheduling
- B) Defining an organization's fundamental purpose and scope
- C) Setting short-term operational targets
- D) Monitoring employee performance outcomes

Correct Answer: B — Defining an organization's fundamental purpose and scope

Exam Tip (Roman Urdu): Mission statement = organization ki identity aur wajah-e-wujood — yeh definition direct hai.

Q10: Which of the following correctly pairs a plan type with its time frame?

- A) Strategic plan — 1 year or less
- B) Long-term plan — extends beyond 3 years
- C) Operational plan — extends beyond 5 years
- D) Short-term plan — covers 3 to 5 years

Correct Answer: B — Long-term plan — extends beyond 3 years

Exam Tip (Roman Urdu): Short-term = 1 saal ya kam; Long-term = 3 saal se zyada — yeh numbers MCQ mein seedha aate hain.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein humne seekha ke planning mein goals kaise set kiye jaate hain, unke teen levels kya hain, acha goal kaisa hota hai, aur planning mein kya obstacles aate hain.

PART B — Yaad Rakhne Wali Baatein

- **Goal = destination, Plan = raasta** — dono alag hain, dono zaroori hain.
- **Mission statement** teen groups ke liye kaam karti hai: managers, employees, external groups.
- **Teen goal levels:** Strategic (top) → Tactical (middle) → Operational (lower) — mean-end chain banate hain.
- **Well-designed goal** ke 6 criteria: Challenging, Attainable, Specific, Time-limited, Relevant, Measurable.
- **Contingency planning** = backup plan — jab environment badal jaye toh organization tayar ho.

PART C — Zaroor Yaad Karo Yeh Frameworks

Hierarchy of Goals (Top to Bottom):

1. Strategic Goals — Top management, broad
2. Tactical Goals — Middle management, departmental
3. Operational Goals — Lower management, specific & measurable

Types of Plans:

- **Breadth:** Strategic vs Operational
- **Time Frame:** Long-term (3+ yrs) vs Short-term (1 yr or less)
- **Specificity:** Specific vs Directional

6 Goal Criteria: Challenging · Attainable · Specific · Time-limited · Relevant · Measurable

4 Work Behavior Factors: Direction · Effort · Persistence · Planning

PART D — Exam Mein Ghalti Mat Karna

[!] Goal aur Plan ek nahi hain — Goal = kya chahiye, Plan = kaise milega.

[!] Tactical goals middle management set karta hai, top management nahi — level mix mat karna.

[!] "Specific" aur "Measurable" do alag criteria hain — MCQ mein dono alag options mein aa sakte hain.

Lecture 24: Management by Objective (MBO)

Subject: MGT503 — Principles of Management

Topic Type: H — Planning, Decision Aids, and Goal Setting

Difficulty: Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek school principal ne saal ke shuru mein har teacher ke saath mil ke decide kiya ke is saal kitne bacche pass honge, kaunse subjects improve honge, aur kab review hoga. Yeh hai MBO — boss aur employee milke goal set karte hain, phir regularly check karte hain. Jaise cricket captain aur player milke match plan banate hain aur har over ke baad performance dekhte hain.

PART B — Core Concepts

- 1. Strategic Goals/Plans:** 3-5 saal ke liye — poori organization ki direction
- 2. Tactical Goals/Plans:** 1-3 saal ke liye — departmental targets
- 3. Operational Goals/Plans:** 1 hafte se 1 saal — rozana ka kaam
- 4. Traditional Goal Setting:** Upar se neechay goals aate hain, aksar clarity kho jaati hai
- 5. MBO (Peter Drucker):** Manager aur employee milke goals set karte hain, progress review hoti hai, reward milta hai
- 6. Commitment Concept:** Plan utna lamba hona chahiye jitna commitment ki zaroorat ho
- 7. Means-End Chain:** Neechay ke goals upar ke goals tak pohonchne ka zariya hain

PART C — Key Frameworks and Models

- **Time Span of Goals:** Strategic (3-5 yr) → Tactical (1-3 yr) → Operational (1 wk–1 yr)
- **MBO (Drucker):** Goal specificity + participative decision making + explicit time period + performance feedback — yeh chaar elements hain
- **Traditional Goal Setting:** Top-down process, goals cascade karte hain lekin clarity kamzor ho jaati hai
- **Means-End Chain:** Lower-level goals = means; higher-level goals = ends — sab linked hain
- **Contingency Factors in Planning:** Manager's level + environmental uncertainty + length of future commitments

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Time Span of Goals and Plans

Goals ka time span unke level pe depend karta hai:

1. Strategic Goals/Plans — 3 to 5 Years

Poori organization ke liye hote hain. Example: HBL ne decide kiya ke 5 saal mein 500 naye branches kholni hain.

2. Tactical Goals/Plans — 1 to 3 Years

Department level pe hote hain. Example: HBL ki HR department ne decide kiya ke 2 saal mein 200 trained officers recruit karne hain.

3. Operational Goals/Plans — 1 Week to 1 Year

Rozana ya weekly kaam ke liye. Example: HBL ki Lahore branch ne decide kiya ke is hafte 50 naye accounts open karne hain.

Characteristics of Well-Designed Goals

- a. Written in terms of outcomes — natija kya hoga yeh likha ho
- b. Measurable and quantifiable — numbers mein measure ho sake
- c. Clear as to a time frame — deadline clearly di gayi ho
- d. Challenging but attainable — mushkil ho lekin impossible nahi
- e. Written down — zubani nahi, likhit ho
- f. Communicated to all organizational members — sab ko pata ho

Steps in Goal Setting — 6 Steps

- 1. Review the organization's mission
- 2. Goals should reflect what the mission statement says
- 3. Evaluate available resources
- 4. Determine goals individually or with input from others
- 5. Write down the goals and communicate them to all who need to know
- 6. Review results and whether goals are being met

Contingency Factors in Planning

a. Manager's Level in the Organization

Lower-level managers zyada operational planning karte hain. Jaise jaise upar jaate hain,

planning zyada strategic hoti jaati hai. Example: factory supervisor weekly production plan banata hai; CEO 5-saal ka expansion plan banata hai.

b. Degree of Environmental Uncertainty

Zyada uncertainty → plans directional aur short-term hone chahiye. Plans specific but flexible hon. Managers ko plans revise ya abandon karne ke liye tayyar rehna chahiye. Example: COVID ke dauran PIA ko monthly plans abandon karke weekly plans pe aana pada.

c. Length of Future Commitments (Commitment Concept)

Plan utna lamba hona chahiye jitni commitment ki zaroorat ho. Zyada lamba ya zyada chota — dono inefficient hain. Example: agar aapne 3 saal ka lease liya hai toh plan kam se kam 3 saal ka hona chahiye.

Approaches to Establishing Goals

a. Traditional Goal Setting

Goals top se set hote hain aur neechay cascade karte hain:

1. Top managers "big picture" dekhte hain aur goals set karte hain
2. Goals largely non-operational hote hain upar pe
3. Har manager apni interpretation lagata hai jab goals neechay jaate hain
4. Clarity aur unity goals ke neechay jaate jaate kho jaati hai
5. Jab goals clearly defined hon toh **means-end chain** banta hai — neechay ke goals (means) upar ke goals (ends) tak pohonchne ka zariya hote hain

Goal-Setting Pitfalls

1. Mushkil goals na poore hone ka risk badhate hain
2. High goals se employees ka stress level badh jaata hai
3. Goals miss hone se employees ka self-confidence girata hai
4. Non-goal areas ignore ho jaate hain
5. Short-range thinking encourage ho sakti hai
6. Inappropriate goals dishonesty aur cheating ki taraf le ja sakte hain

b. Management by Objectives (MBO)

Peter Drucker ne MBO describe kiya. Isme specific performance goals manager aur employee milke jointly determine karte hain, progress periodically review hoti hai, aur rewards is progress ke basis pe milte hain.

MBO Ke Chaar Elements:

- i. Goal specificity
- ii. Participative decision making
- iii. Explicit time period
- iv. Performance feedback

MBO Process — 5 Steps

1. Organizational goals develop kiye jaate hain organizational mission ke basis pe
2. Specific goals establish kiye jaate hain departments, subunits, aur individuals ke liye:
 - **Top-down:** Upper managers apne subordinates ke saath conferring karke objectives set karte hain jo neechay cascade karte hain
 - **Bottom-up:** Lower-level managers propose karte hain kya achieve kar sakte hain, jo upar jaake tactical aur strategic plans banta hai
3. Action plans banaye jaate hain — kya, kaise, kab, kahan, aur kisne karna hai
4. Individuals ko apne objectives ki responsibility di jaati hai
5. Performance appraise ki jaati hai goal-setting cycle ke end pe (usually 1 saal) — praise, recognition aur rewards di jaati hain

Strengths of MBO

1. Aids coordination of goals and plans
2. Helps clarify priorities and expectations
3. Facilitates vertical and horizontal communications
4. Fosters employee motivation

Weaknesses of MBO

1. Tends to falter without strong, continual commitment from top management
2. Necessitates considerable training of managers
3. Can be misused as a punitive device
4. May cause overemphasis of quantitative goals

Practical Note: MBO ka idea bohat acha hai lekin practice mein sirf 20–25% cases mein successful hota hai — primarily top management support ki kami aur poor goal-setting skills ki wajah se.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: MBO Ko Sirf Top-Down Samajhna

Wrong Approach: Student sochta hai MBO mein goals sirf upar se aate hain

Right Approach: MBO mein goals jointly set hote hain — manager aur employee dono milke; top-down aur bottom-up dono processes ho sakte hain

Wajah: MBO ki core characteristic hi "participative decision making" hai — yeh traditional goal setting se MBO ko alag karta hai

Mistake 2: Traditional Goal Setting Ko MBO Kehna

Wrong Approach: Student sochta hai jo bhi goal-setting ho woh MBO hai

Right Approach: Traditional goal setting mein goals sirf upar se aate hain; MBO mein jointly set hote hain aur performance feedback mandatory hai

Wajah: Yeh dono approaches fundamentally alag hain — exam mein yeh distinction zaroor aata hai

Mistake 3: Time Spans Ko Mix Karna

Wrong Approach: Tactical goals ke liye 3-5 saal batana ya strategic ke liye 1 saal

Right Approach: Strategic = 3-5 yr, Tactical = 1-3 yr, Operational = 1 wk to 1 yr — yeh memorize karo

Wajah: Exam mein time span scenario deke poochha jaata hai — galat time span = galat answer

Mistake 4: MBO Ko 100% Successful Maanna

Wrong Approach: Student likhta hai MBO hamesha effective hai

Right Approach: MBO practice mein sirf 20-25% cases mein successful hota hai — top management commitment aur good goal-setting skills zaroori hain

Wajah: Drucker ne MBO describe kiya lekin khud Drucker ne bhi acknowledge kiya ke implementation mein mushkilaat hain

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

A textile factory manager in Faisalabad says: "I set goals for my workers every Monday morning and I expect them to follow without any discussion." Is this MBO or Traditional Goal Setting? What is missing if it is not MBO?

Hint (Roman Urdu): MBO mein ek zaroori cheez "participative" hoti hai — kya yahan woh hai? Aur Drucker ke chaar elements mein se kitne present hain?

Problem 2:

PTCL's CEO has created a 5-year expansion plan. The regional manager has a 2-year hiring plan. The branch supervisor has a weekly customer service target. Identify which level of

goal/plan each represents and whether the commitment concept is being followed.

Hint (Roman Urdu): Time span ke teeno levels yaad karo — strategic, tactical, operational. Commitment concept pe bhi sochna ke kya har plan apni commitment se match karta hai?

PART B — Challenge Problem

"Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya."

A government hospital in Islamabad introduced MBO last year. The hospital director and department heads jointly set performance goals. However, after 6 months, the program is failing. Doctors are stressed, some are faking patient records to meet quantitative targets, non-clinical staff feel ignored because no goals were set for them, and the director has stopped attending quarterly review meetings.

Identify at least four specific problems occurring in this hospital's MBO implementation by linking each problem to either a weakness of MBO, a goal-setting pitfall, or a missing MBO element. Then suggest how each problem should be corrected.

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why does MBO succeed in theory but fail in practice about 75–80% of the time?

Think About It (Roman Urdu): Sirf system ka acha hona kaafi nahi — system ko chalane wale bhi important hain. Top management ka role kya hota hai MBO mein?

Answer: MBO ki success ke liye top management ki continual commitment zaroori hai. Jab management support withdraw kar le ya review meetings band ho jayein, to goals meaningless ho jaate hain. Iske alawa managers ko proper training chahiye goal-setting aur communication ke liye — bina training ke MBO ek bureaucratic formality ban jaata hai jo demotivate karta hai.

Q2: How does the means-end chain ensure that lower-level goals actually support organizational mission?

Think About It (Roman Urdu): Socho ek zipper ki tarah — har daant dusre se connected hai. Agar ek daant toot jaye toh kya hoga poori zipper ka?

Answer: Means-end chain mein lower-level goals (means) upper-level goals (ends) ko achieve karne ka zariya hote hain. Agar Lahore branch ka weekly target (operational) hit ho, toh regional target (tactical) achieve hoga, jo ultimately CEO ke strategic goal tak pohonchne mein help karta hai. Chain ka koi bhi link toota toh mission impact hota hai.

Q3: Why might setting very high and challenging goals actually harm an organization rather than help it?

Think About It (Roman Urdu): Socho ek student ne decide kiya ke har subject mein 100% lane hain — agar result 70% aaye toh woh devastated ho jaayega. Yahi organizational goals pe

bhi apply hota hai.

Answer: Bohot high goals stress badhate hain, self-confidence giraa sakte hain agar miss ho jayein, aur sabse dangerous — employees dishonesty aur cheating ki taraf ja sakte hain sirf numbers meet karne ke liye. Non-goal areas bhi ignore ho jaate hain kyunki sab energy sirf targets pe lagi hoti hai. Challenging but attainable goals zyada effective hote hain.

SECTION 7 — EXAM STYLE QUIZ

Q1: Sequence the three types of organizational goals from longest to shortest time span.

Answer: (Strategic [3-5 yrs] → Tactical [1-3 yrs] → Operational [1 wk–1 yr])

Q2: Match each element to MBO: (i) Goals set jointly, (ii) Deadline is clear, (iii) Progress is tracked, (iv) Targets are specific.

Answer: ((i) Participative decision making, (ii) Explicit time period, (iii) Performance feedback, (iv) Goal specificity)

Q3: A company's goals become increasingly vague and distorted as they move from CEO to shop floor workers. Which approach to goal-setting is being used and what is the key problem?

Answer: (Traditional goal setting; goals lose clarity and unity as they cascade down — each manager adds their own interpretation)

Q4: Compare MBO and Traditional Goal Setting on the dimension of employee participation.

Answer: (Traditional = no participation, goals pushed top-down; MBO = joint goal-setting between manager and employee)

Q5: A factory supervisor is planning only for the next two weeks because he is unsure about raw material supply. Which contingency factor in planning does this reflect?

Answer: (Degree of environmental uncertainty — high uncertainty leads to short-term, directional plans)

Q6: List the 5 steps of the MBO process in correct order.

Answer: (Organizational goals → Specific goals for units/individuals → Action plans → Individual responsibility → Performance appraisal and rewards)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following best defines Management by Objectives (MBO)?

- A) A top-down process where CEO sets all goals for employees
- B) A process where specific goals are set collaboratively and used as a basis for managing and rewarding performance
- C) A system where only quantitative goals are tracked by HR
- D) A planning tool used only at the operational level

Correct Answer: B — specific goals are set collaboratively and used as a basis for managing and rewarding performance

Exam Tip (Roman Urdu): MBO ka keyword "jointly" aur "collaboratively" hai — yahi isko traditional goal setting se alag karta hai

Q2: What is the correct time span for tactical goals and plans?

- A) 1 week to 6 months
- B) 5 to 10 years
- C) 1 to 3 years
- D) 3 to 5 years

Correct Answer: C — 1 to 3 years

Exam Tip (Roman Urdu): Teen time spans yaad karo: 3-5 strategic, 1-3 tactical, 1wk-1yr operational — ye sequence exam mein repeat hota hai

Q3: A regional sales manager at a telecom company jointly sets quarterly targets with each of his sales executives, reviews progress monthly, and ties bonuses to results. This is an example of:

- A) Traditional goal setting
- B) Contingency planning
- C) Management by Objectives
- D) Operational planning only

Correct Answer: C — Management by Objectives

Exam Tip (Roman Urdu): Jab bhi jointly + review + reward teen cheezein ek saath aayein, answer MBO hoga

Q4: Which of the following is a weakness of MBO?

- A) It discourages employee participation
- B) It cannot be applied to operational goals
- C) It may cause overemphasis on quantitative goals
- D) It eliminates the need for performance appraisal

Correct Answer: C — It may cause overemphasis on quantitative goals

Exam Tip (Roman Urdu): MBO ki weaknesses mein "quantitative overemphasis" aur "top management commitment" dono exam favorite hain

Q5: According to the commitment concept, how far into the future should plans extend?

- A) Always 5 years regardless of the situation
- B) Only as far as the next quarter

C) Far enough to meet the commitments made when the plans were developed

D) Until the organization achieves its mission

Correct Answer: C — Far enough to meet the commitments made when the plans were developed

Exam Tip (Roman Urdu): Commitment concept ka answer hamesha "commitment ki zaroorat ke barabar" hoga — nahi zyada nahi kam

Q6: Which of the following is NOT a characteristic of a well-designed goal?

A) Written in terms of outcomes

B) Challenging but attainable

C) Known only to senior management

D) Measurable and quantifiable

Correct Answer: C — Known only to senior management

Exam Tip (Roman Urdu): Well-designed goals "communicated to all" hote hain — sirf top management tak rakhna ek common distractor hai

Q7: What is the key difference between traditional goal setting and MBO in terms of how goals are formed?

A) Traditional uses financial targets; MBO uses non-financial targets only

B) Traditional goal setting is top-down; MBO involves joint goal-setting between managers and employees

C) Traditional is used at operational level; MBO is only for strategic level

D) Traditional involves rewards; MBO does not

Correct Answer: B — Traditional goal setting is top-down; MBO involves joint goal-setting between managers and employees

Exam Tip (Roman Urdu): Yeh comparison question exam mein frequently aata hai — top-down vs joint yahi distinction hai

Q8: MBO was first described by which management thinker?

A) Frederick Taylor

B) Henri Fayol

C) Peter Drucker

D) Max Weber

Correct Answer: C — Peter Drucker

Exam Tip (Roman Urdu): MBO = Peter Drucker — yeh pairing pakka yaad rakho, exam mein seedha poochha jaata hai

Q9: Which contingency factor in planning suggests that lower-level managers focus more on operational plans while top-level managers focus on strategic plans?

- A) Degree of environmental uncertainty
- B) Length of future commitments
- C) Manager's level in the organization
- D) Available organizational resources

Correct Answer: C — Manager's level in the organization

Exam Tip (Roman Urdu): Teen contingency factors yaad rakho — level, uncertainty, commitment length. "Manager level" wala operational vs strategic distinction karta hai

Q10: In the means-end chain, lower-level goals serve as:

- A) Strategic objectives for the CEO
- B) The ends that justify top management decisions
- C) The means for accomplishing higher-level objectives
- D) Replacements for the organizational mission

Correct Answer: C — The means for accomplishing higher-level objectives

Exam Tip (Roman Urdu): Means-end chain mein lower = means, higher = ends — yeh ulta mat karna exam mein

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein humne seekha ke goals kaise set kiye jaate hain — traditional top-down approach se lekar MBO tak — aur plans ko contingency factors ke hisaab se kaise develop kiya jaata hai.

PART B — Yaad Rakhne Wali Baatein

- **Strategic = 3-5 yrs, Tactical = 1-3 yrs, Operational = 1 wk to 1 yr** — yeh time spans pakke yaad rakho
- **MBO mein chaar elements hain:** goal specificity, participative decision making, explicit time period, performance feedback
- **MBO = Peter Drucker** — aur yeh practice mein sirf 20-25% successful hota hai
- **Traditional goal setting mein clarity kho jaati hai** jab goals upar se neechay cascade karte hain
- **Means-end chain mein** lower goals = means, higher goals = ends — dono linked hote hain

PART C — Zaroor Yaad Karo Yeh Frameworks

Time Span of Goals:

1. Strategic — 3 to 5 years
2. Tactical — 1 to 3 years
3. Operational — 1 week to 1 year

MBO Ke Chaar Elements:

1. Goal specificity
2. Participative decision making
3. Explicit time period
4. Performance feedback

MBO Process — 5 Steps:

1. Organizational goals from mission
2. Specific goals for units/individuals
3. Action plans
4. Individual responsibility
5. Performance appraisal + rewards

Contingency Factors in Planning:

1. Manager's level in organization
2. Degree of environmental uncertainty
3. Length of future commitments

Well-Designed Goals — 6 Characteristics:

a. Outcome-based b. Measurable c. Time-bound d. Challenging but attainable e. Written f. Communicated

PART D — Exam Mein Ghalti Mat Karna

[!] MBO ko traditional goal setting mat samajhna — MBO mein goals JOINTLY set hote hain, sirf upar se nahi aate

[!] Time spans mix mat karna — Strategic 3-5, Tactical 1-3, Operational 1wk-1yr — yeh sequence seedha yaad karo

[!] MBO ko hamesha successful mat batana — practice mein sirf 20-25% cases mein kaam karta hai kyunki top management commitment aur training zaroori hain

Lecture 25: Strategic Management — I

Subject: MGT503 — Principles of Management

Topic Type: I — Strategic Management and Entrepreneurship
Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek cricket team ka captain hai — match se pehle woh opponents ka analysis karta hai, apni team ki strengths aur weaknesses dekhta hai, aur phir poori match strategy banata hai. Yahi Strategic Management hai — pehle environment dekho, apni organization ko samjho, phir long-term plan banao. Jaise PIA ne decide kiya ke naye routes kahan kholne hain aur kahan competition zyada hai — yeh sab strategic management ka hissa hai.

PART B — Core Concepts

1. Strategic Management: Managerial decisions aur actions ka woh set jo organization ki long-run performance determine kare.

2. Strategy: Large-scale action plan jo environment ke saath interact karte hue long-term goals achieve kare.

3. Competitive Advantage: Competition pe significant edge — woh cheez jo tumhari organization ko doosron se behtar banaye.

4. Strategy Formulation: Mission identify karo, competitive analysis karo, specific strategies develop karo.

5. Strategy Implementation: Banaye gaye plans ko actually carry out karo aur control rakho.

6. Environmental Shocks: 1970s-80s mein sudden market changes jo managers ko strategic sochne par majboor kar gayi.

PART C — Key Frameworks and Models

- **Strategic Management Process:** Formulation → Implementation — do main phases
- **Strategy Formulation:** Mission + Competitive Analysis + Specific Strategies — planning side
- **Strategy Implementation:** Execution + Control — doing side
- **Competitive Advantage:** Organization ki unique edge jo competitors se alag kare

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Why Strategic Management Became Important

1970s aur 1980s mein environmental shocks — oil crisis, market changes, global competition — ne managers ko majboor kiya ke sirf day-to-day kaam nahi, balke systematically sochein. Unhon ne seekha: environment analyze karo, apni strengths/weaknesses identify karo, opportunities

dhundo, aur yeh sab planning mein shamil karo. Isi se strategic management ka concept mainstream hua.

Definition of Strategic Management

Strategic management woh process hai jisme managers strategies formulate aur implement karte hain taake available environmental aur internal conditions ko dekhte hue goals best achieve ho sakein. Yeh sirf planning nahi — isme POLCA ke charon functions shamil hain:

- **Planning:** Strategies banao
- **Organizing:** Resources align karo
- **Leading:** Team ko direction do
- **Controlling:** Plans ki execution monitor karo

Purposes of Strategic Management — 3 Reasons

1. Managers ki bohot si daily decisions strategic management se linked hoti hain.
2. Research shows karta hai ke formal strategic management systems wali companies ki financial returns higher hoti hain.
3. Ab sirf profit organizations nahi — NGOs, hospitals, universities sab strategic management use karti hain.

What Strategic Management Does for an Organization

1. **Competitive Advantage:** Organization ko competitors se ahead rakhta hai — jaise HBL ne digital banking mein pehle invest kiya aur edge hasil ki.
2. **Sense of Direction:** Employees ko pata hota hai kahan effort lagana hai — koi confusion nahi.
3. **Innovation Support:** Naye ideas encourage hote hain jo strategy se aligned hon.

Strategies — Definition

Strategies large-scale action plans hain jo environment ke saath interaction ke zariye long-term goals achieve karti hain. Well-run organizations hamesha ek active strategy follow karti hain — bina strategy ke sirf react karna padta hai, proact nahi kar sakte.

Strategic Management Process — 2 Main Components

Strategy Formulation — kya karna hai decide karna:

- **a.** Mission aur strategic goals identify karna
- **b.** Competitive analysis conduct karna
- **c.** Specific strategies develop karna

Strategy Implementation — plan ko execute karna:

- **a.** Strategic plans carry out karna
- **b.** Plans ki execution pe control maintain karna

How Strategic Management Entails All 4 Management Functions

Function	Role in Strategic Management
Planning	Strategies formulate karna
Organizing	Resources aur structure align karna
Leading	Team ko strategy ki taraf guide karna
Controlling	Strategy execution monitor aur adjust karna

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Strategic Management ko sirf Planning samajhna

Wrong Approach: "Strategic management matlab bas plan banana hai."

Right Approach: Strategic management mein planning, organizing, leading, aur controlling — charon functions shamil hain.

Wajah: Plan banana sirf pehla step hai — usse implement aur control karna bhi strategic management ka hissa hai.

Mistake 2: Strategy Formulation aur Strategy Implementation ko mix karna

Wrong Approach: Dono ek hi cheez hain — plan banana aur karna ek saath hota hai.

Right Approach: Formulation = decide karna kya karna hai; Implementation = actually karna aur control karna — yeh do alag phases hain.

Wajah: Bohot organizations achha formulate karti hain lekin implementation fail ho jaata hai — isliye dono alag samajhna zaroori hai.

Mistake 3: Strategic Management ko sirf profit organizations ke liye samajhna

Wrong Approach: "Yeh sirf companies ke liye hai — NGOs ya hospitals ko strategy ki zaroorat nahi."

Right Approach: Strategic management ab not-for-profit organizations — hospitals, universities, government bodies — sab use karti hain.

Wajah: Lecture specifically mention karta hai ke strategic management ne profit sector se aage expand kiya hai.

Mistake 4: Competitive Advantage ko permanent samajhna

Wrong Approach: "Ek baar edge mil gayi toh hamesha rahegi."

Right Approach: Competitive advantage maintain karna padta hai — environment changes ke saath strategy update karni hoti hai.

Wajah: 1970s-80s ke environmental shocks ne prove kiya ke jo organizations ne adapt nahi kiya woh peeche reh gayi.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1: A private university in Lahore is losing students to online education platforms. Using the concept of strategic management, explain what steps its management should take.

Hint (Roman Urdu): Socho pehle university ki strengths aur weaknesses kya hain, phir online platforms se kya threat hai — yeh competitive analysis hai. Ab kya strategy banegi?

Problem 2: Explain how PTCL can use strategic management to deal with competition from private telecom companies like Jazz and Zong. Identify which part would be formulation and which would be implementation.

Hint (Roman Urdu): Formulation mein PTCL kya decide karega — aur implementation mein woh decide kiya hua kaise karega — dono alag hain, dono batao.

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

A mid-size Pakistani textile company has been exporting to European markets for 10 years. Recently, new competitors from Bangladesh have entered the same markets offering lower prices. The company's management has called an emergency board meeting. Some board members say "we should just cut our prices too." Others say "we need a completely new long-term approach." Using the concept of strategic management — including its definition, purposes, and the two-phase process (formulation and implementation) — advise the board on what strategic management requires them to do at this point. Also explain why simply cutting prices is NOT a strategic management response.

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why did strategic management become important specifically after the environmental shocks of the 1970s and 1980s?

Think About It (Roman Urdu): Jab achanak market badal jaaye — oil crisis, naye competitors — toh jo companies ne sirf routine kaam kiya woh kya huwi? Aur jinhoone systematically socha woh kahan gayi?

Answer: Pehle managers sirf day-to-day operations pe focus karte the. Jab 1970s-80s mein sudden environmental changes aaye toh un companies ko bohot nuksaan hua jo prepared nahi thin. Research ne prove kiya ke formal strategic management systems wali companies ki

financial performance behtar thi. Isliye strategic thinking ka value recognize hua aur yeh mainstream ban gaya.

Q2: How does strategic management provide a "sense of direction" to organization members?

Think About It (Roman Urdu): Agar cricket team ko pata hi na ho ke innings mein run rate kitna chahiye, toh har player apni marzi se khelega — kya team jeeti?

Answer: Jab organization ki clear strategy hoti hai toh har employee ko pata hota hai ke apna effort kahan lagana hai — kaunsa kaam priority hai, kaunsa nahi. Bina strategy ke har department apni marzi se kaam karta hai aur overall goal miss ho jaata hai. Strategy ek common direction deti hai jisse sab aligned rehte hain.

Q3: Why must strategy implementation include a control element, not just execution?

Think About It (Roman Urdu): Socho — plan banaya, kaam shuru kar diya, lekin dekha hi nahi ke kaam sahi ho raha hai ya nahi — kya hoga?

Answer: Implementation sirf karne ka naam nahi — agar control nahi hoga toh pata nahi chalega ke strategy sahi direction mein ja rahi hai ya nahi. Control element ensure karta hai ke deviations pakdi jaayein aur timely corrections ho sakein. Isliye implementation mein execution aur control dono zaroori hain — sirf execute karna incomplete hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange the components of strategy formulation in correct sequence:

Developing specific strategies, Identifying mission and strategic goals, Conducting competitive analysis

Answer: (Identifying mission and strategic goals → Conducting competitive analysis → Developing specific strategies)

Q2: Match the phase with its activity:

A) Strategy Formulation **B)** Strategy Implementation

1) Carrying out strategic plans **2)** Identifying mission **3)** Conducting competitive analysis **4)** Maintaining control over plan execution

Answer: (A — 2, 3 | B — 1, 4)

Q3: A hospital in Karachi creates a 5-year plan to expand services, analyzes competitor hospitals, and then monitors execution quarterly. Which management functions are involved?

Answer: (All four — Planning, Organizing, Leading, Controlling — strategic management entails all POLCA functions)

Q4: Compare strategy formulation and strategy implementation: which one focuses on "what to do" and which on "how to get it done"?

Answer: (Formulation = what to do; Implementation = how to get it done and control its execution)

Q5: Research on strategic management found that companies with formal strategic management systems had what kind of financial returns compared to those without?

Answer: (Higher financial returns)

Q6: Why is strategic management now considered relevant beyond profit organizations?

Answer: (It has expanded to include not-for-profit organizations — hospitals, universities, NGOs — because all organizations need long-run direction and competitive positioning)

SECTION 8 — EXAM MCQs (VU Style)

Q1: What is the correct definition of Strategic Management?

- A) A short-term plan for daily operations of an organization
- B) The set of managerial decisions and actions that determines the long-run performance of an organization
- C) A financial planning tool used only by large corporations
- D) The process of hiring and training managers for leadership roles

Correct Answer: B — The set of managerial decisions and actions that determines the long-run performance of an organization

Exam Tip (Roman Urdu): "Long-run performance" aur "managerial decisions and actions" — yeh dono words definition mein zaroor likhna, VU exact wording check karta hai.

Q2: Which of the following is NOT a purpose of strategic management?

- A) Identifying and developing a competitive advantage
- B) Providing a sense of direction to organization members
- C) Replacing the need for day-to-day operational planning
- D) Encouraging innovation and new ideas related to strategies

Correct Answer: C — Replacing the need for day-to-day operational planning

Exam Tip (Roman Urdu): Strategic management operational planning replace nahi karta — dono saath chalte hain, yeh trap option hai.

Q3: A textile company in Faisalabad analyzes its competitors, identifies its core strengths, and develops a 5-year export strategy. Which phase of strategic management is this?

- A) Strategy Implementation
- B) Environmental Controlling
- C) Strategy Formulation
- D) Operational Planning

Correct Answer: C — Strategy Formulation

Exam Tip (Roman Urdu): Jab bhi "analyze karna + strategy develop karna" ho — yeh formulation hai; "execute + control" ho toh implementation.

Q4: Strategy implementation differs from strategy formulation in that it focuses on:

- A) Identifying the organization's mission

- B) Conducting competitive analysis
- C) Carrying out strategic plans and maintaining control over their execution
- D) Developing specific long-term strategies

Correct Answer: C — Carrying out strategic plans and maintaining control over their execution

Exam Tip (Roman Urdu): Implementation = karna + control karna — formulation waale kaam (mission, analysis, strategies) implementation mein nahi aate.

Q5: Which of the following correctly describes a "strategy" in management terms?

- A) A daily task list for department supervisors
- B) A large-scale action plan for interacting with the environment to achieve long-term goals
- C) A financial budget approved by the board of directors
- D) A set of HR policies for employee performance evaluation

Correct Answer: B — A large-scale action plan for interacting with the environment to achieve long-term goals

Exam Tip (Roman Urdu): Strategy ki definition mein "large-scale," "environment," aur "long-term goals" — teen words zaroor yaad rakho.

Q6: HBL launches a new digital banking platform after analyzing that most customers are shifting to mobile banking. This decision gives HBL an edge over competitors. This edge is called:

- A) Strategic Planning
- B) Competitive Advantage
- C) Environmental Scanning
- D) Strategy Implementation

Correct Answer: B — Competitive Advantage

Exam Tip (Roman Urdu): "Competitors se aage nikalna" = Competitive Advantage — yeh scenario questions mein easy identify hota hai.

Q7: Strategic management became formally recognized as important largely because of:

- A) Introduction of computers in organizations
- B) Environmental shocks of the 1970s and 1980s that forced systematic thinking
- C) Government regulations requiring strategic plans
- D) The growth of not-for-profit organizations globally

Correct Answer: B — Environmental shocks of the 1970s and 1980s that forced systematic thinking

Exam Tip (Roman Urdu): "1970s-80s environmental shocks" — yeh historical fact VU MCQ mein directly aata hai, yaad rakho.

Q8: Strategic management entails which of the following management functions?

- A) Planning only
- B) Planning and Organizing only

C) Planning, Organizing, Leading, and Controlling

D) Controlling and Leading only

Correct Answer: C — Planning, Organizing, Leading, and Controlling

Exam Tip (Roman Urdu): Strategic management mein POLCA ke charon functions hain — "sirf planning" wala option hamesha wrong hoga.

Q9: Research comparing organizations with and without formal strategic management systems found that:

A) Both performed equally in financial terms

B) Organizations without strategic systems performed better due to flexibility

C) Organizations with formal strategic management systems had higher financial returns

D) Strategic management only benefits large multinational organizations

Correct Answer: C — Organizations with formal strategic management systems had higher financial returns

Exam Tip (Roman Urdu): Yeh research finding directly lecture mein hai — "higher financial returns" exact phrase yaad karo.

Q10: Which two components make up the Strategic Management Process?

A) Environmental Scanning and Forecasting

B) Goal Setting and Benchmarking

C) Strategy Formulation and Strategy Implementation

D) Competitive Analysis and SWOT Analysis

Correct Answer: C — Strategy Formulation and Strategy Implementation

Exam Tip (Roman Urdu): Strategic management process ke sirf do main phases hain — Formulation aur Implementation — yeh pair pakka yaad karo.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein strategic management ka concept, uski importance, aur uske do main phases — Strategy Formulation aur Strategy Implementation — seekhe.

PART B — Yaad Rakhne Wali Baatein

- **Strategic Management** = long-run performance determine karne wale managerial decisions aur actions
- **1970s-80s environmental shocks** ne managers ko strategic sochne par majboor kiya
- **Competitive Advantage** = competitors pe significant edge — strategic management ka core output
- **Formulation** = kya karna hai decide karo; **Implementation** = karo aur control rakho

- Strategic management sirf profit organizations tak mehdood nahi — NGOs, hospitals, universities sab use karti hain

PART C — Zaroor Yaad Karo Yeh Frameworks

Strategic Management Process — 2 Phases:

Phase 1 — Strategy Formulation:

1. Mission aur strategic goals identify karo
2. Competitive analysis conduct karo
3. Specific strategies develop karo

Phase 2 — Strategy Implementation:

1. Strategic plans carry out karo
2. Execution pe control maintain karo

Strategic Management + 4 Functions:

Planning → Organizing → Leading → Controlling — sab shamil hain

PART D — Exam Mein Ghalti Mat Karna

[!] Strategic management ko sirf "planning" mat likho — isme POLCA ke charon functions shamil hain.

[!] Formulation aur Implementation ko mix mat karo — formulation = decide karna, implementation = karna + control karna.

[!] "Strategic management sirf companies ke liye hai" mat likho — yeh not-for-profit organizations bhi use karti hain.

Lecture 26: Strategic Management — II

Subject: MGT503 — Principles of Management

Topic Type: I — Strategic Management and Entrepreneurship

Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho Pakistan Army ek operation plan kar rahi hai. Pehle woh apna mission define karti hai, phir bahari threats assess karti hai, phir apni internal resources check karti hai — kitne soldiers, kitna equipment. Phir strategy banati hai, implement karti hai, aur akhir mein results evaluate karti hai ke operation successful raha ya nahi. Yahi strategic management process hai — kisi bhi organization ke liye, chahe woh PIA ho, HBL ho, ya PTCL.

PART B — Core Concepts

- 1. Strategic Management Process:** 8 steps ka ek complete framework jo planning, implementation, aur evaluation cover karta hai.
- 2. Mission:** Organization ka wujood ka maqsad — "hum kyun hain?"
- 3. Core Competencies:** Woh unique skills aur resources jo organization ko competitive advantage dete hain.
- 4. Strengths:** Woh cheezein jo organization acha karti hai ya unique resources jo uske paas hain.
- 5. Weaknesses:** Woh cheezein jo organization acha nahi karti ya resources jo uske paas nahi hain.
- 6. Opportunities:** Bahari environment mein positive factors jo organization exploit kar sake.
- 7. Threats:** Bahari environment mein negative factors jo organization ko nuqsan pahuncha sakein.
- 8. SWOT Analysis:** Internal (S, W) aur external (O, T) analyses ko mila kar strategic niche identify karna.
- 9. Competitive Advantage:** Woh cheez jo organization ko competitors se behtar banati hai.

PART C — Key Frameworks and Models

- **Strategic Management Process (8 Steps):** Mission se lekar evaluation tak ka complete roadmap
- **SWOT Analysis:** Internal strengths/weaknesses + external opportunities/threats — strategy formulation ka core tool
- **Core Competency Analysis:** Internal resources aur skills ka jaiza lekar competitive advantage dhundna
- **Strategy Formulation:** Corporate, business, aur functional teen levels par strategies banana
- **Strategy Implementation:** Plans ko action mein convert karna
- **Results Evaluation:** Strategies ki effectiveness check karna aur corrections karna

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

The Strategic Management Process — 8 Steps

Step 1: Identify Current Mission, Objectives, and Strategies

Har organization ka ek mission hota hai jo uska reason for being define karta hai. Misal: HBL ka mission — Pakistan mein accessible banking provide karna. Sirf mission nahi, current objectives aur strategies bhi identify karna zaroori hai taake pata chale hum abhi kahan khare hain.

Step 2: Analyze the External Environment

Bahari environment analyze karna zaroori hai kyunki yahi management ke strategic options

define karta hai. Ek successful strategy woh hoti hai jo environment ke saath align ho. Yeh step tab complete hota hai jab managers ko external trends ki accurate understanding ho jaye.

Step 3: Identify Opportunities and Threats

External analysis ke baad managers assess karte hain:

- **Opportunities:** Positive external factors jo exploit kiye ja sakte hain (e.g. e-commerce boom — Daraz ke liye opportunity)
- **Threats:** Negative external factors jo avoid karne chahiyein (e.g. new competitor entry — Jazz ke liye Starlink ka threat)

Step 4: Analyze the Organization's Resources

Internal analysis — managers organization ke specific assets, skills, aur work activities dekhte hain. Yahan **core competencies** identify hoti hain — woh major value-creating skills aur resources jo competitive advantage determine karte hain. Misal: PTCL ki core competency — nationwide fiber optic infrastructure. Yeh step managers ko yaad dilata hai ke har organization apne resources se constrain hoti hai.

Step 5: Identify Strengths and Weaknesses

Step 4 ka result clear internal assessment hai:

- **Strengths:** Jo firm acha karti hai ya unique resources jo uske paas hain
- **Weaknesses:** Jo firm acha nahi karti ya resources jo chahiyein lekin hain nahi

Organizational Culture Ka Role (Step 5 Mein):

- Culture = organization ki personality
- Culture ki strength depend karti hai ke employees shared values kitna samjhte aur support karte hain
- Strong culture: distinctive competencies employees tak conveying asaan karti hai — **lekin** change karna mushkil bana deti hai
- Culture risk tolerance aur innovation ko promote ya hinder kar sakti hai

Steps 3 + 5 = SWOT Analysis

Jab external (O, T) aur internal (S, W) analyses milti hain toh SWOT banta hai. Yeh ek strategic niche identify karta hai. SWOT ke baad managers organization ka mission aur objectives dobara evaluate karte hain.

Step 6: Formulate Strategies

Strategies teen levels par formulate hoti hain:

- **Corporate level**
- **Business level**
- **Functional level**

Formulation ka maqsad organization ko competitive advantage dena hota hai.

Step 7: Implement Strategies

Strategies sirf tab kaam karti hain jab unhe properly implement kiya jaye. "Strategies are only as good as their implementation." Plans ko action mein convert karna zaroori hai.

Step 8: Evaluate Results

Final step — managers assess karte hain ke strategies kitni effective rahein aur kahan corrections zaroori hain. Yeh ongoing process hai.

Role of Competitive Analysis in Strategy Formulation

Effective strategy banana shuru nahi ho sakta jab tak organization ki competitive situation carefully analyze na ho. SWOT analysis is maqsad ke liye primary tool hai.

SWOT Mein Farq:

Element	Type	Definition
Strength	Internal	Internal characteristic jo competitive situation improve kare
Weakness	Internal	Internal characteristic jo competitors ke moves ke against vulnerable banaye
Opportunity	External	Environmental condition jo competitors ke muqable mein situation improve kare
Threat	External	Environmental condition jo competitive situation undermine kare

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Mission Aur Objectives Ko Same Samajhna

Wrong Approach: "Mission toh bas ek tagline hai, objectives hi asli cheez hain."

Right Approach: Mission = organization ka wujood ka maqsad (why we exist); Objectives = specific measurable targets (what we want to achieve).

Wajah: Mission broad aur long-term hota hai; objectives specific aur measurable hote hain — dono alag roles play karte hain strategic process mein.

Mistake 2: SWOT Mein Internal/External Confuse Karna

Wrong Approach: "High employee turnover" ko threat likhna.

Right Approach: High employee turnover = Weakness (internal); competitor poaching your employees = Threat (external).

Wajah: S aur W hamesha internal hote hain; O aur T hamesha external — yeh rule kabhi nahi badlata.

Mistake 3: Culture Ko SWOT Analysis Mein Ignore Karna

Wrong Approach: SWOT mein sirf financial resources aur market position dekhna.

Right Approach: Culture bhi ek internal factor hai — strong culture strength bhi ho sakti hai

aur change resistance ki wajah se weakness bhi.

Wajah: Lecture specifically kehta hai ke culture analysis often overlooked hoti hai — examiner isi point ko target karta hai.

Mistake 4: Strategy Formulation Ko Final Step Samajhna

Wrong Approach: Strategy bana li — kaam ho gaya.

Right Approach: Formulation ke baad implementation aur evaluation dono zaroori steps hain — process 8 steps ka hai, 6 ka nahi.

Wajah: Lecture clearly kehta hai "strategies are only as good as their implementation" — bina implementation ke best strategy bhi bekar hai.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

Suppose you are a manager at a Pakistani textile company. You discover that your company has advanced machinery and skilled workers (internal), but the global demand for synthetic fabric is declining (external). Meanwhile, there is a growing international demand for organic cotton (external), and your main competitor has just filed for bankruptcy (external). Classify each of these four factors into the correct SWOT category and explain why.

Hint (Roman Urdu): Pehle check karo: yeh factor organization ke andar se hai ya bahar se? Andar = S ya W; bahar = O ya T. Phir decide karo ke yeh positive hai ya negative.

Problem 2:

A new CEO joins PTCL and says: "Hum seedha strategy formulate karte hain — mission aur environment analysis time waste hai." Which steps of the strategic management process is he skipping, and what problems could arise?

Hint (Roman Urdu): 8-step process mein sequence important hai — pehle ke steps baad ke steps ki bunyad hain. Soch: agar aapko apni current position pata nahi, aur environment pata nahi, toh strategy kaise sahi hogi?

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

Daraz Pakistan is reviewing its strategic position. Internal review reveals: strong technology platform, large seller network, weak last-mile delivery in rural areas, and a culture that discourages risk-taking. External review reveals: growing smartphone penetration in rural Pakistan, increasing internet access, rising competition from a new Chinese e-commerce entrant, and government regulations on foreign-owned digital platforms. (a) Conduct a complete SWOT analysis. (b) Identify one strategic niche Daraz can exploit based on your SWOT. (c) Explain

how Daraz's culture could become both a strength and a weakness in implementing a rural expansion strategy. (d) Which step of the strategic management process does part (c) belong to, and why is culture specifically mentioned at that step?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why does the strategic management process require evaluating results as a separate final step rather than ending at strategy implementation?

Think About It (Roman Urdu): Agar aap plan implement kar ke chhod dete ho aur results nahi dekhte, toh aapko kaise pata chalega ke strategy kaam aai ya nahi? Aur agar nahi aai toh correction kab karoge?

Answer: Implementation batata hai "kya kiya" — evaluation batata hai "kya hasil hua." Bina evaluation ke managers ko pata nahi chalta ke strategy effective thi ya corrections zaroori hain. Yeh step ensure karta hai ke strategic process ek closed loop ho, open-ended nahi.

Q2: How can an organization's culture simultaneously be a strength and a weakness in the context of strategic management?

Think About It (Roman Urdu): Strong culture matlab employees ek direction mein chalte hain — yeh consistency deta hai. Lekin agar strategy change karni ho aur culture rigid ho, toh yahi culture change resist karega.

Answer: Strong culture ek strength hai kyunki distinctive competencies employees tak easily convey hoti hain aur everyone aligned rehta hai. Lekin agar environment change ho aur nai strategy chahiye, toh strong culture change ko resist karta hai — yeh weakness ban jaati hai. Misal: PIA ki culture jo change ko slow karti hai.

Q3: Why is competitive analysis a prerequisite to strategy formulation rather than something done after formulation?

Think About It (Roman Urdu): Agar aapko pata nahi ke competitor kya kar raha hai aur aapki apni strengths/weaknesses kya hain, toh aap strategy kaise banao ge? Andhere mein nishana lagana sahi nahi hota.

Answer: Competitive analysis — especially SWOT — identify karta hai ke organization kahan strong hai, kahan vulnerable hai, aur environment mein kya opportunities/threats hain. Yeh information directly shape karti hai ke kaunsi strategy feasible aur effective hogi. Pehle situation samjho, phir plan banao.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange the 8 steps of the strategic management process in correct order: (a) Implement strategies, (b) Identify mission/objectives, (c) Evaluate results, (d) Formulate strategies, (e) Analyze external environment, (f) Identify opportunities and threats, (g) Analyze internal resources, (h) Identify strengths and weaknesses.

(b → e → f → g → h → d → a → c)

Q2: Match the SWOT element to its correct category:

1. Strong brand loyalty — **2.** Rising raw material costs — **3.** Untapped rural market — **4.** Poor inventory management

A. Weakness **B.** Opportunity **C.** Threat **D.** Strength

(1-D, 2-C, 3-B, 4-A)

Q3: A manager realizes her company has unique logistics expertise that no competitor can match. What term best describes this?

(Core competency)

Q4: What is the result of merging Step 3 (Opportunities and Threats) with Step 5 (Strengths and Weaknesses) in the strategic management process?

(SWOT Analysis)

Q5: Why must managers reevaluate mission and objectives after completing the SWOT analysis?

(Because the combined internal and external analysis may reveal that current mission or objectives are no longer aligned with the strategic situation)

Q6: A company has a very strong organizational culture. How does this specifically affect strategy implementation?

(It makes communicating strategy to employees easier, but makes changing strategy more difficult if needed)

SECTION 8 — EXAM MCQs (VU Style)

Q1: What is the primary purpose of a mission statement in the strategic management process?

- A)** To set quarterly financial targets
- B)** To define the organization's reason for being in business
- C)** To outline the HR policies of the organization
- D)** To identify competitors in the market

Correct Answer: B — To define the organization's reason for being in business

Exam Tip (Roman Urdu): Mission = "hum kyun hain" — yeh organization ka wujood ka maqsad hai, koi financial target nahi.

Q2: Core competencies in strategic management refer to:

- A) The financial reserves of an organization
- B) The number of employees in an organization
- C) An organization's major value-creating skills, capabilities, and resources that determine competitive advantage
- D) Government regulations affecting the organization

Correct Answer: C — An organization's major value-creating skills, capabilities, and resources that determine competitive advantage

Exam Tip (Roman Urdu): Core competency = unique value-creating capability — yeh internal analysis (Step 4) ka key output hai.

Q3: A Pakistani garment exporter finds that its skilled embroidery workforce is unmatched by any competitor. In SWOT terms, this is a:

- A) Opportunity
- B) Threat
- C) Weakness
- D) Strength

Correct Answer: D — Strength

Exam Tip (Roman Urdu): Internal + positive = Strength. Internal + negative = Weakness. Bahari factors O ya T hote hain.

Q4: Which step of the strategic management process is complete when managers have an accurate grasp of important trends in the external environment?

- A) Step 1 — Identifying mission
- B) Step 3 — Identifying opportunities and threats
- C) Step 2 — Analyzing the external environment
- D) Step 5 — Identifying strengths and weaknesses

Correct Answer: C — Step 2 — Analyzing the external environment

Exam Tip (Roman Urdu): Step 2 ka completion criterion yahi hai — "accurate grasp of external trends." Step 3 us analysis ka result (O aur T identify karna) hai.

Q5: A strong organizational culture in the context of strategy implementation means:

- A) It always helps strategy succeed faster
- B) It makes communicating distinctive competencies easier but makes change more difficult
- C) It reduces the need for formal strategy formulation
- D) It eliminates the need for competitive analysis

Correct Answer: B — It makes communicating distinctive competencies easier but makes change more difficult

Exam Tip (Roman Urdu): Strong culture = double-edged sword — yeh exam mein trap ki tarah aata hai; "always helps" wala option galat hoga.

Q6: In SWOT analysis, which two elements are derived from the internal analysis?

- A) Opportunities and Threats
- B) Strengths and Opportunities
- C) Strengths and Weaknesses
- D) Weaknesses and Threats

Correct Answer: C — Strengths and Weaknesses

Exam Tip (Roman Urdu): S aur W = andar; O aur T = bahar — yeh rule kabhi nahi badlata.

Q7: Compared to Opportunities, Threats in SWOT analysis are:

- A) Internal negative factors
- B) External positive factors
- C) External negative factors that could undermine competitive position
- D) Internal weaknesses that competitors can exploit

Correct Answer: C — External negative factors that could undermine competitive position

Exam Tip (Roman Urdu): Threats = external + negative + competitive situation undermine karna — teenon cheezein definition mein hain.

Q8: According to the strategic management process, strategy formulation occurs at which levels?

- A) Only at the top management level
- B) Corporate, business, and functional levels
- C) Only at the operational and functional levels
- D) National and international levels only

Correct Answer: B — Corporate, business, and functional levels

Exam Tip (Roman Urdu): Teen levels yaad rakho: Corporate + Business + Functional — yeh Type I ka core framework hai.

Q9: The statement "strategies are only as good as their implementation" emphasizes which step?

- A) Step 6 — Formulating strategies
- B) Step 5 — Identifying strengths and weaknesses
- C) Step 7 — Implementing strategies
- D) Step 8 — Evaluating results

Correct Answer: C — Step 7 — Implementing strategies

Exam Tip (Roman Urdu): Yeh quote directly Step 7 ke liye hai — formulation ke baad implementation na ho toh strategy bekar hai.

Q10: What is the primary output of merging Step 3 and Step 5 in the strategic management process?

- A) A competitive advantage framework
- B) A mission statement revision
- C) A SWOT analysis identifying a strategic niche
- D) A functional-level strategy

Correct Answer: C — A SWOT analysis identifying a strategic niche

Exam Tip (Roman Urdu): Step 3 (O, T) + Step 5 (S, W) = SWOT. Aur SWOT ka maqsad = strategic niche identify karna. Yeh sequence yaad rakho.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein strategic management ka 8-step process sikhaya gaya — mission se lekar evaluation tak — aur SWOT analysis ko competitive analysis ka core tool samjhaya gaya.

PART B — Yaad Rakhne Wali Baatein

- **8-step process** ka sequence fixed hai — mission pehle, evaluation akhir mein; sequence galat karna = marks gone.
- **SWOT** mein S aur W internal hain, O aur T external — yeh rule absolute hai, koi exception nahi.
- **Core competencies** = unique value-creating skills jo competitive advantage dete hain — Step 4 ka key output.

- **Strong culture** = strength bhi, weakness bhi — change resist karne ki wajah se dono ho sakti hai.
- **"Strategies are only as good as their implementation"** — yeh quote Step 7 ke liye hai, exam mein aa sakta hai.

PART C — Zaroor Yaad Karo Yeh Frameworks

Strategic Management Process — 8 Steps:

1. Identify mission, objectives, strategies
2. Analyze external environment
3. Identify opportunities and threats
4. Analyze internal resources
5. Identify strengths and weaknesses
6. Formulate strategies (Corporate + Business + Functional)
7. Implement strategies
8. Evaluate results

SWOT — 4 Elements:

- **S (Strength):** Internal + positive
- **W (Weakness):** Internal + negative
- **O (Opportunity):** External + positive
- **T (Threat):** External + negative

PART D — Exam Mein Ghalti Mat Karna

[!] Steps 3 aur 5 alag hain — Step 3 bahar se O aur T identify karta hai; Step 5 andar se S aur W — SWOT inhe milane ka result hai, ek step ka nahi.

[!] Strong culture ko hamesha positive mat samjho — change resistance ki wajah se yeh weakness bhi ban sakti hai; exam mein "always helps" wala option galat hoga.

[!] Strategy formulation teen levels par hoti hai — corporate, business, aur functional — sirf "top management" likhna incomplete aur galat jawab hai.

Lecture 27: Levels of Strategies, Porter's Model, BCG Matrix, and Strategy Implementation

Subject: MGT503 — Principles of Management

Topic Type: I — Strategic Management and Entrepreneurship

Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek badi company jaise PIA hai. Uske top management decide karte hain ke hum sirf aviation mein rahein ya hotels bhi khareedein — yeh corporate-level strategy hai. Phir aviation division decide karta hai ke hum competitors se sasta ticket dein ya luxury service dein — yeh business-level strategy hai. Aur marketing team decide karti hai ke kaunsa advertisement chalana hai — yeh functional-level strategy hai. Teen levels, ek hi maqsad — competitive rehna.

PART B — Core Concepts

- 1. Corporate-Level Strategy:** Top management decide karta hai ke organization kaunse businesses mein hogi
- 2. Business-Level Strategy:** Ek specific business mein competitors se behtar kaise reha jaye
- 3. Functional-Level Strategy:** Marketing, HR, Finance jaise departments ke action plans
- 4. SBU (Strategic Business Unit):** Organization ka alag division jo independently compete kare
- 5. Porter's Five Forces:** Industry competition ko 5 forces se analyze karne ka model
- 6. Hyper Competition:** Jab competition itna tez ho jaye ke koi bhi competitive advantage zyada der na chale
- 7. Distinctive Competence:** Woh resources/capabilities jo valuable, rare, aur copy karna mushkil hon
- 8. Grand Strategy:** Corporate level pe overall strategic direction
- 9. BCG Matrix:** SBUs ko market share aur market growth ke basis pe categorize karna
- 10. Cost Leadership:** Competitors se kam cost pe product/service dena
- 11. Differentiation:** Unique product/service banana jo industry mein alag ho
- 12. Focus Strategy:** Ek specific market segment pe concentrate karna
- 13. Strategic Control:** Strategy implementation monitor karna aur adjustments karna

PART C — Key Frameworks and Models

- **3 Levels of Strategy:** Corporate → Business → Functional — upar se neeche coordination zaroori
- **Porter's Five Forces:** Industry competition analyze karne ka tool — 5 external forces
- **Resource-Based View:** Internal resources ko competitive advantage ke liye assess karna
- **4 Grand Strategies:** Growth, Stability, Defensive, Combination
- **BCG Matrix:** 2x2 matrix — Star, Cash Cow, Question Mark, Dog
- **Porter's 3 Generic Business Strategies:** Cost Leadership, Differentiation, Focus
- **Strategy Implementation Factors:** Technology, HR, Reward Systems, Decision Processes, Structure
- **Strategic Control:** Monitor karo, assess karo, ensure karo — strategy sahi chal rahi hai

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

1. Three Levels of Strategy

A. Corporate-Level Strategy

- Top management aur Board of Directors develop karte hain
- Question: "Hum kaunse businesses mein honge?"
- Decide karta hai: kaun se businesses, unke darmiyan coordination, resources ka allocation

Example: Engro Corporation decide kare ke hum fertilizer, food, aur energy — teeno mein rahein ya sirf fertilizer pe focus karein.

B. Business-Level Strategy

- Ek specific industry/business mein competitors se behtar compete karna
- Sirf tab apply hota hai jab organization ke alag divisions alag industries mein hon
- **SBU:** Alag business unit jo independently manage ho sake apne competitors ke sath

Example: Engro Foods ka separately decide karna ke woh dairy market mein kaise compete karein.

C. Functional-Level Strategy

- Operations, Marketing, Finance, HR, R&D jaise departments ke action plans
- Business-level strategy ko support karta hai
- Functional managers develop karte hain, business unit heads review karte hain

Example: Engro Foods ki marketing team decide kare ke Olpers ko TV ads se promote karna hai.

Critical Point: Teeno levels ka coordination maximize karna strategic impact ke liye zaroori hai.

2. Porter's Five Forces Model

Michael E. Porter ne yeh model develop kiya — industry ke external competition ko 5 forces se analyze karta hai:

1. Rivalry Among Competitors: Competitors ek doosre ka profit girane ke liye tactics use karte hain

Example: Mobilink aur Jazz ka price war

2. Bargaining Power of Suppliers: Suppliers prices raise kar sakte hain ya quality gira sakte hain

Example: Steel suppliers ka construction industry pe pressure

3. Bargaining Power of Buyers: Buyers ka influence — zyada substitutes hoon toh buyers ka power zyada

Example: Telecom mein customers asaani se network badal sakte hain

4. Threat of New Entrants: Naye competitors enter karein toh price war ka khatra

Example: Naya domestic airline aane se PIA pe pressure

5. Threat of Substitute Products: Doosri industry ka product aapka replace kar de

Example: WhatsApp calls ne traditional telecom calls ko substitute kiya

Hyper Competition: Jab competition itna escalate ho ke dynamism, uncertainty, aur heterogeneity itni badh jaye ke koi bhi sustained competitive advantage mushkil ho.

3. Resource-Based Strategic View (Internal Assessment)

Organizational resources 4 types ke hote hain:

1. Financial Resources: Debt, equity, retained earnings

2. Physical Resources: Buildings, machinery, materials

3. Human Resources: Skills, abilities, experience

4. Organizational Resources: History, relationships, trust, culture

4 Critical Questions for Competitive Advantage:

a. Resource ya capability kitna value add karta hai?

b. Yeh resource competitors mein kitna rare hai?

c. Competitors isko copy karna kitna mushkil samjhte hain?

d. Organization apne resources ko best competitive advantage ke liye organize karta hai?

Distinctive Competence: Jab resources valuable + rare + difficult to imitate hoon — tab organization ko distinctive competence milti hai.

4. Formulating Corporate-Level Strategy

A. Grand Strategies (4 Types)

1. Growth Strategy — Organizational expansion

Yeh teen tareekon se hoti hai:

a. Concentration — Ek hi product/service pe focus:

- **Market Development:** Current market mein zyada hissa ya naye markets
- **Product Development:** Product improve karna ya closely related products

- **Horizontal Integration:** Similar business khareedna

b. Vertical Integration — Supply chain pe control:

- **Backward Integration:** Apna supplier khud ban jaana
- **Forward Integration:** Apna distributor/customer khud ban jaana

c. Diversification — Naye alag areas mein jaana:

- **Conglomerate Diversification:** Unrelated business mein jaana
- **Concentric Diversification:** Related lekin distinct business mein jaana

Growth Implementation Methods:

- **Internal Growth:** Apne resources se expand karna
- **Acquisition:** Doosri organization khareedna
- **Merger:** Do companies milke ek ban jaana
- **Joint Venture:** Mil ke ek specific project support karna

2. Stability Strategy — Status quo maintain karna ya slow growth

- Chhoti private businesses zyada use karti hain
- Risk avoid karna, recovery karna, market share hold karna

3. Defensive (Retrenchment) Strategy — Operations reduce karna

- **Harvest:** Investment minimize, short-run profit maximize
- **Turnaround:** Negative trend reverse karna
- **Divestiture:** Business ka koi hissa bechna
- **Bankruptcy:** Court protection lo jabke financial stability recover karo
- **Liquidation:** Poori organization dissolve karna

B. BCG Growth-Share Matrix

Boston Consulting Group ne develop kiya — SBUs ko 2 dimensions pe compare karta hai:

- **X-axis:** Relative Market Share (high/low)
- **Y-axis:** Market Growth Rate (high/low)

4 Categories:

Category	Market Share	Market Growth	Strategy
Star	High	High	Invest — future cash cow
Cash Cow	High	Low	Milk karo — funds generate
Question Mark	Low	High	Invest ya divest — uncertain
Dog	Low	Low	Divest ya liquidate

BCG Strategy Rule: Cash cows ka paisa stars aur question marks mein lagao; dogs ko divest karo.

Limitations of BCG Matrix:

- Market share aur lower costs ka relationship hamesha sach nahi
- Businesses always independent nahi hote
- Kai dogs ne consistently high profitability dikhaya
- Majority businesses by definition "Dog" category mein fall karte hain

5. Porter's Three Generic Business-Level Strategies

1. Cost Leadership Strategy

- Overall costs competitors se kam rakho
- Cost advantage easily imitable nahi hona chahiye
- **Example:** Daewoo Bus Service — cheapest transport option

2. Differentiation Strategy

- Unique product/service develop karo jo industry mein alag ho
- Brand image, technology, quality, customer service se differentiate ho sakta hai
- Cost utni important nahi — uniqueness important hai
- **Example:** Gourmet Bakers ka premium brand perception

3. Focus Strategy

- Ek specific market segment pe cost leadership ya differentiation apply karo
- **Example:** Kabul Darbar restaurant — sirf specific cuisine, specific customer base

6. Strategy Implementation

Implementation = strategy ko action mein laana + progress monitor karna + goals achieve karna

5 Factors Managers Must Synchronize:

- 1. Technology:** Knowledge, tools, equipment, work techniques
- 2. Human Resources:** Organization ke members
- 3. Reward Systems:** Bonuses, awards, promotions, achievement feeling
- 4. Decision Processes:** Problems aur questions resolve karne ke tareeqe
- 5. Organization Structure:** Tasks aur groups ko link karne ka formal pattern

Strategic Control:

- Critical environmental factors monitor karo
- Strategic actions ke effects assess karo
- Plans ki implementation ensure karo
- **Strategic Control Systems:** Information systems jo feedback dete hain implementation aur effectiveness ke baare mein

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Teeno strategy levels ko same samajhna

Wrong Approach: Sochna ke corporate, business, aur functional strategies ek hi cheez hain

Right Approach: Corporate = kaunse businesses; Business = us business mein kaise compete karo; Functional = department-level action plans

Wajah: Har level ka alag scope aur alag decision makers hain — exam mein inhe mix mat karna

Mistake 2: BCG matrix mein "Star" ko best aur "Dog" ko always bad samajhna

Wrong Approach: Dog = hamesha divest karo, Star = hamesha best

Right Approach: Kai dogs profitable bhi hote hain; BCG ki limitations bhi hain aur real world mein har case alag hota hai

Wajah: Lecture explicitly kehta hai ke kai dogs ne high profitability dikhaya hai — yeh limitation yaad rakho

Mistake 3: Porter's Cost Leadership ko sirf "sasta bechna" samajhna

Wrong Approach: Sochna ke cost leadership matlab lowest price pe bechna

Right Approach: Cost leadership matlab overall production/service delivery costs competitors se kam rakho — price alag cheez hai

Wajah: Kam cost pe operate karna aur sasta bechna alag strategies hain — sustainable competitive advantage cost structure se aati hai

Mistake 4: Strategic Control ko sirf financial monitoring samajhna

Wrong Approach: Sochna ke strategic control sirf budget check karna hai

Right Approach: Strategic control mein environmental factors monitor karna, strategic actions assess karna, aur implementation ensure karna shaamil hai

Wajah: Control ka scope poori strategy pe hai — sirf numbers pe nahi

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

A large Pakistani conglomerate currently operates in textiles, cement, and banking. The top management is deciding whether to enter the food processing industry. Using the concept of the three levels of strategy, identify which level this decision belongs to and what questions need to be answered at that level.

Hint (Roman Urdu): Socho ke yeh decision kaun le raha hai — functional manager ya top management/board? Phir us level ki definition yaad karo aur us level ke teen sawalon ke jawaab do.

Problem 2:

Apply Porter's Five Forces to Pakistan's telecom industry (Mobilink, Telenor, Zong, Ufone). For each force, identify one specific example from this industry and rate whether that force is high or low pressure on the industry.

Hint (Roman Urdu): Har force ke liye socho — suppliers kaun hain telecom mein? Buyers kitna power rakhte hain? Substitutes kya hain? Naye entrants aana easy hai? Rivalry kitni hai? Phir high/low decide karo.

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

Suppose you are a strategy consultant advising a Pakistani textile company with three SBUs:

- **SBU A:** Denim fabric — 35% market share in a rapidly growing export market
- **SBU B:** Home textiles — 60% market share in a slow-growth domestic market
- **SBU C:** Technical fabrics — 8% market share in a rapidly growing industrial market

(a) Plot each SBU on the BCG matrix and identify its category (Star, Cash Cow, Question Mark, Dog).

(b) Based on BCG logic, what strategy do you recommend for each SBU?

(c) The company wants to enter the sportswear retail business — completely unrelated to its current textile manufacturing. Which grand strategy type and sub-type does this represent? What are the risks?

(d) If the company decides to use a differentiation strategy for SBU A, what specific sources of differentiation could it develop, and how would functional-level strategies in marketing and R&D support this business-level strategy?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why must corporate, business, and functional strategies be coordinated rather than developed independently?

Think About It (Roman Urdu): Socho ek cricket team mein captain ne decide kiya aggressive batting karni hai lekin individual players apni marzi se defensive khel rahe hain — poori team ka plan fail ho jayega.

Answer: Teeno levels ek doosre ko support karte hain — corporate level direction deta hai, business level us direction mein competition karta hai, aur functional level resources aur capabilities se support karta hai. Agar coordination nahi hai toh resources waste honge, conflicting decisions aayenge, aur competitive advantage nahi banta. Maximum strategic impact tabhi milta hai jab teeno levels aligned hon.

Q2: Why has the BCG matrix lost much of its credibility despite being widely used?

Think About It (Roman Urdu): Socho ek formula jo sab ko "Dog" aur "Star" mein divide kare — lekin reality mein kai "Dog" businesses zyada profitable nikle. Formula perfect kyun nahi ho sakta?

Answer: BCG ki limitations yeh hain ke increased market share hamesha lower costs nahi laati; businesses hamesha independent nahi hote; aur kai dogs consistently profitable sabit hue hain. Iske alawa by definition majority businesses dog category mein aate hain — jo is model ki practicality pe sawaal uthata hai. Isliye BCG ek rough guide hai, definitive strategy tool nahi.

Q3: Why does Porter argue that a company must choose between cost leadership and differentiation rather than trying to do both?

Think About It (Roman Urdu): Socho ek restaurant jo kehta hai "hum sabse sasta bhi hain aur sabse luxury bhi" — dono ek saath sustainable kaise hoga? Resources limited hain — ek direction mein lagate ho toh doosri direction mein kam padata hai.

Answer: Cost leadership mein efficiency aur cost cutting pe saara focus chahiye — innovation aur premium features pe kharch karna costly hai. Differentiation mein unique features, branding, aur R&D pe investment chahiye — jo costs badha deta hai. Dono ek saath karne ki koshish karne

wali companies aksar "stuck in the middle" ho jaati hain — na cost leader ban paati hain na truly differentiated. Isliye ek clear strategic direction zaroori hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange the three strategy levels from highest to lowest organizational level:

(i) Functional-level strategy (ii) Corporate-level strategy (iii) Business-level strategy

(Correct: ii → iii → i)

Q2: Match each BCG category with its description:

1. Star — **A.** High share, low growth — generate funds
2. Cash Cow — **B.** Low share, low growth — consider divesting
3. Question Mark — **C.** High share, high growth — invest
4. Dog — **D.** Low share, high growth — uncertain future

(Correct: 1-C, 2-A, 3-D, 4-B)

Q3: A cement manufacturer buys its own limestone quarry to reduce dependency on external suppliers. Which grand strategy sub-type is this?

(Correct: Backward Vertical Integration — becoming its own supplier)

Q4: Compare Cost Leadership and Differentiation strategies: what does each prioritize?

(Correct: Cost Leadership prioritizes overall efficiency and lower costs than competitors; Differentiation prioritizes uniqueness in product/service features, brand, quality, or technology regardless of higher costs)

Q5: Which of Porter's Five Forces is at play when a new low-cost airline enters Pakistan's aviation market?

(Correct: Threat of New Entrants — new competitor can trigger a price war)

Q6: A company's SBU has high relative market share in a slow-growing market. The BCG matrix recommends which action?

(Correct: "Milk" the Cash Cow — generate funds from it to invest in Stars and Question Marks)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which level of strategy addresses the question "What businesses should we be in?"

- A) Functional-level strategy
- B) Operational-level strategy
- C) Corporate-level strategy
- D) Business-level strategy

Correct Answer: C — Corporate-level strategy

Exam Tip (Roman Urdu): "Kaunse business mein honge" = corporate level — yeh top management aur board ka kaam hai.

Q2: According to Porter's Five Forces, which force refers to the ability of input providers to raise prices or reduce quality?

- A) Threat of new entrants
- B) Bargaining power of buyers
- C) Rivalry among competitors
- D) Bargaining power of suppliers

Correct Answer: D — Bargaining power of suppliers

Exam Tip (Roman Urdu): Suppliers = input providers — unka power prices raise karna ya quality girana hai.

Q3: A textile company in Pakistan decides to open its own retail stores instead of selling through distributors. Which strategy is this?

- A) Backward vertical integration
- B) Conglomerate diversification
- C) Forward vertical integration
- D) Horizontal integration

Correct Answer: C — Forward vertical integration

Exam Tip (Roman Urdu): Distributor/customer ka role khud lena = Forward integration — "aage" ki taraf badhna.

Q4: In the BCG matrix, a "Question Mark" SBU is best described as:

- A) High market share in a high growth market
- B) Low market share in a low growth market
- C) High market share in a low growth market
- D) Low market share in a high growth market

Correct Answer: D — Low market share in a high growth market

Exam Tip (Roman Urdu): Question Mark = market grow kar raha hai lekin humara share abhi bhi kam hai — isliye uncertain/question.

Q5: A mobile phone company positions itself as offering the most innovative features and premium design in the industry, charging higher prices than competitors. Which business-level strategy is this?

- A) Cost Leadership
- B) Focus Strategy
- C) Stability Strategy
- D) Differentiation Strategy

Correct Answer: D — Differentiation Strategy

Exam Tip (Roman Urdu): Unique features + premium positioning = Differentiation — cost nahi, uniqueness important hai.

Q6: Which of the following is a correct limitation of the BCG matrix?

- A) It is too complex to apply to large organizations
- B) It ignores market growth rate entirely
- C) Many "Dog" businesses have shown consistently high profitability
- D) It was developed for functional-level strategy only

Correct Answer: C — Many "Dog" businesses have shown consistently high profitability

Exam Tip (Roman Urdu): BCG ki limitations mein yeh sabse important hai — dogs hamesha bad nahi hote, real world mein profitable bhi hote hain.

Q7: Which of the following correctly distinguishes business-level from functional-level strategy?

- A) Business-level is developed by functional managers; functional-level by top management
- B) Business-level focuses on how to compete in a specific industry; functional-level focuses on department-level action plans supporting that competition
- C) Business-level deals with resource allocation across businesses; functional-level deals with

entering new markets

D) Both levels address the same questions but at different time horizons

Correct Answer: B — Business-level focuses on how to compete in a specific industry; functional-level focuses on department-level action plans supporting that competition

Exam Tip (Roman Urdu): Business level = "kaise compete karein"; Functional level = "department kya karega us competition ko support karne ke liye."

Q8: Which contributor developed the Five Competitive Forces Model for analyzing industry competition?

A) Henry Mintzberg

B) Frederick Taylor

C) Michael E. Porter

D) Igor Ansoff

Correct Answer: C — Michael E. Porter

Exam Tip (Roman Urdu): Porter = Five Forces + Generic Business Strategies — dono usi ke hain, yeh yaad rakhna.

Q9: A firm is said to have "distinctive competence" when its resources and capabilities are:

A) Widely available, low cost, and easily replicated

B) Valuable, rare, and difficult for competitors to imitate

C) Primarily financial and physical in nature

D) Developed only at the corporate level of strategy

Correct Answer: B — Valuable, rare, and difficult for competitors to imitate

Exam Tip (Roman Urdu): Distinctive competence = VRI — Valuable + Rare + Inimitable — teeno hona zaroori hai.

Q10: Which of the following best describes the purpose of strategic control in strategy implementation?

A) Setting the initial budget for a new strategy

B) Developing the mission statement of the organization

C) Monitoring environmental factors, assessing strategic actions, and ensuring implementation is on track

D) Allocating resources among different functional departments

Correct Answer: C — Monitoring environmental factors, assessing strategic actions, and ensuring implementation is on track

Exam Tip (Roman Urdu): Strategic control = monitor + assess + ensure — sirf financial check nahi, poori strategy ka oversight hai.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein teen strategy levels, Porter ke 5 forces aur 3 generic strategies, BCG matrix, grand strategies, aur strategy implementation ke key factors parhe.

PART B — Yaad Rakhne Wali Baatein

- **Teen strategy levels hain:** Corporate (kaunse business), Business (kaise compete), Functional (department plans) — teeno ka coordination zaroori hai
- **Porter ke 5 Forces** industry ke external competition ko analyze karte hain — rivalry, suppliers, buyers, new entrants, substitutes
- **BCG matrix 4 categories:** Star (high/high), Cash Cow (high/low), Question Mark (low/high), Dog (low/low)
- **Porter ke 3 generic strategies:** Cost Leadership, Differentiation, Focus — ek clear choice zaroori hai
- **Strategy implementation** mein 5 factors synchronize karne padte hain: Technology, HR, Reward Systems, Decision Processes, Structure

PART C — Zaroor Yaad Karo Yeh Frameworks

3 Levels of Strategy:

1. Corporate — kaunse businesses mein honge
2. Business — us business mein kaise compete karein
3. Functional — department level action plans

Porter's 5 Forces:

1. Rivalry
2. Supplier Power
3. Buyer Power
4. New Entrants
5. Substitutes

BCG Matrix:

- **Star** — High Share + High Growth → Invest
- **Cash Cow** — High Share + Low Growth → Milk
- **Question Mark** — Low Share + High Growth → Decide
- **Dog** — Low Share + Low Growth → Divest

4 Grand Strategies:

1. Growth (Concentration / Vertical Integration / Diversification)
2. Stability
3. Defensive (Harvest, Turnaround, Divestiture, Bankruptcy, Liquidation)
4. Combination

Porter's 3 Generic Business Strategies:

1. Cost Leadership 2. Differentiation 3. Focus

PART D — Exam Mein Ghalti Mat Karna

[!] BCG mein **Star** sabse high market share wala nahi — **Cash Cow** ka market share high hota hai lekin growth slow; Star ka share bhi high hota hai lekin growth bhi high — dono ko mix mat karna

[!] **Forward integration** = customer/distributor ka role lena; **Backward integration** = supplier ka role lena — direction ka fark yaad rakho

[!] Porter ke **Cost Leadership** ka matlab sirf sasta bechna nahi — overall production costs competitors se kam rakhna hai — pricing alag decision hai

Lecture 28: Entrepreneurship Management

Subject: MGT503 — Principles of Management

Topic Type: I — Strategic Management and Entrepreneurship

Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek naujawan ne Lahore mein ek innovative mobile repair app launch ki jisme ghar par technician aata hai — yeh entrepreneurship hai. Usne risk liya, opportunity identify ki, aur ek naya idea implement kiya. Ek ordinary mobile repair shop wala sirf chalta rehta hai — woh small business hai. Farq yeh hai ke entrepreneur change laata hai, small business owner sirf survive karta hai.

PART B — Core Concepts

1. Entrepreneurship: Individuals ya group ka time aur paisa risk karke innovative opportunities pursue karna — value create karna aur grow karna.

2. Entrepreneurial Venture: Innovative practices + growth + profitability goals wali organization — yeh sirf survive nahi karti, expand karti hai.

3. Small Business: Independently owned, under 100 employees, innovative practices zaroori nahi, industry par minimal impact.

4. Innovation: Creative idea ko useful product, service, ya method mein turn karna — sirf sochna nahi, implement karna.

5. Creativity: Ideas ko unique tarike se combine karna ya unusual associations banana — innovation ka raw material.

6. Organizational Change: Logon, structure, ya technology mein koi bhi alteration —

organizations mein hamesha mojood rehta hai.

7. Idea Champion: Woh individual jo naye idea ko enthusiastically support kare, resistance overcome kare, aur implementation ensure kare.

8. Business Plan: Entrepreneur ka written document jo business ke har aspect ko detail mein cover karta hai — nature, product, customers, competition, financing.

PART C — Key Frameworks and Models

- **Entrepreneurial Process (4 steps):** Context explore karo → Opportunity identify karo → Venture start karo → Venture manage karo.
- **Forces for Change:** External forces (marketplace, govt, technology, labor, economy) + Internal forces (strategy, workforce, equipment, attitudes).
- **Creativity vs Innovation:** Creativity = unique idea banana; Innovation = us idea ko useful product/service mein convert karna.
- **Fostering Innovation (3 variables):** Structural variables (organic structure, resources, communication) + Human resource variables (training, job security, idea champions).

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

What is Entrepreneurship?

Entrepreneurship woh process hai jisme individuals ya group apna time aur paisa risk mein daalte hain taake opportunities pursue kar sakein — value create karein aur grow karein through innovation, chahe abhi unke paas resources hon ya na hon. Key word: **innovation** aur **growth**.

Entrepreneurial Ventures vs. Small Businesses

Feature	Entrepreneurial Venture	Small Business
Main Goal	Growth aur profitability	Survival ya owner's livelihood
Innovation	Core characteristic	Zaroori nahi
Industry Impact	Significant change laata hai	Relatively little impact
Size	Grow karta rehta hai	Usually small by choice/default
Example	Careem Pakistan (start pe)	Local kiriyana store

Why is Entrepreneurship Important? (3 Reasons)

1. Innovation: Change, experimentation, transformation — marketplace mein naye solutions aate hain. Pakistan mein fintech startups banking ko transform kar rahe hain.

2. Number of New Start-Ups: Naye firms economy mein diversity aur competition laate hain

— SME sector Pakistan ki GDP mein significant contributor hai.

3. Job Creation: Virtually all new net jobs firms se aate hain jinke paas 500 se kam employees hain — small aur entrepreneurial firms employment engine hain.

The Entrepreneurial Process (4 Steps — Numbered Sequence)

Step 1 — Exploring the Entrepreneurial Context:

New economy ki realities samajhna, legal environment (laws aur regulations), aur changing work environment. Pakistan mein: SECP regulations, tax laws, digital economy realities.

Step 2 — Identifying Opportunity and Possible Competitive Advantages:

Market mein gap dhundna — kya cheez missing hai, kahan innovation ho sakti hai. Example: Pakistan mein affordable e-commerce logistics ki gap identify karna.

Step 3 — Starting the Venture:

Feasibility research karna → venture plan karna → organize karna → launch karna. Business plan is stage ka core tool hai.

Step 4 — Managing the Venture:

Processes manage karna, people manage karna, aur growth manage karna. Yeh ongoing phase hai — launch ke baad bhi kaam khatam nahi hota.

What Do Entrepreneurs Do? (3 Phases)

Phase 1 — Start-Up: Venture ki potential assess karna, start-up issues deal karna.

Phase 2 — Running: Venture chal jaye toh management par focus shift hota hai.

Phase 3 — Growth: Entrepreneur ko growth manage karna hoti hai — scaling, hiring, new markets.

Business Plan — Purpose aur Content

A business plan is a written document covering: nature of business, product/service, customers, competition, production/marketing methods, management, financing.

4 Purposes:

1. Har aspect ke baare mein concrete sochne par force karta hai.
2. Financing hasil karne mein help karta hai (banks, investors).
3. Progress measure karne ka benchmark deta hai.
4. Others ke saath credibility establish karta hai.

Organizational Change

Organizational change = people, structure, ya technology mein koi bhi alteration. Change eliminate nahi ho sakta — hamen sirf ise manage karna hai.

Forces for Change

A. External Forces:

1. Marketplace — competitors ke naye moves.
2. Government laws and regulations — naye compliance requirements.
3. Technology — automation, digitization.
4. Labor markets — skilled workers ki availability ya shortage.
5. Economic changes — inflation, recession.

B. Internal Forces:

1. Changes in strategy — nahi direction adopt karna.
2. Changes in workforce — new hires, retirements.
3. New equipment — operations ka tarika badalna.
4. Change in employee attitudes — morale ya culture shift.

Stimulating Innovation

Creativity vs Innovation:

- **Creativity** = ideas ko unique tarike se combine karna — sochne ki ability.
- **Innovation** = creative idea ko useful product/service/method mein turn karna — karna ki ability.

Creativity innovation ka zariya hai — without creativity, innovation nahi hoti.

How Managers Foster Innovation — 3 Variable Types:

1. Structural Variables:

- Organic structures (flexible, decentralized) innovation ko positively influence karte hain.
- Organizational resources ki easy availability innovation ka critical building block hai.
- Frequent inter-unit communication barriers todte hai.

2. Human Resource Variables:

- Employees ki training aur development ongoing rehti hai taake knowledge current rahe.
- High job security employees ko risk lene par encourage karti hai.
- **Idea champions** — individuals jo naye ideas ko enthusiastically support karein, resistance overcome karein, aur implementation ensure karein.

Entrepreneurship and Ethics:

Research (300 entrepreneurs vs corporate managers) dikhaati hai ke entrepreneurs ke ethical standards generally zyada strict hote hain aur woh unhe better follow kar paate hain — kyunki unhe apne decisions aur actions par zyada control hota hai.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Entrepreneurial Venture aur Small Business Ko Same Samajhna

Wrong Approach: Har chota business entrepreneurial venture hai.

Right Approach: Small business innovation aur growth pursue nahi karta zaroori — entrepreneurial venture karta hai.

Wajah: Exam mein yeh difference seedha poochha jaata hai — size nahi, innovation aur growth orientation farq karta hai.

Mistake 2: Creativity aur Innovation Ko Interchangeable Samajhna

Wrong Approach: Creativity aur innovation ek hi cheez hain.

Right Approach: Creativity = unique idea banana; Innovation = us idea ko implement karke useful banana.

Wajah: Lecture clearly kehta hai creativity "ability to combine ideas" hai, innovation "process of taking a creative idea and turning it into useful product/service" — dono alag steps hain.

Mistake 3: Business Plan Ko Sirf Financing Ke Liye Samajhna

Wrong Approach: Business plan sirf bank loan ke liye likhte hain.

Right Approach: Business plan ke 4 purposes hain — concrete thinking, financing, progress measurement, credibility.

Wajah: MCQs mein often "only one purpose" wale options aate hain — saare 4 yaad rakho.

Mistake 4: Entrepreneurial Process Ke Steps Ki Sequence Galat Karna

Wrong Approach: Pehle venture start karo, phir opportunity dhundo.

Right Approach: Pehle context explore → opportunity identify → venture start → venture manage — yeh order fixed hai.

Wajah: Sequencing questions mein yeh trap common hai — opportunity pehle identify hoti hai, phir venture start hota hai.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

Ali ne Islamabad mein ek local samosa shop kholi — independently owned, 5 employees, koi innovative practice nahi, sirf apni family support ke liye. Uske dost Bilal ne ek app-based home-cooked food delivery service launch ki jisme AI se personalized meal recommendations hain, aur uska goal 3 saalon mein 10 cities mein expand karna hai. Classify karo: kaun entrepreneurial venture hai aur kaun small business, aur kyun?

Hint (Roman Urdu): Sirf size mat dekho — innovative practices hain ya nahi, growth goal hai ya nahi — yahi classification ka asli basis hai.

Problem 2:

A textile factory in Faisalabad is experiencing the following: (a) Government has introduced new environmental regulations; (b) Their experienced workers are retiring; (c) Management has

decided to shift from local to export market. Identify each as an internal or external force for change and name its specific type.

Hint (Roman Urdu): External forces bahar se aate hain — government, market. Internal forces andar se — strategy change, workforce change. Har ek ko apni category mein classify karo.

PART B — Challenge Problem

"Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya."

Sara is a fresh graduate in Karachi who has identified that thousands of working women struggle to find reliable home-based tailoring services. She has a creative concept: a platform connecting certified tailors with customers through a mobile app with real-time tracking and quality guarantee. She has written a document covering her product, target customers, competition (other apps and local tailors), her marketing approach, financing needed, and a 3-year growth plan.

- (a) Walk through the entrepreneurial process for Sara's venture using all 4 steps.
- (b) Is Sara's venture an entrepreneurial venture or a small business? Justify using all distinguishing criteria.
- (c) Sara wants to foster innovation in her team. What structural and human resource variables should she focus on?
- (d) Her creative concept (the app idea) has not yet been built. At what stage is she — creativity or innovation — and what must happen for it to become innovation?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why is innovation considered the most critical element of entrepreneurship, and how does it distinguish entrepreneurial ventures from ordinary small businesses?

Think About It (Roman Urdu): Agar koi business sirf wahi kare jo pehle se ho raha hai — same product, same method — toh woh market mein kya naya laata hai? Entrepreneurship ka essence kya hai agar innovation nahi?

Answer: Innovation entrepreneurship ki defining quality hai kyunki yeh value create karta hai jo pehle exist nahi karti thi. Small businesses existing models copy karte hain aur industry ko change nahi karte. Entrepreneurial ventures naye products, services, ya methods laate hain — isliye inn ka impact industry-wide hota hai aur yahi inhe small businesses se alag karta hai.

Q2: How does the business plan serve purposes beyond just securing financing?

Think About It (Roman Urdu): Agar bank loan mil bhi jaaye, toh kya business plan ki zaroorat khatam ho jaati hai? Entrepreneur ko plan likhne se aur kya milta hai?

Answer: Business plan likhne se entrepreneur har aspect ke baare mein concretely sochne par majboor hota hai — weak spots saamne aate hain. Phir yeh progress measure karne ka benchmark banta hai — kya achieve hua kya nahi. Aur credibility establish karta hai employees, suppliers, aur partners ke saath bhi, sirf bank ke saath nahi. Isliye business plan ek living management tool hai, sirf financing document nahi.

Q3: Why do organizational changes often originate from external forces, and what role do internal forces play in accelerating or resisting that change?

Think About It (Roman Urdu): Koi bhi organization bahar ki duniya se isolated nahi hai — government, market, technology sab effect karte hain. Lekin andar se bhi forces hoti hain — jaise employees ka attitude ya naya equipment. Dono milke change ki speed aur direction decide karte hain.

Answer: External forces (marketplace, laws, technology) organizations ko change karne par majboor karte hain kyunki organization unhe control nahi kar sakti — adapt karna padta hai. Internal forces — jaise strategy shift ya workforce change — ya toh external change ko accelerate karte hain ya resist karte hain. Agar internal culture flexible hai toh external change smoothly absorb hota hai; agar rigid hai toh conflict aur delay hota hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Sequence the four steps of the entrepreneurial process in the correct order.

(Exploring the entrepreneurial context → Identifying opportunity and competitive advantages → Starting the venture → Managing the venture)

Q2: Match each characteristic to the correct business type:

"Fewer than 100 employees, independently owned, no innovative practices" — (Small Business / Entrepreneurial Venture)?

"Growth and profitability as main goals, characterized by innovative practices" — (Small Business / Entrepreneurial Venture)?

(First = Small Business; Second = Entrepreneurial Venture)

Q3: A manager has an idea for a new product but has not yet developed it. Is this creativity or innovation? What step is needed to make it innovation?

(This is creativity — it must be turned into a useful product, service, or method of operation to become innovation)

Q4: Compare creativity and innovation in one sentence each.

(Creativity = ability to combine ideas in a unique way or make unusual associations; Innovation = process of taking a creative idea and turning it into a useful product, service, or method)

Q5: Identify whether each is an internal or external force for change: (a) New government tax regulation; (b) Company decides to adopt a new digital strategy; (c) Skilled labor shortage in the market.

(a) External — government laws; (b) Internal — changes in strategy; (c) External — labor markets)

Q6: What are the four purposes of a business plan?

(Think concretely about every aspect of the business; obtain financing; measure progress; establish credibility with others)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following is the most accurate definition of entrepreneurship?

- A) Opening a small shop independently to earn a living**
- B) Managing an existing large organization more efficiently**
- C) Risking time and money to pursue opportunities to create value and grow through innovation**
- D) Following established business procedures to maintain stability**

Correct Answer: C — Risking time and money to pursue opportunities to create value and grow through innovation

Exam Tip (Roman Urdu): Entrepreneurship ki definition mein teen zaroori cheezein hain: risk, innovation, aur growth/value creation — teeno saath honi chahiye.

Q2: Which of the following best distinguishes an entrepreneurial venture from a small business?

- A) Entrepreneurial ventures have more employees**
- B) Small businesses are always more profitable**
- C) Entrepreneurial ventures pursue growth and innovation; small businesses may not**
- D) Small businesses always fail while entrepreneurial ventures succeed**

Correct Answer: C — Entrepreneurial ventures pursue growth and innovation; small businesses may not

Exam Tip (Roman Urdu): Size ya profitability nahi — innovation pursuit aur growth goal hi asli farq hai.

Q3: A Pakistani entrepreneur has identified a gap in the online tutoring market and is now researching whether her idea is feasible, drafting her business model, and preparing to launch. Which step of the entrepreneurial process is she currently in?

- A) Exploring the entrepreneurial context**
- B) Identifying opportunity and competitive advantages**
- C) Starting the venture**
- D) Managing the venture**

Correct Answer: C — Starting the venture

Exam Tip (Roman Urdu): "Starting the venture" mein feasibility research, planning, organizing, aur launching — yeh sab aate hain.

Q4: Which of the following correctly defines innovation?

- A) The ability to think of original ideas without implementation
- B) The process of taking a creative idea and turning it into a useful product, service, or method
- C) Brainstorming sessions held by management teams
- D) Copying successful practices from competitor organizations

Correct Answer: B — The process of taking a creative idea and turning it into a useful product, service, or method

Exam Tip (Roman Urdu): Innovation = implementation zaroori hai — sirf idea sochna creativity hai, use useful banana innovation hai.

Q5: A software company introduces flexible work structures, provides generous resources for experimentation, and encourages frequent communication between departments. These are examples of which type of innovation-fostering variables?

- A) Human resource variables
- B) Cultural variables
- C) Structural variables
- D) Financial variables

Correct Answer: C — Structural variables

Exam Tip (Roman Urdu): Organic structure, resources, inter-unit communication — yeh teeno structural variables hain. Training, job security, idea champions = HR variables.

Q6: An employee at a tech startup passionately promotes a new software feature, convinces skeptical colleagues, overcomes budget objections, and ensures the feature is successfully launched. This employee is best described as:

- A) A project manager
- B) An idea champion
- C) A functional manager
- D) A change resistor

Correct Answer: B — An idea champion

Exam Tip (Roman Urdu): Idea champion = enthusiastically support kare + resistance overcome kare + implementation ensure kare — yeh teen kaam karta hai.

Q7: Which of the following is an external force for organizational change?

- A) A shift in the company's strategic direction
- B) Introduction of new production equipment
- C) A change in employee attitudes toward work
- D) New government regulations on data privacy

Correct Answer: D — New government regulations on data privacy

Exam Tip (Roman Urdu): External forces bahar se aate hain — government, market, technology, labor markets, economic changes. Andar wali cheezein internal forces hain.

Q8: According to research comparing entrepreneurs and corporate managers, why do entrepreneurs tend to maintain stricter ethical standards?

- A) They have more formal ethics training
- B) They have more control over their own decisions and actions
- C) They face stricter government oversight
- D) They work in smaller teams with greater peer pressure

Correct Answer: B — They have more control over their own decisions and actions

Exam Tip (Roman Urdu): Entrepreneur apna boss hota hai — apne decisions par zyada control hone se woh apni ethical beliefs par zyada aman kar sakta hai.

Q9: Which of the following is a purpose of writing a business plan?

- A) To register the business with the government
- B) To think concretely about every aspect of the business, obtain financing, measure progress, and establish credibility
- C) To replace the need for a management team
- D) To guarantee the success of the entrepreneurial venture

Correct Answer: B — To think concretely about every aspect of the business, obtain financing, measure progress, and establish credibility

Exam Tip (Roman Urdu): Business plan ke 4 purposes hain — inhe ek saath yaad karo, koi ek purpose wala option trap hai.

Q10: Which of the following correctly pairs creativity and innovation?

- A) Creativity = implementation; Innovation = ideation
- B) Creativity = unique idea combination; Innovation = turning that idea into a useful product/service
- C) Both creativity and innovation refer to the same process of generating new ideas
- D) Innovation comes before creativity in the entrepreneurial process

Correct Answer: B — Creativity = unique idea combination; Innovation = turning that idea into a useful product/service

Exam Tip (Roman Urdu): Creativity pehle aati hai (idea banana), innovation baad mein (idea ko reality banana) — sequence mat bhoolna.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein entrepreneurship ki definition, entrepreneurial ventures aur small businesses ka farq, entrepreneurial process ke 4 steps, organizational change ki forces, aur innovation foster karne ke tarike samjhayae gaye.

PART B — Yaad Rakhne Wali Baatein

- **Entrepreneurial venture** = innovation + growth goal; **small business** = independently owned, no necessary innovation, small by choice.
- **Entrepreneurial process** ke 4 steps: context explore → opportunity identify → venture start → venture manage.
- **Business plan** ke 4 purposes: concrete thinking, financing, progress measurement, credibility.
- **Creativity** = unique idea banana; **Innovation** = us idea ko useful product/service mein turn karna — dono alag hain.
- **Idea champions** woh log hain jo innovation ko actively support aur implement karwate hain — innovative organizations inhe encourage karti hain.

PART C — Zaroor Yaad Karo Yeh Frameworks

Entrepreneurial Process (4 Steps):

1. Exploring the entrepreneurial context
2. Identifying opportunity and competitive advantages
3. Starting the venture (feasibility → plan → organize → launch)
4. Managing the venture (processes, people, growth)

Forces for Change:

- **External:** Marketplace, Government laws, Technology, Labor markets, Economic changes
- **Internal:** Strategy change, Workforce change, New equipment, Employee attitudes

Fostering Innovation:

- **Structural:** Organic structure + resources + inter-unit communication
- **HR:** Training + job security + idea champions

PART D — Exam Mein Galti Mat Karna

[!] Har chota business entrepreneurial venture nahi hai — innovation aur growth goal zaroori hai classification ke liye.

[!] Creativity aur innovation same nahi hain — creativity idea hai, innovation uska implementation hai — sequence bhi yaad rakho.

[!] Business plan sirf financing ke liye nahi hota — 4 purposes hain, sirf ek purpose wala option exam mein trap hai.

Lecture 29: Organizing

Subject: MGT503 — Principles of Management

Topic Type: J — Organizing and Structure

Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek army officer hai jise ek naya battalion set up karna hai. Woh decide karta hai ke kaun kaunsa kaam karega, kaun kisse report karega, aur kaunsa officer kis group ka head hoga — yahi organizing hai. Bina is structure ke sab log apni marzi se kaam karenge aur koi goal achieve nahi hoga. Jaise army mein har soldier ka role clear hota hai, waise hi organization mein bhi har position ka role aur reporting line clear honi chahiye.

PART B — Core Concepts

- 1. Organizing:** Management ka doosra function — organization ki structure banana ka process.
- 2. Organization Structure:** Tasks ko divide, group, aur coordinate karne ka formal framework.
- 3. Organization Design:** Structure develop ya change karne ka process — 6 key decisions involve karta hai.
- 4. Organization Chart:** Structure ka visual map — positions, reporting lines, aur communication channels dikhata hai.
- 5. Chain of Command:** Unbroken line of authority — har individual top position se linked hota hai.
- 6. Responsibility:** Kisi position se linked duties perform karne ki obligation.
- 7. Authority:** Manager ka haq — logon ko batao kya karo aur expect karo ke karenge.
- 8. Accountability:** Deviations ke liye jawab dene ki zaroorat — delegation ke baad bhi manager accountable rehta hai.
- 9. Delegation:** Apna kuch kaam, responsibility aur authority doosron ko dena.

PART C — Key Frameworks and Models

- **4 Elements of Organization Structure:** Job design, Departmentalization, Vertical coordination, Horizontal coordination
- **6 Key Elements of Organization Design:** Work specialization, Departmentalization, Chain of command, Span of control, Centralization/Decentralization, Formalization
- **Organization Chart:** Visual map — positions, groupings, reporting relationships, communication channels
- **Delegation Process:** Manager assigns work + responsibility + authority → subordinate performs → manager stays accountable

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Nature of Organization Structure

Organization structure woh formal pattern hai jo management design karta hai taake individuals aur groups ke tasks link ho sakein aur organizational goals achieve ho sakein. Yeh informal pattern se alag hai — informal pattern khud-ba-khud emerge hota hai, formal pattern deliberately design kiya jaata hai.

4 Elements of Organization Structure

1. Job Design: Har position ke liye specific tasks define karna — jaise PTCL mein ek engineer sirf network maintenance kare.

2. Departmentalization: Related jobs ko groups mein organize karna — jaise HBL mein HR, Finance, Operations alag departments.

3. Vertical Coordination: Upar se neeche authority aur information ka flow — manager se subordinate tak.

4. Horizontal Coordination: Same level ke departments ke darmiyan coordination — jaise Marketing aur Sales department milke kaam karein.

6 Key Elements of Organization Design

1. Work Specialization: Kaam ko chote specific tasks mein divide karna — ek worker ek specific kaam mein expert ho jata hai.

2. Departmentalization: Jobs ko groups ya departments mein arrange karna.

3. Chain of Command: Authority ki unbroken line — top se bottom tak har level connected.

4. Span of Control: Ek manager kitne subordinates ko directly supervise kar sakta hai.

5. Centralization/Decentralization: Decision-making authority top pe rakhi jaye ya neeche delegate ki jaye.

6. Formalization: Rules, procedures, aur job descriptions kitne strict aur documented hain.

Organization Chart

Organization chart ek line diagram hota hai jo structure ke outlines dikhata hai. Isme yeh sab show hota hai:

- Major positions ya departments
- Positions ka grouping
- Reporting relationships (lower to higher)
- Official communication channels
- Major positions ke titles

Yeh chain of command ka visual map bhi hota hai — har individual upar tak linked hota hai through managerial layers.

Responsibility, Authority, aur Accountability

Responsibility: Kisi position se attached duties perform karne ki obligation — jaise VU ka department head responsible hai ke courses properly chalen.

Authority: Manager ka inherent right — logon ko kaam dene aur unse expect karne ka haq — jaise hospital in-charge nurses ko duty assign kare.

Accountability: Manager apna kam delegate kar sakta hai lekin jawab dahi nahi jaati — agar subordinate fail kare toh manager bhi accountable hota hai.

Important link: Responsibility + Authority + Accountability teenon saath chalni chahiyein — agar authority bina responsibility ke di jaye ya accountability remove ho jaye toh system fail hota hai.

Delegation

Delegation matlab hai kuch kaam, uski responsibility aur authority subordinate ko dena. Lekin manager khud accountable rehta hai.

Managers Delegation Kyun Resist Karte Hain:

1. Darr ke agar subordinate fail kar gaya
2. Training dene ka time nahi hai
3. Power apne paas rakhna chahte hain
4. Khud woh tasks karna enjoy karte hain
5. Subordinate se threat feel karte hain
6. Delegate karna aata hi nahi

Subordinates Delegation Kyun Resist Karte Hain:

- Fail hone ka darr
- Risk lena se bachna

Consequence of Not Delegating: Manager ki apni career pe serious negative effect pad sakta hai — woh sirf choti cheezein karta rehta hai aur strategic kaam miss karta hai.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Organization Structure aur Organization Design ko same samajhna

Wrong Approach: Dono ek hi cheez hain — structure banana aur design karna same process hai.

Right Approach: Structure = final formal framework; Design = woh process jisse structure banaya ya badla jaata hai.

Wajah: Exam mein dono alag define kiye jaate hain — ek result hai, doosra process.

Mistake 2: Delegation ke baad manager khud ko accountable nahi samajhta

Wrong Approach: Kaam delegate kar diya, ab agar galat hua toh subordinate ki zimmedari hai.

Right Approach: Manager kaam aur authority delegate kar sakta hai lekin accountability wapas

nahi li ja sakti.

Wajah: Yeh ek classic trap hai — delegation $\neq$ accountability transfer.

Mistake 3: Informal aur Formal organization structure ko mix karna

Wrong Approach: Jo bhi pattern emerge ho jata hai woh organization structure hai.

Right Approach: Formal structure deliberately management design karta hai; informal structure khud-ba-khud emerge hota hai.

Wajah: Dono exist karte hain lekin organization structure sirf formal pattern ko refer karta hai.

Mistake 4: 4 elements aur 6 elements ko ek hi list samajhna

Wrong Approach: Organization structure ke 6 elements hain.

Right Approach: Structure ke 4 elements hain (Job design, Departmentalization, Vertical coordination, Horizontal coordination); Design ke 6 elements hain (Work specialization, Departmentalization, Chain of command, Span of control, Centralization/Decentralization, Formalization).

Wajah: MCQ mein yeh dono lists alag alag poochi jaati hain — mix karna marks waste karata hai.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1: A government hospital in Islamabad has doctors, nurses, admin staff, and lab technicians. The head doctor assigns all lab work to a senior technician but later the results come back wrong. The head doctor says "yeh technician ki galti hai, mujhse kya lena." Is the head doctor right? What concepts apply here?

Hint (Roman Urdu): Delegation ke baad responsibility aur authority transfer hoti hai lekin ek cheez nahi hoti — woh kaunsi hai? Accountability ka concept yaad karo.

Problem 2: A textile factory manager draws a chart showing all department heads, who reports to whom, and which department communicates with which. What is this chart called? What five things does it typically show?

Hint (Roman Urdu): Organization chart ke paanch elements yaad karo — positions, groupings, reporting lines, communication channels, aur titles.

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

A newly appointed regional manager at a Pakistani telecom company (like PTCL) refuses to delegate any tasks to his team leads. He personally reviews every report, approves every minor decision, and handles customer complaints himself. His team is underperforming because they feel underutilized and untrained.

- (a) Identify at least four reasons from the lecture why this manager may be resisting delegation.
- (b) What are the consequences of this failure to delegate — for the manager and for the organization?
- (c) Using the concepts of responsibility, authority, and accountability, explain what proper delegation would look like in this situation.
- (d) How does this situation relate to the 6 key elements of organization design?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why does accountability not transfer even when a manager delegates work and authority to a subordinate?

Think About It (Roman Urdu): Agar ek school principal apne teacher ko exams conduct karne ki zimmedari de de, toh agar kuch galat ho toh board kisse poochega — teacher ko ya principal ko?

Answer: Accountability managerial position se attached hoti hai, task se nahi. Jab manager delegate karta hai toh woh kaam aur authority transfer karta hai lekin organization ki nazar mein woh manager hi results ke liye jawabdeh rehta hai. Isliye delegation ke baad bhi manager apni responsibility se bach nahi sakta.

Q2: Why might a manager's refusal to delegate actually harm their own career?

Think About It (Roman Urdu): Agar ek army officer khud hi har chhoti cheez karta rahe aur kabhi subordinates ko train na kare — kya woh kabhi promote hoga?

Answer: Agar manager delegate nahi karta toh woh sirf operational choti cheezoon mein phas jaata hai aur strategic kaam pe focus nahi kar pata. Iske saath saath subordinates develop nahi hote aur organization ki capacity limited rehti hai. Yeh manager ki apni growth aur reputation dono ke liye seriously harmful hota hai.

Q3: What is the difference between formal and informal organization structure, and why does the distinction matter?

Think About It (Roman Urdu): Sarkari office mein officially toh boss ka hukum chalta hai — lekin kabhi kabhi ek senior clerk sab kuch control karta hai informally. Dono alag hain na?

Answer: Formal structure management deliberately design karta hai — charts, reporting lines, official roles. Informal structure khud-ba-khud emerge hota hai — friendships, influence, unofficial communication. Dono simultaneously exist karte hain. Distinction isliye important hai kyunke sirf formal structure manage kiya ja sakta hai — informal ko samajh ke saath handle karna padta hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange the following in the correct sequence of what an organization chart typically shows:
Titles → Reporting relationships → Major positions → Groupings → Communication channels
(**Major positions → Groupings → Reporting relationships → Communication channels → Titles**)

Q2: Match each term with its correct definition:

- Right to tell people what to do → (**Authority**)
- Obligation to perform duties → (**Responsibility**)
- Answering for deviations from expected results → (**Accountability**)
- Assigning work + authority to others → (**Delegation**)

Q3: A manager at HBL says "Main delegate karta hoon lekin darr lagta hai ke subordinate galti karega aur mujhe sharam aayegi." Which reason for resisting delegation does this represent?
(**Fear that subordinates will fail**)

Q4: Compare: What is the difference between organization structure and organization design?
(**Structure = formal framework of tasks/coordination; Design = process of developing or changing that structure**)

Q5: Name the 6 key elements of organization design in correct order as given in the lecture.
(**Work specialization → Departmentalization → Chain of command → Span of control → Centralization/Decentralization → Formalization**)

Q6: A manager completes delegated tasks himself because he "enjoys doing them." Which barrier to delegation is this?
(**Managers enjoy doing the tasks subordinates could do**)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following is the most accurate definition of "organizing" as a management function?

- A) Setting goals and objectives for the organization
- B) Creating the organization's structure to link tasks and achieve goals
- C) Monitoring employee performance against set standards
- D) Developing strategic plans for long-term growth

Correct Answer: B — Creating the organization's structure to link tasks and achieve goals

Exam Tip (Roman Urdu): Organizing = structure banana — planning ya controlling se mix mat karna.

Q2: Which of the following is NOT one of the four elements of organization structure?

- A) Job design
- B) Departmentalization

- C) Span of control
- D) Vertical coordination

Correct Answer: C — Span of control

Exam Tip (Roman Urdu): Span of control organization design ka element hai, structure ka nahi — yeh ek common trap hai.

Q3: A hospital administrator assigns a senior nurse to manage ward operations and gives her the necessary authority. However, when a patient complaint arises, the administrator is still held responsible. This illustrates which concept?

- A) Delegation eliminates accountability
- B) Authority cannot be shared
- C) Accountability remains with the manager even after delegation
- D) Responsibility transfers completely upon delegation

Correct Answer: C — Accountability remains with the manager even after delegation

Exam Tip (Roman Urdu): Delegation ke baad bhi manager accountable rehta hai — yeh rule yaad rakho.

Q4: The chain of command in an organization chart refers to:

- A) The informal communication network among employees
- B) The unbroken line of authority linking each individual to the top position
- C) The set of rules governing employee behavior
- D) The number of subordinates a manager can supervise

Correct Answer: B — The unbroken line of authority linking each individual to the top position

Exam Tip (Roman Urdu): Chain of command = authority ki unbroken line — top se bottom tak.

Q5: A manager at a textile factory refuses to delegate because she fears her subordinates will outperform her and threaten her position. Which reason for resisting delegation does this represent?

- A) Lack of time to train subordinates
- B) Fear that subordinates will fail
- C) Feeling threatened by capable subordinates
- D) Enjoyment of doing subordinates' tasks

Correct Answer: C — Feeling threatened by capable subordinates

Exam Tip (Roman Urdu): "Threat feel karna" aur "fail hone ka darr" — dono alag reasons hain, confuse mat karna.

Q6: Which of the following best describes "formalization" as an element of organization design?

- A) The degree to which decision-making is concentrated at the top
- B) The number of levels in the organizational hierarchy
- C) The extent to which jobs, rules, and procedures are standardized and documented

D) The way tasks are grouped into departments

Correct Answer: C — The extent to which jobs, rules, and procedures are standardized and documented

Exam Tip (Roman Urdu): Formalization = rules aur procedures ka documentation — centralization se alag concept hai.

Q7: How does organization design differ from organization structure?

A) Design is the end result; structure is the process

B) Structure involves six key elements; design involves four

C) Design is the process of developing or changing structure; structure is the formal framework

D) Design applies only to large organizations; structure applies to all

Correct Answer: C — Design is the process of developing or changing structure; structure is the formal framework

Exam Tip (Roman Urdu): Design = process, Structure = result — simple distinction lekin MCQ mein seedha aata hai.

Q8: Which of the following is a reason why subordinates resist delegation?

A) They want more authority

B) They fear failure or risk-taking

C) They feel they lack formal authority over peers

D) They prefer strategic tasks over operational ones

Correct Answer: B — They fear failure or risk-taking

Exam Tip (Roman Urdu): Subordinates ka resistance sirf ek reason se hai — failure aur risk ka darr — manager ke chhe reasons se alag hai.

Q9: Who is primarily responsible for creating an organization's formal structure?

A) Employees through informal interaction

B) External consultants hired by the board

C) Management through deliberate design

D) Government regulatory bodies

Correct Answer: C — Management through deliberate design

Exam Tip (Roman Urdu): Formal structure deliberately management banata hai — informal structure khud emerge hota hai.

Q10: Which of the following elements is common to BOTH organization structure and organization design?

A) Span of control

B) Departmentalization

C) Formalization

D) Centralization

Correct Answer: B — Departmentalization

Exam Tip (Roman Urdu): Departmentalization dono lists mein hai — structure ke 4 elements aur design ke 6 elements dono mein — yeh overlap yaad rakhna.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein humne seekha ke organizing kya hoti hai, organization structure aur design mein kya farq hai, organization chart kya dikhata hai, aur authority, responsibility, accountability aur delegation ke concepts kya hain.

PART B — Yaad Rakhne Wali Baatein

- **Organizing** = structure banana taake tasks link hon aur goals achieve hon.
- **Structure** = formal framework (4 elements); **Design** = structure banana ka process (6 elements).
- **Organization chart** = visual map — positions, groupings, reporting lines, communication channels, titles.
- **Delegation** mein kaam aur authority transfer hoti hai lekin **accountability** manager ke paas rehti hai.
- Manager delegation isliye resist karta hai — power, fear, enjoyment, time, threat, ya na jaanna.

PART C — Zaroor Yaad Karo Yeh Frameworks

4 Elements of Organization Structure:

1. Job Design
2. Departmentalization
3. Vertical Coordination
4. Horizontal Coordination

6 Elements of Organization Design:

1. Work Specialization
2. Departmentalization
3. Chain of Command
4. Span of Control
5. Centralization/Decentralization
6. Formalization

Delegation Rule: Responsibility + Authority → Delegate ho sakti hai | Accountability → Nahi hoti transfer

PART D — Exam Mein Ghalti Mat Karna

[!] Structure aur Design alag hain — 4 elements structure ke hain, 6 elements design ke — mix

mat karna.

[!] Delegation ke baad manager accountable rehta hai — yeh rule MCQ mein seedha test hota hai.

[!] Span of control organization design ka element hai, structure ka nahi — do not confuse the two lists.

Lecture 30: Job Design/Specialization and Departmentalization

Subject: MGT503 — Principles of Management

Topic Type: J — Organizing and Structure

Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek bari textile factory hai Faisalabad mein. Factory owner ne decide kiya ke kaun sa kaam kaun karega — kuch log sirf stitching karenge, kuch sirf cutting, kuch sirf packing. Yeh hai job design aur work specialization. Ab jab factory bari ho gayi toh usne alag alag departments banaye — marketing, accounts, production. Yeh hai departmentalization. Jaise army mein har regiment ka apna kaam hota hai, har soldier jaanta hai uski duty kya hai.

PART B — Core Concepts

- 1. Job Design:** Har job ke saath kaun se tasks associated honge — yeh decide karna
- 2. Work Specialization / Division of Labor:** Kaam ko chhote chhote hisson mein todna — Adam Smith ne trace kiya
- 3. Job Simplification:** Job itni simple banao ke worker sirf thoda repetitive kaam kare — Adam Smith aur Frederick Taylor ne champion kiya
- 4. Departmentalization:** Logon aur units ko groups mein organize karna taake organizational goals achieve ho sakein
- 5. Human Diseconomies:** Zyada specialization se boredom, fatigue, absenteeism, poor quality aur turnover badh jaata hai
- 6. Process Structure:** Ek team ko ek poore process ki responsibility di jaati hai — horizontal organization bhi kehte hain
- 7. Networked Structure:** Kaafi functions baahri firms ko outsource kiye jaate hain — virtual corporation bhi kehte hain

PART C — Key Frameworks and Models

- **Functional Structure:** Skills ke basis pe grouping — ek hi type ke log ek department mein
- **Divisional Structure:** Product, geography, ya customer ke basis pe grouping — self-contained units
- **Hybrid Structure:** Functional aur divisional dono ka combination ek saath
- **Matrix Structure:** Functional upar, divisional horizontal — employee ke do bosses hote hain
- **Process Structure:** Ek team ko ek process ki shuru se aakhir tak zimmedari
- **Networked Structure:** Kaam outsource, IT se coordinate — virtual corporation

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Building Blocks of Organizing

Job Design

Job design ka matlab hai har job ke liye tasks specify karna jo regular basis pe repeat hote hain. Tasks ko logical tarike se group karna zaroori hai. Job ka configuration seedha employee motivation ko affect karta hai. Example: PTCL mein customer service rep ka job design determine karta hai ke woh sirf calls receive karega ya billing bhi sambhalega.

Work Specialization (Division of Labor)

Organizational goals achieve karne ke liye kaam ko alag alag jobs mein todna. Adam Smith ne pehle trace kiya. Fayde:

1. Workers apne skill ke mutabiq kaam karte hain — efficiency badhti hai
2. Training easy aur fast hoti hai
3. Special machinery aur inventions encourage hoti hain
4. Productivity mein improvement hoti hai — ek hadd tak

Nuqsanat (Human Diseconomies):

- Boredom, fatigue, stress
- Lowered productivity, poor quality
- Increased absenteeism aur job turnover

Four Approaches to Job Design

1. Job Simplification

Job ko itna narrow karo ke worker sirf choti repetitive activities kare. Adam Smith aur Frederick Taylor ne champion kiya.

- **Fayda:** Production efficiency, easy training, workers almost interchangeable
- **Nuqsan:** Zyada hone pe job satisfaction khatam, firm inflexible ho jaati hai varying customer needs ke liye

-

Types of Departmentalization

Departmentalization = individuals ko units mein aur units ko departments mein cluster karna taake organizational goals achieve ho sakein.

A. Functional Structure

Jobs ko main functional area ke basis pe group karna — jaise marketing, accounting, HR.

Advantages:

- In-depth expertise develop hoti hai
- Employees ka clear career path hota hai apne function mein
- Resources efficiently use hote hain
- Economies of scale possible — specialized people aur equipment
- Intradepartmental coordination easy hoti hai
- Specialized technical competencies competitive advantage ban sakti hain

Disadvantages:

- Multifunctional problems pe response slow hota hai
- Cross-department conflicts top management tak jaate hain — delay hoti hai
- Sequential tasks se bottlenecks bante hain
- Over-specialization se restricted view aata hai
- Performance measure karna mushkil — kai functions responsible hote hain
- Managers ek hi function mein trained rehte hain

Best Used When:

- Organization small ya medium size ki ho
- Limited related products/services hon
- Large diverse organization ho lekin environment stable ho

Pakistani Example: HBL mein alag alag departments — IT, HR, Finance, Marketing — sab apne function mein specialized.

B. Divisional Structure

Jobs ko products, services, ya markets ke basis pe group karna. "Self-contained" structure — har division ke paas apne resources hote hain.

Teen Major Forms:

i. Product Divisions: Ek specific product ke liye — Example: Unilever Pakistan mein alag division Surf ke liye, alag Lipton ke liye

ii. Geographic Divisions: Alag geographical areas ke liye — Example: bank ki North zone, South zone

iii. Customer Divisions: Alag customer types ke liye — Example: corporate clients vs retail clients

Advantages:

- a. Environment changes pe quick reaction
- b. Cross-functional coordination easy
- c. Customer focus strong
- d. Performance easily measured per division
- e. Managers general management skills seekhte hain

Disadvantages:

- a. Resources duplicate hote hain har division mein
- b. In-depth expertise sacrifice hoti hai
- c. Divisions limited resources ke liye compete karte hain
- d. Expertise divisions mein share nahi hoti
- e. Innovations ek division tak confined rehti hain
- f. Division goals overall organizational goals se upar aa sakte hain

Best Used When: Large organizations jahan products, areas, ya customers mein substantial differences hon.

C. Hybrid Structure

Functional aur divisional dono ka combination ek saath — same management level pe.

Advantages:

- a. Corporate aur divisional goals align ho sakte hain
- b. Functional areas mein economies of scale aur expertise
- c. Diverse product lines ya markets ke liye adaptability

Disadvantages:

- a. Departments aur divisions ke beech conflict ho sakta hai
- b. Corporate-level functional departments mein staff zyada ho jaata hai
- c. Division aur corporate function ke beech coordination mein slow response

Best Used When:

- Environmental uncertainty ho lekin functional expertise bhi zaroori ho

- Organization ke paas sufficient resources hon

D. Matrix Structure

Functional structure ke upar horizontal divisional reporting relationships superimpose karna. Ek employee ke **do bosses** hote hain — unity-of-command principle violate hota hai.

Four Stages of Matrix Development:

Stage 1: Traditional structure — functional, unity of command follow hota hai

Stage 2: Temporary overlay — managerial integrators create hote hain finite duration issues ke liye

Stage 3: Permanent overlay — managerial integrator positions permanent ho jaati hain

Stage 4: Mature matrix — matrix bosses ke paas equal power hoti hai

Advantages:

- a. Decision making decentralized ho sakti hai
- b. Horizontal coordination strong hoti hai
- c. Environmental monitoring improved hota hai
- d. Environment changes pe quick response
- e. Functional specialists projects mein add/remove ho sakte hain
- f. Support systems projects ko allocate ho sakte hain

Disadvantages:

- a. Administrative costs increase ho jaate hain
- b. Authority aur responsibility lines unclear ho sakte hain
- c. Conflict ki possibility badhti hai
- d. Employees internal relations pe zyada focus kar sakte hain
- e. Sab decisions group decisions ban sakte hain — gross inefficiency
- f. Interpersonal skills ki kami se change pe slow reaction

Best Used When (Three Conditions):

- i. Environment se strong pressure ho aur functional + divisional dono pe focus zaroori ho
- ii. Demands changing aur unpredictable hon — fast information processing chahiye
- iii. Shared resources ka pressure ho

Success Factors: Organizational culture collaboration support kare; managers ko interpersonal relations ki special training di jaaye.

E. Process Structure

Positions ko process teams mein group karna — team ko ek poore process ki beginning-to-end responsibility di jaati hai. **Horizontal organization** bhi kehte hain.

Example: Hospital mein ek team patient admission se discharge tak poora process sambhalti hai.

F. Networked Structure

Kai functions independent baahri firms ko contract out kiye jaate hain aur IT networks se coordinate kiye jaate hain. **Virtual corporation** bhi kehte hain.

Example: Ek Pakistani startup jo manufacturing China ko outsource kare, marketing agency USA mein rakhe, aur sab kuch IT systems se manage kare.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Matrix Structure Mein Unity of Command Assume Karna

Wrong Approach: Student likhta hai matrix mein bhi ek hi boss hota hai

Right Approach: Matrix mein employee ke do bosses hote hain — ek functional, ek divisional — unity of command deliberately violate hota hai

Wajah: Yeh matrix ki defining feature hai — exam mein seedha is point pe MCQ aata hai

Mistake 2: Divisional Structure Ko "Self-Contained" Nahi Samajhna

Wrong Approach: Student sochta hai divisions bhi functional departments ki tarah ek doosre pe depend karti hain

Right Approach: Divisional structure "self-contained" hoti hai — har division ke paas apne functional resources hote hain, doosri divisions pe reliance nahi

Wajah: Yeh divisional structure ki key characteristic hai jo isko functional se alag karti hai

Mistake 3: Hybrid Ko Sirf "Mix" Samajhna Bina Conditions Ke

Wrong Approach: Student likhta hai hybrid hamesha best option hai kyunki yeh dono ka faida deta hai

Right Approach: Hybrid sirf tab best hai jab environmental uncertainty aur functional expertise dono ki zaroorat ho aur sufficient resources hon — warna overhead badhta hai

Wajah: Har structure ki specific conditions hoti hain — blindly hybrid choose karna galat approach hai

Mistake 4: Work Specialization Ko Hamesha Positive Samajhna

Wrong Approach: Student likhta hai jitni zyada specialization utni zyada productivity

Right Approach: Specialization ek hadd tak productive hai — usse aage human diseconomies shuru hote hain: boredom, fatigue, absenteeism, poor quality

Wajah: Lecture clearly kehta hai "up to a certain point" — yeh caveat exam mein important hai

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

A large Pakistani textile company has separate departments for Weaving, Dyeing, Stitching, Marketing, and Finance. All employees in each department report to one department head. Now the company is expanding to three product lines — Bed Sheets, Curtains, and Uniforms — and wants each product line to have its own marketing, finance, and production teams. Which type of structure change is happening and what are two risks the company should prepare for?

Hint (Roman Urdu): Pehle structure identify karo — skills ke basis pe tha ya products ke basis pe? Ab kya ho raha hai? Aur divisional structure ki disadvantages mein se do dhundho jo is expansion mein relevant lagein.

Problem 2:

A software company in Lahore has functional departments (Development, QA, Sales). They hire project managers for each client project who need to coordinate across all these departments. Developers, QA engineers, and sales staff still report to their functional heads but also report to the project manager for their assigned project.

What structure is this? Identify one advantage and one disadvantage the company will likely experience.

Hint (Roman Urdu): Do reporting lines = kaunsi structure? Unity of command ka kya hoga? Phir advantages aur disadvantages ki list mein se situation ke hisaab se sochna.

PART B — Challenge Problem

"Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya."

PIA (Pakistan International Airlines) currently uses a functional structure — separate departments for Operations, Finance, HR, Marketing, and Engineering. However, they are facing three simultaneous pressures: (1) domestic routes, international routes, and cargo services each need very different customer strategies; (2) the environment is highly uncertain due to fuel price volatility and changing regulations; (3) the engineering and finance departments need to remain centralized for expertise and cost efficiency.

Evaluate which organizational structure — divisional, hybrid, or matrix — PIA should adopt. For each option, state one reason it fits and one reason it does not fully fit PIA's situation. Then recommend one structure with justification referencing the specific conditions from the lecture.

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why does work specialization improve productivity only "up to a certain point" and not indefinitely?

Think About It (Roman Urdu): Socho ek factory worker jo 8 ghante sirf ek hi bolt tighten karta rahe — pehle fast hoga, phir kya hoga uske saath mentally aur physically?

Answer: Shuru mein specialization se skill improve hoti hai, training easy hoti hai, aur efficiency badhti hai. Lekin ek hadd ke baad human diseconomies shuru hote hain — boredom, fatigue, stress, poor quality, aur high turnover. Productivity gain negative ho jaata hai jab psychological aur physical costs fayde se zyada ho jaate hain.

Q2: Why does the matrix structure violate the unity-of-command principle, and why do organizations still use it despite this violation?

Think About It (Roman Urdu): Do bosses hone se confusion kyun hota hai? Phir socho — kab do bosses ka hona faydemand ho sakta hai?

Answer: Matrix mein employee ek functional boss aur ek divisional/project boss ko report karta hai — yeh unity of command violate karta hai aur authority confusion aur conflict create kar sakta hai. Lekin organizations tab bhi use karte hain jab environment ke teez pressure mein functional expertise aur product/project focus dono simultaneously zaroori hon. Shared resources ka efficient use matrix se possible hota hai jo sirf functional ya sirf divisional structure se nahi hota.

Q3: In what specific situation would a functional structure be MORE appropriate than a divisional structure for a large organization?

Think About It (Roman Urdu): Bada hone ka matlab hamesha divisional nahi — sochna ke kab ek bari company ko bhi functional structure se faida ho sakta hai?

Answer: Ek bari organization bhi functional structure use kar sakti hai jab uska environment stable ho — yani frequent changes nahi aate. Agar products ya services relatively homogeneous hon aur diverse customer segments nahi hon, toh functional structure ki economies of scale aur in-depth expertise zyada valuable hoti hain divisional structure ke duplication aur lack of expertise se compare karke.

SECTION 7 — EXAM STYLE QUIZ

Q1: Sequence the four stages of matrix structure development from earliest to most advanced.

Answer: (Stage 1: Traditional functional → Stage 2: Temporary overlay → Stage 3: Permanent overlay → Stage 4: Mature matrix with equal power bosses)

Q2: Match each structure to its defining feature: (i) Functional, (ii) Divisional, (iii) Hybrid, (iv) Matrix

Options: Two bosses per employee / Skills-based grouping / Product or market grouping / Combination of functional and divisional

Answer: ((i) Skills-based grouping, (ii) Product or market grouping, (iii) Combination of functional and divisional, (iv) Two bosses per employee)

Q3: A company selling three different products — furniture, electronics, and clothing — creates three separate units each with their own HR, Finance, and Marketing teams. Which departmentalization type is this and what is one likely disadvantage?

Answer: (Divisional structure — product divisions; disadvantage: duplication of resources across all three divisions)

Q4: Compare functional and divisional structures on the dimension of performance measurement.

Answer: (Functional: difficult to measure — multiple functions share responsibility for results; Divisional: easier to measure — each division's performance is distinct and self-contained)

Q5: A startup outsources its manufacturing to China, its customer service to a call center in Karachi, and its logistics to a third-party company, all coordinated via an IT platform. What organizational structure is this?

Answer: (Networked structure / virtual corporation)

Q6: Under which three conditions is a matrix structure most appropriate?

Answer: (i) Simultaneous strong focus on functional AND divisional dimensions needed; (ii) Demands are changing and unpredictable requiring fast coordination; (iii) There is pressure for shared resources)

SECTION 8 — EXAM MCQs (VU Style)

Q1: What is departmentalization?

A) The process of hiring employees for specialized tasks

B) The clustering of individuals into units and departments to facilitate achieving organizational goals

C) The method of evaluating employee performance by department

D) The process of eliminating redundant job roles in an organization

Correct Answer: B — The clustering of individuals into units and departments to facilitate achieving organizational goals

Exam Tip (Roman Urdu): Departmentalization ka definition "clustering" aur "facilitate goals" — yeh do keywords pakke yaad rakho

Q2: Which type of departmentalization groups jobs based on similarity of expertise and work activities?

A) Divisional structure

B) Matrix structure

C) Functional structure

D) Networked structure

Correct Answer: C — Functional structure

Exam Tip (Roman Urdu): Functional = function/expertise ke basis pe — marketing sab marketers ke saath, HR sab HR wale saath

Q3: A large pharmaceutical company in Pakistan creates separate units for its cardiac drugs division, diabetes drugs division, and general medicines division, each with their own sales, finance, and production teams. Which structure is this?

- A) Functional structure
- B) Hybrid structure
- C) Matrix structure
- D) Divisional structure — product divisions

Correct Answer: D — Divisional structure — product divisions

Exam Tip (Roman Urdu): Jab har product ke saath apne sab resources hoon — self-contained — woh divisional hai

Q4: A software firm assigns developers to client projects where they report to both their Development Manager and the Project Manager simultaneously. Which principle is being violated?

- A) Division of labor
- B) Unity of command
- C) Scalar chain
- D) Span of control

Correct Answer: B — Unity of command

Exam Tip (Roman Urdu): Do bosses = unity of command violation — matrix structure ki pehchaan yahi hai

Q5: Which of the following is a disadvantage of the functional structure?

- A) Duplication of resources across departments
- B) Managers trained too broadly
- C) Response time on multifunctional problems may be slow
- D) Each unit competes for the same customers

Correct Answer: C — Response time on multifunctional problems may be slow

Exam Tip (Roman Urdu): Functional ka bada nuqsan coordination problems — multifunctional issues mein delay hoti hai

Q6: Which of the following best describes the "networked structure"?

- A) A structure where employees report to two managers simultaneously
- B) A structure that combines functional and divisional departments at the same level
- C) A structure where many functions are contracted to independent firms and coordinated via IT
- D) A structure where teams are given full responsibility for one process from start to finish

Correct Answer: C — A structure where many functions are contracted to independent firms and coordinated via IT

Exam Tip (Roman Urdu): Networked = virtual corporation — outsourcing + IT coordination
yeh do cheezein define karti hain ise

Q7: What distinguishes the divisional structure from the functional structure in terms of resource allocation?

- A) Divisional structures share all resources centrally; functional structures do not
- B) Divisional structures are self-contained with their own functional resources; functional structures pool resources centrally
- C) Functional structures duplicate resources; divisional structures eliminate duplication
- D) Both structures allocate resources in exactly the same way

Correct Answer: B — Divisional structures are self-contained with their own functional resources; functional structures pool resources centrally

Exam Tip (Roman Urdu): "Self-contained" divisional ka keyword hai — exam mein yeh word dekho toh divisional samjho

Q8: Work specialization was first traced to the writings of which thinker?

- A) Frederick Taylor
- B) Henri Fayol
- C) Adam Smith
- D) Max Weber

Correct Answer: C — Adam Smith

Exam Tip (Roman Urdu): Work specialization / division of labor = Adam Smith — Taylor ne baad mein champion kiya lekin origin Adam Smith se hai

Q9: Which of the following is an advantage of the matrix structure?

- A) Clear lines of authority and responsibility
- B) Low administrative costs
- C) Functional specialists can be added to or removed from projects as needed
- D) Elimination of the need for cross-functional coordination

Correct Answer: C — Functional specialists can be added to or removed from projects as

needed

Exam Tip (Roman Urdu): Matrix ka bada fayda flexibility hai — specialists ko projects mein move karna easy hota hai

Q10: What is the "process structure" also known as?

- A) Virtual corporation
- B) Horizontal organization
- C) Self-contained structure
- D) Mature matrix

Correct Answer: B — Horizontal organization

Exam Tip (Roman Urdu): Process structure = horizontal organization — yeh two names ek hi cheez ke hain, exam mein dono names aate hain

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein humne seekha ke kaam ko kaise design kiya jaata hai aur organizations ko kaise functional, divisional, hybrid, matrix, process, ya networked structures mein organize kiya jaata hai — har ek ke apne fayde aur nuqsanat hain.

PART B — Yaad Rakhne Wali Baatein

- **Work specialization Adam Smith ne trace kiya** — productivity badhti hai lekin ek hadd ke baad human diseconomies shuru hote hain
- **Functional structure** expertise deta hai lekin cross-department coordination slow hoti hai
- **Divisional structure self-contained** hoti hai — har division ke apne resources — lekin duplication hoti hai
- **Matrix mein do bosses** hote hain — unity of command violate hota hai — 4 stages hain
- **Networked structure = virtual corporation** — outsourcing + IT coordination

PART C — Zaroor Yaad Karo Yeh Frameworks

Four Departmentalization Types — Strength/Weakness:

1. **Functional:** In-depth expertise ✓ | Slow multifunctional response X
2. **Divisional:** Quick environmental response ✓ | Resource duplication X

3. Hybrid: Best of both worlds ✓ | Conflict between divisions and departments X

4. Matrix: Flexibility aur coordination ✓ | Two bosses, complexity, conflict X

Two Emerging Structures:

5. Process Structure: Beginning-to-end process responsibility = horizontal organization

6. Networked Structure: Outsourcing + IT = virtual corporation

Matrix 4 Stages:

1. Traditional → 2. Temporary overlay → 3. Permanent overlay → 4. Mature matrix

PART D — Exam Mein Ghalti Mat Karna

[!] Matrix mein unity of command violate hota hai — do bosses hote hain — yeh bug nahi feature hai matrix ka

[!] Divisional = self-contained — functional aur divisional ko mix mat karna — har division ke apne resources hote hain

[!] Work specialization hamesha productive nahi — "up to a certain point" — usse aage boredom, fatigue aur turnover badhte hain

Lecture 31: Span of Control, Centralization vs. Decentralization, and Line vs. Staff Authority

Subject: MGT503 — Principles of Management

Topic Type: J — Organizing and Structure

Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek army officer hai — agar uske neeche 50 soldiers hain toh woh sab ko theek se manage nahi kar sakta, aur agar sirf 2 hain toh uska time waste ho raha hai. Yahi Span of Control ka masla hai. Ab socho ek bank ka Head Office — agar Karachi se har chhoti cheez decide ho toh branches slow ho jaayengi. Isliye kuch decisions neeche delegate kiye jaate hain — yahi Centralization vs Decentralization hai. Aur Line manager woh hai jo actual kaam ka zimmedaar hai, Staff manager woh expert hai jo advice deta hai.

PART B — Core Concepts

1. Vertical Coordination: Top se bottom tak activities ko link karna taake organizational goals achieve hon.

- 2. Formalization:** Written rules, policies, job descriptions — kitna kuch document mein likha hua hai.
- 3. Span of Control:** Ek manager ke directly neeche kitne subordinates report karte hain.
- 4. Tall Structure:** Narrow span + bohot saare hierarchical levels — lambi chain.
- 5. Flat Structure:** Broad span + kam levels — seedhi aur fast structure.
- 6. Downsizing:** Middle management layers kam karna, span barhana, workforce chhhota karna.
- 7. Restructuring:** Major organizational change — management levels reduce + divestiture/acquisition bhi.
- 8. Centralization:** Power aur authority top levels pe retain karna.
- 9. Decentralization:** Power aur authority neeche ke levels ko delegate karna.
- 10. Line Position:** Organization ke major goals achieve karne ki authority aur zimmedari wali position.
- 11. Staff Position:** Line positions ko specialized expertise aur assistance dene wali position.
- 12. Line Authority:** Formal hierarchy ki chain of command follow karna.
- 13. Functional Authority:** Staff department ki apne function se related matters mein doosron pe authority.
- 14. Horizontal Coordination:** Similar levels pe cross-department activities ko link karna.
- 15. Managerial Integrator:** Woh manager jo multiple functional departments ke related kaam coordinate kare.

PART C — Key Frameworks and Models

- **Tall vs Flat Structure:** Narrow span = tall, many levels | Broad span = flat, few levels
- **Centralization vs Decentralization:** Top pe power retain karna vs neeche delegate karna
- **Line vs Staff Authority:** Line = chain of command authority | Staff = functional/expert authority
- **Downsizing:** Layers reduce karo, spans barhao, workforce shrink karo
- **Restructuring:** Major structural change — levels reduce + divestiture/acquisition
- **Horizontal Coordination:** Cross-department linking at same level — innovation promote karta hai
- **Managerial Integrator Types:** Project Manager, Product Manager, Brand Manager

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Vertical Coordination

Vertical coordination matlab top management aur middle/lower levels ki activities ko aise link karna ke organizational goals achieve hon. Yeh coordination formalization aur span of control ke zariye hoti hai.

Formalization

Formalization woh degree hai jisme written policies, rules, procedures, aur job descriptions actions specify karte hain. Kuch formalization zaroori hai — taake har baar naye sar se decision na karna pade aur inequity na ho. Lekin zyada formalization se operations slow ho jaate hain, change pe react karna mushkil hota hai, aur creativity khatam ho jaati hai. Jaise government offices mein itna procedure hota hai ke chhoti cheez ke liye bhi hafte lag jaate hain — yeh over-formalization hai.

Span of Control

Span of control = ek manager ke directly report karne wale subordinates ki tadaad. Na zyada ho na kam. Koi universal correct number nahi — depend karta hai circumstances pe.

Span broader ho sakta hai jab:

- **a.** Subordinates ka kaam independent ho — doosron se zyada interaction na chahiye
- **b.** Manager aur subordinates highly competent hon
- **c.** Subordinates ka kaam similar ho
- **d.** Problems infrequent hon
- **e.** Subordinates physically paas hon
- **f.** Manager ke paas supervisory ke علاوة kam extra duties hon
- **g.** Manager ke paas assistants/secretaries ka support ho
- **h.** Kaam challenging enough ho ke subordinates khud motivated hon

Tall vs Flat Structure

Feature	Tall Structure	Flat Structure
Span of Control	Narrow	Broad
Hierarchical Levels	Many	Few
Communication Speed	Slow	Fast
Decision Making	Slower	Faster
Example	Army hierarchy	Modern tech startups

Problems of Very Tall Organizations:

- Administrative overhead zyada hoti hai
- Communication aur decision making slow hoti hai
- Responsibility pinpoint karna mushkil hota hai
- Dull, routine jobs encourage hote hain

Downsizing vs Restructuring

Downsizing: Middle management layers significantly reduce karna, spans expand karna, workforce shrink karna.

- **Done well:** Costs kam, faster decisions, challenging jobs, fewer redundancies, more innovation
- **Done poorly:** Valuable employees ka nuksan, survivors demoralized, productivity decline
- Research: Sirf thodi companies mein profits/productivity increase — zyada mein morale decrease

Restructuring: Major organizational structural change — management levels reduce + divestiture (kisi unit ko bechna) aur/ya acquisition (kisi company ko khareedna) bhi ho sakti hai.

Centralization vs Decentralization

Centralization ke advantages:

- **a.** Different units ki activities coordinate karna aasaan
- **b.** Top managers zyada experienced — better decisions
- **c.** Top managers ka broader perspective hota hai
- **d.** Duplication of effort avoid hoti hai
- **e.** Strong leadership promote hoti hai

Decentralization ke advantages:

- **a.** Top managers major issues pe focus kar sakte hain
- **b.** Lower-level employees ke jobs challenging aur enriched hote hain
- **c.** Decisions faster hote hain
- **d.** Lower-level managers problem ke paas hote hain — better positioned to decide
- **e.** Independent divisions emerge hoti hain — measurable outputs ke saath

Decentralization ki taraf jao jab:

- **a.** Organization itni badi ho ke top managers sab decisions nahi kar sakte
- **b.** Operations geographically dispersed hon
- **c.** Top managers complex technology ke saath up nahi reh sakte
- **d.** Environment increasingly uncertain ho

Line vs Staff Authority

Line Position: Organization ke major goals achieve karne ki direct authority aur zimmedari.
Example: PIA mein Operations Manager.

Staff Position: Line positions ko specialized expertise deta hai. Example: PIA mein HR Manager ya Legal Advisor.

Line Authority: Formal hierarchy ki chain of command follow karta hai — seedha upar se neeche.

Functional Authority (Staff): Staff department ki apne function se related matters mein doosron pe authority. Example: HR department ka policy matters mein poori organization pe authority.

Line-Staff Conflicts aur Solutions:

Conflict Type	Solution
Staff personnel line authority usurp kar len	Lines of authority clearly define karo
Line personnel staff departments ki zimmedari chhor den	Teamwork encourage karo
General line-staff friction	Roles aur boundaries clarify karo

Trend: Corporate-level staff positions cost cutting mein reduce ki ja rahi hain.

Horizontal Coordination aur Innovation

Horizontal coordination = same level pe across departments activities link karna. Jab zyada coordination chahiye:

- Complex ya changing technology ho
- Environment uncertain ho
- Company grow kar rahi ho

Innovation connection: Jab views share hote hain toh naye ideas emerge hote hain. Cross-department awareness creative solutions spark karti hai. Employees ko idea development mein involve karna commitment badhata hai.

Managerial Integrators — 3 Types

Type	Role
Project Manager	Specific project complete hone tak related work coordinate kare
Product Manager	Naye products launch kare aur interdepartmental coordination continue kare
Brand Manager	Brand-name products ke organizational efforts coordinate kare — soap, food, toiletries mein common

Important: Managerial integrators ke paas line authority nahi hoti — unhein staff managers ka cooperation gain karna padta hai.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Span of Control ke liye ek "correct number" sochna

Wrong Approach: "Har manager ke neeche 7 log hone chahiye — yeh standard hai."

Right Approach: Koi universal number nahi — circumstances pe depend karta hai jaise subordinates ki competency, kaam ki similarity, physical proximity.

Wajah: Lecture specifically kehta hai "no universally correct span of management" — exam mein yeh trap hai.

Mistake 2: Downsizing ko hamesha positive samajhna

Wrong Approach: "Downsizing karo toh zaroor profits badhenge."

Right Approach: Done well toh benefits hain, done poorly toh valuable employees jaate hain, morale girti hai, productivity decline hoti hai. Research ne sirf thodi companies mein improvement dikhayi.

Wajah: Lecture dono sides clearly deta hai — sirf positive side likhna incomplete answer hai.

Mistake 3: Line aur Staff authority ko same samajhna

Wrong Approach: "Dono authority ke saath aate hain toh same hi hain."

Right Approach: Line authority chain of command follow karti hai — direct authority. Staff authority functional hai — sirf apne function related matters mein.

Wajah: Dono ka scope alag hai — line = broad direct authority, staff = limited functional authority.

Mistake 4: Managerial Integrator ko line authority wala samajhna

Wrong Approach: "Project manager departments ko directly order kar sakta hai."

Right Approach: Managerial integrators ke paas line authority nahi hoti — unhein cooperation gain karna padta hai.

Wajah: Yeh lecture ka specific point hai — authority without formal power ek unique challenge hai.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1: A large textile company in Faisalabad has 12 hierarchical levels. Communication between top management and factory floor takes 3 days. Decisions are slow and workers feel disconnected. Using span of control concepts, what structural change would you recommend and why?

Hint (Roman Urdu): Socho — 12 levels matlab tall structure hai. Span broad karne se levels kam honge — flat structure ki taraf jaoge. Kya fayde honge? Lecture ki list se points nikalo.

Problem 2: HBL is expanding from 5 cities to 50 cities across Pakistan. The Head Office in Karachi is making every branch-level decision. Operations are slowing down. Should HBL move toward centralization or decentralization? Use the lecture's conditions to justify.

Hint (Roman Urdu): Lecture mein exactly bataya gaya hai ke kab decentralization ki taraf jana chahiye — geographically dispersed operations, large size — un conditions ko HBL pe apply karo.

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

A Pakistani government hospital network operates in 8 cities. It has a very tall structure with 10 management levels. The HR department in the head office has been issuing direct orders to hospital branch managers about staffing — bypassing the branch Medical Directors. Branch Medical Directors (line managers) are now ignoring HR recommendations entirely. Meanwhile the CEO wants to downsize by cutting 4 management layers. Using concepts of span of control, line vs staff authority conflicts, and downsizing (done well vs done poorly), analyze: (a) what structural problem exists, (b) what line-staff conflict is happening and how to fix it, and (c) what must the CEO do to ensure downsizing produces positive rather than negative results.

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why does increasing span of control lead to a flatter organizational structure?

Think About It (Roman Urdu): Socho — agar ek manager 10 log manage kare toh kitne managers chahiye 100 logon ke liye? Ab agar 20 log manage kare toh? Levels ka kya hoga?

Answer: Jab ek manager zyada subordinates manage kare toh kam managers chahiye hote hain — aur kam managers matlab kam hierarchical levels. Is tarah span broad hone se pyramid flat ho

jaati hai. Tall structure mein har manager thode log manage karta hai — isliye zyada layers banti hain.

Q2: Under what conditions should an organization move toward decentralization?

Think About It (Roman Urdu): Ek chhoti dukaan ka malik khud sab decide kar sakta hai — lekin agar uski 50 branches hon toh kya woh phir bhi sab akela decide kar sakta hai?

Answer: Decentralization zaroori ho jaati hai jab organization itni badi ho ke top managers sab decisions nahi kar sakte, jab operations geographically dispersed hon, jab top management complex technology ke saath up nahi reh sakti, ya jab environment uncertain ho. In situations mein lower-level managers problem ke paas hote hain aur faster, better decisions le sakte hain.

Q3: Why do managerial integrators face unique challenges compared to regular line managers?

Think About It (Roman Urdu): Socho — agar tumhare paas zimmedari hai lekin direct authority nahi hai toh kaise kaam karoge? Kya log tumhari sunenge?

Answer: Managerial integrators — project/product/brand managers — multiple departments coordinate karte hain lekin unke paas line authority nahi hoti. Unhein formally order dene ka right nahi — sirf cooperation gain karke kaam karna hota hai. Yeh regular line manager se mushkil hai kyunki line manager direct command de sakta hai jabke integrator ko influence aur persuasion se kaam lena hota hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Match the structure type with its characteristic:

A) Tall Structure **B)** Flat Structure

1) Few hierarchical levels **2)** Narrow span of control **3)** Broad span of control **4)** Many hierarchical levels

Answer: (A — 2, 4 | B — 1, 3)

Q2: Arrange these downsizing outcomes under correct category — Done Well or Done Poorly:
Reduced costs / Loss of valuable employees / Faster decision making / Demoralized survivors / Fewer redundancies / Productivity decline

Answer: (Done Well: Reduced costs, Faster decision making, Fewer redundancies | Done Poorly: Loss of valuable employees, Demoralized survivors, Productivity decline)

Q3: A branch manager of a Pakistani bank receives direct instructions from the Head Office HR department about whom to hire — bypassing his own authority. What type of conflict is this?

Answer: (Staff personnel usurping line authority — a line-staff conflict)

Q4: Compare centralization and decentralization: which one is better when the environment is increasingly uncertain and operations are geographically dispersed?

Answer: (Decentralization — lower-level managers are closer to problems and can make faster decisions)

Q5: What is the primary difference between downsizing and restructuring?

Answer: (Downsizing = reducing middle management layers and workforce size; Restructuring = major structural change that may also include divestiture and/or acquisition)

Q6: A manager is coordinating the launch of a new soap brand across the marketing, production, and finance departments but has no direct authority over any of them. What is this manager called?

Answer: (Managerial Integrator — specifically a Brand Manager or Product Manager)

SECTION 8 — EXAM MCQs (VU Style)

Q1: What is the correct definition of Span of Control?

- A) The number of hierarchical levels in an organization
- B) The number of subordinates who report directly to a specific manager
- C) The degree to which authority is centralized at the top
- D) The formal chain of command in an organization

Correct Answer: B — The number of subordinates who report directly to a specific manager

Exam Tip (Roman Urdu): "Directly report karne wale subordinates ki tadaad" — yeh exact definition yaad karo, hierarchical levels waala option trap hai.

Q2: Which of the following is a characteristic of a TALL organizational structure?

- A) Broad span of control and few hierarchical levels
- B) Narrow span of control and many hierarchical levels
- C) Decentralized decision making at all levels
- D) Minimal formalization and flexible rules

Correct Answer: B — Narrow span of control and many hierarchical levels

Exam Tip (Roman Urdu): Tall = narrow + many levels; Flat = broad + few levels — yeh pair pakka yaad karo, exam mein reverse kiya jaata hai.

Q3: A Pakistani retail chain is expanding to 30 new cities. Top management can no longer keep up with all local decisions. What should the organization do?

- A) Increase formalization
- B) Move toward centralization
- C) Move toward decentralization
- D) Reduce span of control

Correct Answer: C — Move toward decentralization

Exam Tip (Roman Urdu): Geographically dispersed + large size = decentralization ki taraf jana chahiye — yeh condition directly lecture mein hai.

Q4: Functional authority differs from line authority in that functional authority:

- A) Follows the formal chain of command established by hierarchy

- B) Applies to all decisions in the organization
- C) Is limited to matters directly related to the staff department's functions
- D) Is held only by top-level managers

Correct Answer: C — Is limited to matters directly related to the staff department's functions

Exam Tip (Roman Urdu): Functional authority = sirf apne function ki range mein — HR ka authority HR matters mein, baaki mein nahi.

Q5: Which of the following is an advantage of CENTRALIZATION?

- A) Decisions can be made faster at lower levels
- B) Top managers can concentrate on major strategic issues
- C) Duplication of effort by organizational units can be avoided
- D) Jobs of lower-level employees are enriched

Correct Answer: C — Duplication of effort by organizational units can be avoided

Exam Tip (Roman Urdu): Options A, B, D — yeh teeno decentralization ke fayde hain, sirf C centralization ka fayda hai — dhyan se options parho.

Q6: Downsizing done poorly can result in which of the following outcomes?

- A) Reduced administrative costs
- B) Faster decision making processes
- C) Demoralized surviving employees and productivity decline
- D) More challenging and enriched jobs

Correct Answer: C — Demoralized surviving employees and productivity decline

Exam Tip (Roman Urdu): "Done well" aur "done poorly" ke outcomes alag hain — A, B, D "done well" ke natije hain.

Q7: A position whose primary purpose is providing specialized expertise and assistance to line positions is called a:

- A) Line position
- B) Staff position
- C) Managerial integrator position
- D) Functional line position

Correct Answer: B — Staff position

Exam Tip (Roman Urdu): Staff = expert advice deta hai; Line = actual goals achieve karta hai — dono ki definition alag hai.

Q8: Horizontal coordination promotes innovation because:

- A) It increases the number of management levels
- B) It restricts information flow to top management only
- C) Sharing views across departments generates new ideas and creative solutions
- D) It replaces the need for vertical coordination

Correct Answer: C — Sharing views across departments generates new ideas and creative

solutions

Exam Tip (Roman Urdu): Horizontal coordination = same level pe cross-department sharing = naye ideas — innovation ka direct connection yaad karo.

Q9: Which type of managerial integrator is most commonly found in soap, food, and toiletries industries?

- A) Project Manager
- B) Product Manager
- C) Brand Manager
- D) Staff Manager

Correct Answer: C — Brand Manager

Exam Tip (Roman Urdu): Brand Manager = soap, food, toiletries — yeh specific industry association directly lecture mein hai, VU MCQ mein exactly aata hai.

Q10: Formalization in an organization refers to:

- A) The number of subordinates reporting to a single manager
- B) The degree to which written policies, rules, and procedures specify what actions are to be taken
- C) The extent to which authority is delegated to lower levels
- D) The process of reducing management layers to cut costs

Correct Answer: B — The degree to which written policies, rules, and procedures specify what actions are to be taken

Exam Tip (Roman Urdu): Formalization = likha hua rules aur procedures — span of control ya decentralization ke saath confuse mat karo.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein span of control, tall vs flat structures, downsizing, centralization vs decentralization, line vs staff authority, aur horizontal coordination seekhe.

PART B — Yaad Rakhne Wali Baatein

- **Tall structure** = narrow span + many levels; **Flat structure** = broad span + few levels
- **Centralization** = top pe power; **Decentralization** = neeche delegate karo — environment uncertain ho toh decentralize karo
- **Line authority** = chain of command; **Staff authority** = sirf apne function mein
- **Downsizing done poorly** = valuable employees lost + demoralized survivors + productivity decline
- **Managerial integrators** ke paas line authority nahi — cooperation se kaam karna hota hai

PART C — Zaroor Yaad Karo Yeh Frameworks

Tall vs Flat:

- Tall = Narrow span + Many levels
- Flat = Broad span + Few levels

Centralization vs Decentralization — When to Decentralize:

1. Organization too large for top managers to decide everything
2. Geographically dispersed operations
3. Complex technology top managers can't keep up with
4. Increasingly uncertain environment

Line vs Staff Authority:

- Line = Chain of command, direct authority over major goals
- Staff = Functional authority, limited to their own function area

Managerial Integrator Types:

- Project Manager — specific project
- Product Manager — new product launch
- Brand Manager — brand-name products (soap, food, toiletries)

PART D — Exam Mein Ghalti Mat Karna

[!] Span of control ka koi "universal correct number" nahi — circumstances pe depend karta hai, yeh trap option hai.

[!] Downsizing ko hamesha positive mat likho — done poorly toh morale aur productivity dono girti hain.

[!] Managerial integrators ke paas line authority nahi hoti — sirf cooperation gain karke kaam karte hain.

Lecture 32: Organizational Design — Organic vs. Mechanistic vs. Virtual Structures

Subject: MGT503 — Principles of Management

Topic Type: J — Organizing and Structure

Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek construction company hai. Choti company mein ek hi banda sab decide karta hai — yeh simple structure hai. Jab company badi hoti hai toh alag alag departments bante hain — civil, electrical, accounts — yeh functional structure hai. Agar company bahut badi ho aur alag alag

projects pe kaam kare, toh matrix structure ban jaata hai jahan specialists alag projects mein shift hote hain. Aur agar company chahti hai ke har employee apna kaam khud plan aur control kare, toh job enrichment hoti hai. Organizational design ka matlab hai: "apni zaroorat ke hisaab se apna dhaancha banana."

PART B — Core Concepts

1. Job Rotation: Workers ko planned sequence mein alag alag jobs par shift karna — boredom kam aur flexibility zyada.

2. Job Enlargement: Job mein similar tasks ki variety badhana — scope broad karna.

3. Job Enrichment (Herzberg): Job mein planning aur control badhana — depth improve karna.

4. Job Characteristics Model: 5 core characteristics se workers ka motivation aur satisfaction badhana.

5. Mechanistic Organization: High specialization, rigid structure, tight control — stable environment ke liye.

6. Organic Organization: Flexible, adaptive, minimal formalization — uncertain environment ke liye.

7. Contingency Variables: Strategy, size, technology, environmental uncertainty — yeh decide karte hain kaun sa design best hai.

PART C — Key Frameworks and Models

- **Job Characteristics Model (Herzberg):** 5 core characteristics → 3 psychological states → 4 positive outcomes
- **Mechanistic vs. Organic:** Stability ke liye mechanistic; flexibility ke liye organic
- **Simple Structure:** Choti organizations ke liye — centralized, low formalization
- **Functional Structure:** Similar specialties group karna — departmentalization by function
- **Divisional Structure:** Autonomous self-contained units — har division apna
- **Matrix Structure:** Functional specialists + project managers — dual authority
- **Team-Based Structure:** Work groups jo organization ka kaam karte hain
- **Boundary less Organization:** Horizontal, vertical, external boundaries na ho
- **Learning Organization:** Lifelong employee learning + market changes ke saath adapt karna

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Job Design Approaches

1. Job Rotation

Workers ko ek planned sequence mein periodically alag jobs par shift karna.

- **Purpose 1:** Boredom combat karna (lekin agar tasks too simple hoon toh success short-lived)
- **Purpose 2:** Cross-training — maximum flexibility in job assignments
- **Purpose 3:** Employee development — alag aspects samajhna
- **Problem:** Rotating employees ko "temporary help" samjha ja sakta hai — loyalty questionable lagti hai

2. Job Enlargement

Job mein similar tasks ki wider variety add karna taake job zyada challenging lage.

- **Job Scope** broad hota hai — zyada different tasks ek employee karta hai
- **Problem:** Agar simple tasks add kiye toh boredom persist karta hai; lower efficiency, mental overload, aur errors bhi ho sakte hain

3. Job Enrichment (Frederick Herzberg)

Job-task mix upgrade karna taake growth, achievement, responsibility, aur recognition ka potential badhe.

- **Job Depth** increase hoti hai — employees apna kaam khud plan aur control karte hain
- Rotation aur Enlargement se advanced concept hai

Job Characteristics Model — 5 Core Characteristics

1. Skill Variety: Job mein kitni different skills chahiyein — e.g. ek HBL branch manager ko customer service + finance + team management sab aana chahiye.

2. Task Identity: Pura kaam complete karna, sirf fragment nahi — e.g. ek tailor puri shirt khud silta hai vs. sirf buttons lagaata hai.

3. Task Significance: Kaam doosron par kitna impact karta hai — e.g. hospital nurse ka kaam directly patients ko affect karta hai.

4. Autonomy: Employee ko schedules aur methods decide karne ki kitni freedom hai — e.g. salesperson apna appointment khud set karta hai.

5. Feedback: Job se clear, timely performance information milti hai — e.g. call center agent ko real-time customer satisfaction score milta hai.

3 Critical Psychological States (Required for Model to Work)

1. Workers must feel the work is **meaningful**.
2. Workers must know they are **responsible** for outcomes.
3. Workers must actually **find out results** of their work.

4 Outcomes When Psychological States Are Met

1. Higher internal work motivation
2. Greater satisfaction of growth needs
3. Higher general job satisfaction
4. Increased work effectiveness

2 Conditions for Successful Use of Job Characteristics Model

1. High Growth-Need Strength: Worker ko personal growth aur development ki genuine need ho.

2. Satisfaction with Job Context: Supervision, pay, co-workers, aur job security se satisfied ho.

Organizational Design Decisions

"Best" design 4 contingency variables par depend karta hai:

Contingency Variable	Implication
Strategy	Innovation → Organic; Cost Minimization → Mechanistic; Imitation → Both
Size	Larger = more specialization, departmentalization, formalization
Technology	Unit → simple; Mass → moderate; Process → complex structure
Environmental Uncertainty	More uncertainty → more flexible (organic) structure needed

Mechanistic vs. Organic Organization

Feature	Mechanistic	Organic
Specialization	High	Low
Departmentalization	Rigid	Flexible
Span of Control	Narrow	Wide
Formalization	High	Minimal
Information Flow	Limited network	Free flow
Decision Making	Top-down	Participative
Best For	Stable environment, cost minimization	Uncertain environment, innovation

Technology — 3 Types (Increasing Complexity)

- 1. Unit Production:** Items in units or small batches (e.g. custom furniture)
- 2. Mass Production:** Large-batch manufacturing (e.g. textile mills)
- 3. Process Production:** Continuous-process production (e.g. oil refinery)

Common Organizational Designs

A. Traditional Designs

1. Simple Structure

- Low departmentalization, wide spans of control, authority centralized in one person, little formalization
- **Strength:** Flexible, fast, low cost
- **Weakness:** Effective only in small organizations — jaise ek choti dukan jahan malik sab decisions karta hai

2. Functional Structure

- Similar ya related occupational specialties group karna
- **Strength:** Specialization se efficiency
- **Weakness:** Departments mein silos ban sakte hain — coordination mushkil

3. Divisional Structure

- Autonomous, self-contained units — har division apne products, clients, aur goals ke saath
- **Strength:** Accountability clear, fast response to division-specific needs
- **Weakness:** Duplication of resources across divisions

B. Contemporary Designs

1. Team-Based Structure

- Work groups ya teams organization ka kaam karte hain
- **Strength:** Collaboration, flexibility
- **Weakness:** Role clarity mushkil ho sakti hai

2. Matrix Structure

- Functional departments ke specialists ek ya zyada projects par assign hote hain — project managers lead karte hain
- **Strength:** Specialist expertise + project focus dono
- **Weakness:** Dual authority — employee do bosses ko report karta hai — confusion

3. Project Structure

- Employees permanently projects par assign hote hain (matrix se farq: yahan permanent assignment hai)
- **Strength:** Full focus on project
- **Weakness:** Job security uncertainty jab project khatam ho

4. Autonomous Internal Units

- Independent, decentralized business units — apne products, clients, competitors, aur profit goals
- **Strength:** Entrepreneurial spirit, speed
- **Weakness:** Coordination across units mushkil

5. Boundary less Organization

- Horizontal, vertical, ya external boundaries se define nahi hoti
- **Strength:** Maximum flexibility aur information flow
- **Weakness:** Accountability aur control define karna mushkil

6. Learning Organization

- Employees ki lifelong learning facilitate karna aur market demands ke saath khud ko transform karna
- **Strength:** Adaptability, innovation
- **Weakness:** Implementation mein time aur resources lagte hain

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Job Enlargement aur Job Enrichment Ko Same Samajhna

Wrong Approach: "Dono mein tasks badh jaate hain — same cheez hai."

Right Approach: Enlargement = similar tasks add karna (scope badhata hai); Enrichment = planning aur control badhana (depth badhata hai).

Wajah: Enlargement horizontal expansion hai, enrichment vertical — Herzberg ne specifically enrichment ko motivation ke liye recommend kiya tha, enlargement ko nahi.

Mistake 2: Mechanistic Ko Hamesha Bura Samajhna

Wrong Approach: "Organic structure hamesha behtar hai — flexible hai."

Right Approach: Mechanistic stable environments aur cost minimization strategy ke liye perfectly suitable hai.

Wajah: Lecture clearly kehta hai "it depends" — contingency variables decide karte hain; koi ek design universally better nahi.

Mistake 3: Matrix Structure Mein Dual Authority Ko Ignore Karna

Wrong Approach: "Matrix best hai — specialist bhi hai, project focus bhi."

Right Approach: Matrix mein employee do bosses ko report karta hai — yeh conflict aur confusion create kar sakta hai.

Wajah: Har design ki strength aur weakness dono yaad karni hain — exam mein "weakness of matrix" directly poochha jaata hai.

Mistake 4: Job Characteristics Model Ke Liye Sirf 5 Characteristics Yaad Karna

Wrong Approach: "5 characteristics yaad kar li — model complete."

Right Approach: Model teen parts ka hai: 5 characteristics → 3 psychological states → 4 outcomes. Teeno parts connected hain.

Wajah: Model tab kaam karta hai jab psychological states experience hon — characteristics alone sufficient nahi hain.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

A garment factory in Lahore has 500 workers doing the same stitching task every day. Turnover is high and productivity is falling. The HR manager suggests three options: (a) rotate workers between cutting, stitching, and packaging, (b) add more stitching tasks of similar type, (c) let workers plan their own daily production schedule and get daily feedback on quality. Identify which job design approach each option represents and predict which will have the most lasting motivational impact.

Hint (Roman Urdu): Teen options hain — rotation, enlargement, enrichment mein se match karo. Phir soch: kaun sa option depth badhaata hai, kaun sirf scope? Herzberg ke mutabiq lasting motivation kaun deta hai?

Problem 2:

A technology startup in Islamabad is growing rapidly. It currently has a simple structure with the founder making all decisions. As it scales to 200 employees working on multiple client projects simultaneously, which organizational design should it move to and why? What contingency variables support your choice?

Hint (Roman Urdu): Simple structure choti organizations ke liye hai. Jab multiple projects aur specialists ho jaayein, toh kaun sa design dual authority deta hai lekin functional expertise bhi maintain karta hai? Contingency variables mein size aur technology dekho.

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

PTCL is restructuring its operations. Currently it uses a functional structure with separate departments for engineering, marketing, finance, and customer service. Leadership is debating three alternatives: (a) shift to a divisional structure with separate units for broadband, landline, and corporate services, (b) adopt a matrix structure where engineers and marketers are assigned to product-specific project teams, (c) move toward a boundary less organization. For each alternative: identify one strength and one weakness, state which contingency variable most supports that choice, and recommend which alternative best suits PTCL given Pakistan's rapidly changing telecom environment — and justify using the mechanistic-organic continuum.

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why does the Job Characteristics Model require both the five core characteristics AND the three critical psychological states to produce positive outcomes?

Think About It (Roman Urdu): Sirf kaam mein variety aur autonomy hona kaafi nahi — employee ko feel bhi karna chahiye ke kaam meaningful hai aur result unka hai. Bina feeling ke, design pe nahi jaata.

Answer: 5 characteristics motivational potential create karte hain, lekin outcomes tab aate hain jab workers psychologically experience karte hain: meaningfulness, responsibility, aur knowledge of results. Agar koi psychological state absent ho — jaise employee ko feedback na mile — toh model effective nahi hoga chahe baaki sab theek ho.

Q2: Why is it incorrect to say that organic structures are always better than mechanistic structures?

Think About It (Roman Urdu): Ek army regiment battlefield par flexibility chahti hai, lekin peacetime mein rigid discipline. Context decide karta hai — koi structure universally best nahi hota.

Answer: Design ki effectiveness contingency variables par depend karti hai. Cost minimization strategy aur stable environment mein mechanistic structure zyada efficient hota hai. Innovation aur uncertain environment mein organic better hai. "Always better" kehna contingency theory ko ignore karna hai — jo is lecture ka core concept hai.

Q3: What specific problem does a matrix structure solve, and what new problem does it create?

Think About It (Roman Urdu): Matrix ne ek acha solution diya — specialist bhi raha, project focus bhi raha. Lekin is solution ne ek naya masla paida kar diya — employee ab do logon ko jawab deta hai, dono ki priorities alag hain.

Answer: Matrix structure solve karta hai: functional expertise ko project-specific work ke saath combine karna — specialist apni department mein bhi hota hai aur project team mein bhi. Lekin naya masla: dual authority — employee ek saath functional manager aur project manager ko report karta hai, jo role conflict aur confusion create kar sakta hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Match the job design approach to its key feature:

1. Job Rotation — 2. Job Enlargement — 3. Job Enrichment

A. Increases job depth — planning and control B. Broadens job scope — similar tasks C. Cross-training and flexibility

(1-C, 2-B, 3-A)

Q2: Arrange the Job Characteristics Model sequence: (a) Outcomes, (b) Core Job Characteristics, (c) Critical Psychological States.

(b → c → a)

Q3: A company pursuing an innovation strategy should adopt which type of organizational structure?

(Organic structure — provides flexibility and free flow of information)

Q4: What is the key difference between a project structure and a matrix structure?

(In project structure, employees are permanently assigned to projects; in matrix, specialists are temporarily assigned from functional departments)

Q5: Which contingency variable suggests that larger organizations tend to have more specialization and formalization?

(Size)

Q6: Compare simple structure and divisional structure on two dimensions: span of control and autonomy of units.

(Simple: wide span of control, no autonomous units — all authority centralized; Divisional: structured spans, each unit autonomous with own products/clients/goals)

SECTION 8 — EXAM MCQs (VU Style)

Q1: What does job enrichment primarily increase in a job?

- A)** The number of similar tasks assigned
- B)** The number of workers in a team
- C)** Job depth — the degree to which individuals can plan and control their work
- D)** The physical working conditions of employees

Correct Answer: C — Job depth — the degree to which individuals can plan and control their work

Exam Tip (Roman Urdu): Job enrichment = depth (vertical) — sirf tasks add karna nahi; planning aur control badhna hai — yeh Herzberg ka concept hai.

Q2: Which of the following is NOT one of the five core job characteristics in the Job Characteristics Model?

- A)** Skill variety
- B)** Task significance
- C)** Salary level
- D)** Autonomy

Correct Answer: C — Salary level

Exam Tip (Roman Urdu): 5 characteristics hain: Skill Variety, Task Identity, Task Significance, Autonomy, Feedback — salary inn mein nahi hai; salary Herzberg ke hygiene factor mein hai.

Q3: A Pakistani textile mill uses continuous-process production running 24/7 without interruption. Which technology category does this represent?

- A) Unit production
- B) Mass production
- C) Process production
- D) Batch production

Correct Answer: C — Process production

Exam Tip (Roman Urdu): Teen technology types yaad karo: Unit (small batches) → Mass (large batches) → Process (continuous) — complexity badhti jaati hai.

Q4: Which organizational design assigns specialists from functional departments to work on projects led by project managers?

- A) Simple structure
- B) Divisional structure
- C) Matrix structure
- D) Autonomous internal units

Correct Answer: C — Matrix structure

Exam Tip (Roman Urdu): Matrix = functional specialist + project manager dono — dual authority yahan hoti hai. Divisional mein autonomous units hoti hain, matrix mein nahi.

Q5: A company operating in a highly uncertain, rapidly changing environment should ideally adopt:

- A) A mechanistic structure with high formalization
- B) A simple structure with centralized authority
- C) An organic structure that is flexible and adaptive
- D) A divisional structure with rigid departmentalization

Correct Answer: C — An organic structure that is flexible and adaptive

Exam Tip (Roman Urdu): Uncertainty = organic; stability = mechanistic — yeh rule contingency theory ka core hai.

Q6: The primary weakness of a simple organizational structure is:

- A) It is too expensive to maintain
- B) It has too many levels of hierarchy
- C) It is most effective only in small organizations and becomes inadequate as the organization grows
- D) It requires too many specialized departments

Correct Answer: C — It is most effective only in small organizations and becomes inadequate as the organization grows

Exam Tip (Roman Urdu): Simple structure ki strength bhi (fast, flexible, low cost) aur weakness bhi (sirf small organizations ke liye) yaad karo — dono exam mein aa sakte hain.

Q7: Compared to job enlargement, job enrichment differs because:

- A) Job enlargement increases job depth while job enrichment increases job scope
- B) Job enrichment increases job depth while job enlargement increases job scope
- C) Both increase job depth equally
- D) Job enrichment adds similar tasks while job enlargement adds planning responsibilities

Correct Answer: B — Job enrichment increases job depth while job enlargement increases job scope

Exam Tip (Roman Urdu): Enrichment = depth (vertical — planning aur control); Enlargement = scope (horizontal — zyada tasks). Yeh dono confuse karne wala MCQ hai.

Q8: Which strategy dimension specifically requires the efficiency and tight controls of a mechanistic organization?

- A) Innovation strategy
- B) Imitation strategy
- C) Cost minimization strategy
- D) Differentiation strategy

Correct Answer: C — Cost minimization strategy

Exam Tip (Roman Urdu): Teen strategies: Innovation → Organic; Cost Minimization → Mechanistic; Imitation → Both. Yeh table yaad karo.

Q9: According to the Job Characteristics Model, outcomes will be positive only if workers experience which three critical psychological states?

- A) Job security, fair pay, and good supervision
- B) Meaningfulness of work, responsibility for outcomes, and knowledge of results

- C) Skill development, promotion opportunity, and peer recognition
- D) Task clarity, deadline awareness, and resource availability

Correct Answer: B — Meaningfulness of work, responsibility for outcomes, and knowledge of results

Exam Tip (Roman Urdu): Yeh teen psychological states exactly yaad karo — meaningfulness, responsibility, knowledge of results — exam mein directly poochhe jaate hain.

Q10: What distinguishes a boundary less organization from other contemporary designs?

- A) It has the most rigid hierarchical structure
- B) It is defined by strict vertical and horizontal boundaries
- C) Its design is not limited to horizontal, vertical, or external boundaries imposed by a predefined structure
- D) It only operates within a single country's borders

Correct Answer: C — Its design is not limited to horizontal, vertical, or external boundaries imposed by a predefined structure

Exam Tip (Roman Urdu): Boundary less = koi predefined structural boundary nahi — horizontal, vertical, external teenon se azaad. Definition word-for-word yaad kar lo.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein job design ke teen approaches (rotation, enlargement, enrichment), Job Characteristics Model, mechanistic vs. organic structures, aur common organizational designs (traditional + contemporary) cover kiye gaye.

PART B — Yaad Rakhne Wali Baatein

- **Job Enrichment** = depth badhaana (planning + control) — Herzberg ka concept — lasting motivation deta hai; Enlargement sirf scope badhaata hai.
- **Job Characteristics Model** ka sequence: 5 Core Characteristics → 3 Psychological States → 4 Outcomes — teeno parts zaroori hain.
- **Mechanistic** = stable environment, cost minimization; **Organic** = uncertain environment, innovation — koi universally better nahi.
- **Matrix structure** ka biggest weakness = dual authority — employee do bosses ko report karta hai.
- **4 contingency variables:** Strategy, Size, Technology, Environmental Uncertainty — yeh decide karte hain kaun sa design best hai.

PART C — Zaroor Yaad Karo Yeh Frameworks

Job Design — 3 Approaches:

- 1. Job Rotation:** Cross-training + boredom combat — scope change
- 2. Job Enlargement:** Similar tasks add — scope broadens
- 3. Job Enrichment:** Planning + control add — depth increases (Herzberg)

Job Characteristics Model — 5 Core Characteristics:

- 1. Skill Variety**
- 2. Task Identity**
- 3. Task Significance**
- 4. Autonomy**
- 5. Feedback**

Strategy → Structure Match:

- **Innovation** → Organic
- **Cost Minimization** → Mechanistic
- **Imitation** → Both

Organizational Designs — Traditional:

- 1. Simple** — small, centralized, flexible
- 2. Functional** — specialties grouped
- 3. Divisional** — autonomous units

Organizational Designs — Contemporary:

- 1. Team-based**
- 2. Matrix** (dual authority)
- 3. Project**
- 4. Autonomous Internal Units**
- 5. Boundary less**
- 6. Learning Organization**

PART D — Exam Mein Ghalti Mat Karna

[!] Job enlargement aur job enrichment same nahi hain — enlargement = scope (horizontal); enrichment = depth (vertical) — yeh distinction exam ka favorite trap hai.

[!] Organic structure hamesha better nahi — stable environment aur cost minimization strategy mein mechanistic better perform karta hai; "always organic" kehna galat hai.

[!] Matrix structure mein weakness = dual authority — sirf strengths mat likhna; examiner weakness zaroor poochhe ga.

Lecture 33: Leading, Leadership, and Motivating Self and Others — The Nature of Motivation

Subject: MGT503 — Principles of Management

Topic Type: K — Motivation Theories

Difficulty: Intermediate

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek factory supervisor hai Faisalabad mein. Kuch workers subah se shaam tak mehnat karte hain — na isliye ke manager dekh raha hai, balke isliye ke unhe apne kaam se satisfaction milti hai (intrinsic). Doosre workers tabhi kaam karte hain jab overtime bonus mile (extrinsic). Supervisor ka challenge yeh hai ke woh samjhe ke kaun kis cheez se motivate hota hai aur woh cheez provide kare — tabhi efficiency, quality, aur loyalty milegi.

PART B — Core Concepts

- 1. Motivation:** Organizational goals reach karne ke liye high effort karne ki willingness — jo individual need satisfy kare
- 2. Effort:** Intensity ya drive ka measure — sahi direction mein hona zaroori hai
- 3. Need:** Internal state jo certain outcomes ko attractive banata hai — unsatisfied need tension create karti hai
- 4. Tension:** Unsatisfied need se paida hota hai — drives generate karta hai
- 5. Drives:** Search behavior generate karte hain jo specific goals dhundhne pe force karta hai
- 6. Intrinsic Motivators:** Andar se aane wali motivation — satisfaction, respect, prestige, loyalty
- 7. Extrinsic Motivators:** Bahar se aane wali motivation — pay, bonuses, tangible benefits
- 8. Performance:** Ability + Motivation + Working Conditions ka function hai
- 9. Rewards:** Appropriate behaviors ko reinforce karte hain, needs fulfill karte hain, future expectations banate hain

PART C — Key Frameworks and Models

- **Simplified Motivation Model:** Inner needs/cognitions → Behaviors → Rewards → Need fulfillment → Future expectations
- **Performance Formula:** Performance = f (Ability + Motivation + Working Conditions)
- **8 Practical Suggestions for Motivating Employees:** Managers ke liye evidence-based guidelines

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

1. Nature of Motivation

Motivation teen cheezein karta hai:

- **Energizes** behavior — kaam karne ki energy deta hai
- **Gives direction** — sahi taraf effort lagata hai
- **Underlies persistence** — mushkilon ke bawajood laga rehta hai

Important Points:

- Motivation directly measure nahi ho sakti — behavior se infer karna padta hai

- **Performance = Ability + Motivation + Working Conditions** — sirf motivation enough nahi, ability aur conditions bhi chahiye
- Manager ka kaam: capable log hire karo + aisi working conditions do jo motivation nurture kare

Example: PIA ka ek pilot technically skilled hai (ability) lekin agar usse feel ho ke uski mehnat recognize nahi hoti (motivation absent) aur cockpit ka equipment purana hai (working conditions) — toh performance suffer karegi.

2. The Motivation Process

Simplified Model (Step by Step):

Step 1: Individual ke andar **inner needs aur cognitions** hoti hain

Step 2: Yeh needs **behaviors** ko trigger karti hain

Step 3: Appropriate behaviors **rewards** mein result karte hain

Step 4: Rewards **needs fulfill** karte hain, behaviors reinforce karte hain, aur future ke baare mein **cognitive input** dete hain

Step 5 (Negative Path): Agar rewards nahi milte — needs unfulfilled rehti hain, behaviors un-reinforced rehte hain, aur future mein expectations negative ho jaati hain

Example: Ek government hospital nurse extra shifts karti hai (behavior) expecting recognition (need). Agar usse appreciation milti hai (reward) — woh aur mehnat karegi. Agar nahi milti — woh apna effort reduce kar legi.

3. Intrinsic vs Extrinsic Motivators

	Intrinsic Motivators	Extrinsic Motivators
Source	Andar se — individual khud	Bahar se — organization/environment
Examples	Satisfaction, respect, prestige, loyalty, achievement feeling	Pay, bonuses, promotions, tangible benefits
Dependency	Manager pe dependent nahi	Manager ya organization provide karta hai
Longevity	Zyada lasting effect	Short-term mein effective

Example (Intrinsic): Ek VU professor isliye behtareen lecture deta hai kyunke usse teaching mein genuine satisfaction milti hai.

Example (Extrinsic): Ek sales rep isliye extra calls karta hai kyunke month-end commission bonus milega.

4. Eight Practical Suggestions for Motivating Employees

1. Recognize Individual Differences

Har employee ki needs, attitudes, aur personality alag hoti hain — ek size sabke liye fit nahi hota.

Example: Ek young employee growth opportunities chahta hai; senior employee job security chahta hai.

2. Match People to Jobs

Individuals ki important needs identify karo aur aise jobs do jo unhe woh needs fulfill karne dein.

Example: Creative employee ko routine data entry mat do — usse design ya innovation wala kaam do.

3. Use Goals

Employees ke paas **hard, specific goals** hone chahiye + regular **feedback** ke sath.

Example: "Is quarter mein 20% sales badhao" — vague "accha karo" se zyada effective hai.

4. Ensure Goals Are Perceived as Attainable

Agar employees goals ko impossible samjhein toh effort reduce ho jata hai.

Example: Ek textile factory mein agar daily target itna zyada ho ke workers sochein "yeh kabhi possible nahi" — woh demotivate ho jaenge.

5. Individualize Rewards

Ek reward jo ek employee ke liye motivating hai, doosre ke liye ho bhi sakta hai aur nahi bhi.

Example: Ek employee ke liye "Employee of the Month" trophy meaningful hai; doosre ke liye cash bonus zyada meaningful hai.

6. Link Rewards to Performance

Rewards desired performance pe contingent hone chahiye — performance aur reward ka direct link hona chahiye.

Example: HBL mein loan officer ko sirf tab bonus mile jab woh target loans successfully close kare.

7. Check the System for Equity

Employees perceive karein ke rewards/outcomes unke inputs ke equal hain — unfair lagay toh motivation girta hai.

Example: Agar ek employee zyada kaam kare lekin doosre ko zyada pay mile — woh demotivate hoga.

8. Don't Ignore Money

Performance-based pay increases, piecework bonuses, aur pay incentives motivation mein important role play karte hain.

Example: PTCL mein performance-linked increments employees ko consistently achha kaam karne pe motivate karte hain.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Motivation ko sirf extrinsic samajhna

Wrong Approach: Sochna ke employees sirf pay aur bonuses se motivate hote hain

Right Approach: Intrinsic motivators — satisfaction, prestige, loyalty — equally powerful hote hain aur zyada lasting hote hain

Wajah: Lecture dono clearly define karta hai — exam mein distinction poochha jata hai aur sirf extrinsic bolna half-wrong answer hai

Mistake 2: Motivation ko directly measurable samajhna

Wrong Approach: Yeh sochna ke manager directly dekh sakta hai ke employee kitna motivated hai

Right Approach: Motivation directly measure nahi hoti — behavior se infer karni padti hai

Wajah: Yeh lecture ka explicit point hai — manager behaviors observe karke motivation judge karta hai

Mistake 3: Performance ko sirf motivation ka function samajhna

Wrong Approach: Agar employee motivated hai toh zaroor achha perform karega

Right Approach: $\text{Performance} = \text{Ability} + \text{Motivation} + \text{Working Conditions}$ — teeno zaroori hain

Wajah: Motivated lekin unskilled employee bhi poor perform kar sakta hai — ability aur conditions bhi must hain

Mistake 4: Ek hi reward system sabpe apply karna

Wrong Approach: Sochna ke jo ek employee ke liye reward hai woh sabke liye reward hai

Right Approach: Rewards individualize karne chahiye — har employee ki needs alag hoti hain

Wajah: Lecture explicitly kehta hai "individualize rewards" — one-size-fits-all approach motivation theory ke against hai

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

A branch manager at Habib Bank Limited (HBL) notices that two of her employees have very

different work styles. Asim comes in early, stays late, and seems genuinely energized by solving complex customer problems. Bilal does exactly what is required and becomes noticeably more active only when quarterly bonuses are announced. Using the concepts of intrinsic and extrinsic motivation, analyze what is driving each employee and suggest one specific action the manager should take for each.

Hint (Roman Urdu): Pehle identify karo ke kaun sa employee andar se motivated hai aur kaun bahar se. Phir socho ke agar Asim ke liye sirf money offer karo toh kya hoga uski intrinsic motivation ka — aur Bilal ke liye agar bonus band ho jaye toh kya hoga. Suggestions accordingly do.

Problem 2:

A garment factory supervisor sets a daily stitching target of 500 pieces per worker. Workers consistently produce only 200-250 pieces. The supervisor concludes that workers "are not motivated." Using the motivation model and the practical suggestions from this lecture, evaluate whether the supervisor's conclusion is correct and identify what might actually be going wrong.

Hint (Roman Urdu): Yaad karo ke performance sirf motivation ka function nahi hai — ability aur working conditions bhi hain. Phir "ensure goals are perceived as attainable" wali suggestion apply karo — 500 pieces ka target workers ko kya lagta hoga?

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

You are appointed as the new HR Manager of a mid-sized Pakistani pharmaceutical company. During your first week, you observe the following:

- The sales team is hitting targets but complaining that their bonuses are not tied to individual performance — everyone gets the same bonus regardless of effort
- The R&D team is highly skilled but three senior researchers have recently resigned citing "no sense of achievement or recognition"
- The production floor workers are motivated but making errors because they lack proper training on new machinery
- Management has set a target to increase output by 150% in three months — workers consider this completely impossible

(a) Using the Performance Formula (Ability + Motivation + Working Conditions), diagnose what is the primary problem for each of the four groups above.

(b) For each group, identify which of the 8 practical motivation suggestions directly applies and explain how you would implement it.

(c) The R&D researchers who resigned were driven by intrinsic motivation. What does this tell you about the limitations of relying purely on extrinsic rewards in knowledge-based roles?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why is it insufficient to hire motivated employees if the working conditions and ability factors are not also addressed?

Think About It (Roman Urdu): Socho ke ek talented aur passionate cricketer ko ghaas ke bina, flat pitch pe, tooti bat de ke khilao — woh kitna achha khel payega? Motivation akeli kaafi nahi hoti.

Answer: Performance teen cheezon ka function hai — Ability, Motivation, aur Working Conditions. Motivated lekin unskilled employee woh kaam nahi kar sakta jo us se expect kiya jata hai. Skilled aur motivated employee bhi poor tools, unclear processes, ya unsupportive environment mein fail ho sakta hai. Teeno factors simultaneously address karne zaroori hain — sirf motivation pe focus karna incomplete management hai.

Q2: Why should rewards be individualized rather than standardized across all employees?

Think About It (Roman Urdu): Socho ek teacher ne sab students ko "prize" mein cricket kit di — lekin jo student cricket pasand nahi karta uske liye woh reward motivating hai ya nahi? Isliye ek hi reward sabko ek jaisa affect nahi karta.

Answer: Har employee ki needs alag hoti hain — kisi ke liye recognition motivating hai, kisi ke liye financial reward, kisi ke liye flexible hours. Jo cheez ek ke liye reward hai woh doosre ke liye neutral ya meaningless bhi ho sakti hai. Agar reward individual needs se match nahi karta toh woh reinforce nahi karega aur motivation improve nahi hogi. Isliye effective managers apne team members ki individual needs pehchante hain aur accordingly rewards design karte hain.

Q3: Why does linking rewards to performance matter more than simply giving frequent rewards?

Think About It (Roman Urdu): Socho agar school mein har student ko result dekhe bina prize mile — toh mehnat karne wale aur na karne wale dono ko barabar milega. Phir mehnat karne ki incentive kahan rahi?

Answer: Jab rewards performance se contingent nahi hote — yani sab ko equal reward mile chahe mehnat karo ya na karo — toh high performers demotivate ho jaate hain. Unhe lagta hai ke extra effort ka koi fayda nahi. Performance-reward link directly effort ko meaningful banata

hai — employee samajhta hai ke "agar mein yeh karunga toh mujhe yeh milega." Yeh link motivation model mein reinforcement ka core principle hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange the simplified motivation model in correct sequence:

(i) Rewards (ii) Inner needs and cognitions (iii) Need fulfillment and cognitive input (iv) Behaviors

(Correct: ii → iv → i → iii)

Q2: Match each practical suggestion with its core principle:

1. Link rewards to performance — **A.** Ensure outputs feel fair relative to inputs
2. Check system for equity — **B.** Make rewards contingent on desired behavior
3. Individualize rewards — **C.** Recognize that different people need different things
4. Use goals — **D.** Provide hard, specific targets with feedback

(Correct: 1-B, 2-A, 3-C, 4-D)

Q3: A sales manager gives everyone the same year-end bonus regardless of their sales performance. Which motivation suggestion is being violated?

(Correct: Link rewards to performance — rewards must be contingent on desired levels of performance)

Q4: Compare intrinsic and extrinsic motivators: what is the key difference?

(Correct: Intrinsic motivators come from within the individual — satisfaction, prestige, achievement; Extrinsic motivators come from outside — pay, bonuses, tangible benefits provided by the organization)

Q5: An employee is highly motivated but consistently underperforms. Using the Performance Formula, what two other factors must be examined?

(Correct: Ability — does the employee have the skills and knowledge? Working Conditions — does the environment support performance?)

Q6: A manager sets a quarterly revenue target that employees believe is impossible to achieve. Which practical motivation suggestion is being violated and what is the likely consequence?

(Correct: "Ensure goals are perceived as attainable" is violated — employees will reduce their effort levels because they see the goal as unreachable)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following is the most accurate definition of motivation in a management context?

- A)** The process of setting goals and evaluating employee performance
- B)** The willingness to exert high levels of effort to reach organizational goals, conditioned by the effort's ability to satisfy some individual need
- C)** A manager's ability to control employee behavior through rewards and punishments
- D)** The degree to which an employee follows organizational rules and procedures

Correct Answer: B — The willingness to exert high levels of effort to reach organizational goals, conditioned by the effort's ability to satisfy some individual need

Exam Tip (Roman Urdu): Motivation ki exact definition mein "willingness," "effort," "organizational goals," aur "individual need" — yeh charo parts hain, koi ek miss mat karna.

Q2: Performance is a function of which three factors?

- A)** Motivation, leadership, and communication
- B)** Goals, rewards, and feedback
- C)** Ability, motivation, and working conditions
- D)** Needs, drives, and behaviors

Correct Answer: C — Ability, motivation, and working conditions

Exam Tip (Roman Urdu): Performance formula yaad karo: Ability + Motivation + Working Conditions — teeno zaroori hain, sirf motivation nahi.

Q3: An employee works extra hours because she finds deep personal satisfaction in solving complex engineering problems. This is best described as:

- A)** Extrinsic motivation driven by pay incentives
- B)** Intrinsic motivation driven by internal desire and satisfaction
- C)** Performance-based motivation linked to organizational rewards
- D)** Equity-based motivation from comparing herself to colleagues

Correct Answer: B — Intrinsic motivation driven by internal desire and satisfaction

Exam Tip (Roman Urdu): "Personal satisfaction," "andar se" — yeh intrinsic motivation ke keywords hain. Bahar se koi reward mention nahi toh extrinsic nahi hai.

Q4: Which of the following correctly describes extrinsic motivators?

- A) Internal feelings of achievement and pride in one's work
- B) The personal desire to learn new skills for self-improvement
- C) Factors from outside the individual such as pay, bonuses, and tangible benefits
- D) An employee's sense of loyalty and commitment to the organization

Correct Answer: C — Factors from outside the individual such as pay, bonuses, and tangible benefits

Exam Tip (Roman Urdu): Extrinsic = bahar se — environment ya organization provide karta hai — pay, bonus, benefits.

Q5: A factory manager in Karachi sets an identical monthly production bonus for all workers regardless of their individual output. Which motivation principle is most directly violated?

- A) Recognize individual differences
- B) Match people to jobs
- C) Link rewards to performance
- D) Ensure goals are attainable

Correct Answer: C — Link rewards to performance

Exam Tip (Roman Urdu): Sab ko same bonus = performance aur reward ka link nahi — yeh specifically "link rewards to performance" guideline ka violation hai.

Q6: According to the simplified motivation model, what happens when an employee's behaviors do NOT result in rewards?

- A) The employee automatically finds new intrinsic motivators
- B) Needs remain unfulfilled, behaviors are un-reinforced, and future expectations become negative
- C) The employee seeks feedback from management to improve performance
- D) Motivation increases as the employee tries harder to obtain rewards

Correct Answer: B — Needs remain unfulfilled, behaviors are un-reinforced, and future expectations become negative

Exam Tip (Roman Urdu): No reward = negative cycle — unfulfilled needs, un-reinforced behavior, aur negative future expectations — teeno consequences yaad rakho.

Q7: Which of the following correctly distinguishes intrinsic from extrinsic motivators?

- A) Intrinsic motivators are provided by the organization; extrinsic motivators come from within
- B) Intrinsic motivators involve pay and benefits; extrinsic motivators involve personal satisfaction
- C) Intrinsic motivators come from within the individual; extrinsic motivators come from the external environment or organization
- D) Both types of motivators are equally dependent on managerial action

Correct Answer: C — Intrinsic motivators come from within the individual; extrinsic motivators come from the external environment or organization

Exam Tip (Roman Urdu): Intrinsic = andar se; Extrinsic = bahar se — yeh basic distinction MCQ mein seedha aata hai.

Q8: A manager ensures that each team member receives a different type of recognition — one gets public praise, another gets additional leave, a third gets a cash bonus. Which motivation suggestion is being applied?

- A) Use goals
- B) Individualize rewards
- C) Check the system for equity
- D) Ensure goals are perceived as attainable

Correct Answer: B — Individualize rewards

Exam Tip (Roman Urdu): Alag alag rewards alag alag logon ke liye = individualize rewards — ek size fits all nahi chalta.

Q9: Why must effort be "channeled in the right direction" to lead to good performance?

- A) Because effort alone determines the level of employee motivation
- B) Because high effort in the wrong direction does not benefit the organization even if intensity is high
- C) Because effort must always be visible to management to count as motivation
- D) Because effort is only valid when linked to intrinsic motivators

Correct Answer: B — Because high effort in the wrong direction does not benefit the organization even if intensity is high

Exam Tip (Roman Urdu): Effort = intensity + direction — sirf hard kaam karna kaafi nahi, sahi kaam karna zaroori hai.

Q10: Which of the following statements about money as a motivator is consistent with the lecture?

- A) Money is irrelevant to employee motivation and should be excluded from reward systems
- B) Money is the only reliable motivator for all types of employees
- C) Performance-based pay increases and bonuses play an important role in determining employee motivation
- D) Money only motivates at the lowest levels of an organization

Correct Answer: C — Performance-based pay increases and bonuses play an important role in determining employee motivation

Exam Tip (Roman Urdu): Lecture kehta hai "don't ignore money" — yeh important hai lekin "only" motivator nahi, aur performance se linked hona chahiye.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein motivation ki nature, intrinsic vs extrinsic motivators, motivation model, aur employees ko motivate karne ke 8 practical suggestions parhe.

PART B — Yaad Rakhne Wali Baatein

- **Motivation** = willingness to exert high effort toward organizational goals to satisfy individual need — yeh directly measure nahi hoti, behavior se infer hoti hai
- **Performance = Ability + Motivation + Working Conditions** — sirf motivation enough nahi
- **Intrinsic** = andar se (satisfaction, prestige); **Extrinsic** = bahar se (pay, bonus) — dono important hain
- **Motivation model:** Needs → Behaviors → Rewards → Need fulfillment → Future expectations — reward na mile toh negative cycle
- **8 suggestions mein** sabse frequently tested: Link rewards to performance, Individualize rewards, Ensure goals attainable, Don't ignore money

PART C — Zaroor Yaad Karo Yeh Frameworks

Performance Formula:

Performance = f (Ability + Motivation + Working Conditions)

Simplified Motivation Model:

1. Inner needs + cognitions
 2. Behaviors
 3. Rewards
 4. Need fulfillment + cognitive input (positive path)
- OR Unfulfilled needs + un-reinforced behavior + negative expectations (negative path)

Intrinsic vs Extrinsic:

- **Intrinsic:** Satisfaction, respect, prestige, loyalty — andar se
- **Extrinsic:** Pay, bonuses, tangible benefits — bahar se

8 Practical Suggestions:

1. Recognize individual differences
2. Match people to jobs
3. Use goals (hard + specific + feedback)
4. Ensure goals perceived as attainable
5. Individualize rewards
6. Link rewards to performance
7. Check system for equity
8. Don't ignore money

PART D — Exam Mein Ghalti Mat Karna

[!] Motivation **directly measure nahi hoti** — sirf behavior se infer karti hai — "motivation visible hoti hai" bolna galat hai

[!] Performance formula mein **teeno factors** zaroori hain — sirf motivated hone se achha perform karna guarantee nahi

[!] **Intrinsic** = andar se, **Extrinsic** = bahar se — dono ko ulta mat bolna, yeh MCQ mein seedha aata hai

Lecture 34: Maslow's Needs Theory and Its Analysis

Subject: MGT503 — Principles of Management

Topic Type: K — Motivation Theories

Difficulty: Intermediate

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek naya factory worker Karachi mein pehle din kaam par aata hai — uski pehli fikr kya hai? Salary milegi ya nahi, ghar ka kiraaya nikle ga ya nahi — yeh physiological needs hain. Jab yeh fikr door ho jaaye, tab woh sochta hai ke job secure hai ya nahi. Phir dosto se dosti, phir izzat, phir apni poori capability use karna. Yehi Maslow ka seedha saadha idea hai — pehle pet bharo, phir baaki sab.

PART B — Core Concepts

1. Abraham Maslow: American psychologist — hierarchy of needs theory ka founder — kehte hain ke needs ek pyramid mein hain, neeche se upar.

2. Hierarchy of Needs: 5 levels ki needs ka pyramid — neeche wali need satisfy hone ke baad upar wali motivate karti hai.

3. Motivator: Jo need abhi unsatisfied hai woh motivate karti hai — satisfied need motivate karna band kar deti hai.

4. Self-Actualization: Maslow ki highest need — apni full potential achieve karna, jo ban sakte ho woh banna.

5. Physiological Needs: Sabse basic needs — khana, paani, ghar — jab tak yeh satisfy na hon, koi aur need motivate nahi karti.

PART C — Key Frameworks and Models

- **Maslow's Hierarchy of Needs:** 5-level pyramid — Physiological → Safety → Belongingness → Esteem → Self-Actualization.
- **Satisfaction-Progression Principle:** Ek level satisfy ho toh woh motivate karna band kare, aur agla level activate ho.
- **Weaknesses of Theory:** Hierarchy sab ke liye same nahi; 5 levels zaroori nahi; cultural differences ignored.

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

What is Maslow's Theory?

Abraham Maslow ne human needs ko ek hierarchy mein arrange kiya — lowest se highest tak. Core idea: jab ek need satisfy ho jaaye toh woh motivator nahi rehti, aur individual upar wali need ki taraf move karta hai.

Maslow's 5 Levels — Lowest to Highest

Level 1 — Physiological Needs (Sabse Basic)

Definition: Food, water, shelter — zindagi maintain karne ke liye zaroori.

Workplace Example: PTCL employee ki salary jo uska ghar ka kiraaya aur khaana cover kare.

Key Point: Jab tak yeh satisfy nahi, koi bhi doosri need motivate nahi karegi.

Level 2 — Safety Needs

Definition: Safe, secure rehne ki desire — threats se freedom chahiye.

Workplace Example: VU faculty member ke liye permanent job contract aur pension plan — job continuity.

Key Point: Physiological needs satisfy hone ke baad yeh activate hoti hain.

Level 3 — Belongingness Needs

Definition: Dusron se affiliate hone aur unke saath accepted hone ki desire.

Workplace Example: HBL branch mein naye employee ko team mein shamil karna, colleagues

ke saath dosti.

Key Point: Family, community, aur workplace friendships se satisfy hoti hain.

Level 4 — Esteem Needs

Definition: Do-part desire — positive self-image + dusron se apni contributions ki appreciation.

Workplace Example: Army officer ka promotion aur public recognition — power, prestige, status, self-confidence.

Key Point: Belonging satisfy hone ke baad log esteem chahne lagte hain — khud se bhi, dusron se bhi.

Level 5 — Self-Actualization Needs (Sabse High)

Definition: Apni capabilities develop karna aur full potential reach karna — jo ban sakte ho woh banna.

Workplace Example: Ek experienced surgeon jo naye complex procedures innovate kare — bas apni limit push karna chahta hai.

Key Point: Maslow ke mutabiq yeh highest need hai — koi satisfy kar le toh bhi satisfaction kabhi complete nahi hoti.

How the Hierarchy Works — Satisfaction-Progression

Maslow kehte hain ke individual pehle Level 1 satisfy karta hai. Jab Level 1 satisfy ho jaaye toh woh motivate karna band kar deti hai aur Level 2 primary motivator ban jaati hai. Yeh process Level 5 tak chalta rehta hai. Har level apna kaam karta hai jabtak unsatisfied ho.

Analysis and Weaknesses of Maslow's Theory

Weakness 1: Sab individuals mein yeh 5 levels hamesha present nahi hote.

Weakness 2: Needs ki order aur hierarchy sab employees ke liye same nahi hoti — kisi ke liye esteem pehle aa sakti hai.

Weakness 3: Theory ne cultural differences consider nahi kiye — ek size fits all approach hai.

Weakness 4: China mein research ne show kiya ke needs ki hierarchy Maslow ke model se alag thi — cultural context matter karta hai.

Weakness 5: Recent studies kehti hain ke 5 se kam levels bhi ho sakti hain — 5 ka number fixed nahi.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Satisfied Need Ko Still Motivator Samajhna

Wrong Approach: Jab employee ki safety need satisfy ho jaaye tab bhi manager usi ko motivate karne ke liye use kare.

Right Approach: Satisfied need motivate karna band kar deti hai — manager ko upar wali unsatisfied need par focus karna chahiye.

Wajah: Maslow ka core principle yahi hai — satisfied need ceases to be a motivator — yeh exam mein seedha test hota hai.

Mistake 2: Self-Actualization Ko Sirf Career Achievement Samajhna

Wrong Approach: Self-actualization = bada promotion milna ya CEO banna.

Right Approach: Self-actualization = apni full potential develop karna aur jo ban sakte ho woh banna — yeh inner growth hai, sirf title nahi.

Wajah: Definition mein "maximize one's potential" aur "accomplish something" — yeh broader concept hai, sirf job title nahi.

Mistake 3: Theory Ko Universal Samajhna

Wrong Approach: Maslow ki hierarchy sab cultures aur sab employees par exactly apply hoti hai.

Right Approach: Theory mein weaknesses hain — cultural differences, individual differences, aur hierarchy ka order sab ke liye same nahi.

Wajah: Lecture specifically China ka example deta hai jahan hierarchy different thi — criticism wala part bhi exam mein aata hai.

Mistake 4: Hierarchy Ko Top Se Neeche Samajhna

Wrong Approach: Self-actualization sabse pehle satisfy hoti hai, physiological baad mein.

Right Approach: Hierarchy bottom se upar chalti hai — physiological sabse pehle, self-actualization sabse aakhir.

Wajah: "Ascending from the lowest to the highest" — Maslow clearly kehte hain ke neeche se upar jaate hain.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

Raza ek textile factory worker hai Faisalabad mein. Uski salary barely uske family ka khaana aur ghar cover karti hai. Factory manager ne notice kiya ke Raza team meetings mein participate nahi karta aur kisi se dosti nahi karta. Manager ne socha ke Raza ko "team belonging activities" mein include karein taake woh motivated ho. Kya manager ka approach sahi hai? Maslow ki theory use karke explain karo.

Hint (Roman Urdu): Pehle check karo ke Raza ki hierarchy mein kaunsa level abhi unsatisfied hai. Kya belonging offer karna tab kaam karta hai jab neeche wali need satisfy nahi hui?

Problem 2:

Sara ek experienced doctor hai Lahore mein. Uski salary excellent hai, job permanent hai, hospital mein colleagues ke saath achhe relations hain, aur recently "Best Doctor Award" mila. Ab Sara kehti hai ke woh naye surgical techniques research karna chahti hai aur medical students

ko train karna chahti hai. Maslow ki theory ke mutabiq Sara kaunse level par hai aur kya yeh level satisfy ho sakta hai completely?

Hint (Roman Urdu): Sara ke kaunse neeche ke levels satisfy ho chuke hain? Ab woh kahan hai? Maslow ne self-actualization ke baare mein kya khas baat kahi?

PART B — Challenge Problem

"Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya."

A Pakistani multinational company has employees at three levels: (1) Factory floor workers earning minimum wage with no job security; (2) Mid-level managers with permanent contracts, good salaries, and a friendly team environment, who now want recognition and promotions; (3) Senior executives who have everything — salary, security, respect — but feel their work has become routine and unchallenging.

Using Maslow's hierarchy:

- (a) Identify the dominant unsatisfied need level for each group.
- (b) Suggest one specific motivational action the company should take for each group.
- (c) A critic argues that Maslow's theory cannot be applied uniformly here because two of the factory workers are from different cultural backgrounds where community and belonging come before individual safety. How does this challenge Maslow's model?
- (d) If the company promotes a factory worker directly to a senior role with a big salary jump but no team integration, which needs will be satisfied and which critical need might be skipped — and what could go wrong?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why does a satisfied need cease to be a motivator, and what are the practical implications of this for managers?

Think About It (Roman Urdu): Agar kisi ko bhook nahi lag rahi toh kya aap use khane ka laalach dekar motivate kar sakte ho? Jab zaroorat puri ho jaaye toh woh cheez power kyon kho deti hai?

Answer: Maslow ke mutabiq needs tabhi motivate karti hain jab woh unsatisfied hon. Jab need satisfy ho jaaye toh woh behavior drive karna band kar deti hai. Practical implication: manager ko pehle identify karna chahiye ke employee ka kaunsa level currently unsatisfied hai — usi level par incentives aur rewards focus karne chahiye. Purani satisfy shuda need par resources waste karna ineffective hai.

Q2: What are the main weaknesses of Maslow's hierarchy, and how do cultural differences challenge its universal applicability?

Think About It (Roman Urdu): Pakistan, China, aur America — kya sab jagah logon ki priorities ek jaisi hain? Ek joint family system mein belonging pehle aa sakti hai safety se bhi — Maslow ne yeh soch kyun nahi?

Answer: Maslow ki theory ne assume kiya ke sab logon mein 5 fixed levels hoti hain aur order same hoti hai — lekin yeh universal nahi hai. China mein research ne alag hierarchy show ki. Collectivist cultures mein (jaise Pakistan) belonging safety se pehle priority ho sakti hai. Individual differences bhi hain — kisi ke liye esteem physiological ke baad directly aati hai. Isliye theory ek useful framework hai lekin universal law nahi.

Q3: How should a manager use Maslow's theory practically to improve employee motivation in a Pakistani workplace?

Think About It (Roman Urdu): Ek manager ke paas do employees hain — ek naya junior jo barely guzara kar raha hai, ek senior jo sab kuch achieve kar chuka hai. Dono ko ek hi tarike se motivate karna sahi hai kya?

Answer: Manager ko pehle har employee ka current unsatisfied need level identify karna chahiye. Junior employee ke liye fair salary aur job security (Levels 1-2) — bonus ya recognition offer karna premature hoga. Senior employee ke liye challenging projects, autonomy, aur growth opportunities (Level 5 direction) zyada effective honge. Maslow ki theory "one size fits all" approach ko reject karti hai — individualized motivation zaroori hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange Maslow's 5 needs from lowest to highest in the correct hierarchical order.

(Physiological → Safety → Belongingness → Esteem → Self-Actualization)

Q2: Match each workplace example to the correct need level:

"Permanent job contract and pension plan" — which level?

"Team lunch and friendship with colleagues" — which level?

"Best Employee Award and public recognition" — which level?

(Job contract = Safety; Team friendship = Belongingness; Award = Esteem)

Q3: A factory worker's salary has just been increased to comfortably cover food, rent, and utilities. According to Maslow, which need will now become the primary motivator?

(Safety needs — because physiological needs are now satisfied and cease to motivate)

Q4: Compare: What is the difference between Esteem needs and Self-Actualization needs?

(Esteem = positive self-image + recognition from others — power, prestige, status; Self-Actualization = developing full potential and becoming what one is capable of becoming — inner growth)

Q5: Name two specific weaknesses of Maslow's hierarchy of needs theory.

(Any two: five levels not always present; hierarchy order differs across individuals; cultural differences ignored; research showed fewer than 5 levels may exist)

Q6: According to Maslow, when does a need cease to act as a motivator?

(When it is satisfied — a satisfied need no longer motivates behavior)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following is the correct definition of Maslow's hierarchy of needs?

A) A theory stating that all human needs are equally important at all times

B) A motivational theory arranging human needs from lowest to highest, where satisfied needs no longer motivate

C) A theory stating that financial rewards are the only true motivators

D) A leadership model based on employee skill levels

Correct Answer: B — A motivational theory arranging human needs from lowest to highest, where satisfied needs no longer motivate

Exam Tip (Roman Urdu): Definition mein do cheezein zaroori hain: hierarchy (lowest to highest) aur satisfied need ceases to motivate — dono saath hone chahiye.

Q2: According to Maslow, which need must be satisfied before any other need begins to motivate?

A) Safety needs

B) Esteem needs

C) Physiological needs

D) Belongingness needs

Correct Answer: C — Physiological needs

Exam Tip (Roman Urdu): Physiological needs sabse neeche hain — khana, paani, ghar — jab tak yeh satisfy nahi, koi aur need kaam nahi karti.

Q3: An employee has a stable income, a permanent job contract, and feels secure about retirement. He now actively seeks friendships at work and wants to feel part of the team. According to Maslow, which need is now motivating him?

A) Physiological needs

B) Safety needs

C) Belongingness needs

D) Self-actualization needs

Correct Answer: C — Belongingness needs

Exam Tip (Roman Urdu): Physiological aur Safety satisfy ho gayi — ab agla level activate hua: Belongingness. Hierarchy sequence yaad rakho.

Q4: Which of the following best describes self-actualization according to Maslow?

- A) Desire for job security and freedom from threats
- B) Need for recognition, status, and prestige from others
- C) Desire to develop one's full capabilities and reach one's highest potential
- D) Need to form friendships and be accepted by a group

Correct Answer: C — Desire to develop one's full capabilities and reach one's highest potential

Exam Tip (Roman Urdu): Self-actualization = apni full potential banana — yeh status ya friendship nahi hai, yeh inner growth aur accomplishment hai.

Q5: A manager gives a senior employee a prestigious title and public recognition to motivate him. According to Maslow, which need is the manager targeting?

- A) Safety needs
- B) Physiological needs
- C) Belongingness needs
- D) Esteem needs

Correct Answer: D — Esteem needs

Exam Tip (Roman Urdu): Esteem = prestige, status, recognition, self-confidence — title aur public appreciation esteem level pe aate hain.

Q6: Which of the following is a valid criticism of Maslow's hierarchy of needs?

- A) The theory includes too many financial incentives
- B) The theory ignores physiological needs entirely
- C) Cultural differences and individual variation mean the hierarchy is not universally applicable
- D) The theory only applies to top-level managers

Correct Answer: C — Cultural differences and individual variation mean the hierarchy is not universally applicable

Exam Tip (Roman Urdu): Maslow ki theory ka sabse bada weakness yahi hai — China ka example yaad rakho jahan hierarchy alag nikli.

Q7: According to Maslow, which of the following workplace benefits addresses Safety needs?

- A) Team-building lunches and social events
- B) Job continuity and retirement benefits
- C) Challenging projects that develop new skills
- D) Public recognition awards

Correct Answer: B — Job continuity and retirement benefits

Exam Tip (Roman Urdu): Safety needs = secure rehna, threats se free rehna — job continuity aur pension directly yeh satisfy karte hain.

Q8: Research conducted in China found that the hierarchy of needs was different from Maslow's original model. What does this finding suggest?

- A) Maslow's theory is completely incorrect and should be discarded

- B) Only physiological and safety needs are universally valid
- C) The hierarchical order of needs may vary across cultural contexts
- D) Chinese employees have no self-actualization needs

Correct Answer: C — The hierarchical order of needs may vary across cultural contexts

Exam Tip (Roman Urdu): Yeh finding Maslow ki theory ko completely reject nahi karti — sirf kehti hai ke hierarchy ka order culture se culture mein different ho sakta hai.

Q9: Abraham Maslow is best known for his contribution to management as:

- A) The founder of Scientific Management and time-motion studies
- B) The developer of the hierarchy of needs theory of motivation
- C) The creator of Theory X and Theory Y
- D) The founder of Administrative Management principles

Correct Answer: B — The developer of the hierarchy of needs theory of motivation

Exam Tip (Roman Urdu): Contributor match karo: Maslow = hierarchy of needs; Taylor = scientific management; McGregor = Theory X/Y; Fayol = 14 principles.

Q10: Which of the following statements about Maslow's theory is most accurate?

- A) All five need levels motivate an employee simultaneously at all times
- B) Once self-actualization is reached, all motivation ceases
- C) A need at a higher level only begins to motivate after the lower-level need is sufficiently satisfied
- D) Esteem needs must be satisfied before safety needs

Correct Answer: C — A need at a higher level only begins to motivate after the lower-level need is sufficiently satisfied

Exam Tip (Roman Urdu): Yeh Maslow ka core mechanism hai — neeche wala satisfy ho toh upar wala activate ho — yeh sequence fixed hai (with weaknesses noted).

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein Maslow ki hierarchy of needs theory detail mein samjhayi gayi — 5 levels kya hain, kaise kaam karti hain, aur theory ki weaknesses kya hain.

PART B — Yaad Rakhne Wali Baatein

- **Satisfied need motivate karna band kar deti hai** — manager ko abhi ki unsatisfied need target karni chahiye.
- Hierarchy **neeche se upar** chalti hai — Physiological → Safety → Belongingness → Esteem → Self-Actualization.
- **Self-actualization** highest need hai — apni full potential reach karna, jo ban sakte ho woh banna.

- **Esteem needs** do parts hain: positive self-image (apne aap se) + appreciation from others (dusron se).
- **Weaknesses:** Cultural differences, individual differences, aur 5 levels zaroori nahi — theory universal nahi hai.

PART C — Zaroor Yaad Karo Yeh Frameworks

Maslow's 5 Levels (Lowest to Highest):

1. **Physiological** — food, water, shelter — (salary jo basic needs cover kare)
2. **Safety** — security, freedom from threats — (permanent job, pension)
3. **Belongingness** — affiliation, acceptance — (team friendships, family)
4. **Esteem** — self-image + recognition from others — (award, promotion, prestige)
5. **Self-Actualization** — full potential, becoming what you can be — (challenging growth work)

Core Principle: Satisfied need → no longer motivates → next level activates.

PART D — Exam Mein Ghalti Mat Karna

[!] Satisfied need still motivates — yeh GALAT hai; satisfied need ceases to motivate — yeh sahi hai.

[!] Self-actualization ko sirf career promotion mat samajhna — yeh inner full potential development hai.

[!] Maslow ki theory ko universal mat kehna — cultural differences (especially China example) theory ko challenge karte hain.

Lecture 35: Other Need and Cognitive Theories of Motivation

Subject: MGT503 — Principles of Management

Topic Type: K — Motivation Theories

Difficulty: Intermediate

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek textile factory mein do workers hain. Ek worker sirf isliye kaam karta hai ke usse salary milti rehey aur supervisor daant na de — yeh hygiene factors hain. Doosra worker isliye kaam karta hai kyunke use apne kaam mein achievement milti hai aur woh grow karna chahta hai — yeh motivators hain. Aur agar ek worker ko pata chale ke usse utna nahi mil raha jitna uske barabar wale ko — toh woh upset ho jaata hai — yeh equity theory hai.

PART B — Core Concepts

- 1. Theory X:** McGregor ka view — employees aalsi hain, kaam se bachte hain, coercion chahiye.
- 2. Theory Y:** McGregor ka view — employees creative hain, responsibility dhundhte hain, self-directed hain.
- 3. Hygiene Factors (Herzberg):** Jo dissatisfaction door karte hain lekin satisfy nahi karte — extrinsic factors.
- 4. Motivators (Herzberg):** Jo actual satisfaction aur motivation dete hain — intrinsic factors.
- 5. ERG Theory (Alderfer):** Maslow ke 5 levels ko 3 mein compress kiya — Existence, Relatedness, Growth.
- 6. Satisfaction-Progression Principle:** Ek need satisfy ho toh agli need ki taraf move karo.
- 7. Frustration-Regression Principle:** Agar higher need frustrate ho toh wapas lower need pe aa jao.
- 8. nAch:** Need for Achievement — challenging tasks accomplish karna chahte hain.
- 9. nAff:** Need for Affiliation — warm relationships banana chahte hain.
- 10. nPow:** Need for Power — doosron ko influence karna chahte hain.
- 11. TAT:** Thematic Apperception Test — McClelland ki needs measure karne ka tool.
- 12. Equity Theory (Adams):** Employee apne input-outcome ratio ko doosron se compare karta hai.
- 13. Referents:** Woh log, systems, ya khud se comparison jis se employee equity judge karta hai.

PART C — Key Frameworks and Models

- **McGregor's Theory X/Y:** Douglas McGregor — do opposite views of human nature
- **Herzberg's Two-Factor Theory:** Frederick Herzberg — hygiene factors vs motivators, alag categories
- **ERG Theory:** Clayton Alderfer — Existence, Relatedness, Growth; frustration-regression included
- **Acquired-Needs Theory:** David McClelland — nAch, nAff, nPow; needs learned through life experience
- **Equity Theory:** J. Stacey Adams — input-outcome ratio comparison with referents

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

McGregor's Theory X and Theory Y

Douglas McGregor ne do opposite assumptions diye human nature ke baare mein:

Dimension	Theory X	Theory Y
View of employees	Lazy, dislike work	Creative, seek responsibility
Direction needed	Coercion, control	Self-direction
Maslow's link	Lower-order needs dominate	Higher-order needs dominate
Management style	Authoritarian	Participative

Pakistani example: Ek kattar supervisor jo sochta hai "agar main nahi dekhta toh yeh kaam nahi karenge" — Theory X. Ek manager jo team ko autonomy deta hai aur unhe khud decide karne deta hai — Theory Y.

Herzberg's Motivation-Hygiene Theory

Herzberg ka key insight: **Satisfaction ka ulta dissatisfaction nahi hai.** Yeh do alag dimensions hain. Dissatisfaction door karna satisfaction guarantee nahi karta.

Hygiene Factors (Extrinsic — Job Context):

- a. Pay
- b. Working conditions
- c. Supervisors
- d. Company policies
- e. Benefits

Function: Dissatisfaction door karte hain — motivation nahi dete. Agar yeh absent hoon toh worker unhappy, agar present hoon toh worker neutral.

Motivators (Intrinsic — Job Content):

- a. Achievement
- b. Responsibility
- c. Work itself
- d. Recognition
- e. Growth and advancement

Function: Yeh actual satisfaction aur motivation dete hain. Inka hona performance push karta hai.

Pakistani example: PTCL employee ko acchi salary milti hai (hygiene) lekin koi recognition nahi milti aur kaam boring hai — woh dissatisfied nahi hoga lekin motivated bhi nahi hoga.

ERG Theory (Clayton Alderfer)

Alderfer ne Maslow ke 5 levels compress karke 3 banaye:

1. **Existence Needs:** Physiological + safety — food, pay, physical working conditions.
2. **Relatedness Needs:** Family, friends, work groups, professional relationships.
3. **Growth Needs:** Creativity, innovation, productive impact on surroundings.

ERG vs Maslow — 3 Key Differences:

1. ERG mein ek waqt mein ek se zyada need active ho sakti hai — Maslow mein ek ek level hota hai.
2. ERG more flexible hai — needs ka order individual ke hisaab se alag ho sakta hai.
3. ERG mein **frustration-regression principle** hai — Maslow mein yeh nahi tha.

Frustration-Regression: Agar growth need bar bar frustrate ho toh employee relatedness need ki taraf wapas aa jaata hai.

Example: VU ka employee promotion nahi mila baar baar — ab woh sirf colleagues se dosti pe focus karne lagta hai.

Acquired-Needs Theory (David McClelland)

McClelland ka argument: Needs janm se nahi hoti — life experience se seekhi jaati hain.

TAT (Thematic Apperception Test): Pictures dikha ke measure karte hain ke insaan mein kaunsi need dominant hai.

3 Needs:

1. **nAch (Need for Achievement):** Challenging tasks accomplish karna, excellence chahna.
2. **nAff (Need for Affiliation):** Warm, friendly relationships maintain karna.
3. **nPow (Need for Power):**
 - **Personal Power:** Doosron pe dominate karna sirf power dikhane ke liye.
 - **Institutional Power:** Organization ke goals aur problems solve karne ke liye influence use karna.

Successful Manager's Need Profile:

- **Moderate-to-high** institutional power need
- **Moderate** achievement need
- **Minimum** affiliation need (doosron ko influence karne ke liye sensitivity)
- **Note:** Small ya decentralized companies mein nAch sometimes nPow se zyada important hota hai.
- nAch aur institutional power needs **training se develop** ki ja sakti hain.

Equity Theory (J. Stacey Adams)

Employee apna **Input-Outcome ratio** calculate karta hai:

- **Inputs:** Mehnat, skill, experience, time
- **Outcomes:** Salary, recognition, promotion, benefits

Phir yeh ratio **referents** se compare karta hai — doosre log, systems, ya apna past.

Agar Inequity Feel Ho Toh Employee Kya Karta Hai:

- a. Apne ya doosron ke inputs/outcomes ko mentally distort kare
- b. Doosron ko apne inputs/outcomes change karne pe majboor kare
- c. Khud apne inputs/outcomes change kare (kam kaam kare ya zyada maange)
- d. Alag referent choose kare
- e. Job chhor de

Significance for Managers:

- Higher-level needs motivation ke important source hain — sirf salary pe rely mat karo.
- Individuals ki need structure alag alag hoti hai — ek size fits all approach kaam nahi karta.
- ERG ka frustration-regression serious organizational implication rakhta hai — blocked growth wapas lower needs activate karta hai.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Hygiene factors ko motivators samajhna

Wrong Approach: Agar salary badha di toh employee motivated ho jaayega.

Right Approach: Salary hygiene factor hai — dissatisfaction door karta hai lekin motivation nahi deta. Motivation ke liye achievement aur recognition chahiye.

Wajah: Herzberg ka key insight yahi hai — satisfaction aur dissatisfaction do alag dimensions hain, ek ka ulta doosra nahi.

Mistake 2: ERG aur Maslow ko same samajhna

Wrong Approach: ERG sirf Maslow ka condensed version hai — koi farq nahi.

Right Approach: ERG mein teen aham farq hain — multiple needs simultaneously, flexible order, aur frustration-regression principle — yeh Maslow mein nahi hain.

Wajah: Exam mein "ERG differs from Maslow in how many ways" type question aata hai — teen differences yaad rakho.

Mistake 3: Personal Power aur Institutional Power ko mix karna

Wrong Approach: nPow matlab sirf doosron pe control karna chahna.

Right Approach: Personal power = apni strength dikhane ke liye dominate karna; Institutional power = organization ke goals ke liye influence use karna. Successful managers mein institutional power honi chahiye.

Wajah: MCQ mein dono options aate hain — kaunsi power "good manager" ki trait hai yeh poochha jaata hai.

Mistake 4: Equity Theory mein sirf salary compare karna samajhna

Wrong Approach: Equity theory sirf pay ke baare mein hai.

Right Approach: Employee inputs (mehnat, skill, time) aur outcomes (salary, recognition, promotion) dono ka ratio compare karta hai referents se.

Wajah: Inputs ki list aur outcomes ki list dono yaad honi chahiyein — sirf "pay" likh dena incomplete answer hai.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1: A government hospital in Lahore gives all doctors good salaries, clean offices, and job security. But doctors still seem unmotivated — they do the minimum work and show no initiative. Using Herzberg's theory, explain why this might be happening and what the hospital management should do.

Hint (Roman Urdu): Pehle check karo ke hospital ne hygiene factors diye hain ya motivators — phir decide karo kya missing hai. Herzberg ke do lists yaad karo.

Problem 2: A factory worker at a textile mill in Faisalabad is repeatedly denied promotion despite performing well. After multiple rejections, he stops trying to grow and instead focuses on maintaining good friendships with coworkers. Which ERG principle explains this behavior? Identify the needs involved.

Hint (Roman Urdu): Jab higher need frustrate ho toh kya hota hai — ERG ka woh principle yaad karo jo Maslow mein nahi tha. Kaunsi need se kaunsi need pe wapas aaya?

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

Ahmed aur Bilal dono VU mein administrative officers hain. Ahmed apne kaam mein 10 ghante deta hai, extra projects leta hai, aur 5 saal ka experience rakhta hai. Uski salary 60,000 hai. Bilal sirf 6 ghante deta hai, koi extra kaam nahi karta, aur 2 saal ka experience rakhta hai — lekin uski salary bhi 60,000 hai. Ahmed ko yeh pata chalta hai.

(a) Equity theory ke hisaab se Ahmed ke input-outcome ratio aur Bilal ke ratio mein kya farq hai?

(b) Ahmed ki perceived inequity ke response mein woh kya 5 actions le sakta hai — lecture ke mutabiq?

(c) Ab separately: Ahmed ki profile dekhein toh McClelland ke theory ke hisaab se uski kaunsi need dominant lagti hai? Kyun?

(d) Agar hospital management Ahmed ko retain karna chahti hai toh Herzberg ki theory ke hisaab se kya karna chahiye?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why did Herzberg argue that removing dissatisfaction does not automatically create satisfaction?

Think About It (Roman Urdu): Agar ghar mein bijli aa jaye toh kya ghar khubsoorat ho jaata hai? Bijli ka hona zaroori hai lekin khubsoorti alag cheez hai — yahi Herzberg ka point hai.

Answer: Herzberg ne argue kiya ke satisfaction aur dissatisfaction do alag dimensions hain alag factors se driven. Hygiene factors (salary, conditions) dissatisfaction door karte hain — yeh basic zarooriaat hain. Lekin actual motivation sirf motivators (achievement, recognition, growth) se aata hai. Isliye sirf hygiene improve karna neutral state create karta hai, motivated state nahi.

Q2: In what three ways does ERG theory improve upon Maslow's hierarchy?

Think About It (Roman Urdu): Maslow ne kaha ek seedhi line mein needs satisfy hoti hain — Alderfer ne kaha real zindagi itni simple nahi hoti. Kyun?

Answer: ERG teen ways mein zyada realistic hai: Pehla — ek waqt mein multiple needs active ho sakti hain (Maslow mein ek ek). Doosra — needs ka order flexible hai, har insaan ka alag ho sakta hai. Teesra — frustration-regression principle — agar higher need block ho toh lower need zyada dominant ho jaati hai. Yeh real organizational behavior better explain karta hai.

Q3: Why is "institutional power" considered more desirable in a successful manager than "personal power"?

Think About It (Roman Urdu): Ek officer jo sirf apni dhamak dikhane ke liye orders deta hai aur ek officer jo team ko organization ke goal ke liye lead karta hai — kaun zyada useful hai organization ko?

Answer: Personal power wala manager apni dominance prove karne mein laga rehta hai — yeh organization ke liye harmful hai. Institutional power wala manager apni influence organization ke goals solve karne mein use karta hai — yeh leadership ka effective form hai. McClelland ne identify kiya ke successful managers mein moderate-to-high institutional power hoti hai — personal power dominant hona problem hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Match each need with its correct category in ERG theory:

- Food, pay, physical working conditions → **(Existence Needs)**
- Family relationships, work group friendships → **(Relatedness Needs)**
- Creativity, innovation, productive impact → **(Growth Needs)**

Q2: Arrange Herzberg's factors into correct categories:

Pay / Achievement / Working conditions / Recognition / Company policies / Responsibility
(Hygiene: Pay, Working conditions, Company policies | Motivators: Achievement, Recognition, Responsibility)

Q3: A manager believes workers are creative, seek responsibility, and can direct themselves. Which theory does this represent?

(Theory Y — McGregor)

Q4: Compare nAch and nPow: What is the key difference in what each person seeks?

(nAch = desire to accomplish challenging tasks and achieve excellence | nPow = desire to influence others and control environment)

Q5: An employee discovers a coworker doing less work receives the same salary. According to Equity Theory, name three possible responses the employee might show.

(Any three: distort inputs/outcomes mentally; try to change coworker's inputs/outcomes; change own inputs/outputs; choose different referent; quit the job)

Q6: What is the key difference between the satisfaction-progression and frustration-regression principles in ERG theory?

(Satisfaction-progression: satisfy one need → move to next higher need | Frustration-regression: higher need blocked → regress to lower need)

SECTION 8 — EXAM MCQs (VU Style)

Q1: According to Herzberg's two-factor theory, which of the following is classified as a hygiene factor?

- A) Recognition
- B) Achievement
- C) Company policy
- D) Responsibility

Correct Answer: C — Company policy

Exam Tip (Roman Urdu): Hygiene = job context ke factors (salary, policy, conditions) — job content nahi. Recognition aur achievement motivators hain.

Q2: Herzberg's key insight was that the opposite of job satisfaction is:

- A) Job dissatisfaction
- B) Low motivation
- C) No job satisfaction (neutral state)
- D) Poor performance

Correct Answer: C — No job satisfaction (neutral state)

Exam Tip (Roman Urdu): Satisfaction ka ulta dissatisfaction nahi — yahi Herzberg ka sabse important point hai. Removing dissatisfaction = neutral, not satisfied.

Q3: A manager who wants power to solve organizational problems and further company goals is demonstrating which type of power need?

- A) Personal power

- B) Achievement power
- C) Institutional power
- D) Affiliation power

Correct Answer: C — Institutional power

Exam Tip (Roman Urdu): Institutional = organization ke liye; Personal = sirf apni dhamak ke liye — successful managers institutional chahiye.

Q4: According to ERG theory, if an employee is repeatedly frustrated in satisfying growth needs, they will most likely:

- A) Increase effort toward growth needs
- B) Develop new growth-oriented goals
- C) Regress to focusing more on relatedness needs
- D) Immediately resign from the organization

Correct Answer: C — Regress to focusing more on relatedness needs

Exam Tip (Roman Urdu): Frustration-regression = block ho toh neeche wapas — yeh Maslow mein nahi tha, ERG mein hai.

Q5: A VU employee works hard, develops skills, and brings innovative ideas to projects. Which of McClelland's needs is most dominant in this employee?

- A) Need for Affiliation (nAff)
- B) Need for Power (nPow)
- C) Need for Achievement (nAch)
- D) Need for Security

Correct Answer: C — Need for Achievement (nAch)

Exam Tip (Roman Urdu): nAch = challenging tasks, excellence, innovation — yeh sab signs nAch ke hain.

Q6: Equity Theory was developed by:

- A) Douglas McGregor
- B) Clayton Alderfer
- C) David McClelland
- D) J. Stacey Adams

Correct Answer: D — J. Stacey Adams

Exam Tip (Roman Urdu): Adams = Equity Theory — baaki teeno alag theories ke founders hain, confuse mat karna.

Q7: Which of the following best describes "referents" in Equity Theory?

- A) The rewards an employee expects from a job
- B) The persons, systems, or selves against which employees compare their input-outcome ratio
- C) The intrinsic motivators that drive employee behavior
- D) The performance standards set by management

Correct Answer: B — The persons, systems, or selves against which employees compare

their input-outcome ratio

Exam Tip (Roman Urdu): Referent = comparison point — insaan, system, ya apna past — teen types yaad rakho.

Q8: Theory X assumes that lower-order needs dominate employees, while Theory Y assumes that:

- A) Employees need strict supervision to perform
- B) Only financial incentives drive motivation
- C) Higher-order needs dominate employees
- D) All employees have the same need structure

Correct Answer: C — Higher-order needs dominate employees

Exam Tip (Roman Urdu): Theory X = lower-order (Maslow), Theory Y = higher-order (Maslow) — yeh link yaad rakhna.

Q9: According to McClelland, which need profile best describes a successful manager in a competitive environment?

- A) High nAff, low nAch, low nPow
- B) Moderate-to-high institutional nPow, moderate nAch, minimum nAff
- C) High personal nPow, high nAff, low nAch
- D) Equal levels of nAch, nAff, and nPow

Correct Answer: B — Moderate-to-high institutional nPow, moderate nAch, minimum nAff

Exam Tip (Roman Urdu): Successful manager profile = institutional power high, nAch moderate, nAff minimum — yeh specific combination yaad rakho.

Q10: In ERG theory, how does the satisfaction-progression principle differ from Maslow's hierarchy?

- A) ERG allows only one need to be active at a time, same as Maslow
- B) ERG requires complete satisfaction of one level before moving to the next
- C) ERG allows multiple needs to be active simultaneously, unlike Maslow
- D) ERG eliminates the concept of need progression entirely

Correct Answer: C — ERG allows multiple needs to be active simultaneously, unlike Maslow

Exam Tip (Roman Urdu): ERG ka sabse bada farq — ek waqt mein multiple needs active ho sakti hain — Maslow mein yeh nahi tha.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein humne McGregor ki Theory X/Y, Herzberg ki two-factor theory, Alderfer ki

ERG theory, McClelland ki acquired-needs theory, aur Adams ki equity theory seekhi — sab motivation ke alag angles hain.

PART B — Yaad Rakhne Wali Baatein

- **Theory X** = employees lazy hain, coercion chahiye; **Theory Y** = employees creative hain, self-directed.
- **Herzberg:** Hygiene factors dissatisfaction door karte hain; Motivators actual satisfaction dete hain — dono alag hain.
- **ERG** Maslow se 3 ways mein different hai: multiple needs simultaneously, flexible order, frustration-regression.
- **McClelland:** nAch, nAff, nPow — needs life experience se seekhi jaati hain, janm se nahi.
- **Equity Theory:** Employee input-outcome ratio referents se compare karta hai — inequity feel ho toh 5 actions le sakta hai.

PART C — Zaroor Yaad Karo Yeh Frameworks

Herzberg Hygiene Factors: Pay · Working conditions · Supervisors · Company policies · Benefits

Herzberg Motivators: Achievement · Responsibility · Work itself · Recognition · Growth

ERG Three Levels: Existence → Relatedness → Growth

ERG Two Principles:

- **Satisfaction-Progression:** Ek satisfy ho → agli ki taraf
- **Frustration-Regression:** Higher blocked → lower pe wapas

McClelland's 3 Needs: nAch (excellence) · nAff (relationships) · nPow (influence) — Institutional nPow = good manager

Theory X vs Y: X = lower-order needs, coercion | Y = higher-order needs, self-direction

PART D — Exam Mein Ghalti Mat Karna

[!] Hygiene factors satisfy nahi karte — sirf dissatisfaction door karte hain — yeh Herzberg ka core point hai.

[!] ERG aur Maslow same nahi hain — frustration-regression aur simultaneous needs ERG ke unique features hain.

[!] Successful manager mein institutional power chahiye, personal power nahi — dono ko mix mat karna.

Lecture 36: Expectancy, Goal Setting and Reinforcement Theories

Subject: MGT503 — Principles of Management

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek cricketer sochta hai: "Agar mein zyada practice karunga toh century marunga (expectancy), century marne se mujhe national team mein jagah milegi (instrumentality), aur national team mein jagah mujhe bohot chahiye (valence)." Yeh hai Expectancy Theory. Goal-Setting Theory mein coach ne specific target diya — "is match mein 80 runs banao" — aur cricketer us target ki wajah se zyada motivated hota hai vague "achha khelo" kehne se. Reinforcement Theory mein agar har century pe bonus mile toh woh baar baar achha khelega.

PART B — Core Concepts

- 1. Expectancy Theory:** Individual usi tarah kaam karta hai jis se usse outcome milne ki umeed ho aur woh outcome usse pasand ho
- 2. Effort-Performance Linkage (Expectancy):** Yeh perceived probability ke mehnat se performance level achieve hoga
- 3. Performance-Reward Linkage (Instrumentality):** Yeh belief ke achi performance se desired reward milega
- 4. Attractiveness of Reward (Valence):** Reward ki individual ke liye importance ya value
- 5. Goal-Setting Theory:** Specific aur challenging goals — agar accept hon — higher performance dete hain
- 6. Self-Efficacy:** Individual ka yeh belief ke woh task successfully kar sakta hai
- 7. Goal Commitment:** Goal tab achieve hota hai jab individual genuinely committed ho
- 8. Reinforcement Theory:** Behavior us ka repeat hota hai jis ke positive consequences aaye — behavior externally caused hai
- 9. Reinforcers:** Consequences jo desired behavior ke immediately baad aayein aur uski probability badhayein
- 10. Open Book Management:** Company ke financial statements sab employees ke saath share karna
- 11. Pay-for-Performance:** Compensation jo performance measure ke basis pe milti hai — expectancy theory se compatible

PART C — Key Frameworks and Models

- **Expectancy Theory:** Effort → Performance (Expectancy) → Reward (Instrumentality) → Goal Satisfaction (Valence) — teeno links strong hone chahiye
- **Goal-Setting Theory:** Specific + Challenging + Accepted goals = Higher performance — feedback aur self-efficacy contingencies hain
- **Reinforcement Theory:** Behavior = consequence ka function — goals/expectations ignore, sirf consequences matter
- **Open Book Management:** Financial transparency → employees owner ki tarah sochein
- **Pay-for-Performance:** Performance-based pay → expectancy theory se aligned

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Expectancy Theory

Victor Vroom ki yeh theory kehti hai ke individual ki motivation teen relationships pe depend karti hai:

1. Effort-Performance Linkage (Expectancy)

Perceived probability ke mehnat se performance achieve hogi.

Example: HBL ka loan officer sochta hai — "Agar mein zyada client visits karunga toh mera monthly target achieve hoga?" Agar haan, expectancy high hai.

2. Performance-Reward Linkage (Instrumentality)

Belief ke achi performance se desired reward milega.

Example: Wahi officer sochta hai — "Agar mein target achieve kar loon toh kya mujhe bonus actually milega?" Agar management ka track record acha hai, instrumentality high hai.

3. Attractiveness of Reward (Valence)

Reward ki individual ke liye value.

Example: Officer sochta hai — "Kya mujhe yeh bonus chahiye bhi?" Agar use family ke liye paise chahiye toh valence high hai; agar usse recognition zyada pasand hai toh cash bonus ki valence low hogi.

Four Key Questions of Expectancy Theory:

- a. Job se employee ko kya perceived outcomes milte hain?
- b. Yeh outcomes kitne attractive hain employee ke liye?
- c. Desired outcomes ke liye employee ko kaisa behavior dikhana hoga?
- d. Employee apni capability ke baare mein kya sochta hai?

Key Insight: Teeno links — effort→performance, performance→reward, reward→goal satisfaction — sab strong hone chahiye. Agar koi ek link weak ho toh motivation girta hai.

Pay-for-Performance Connection: Pay-for-performance programs expectancy theory se most compatible hain kyunki yeh seedha performance-reward link strong karte hain.

Goal-Setting Theory

Yeh theory kehti hai ke specific goals performance badhate hain aur difficult goals — jab accept kiye jaayein — easy goals se higher performance dete hain.

Core Findings:

A. Goal ki taraf kaam karne ki intention ek major source of motivation hai — specific aur challenging goals superior motivating forces hain

B. Achievement motivation vs goal-setting — contradiction nahi: Goal-setting theory sab pe apply hoti hai; achievement theory sirf high-nAch logon pe. Difficult goals majority ke liye recommend hain lekin sirf agar accepted hon.

C. Participation in goal-setting — hamesha zaroori nahi; lekin jab resistance expected ho toh participation assign karne se behtar hai

D. Feedback — behavior guide karta hai; self-generated feedback externally generated feedback se zyada powerful motivator hai

Four Contingencies of Goal-Setting Theory:

a. Feedback: Goal-performance relationship ko influence karta hai

b. Goal Commitment: Tab hota hai jab goals public hon, individual ka internal locus of control ho, ya goals self-set hon

c. Self-Efficacy: Individual ka belief ke woh task kar sakta hai — high self-efficacy = high confidence = higher goal achievement

d. National Culture: Goals ka motivational impact culture ke hisaab se vary karta hai

Conclusion: Hard aur specific goals — sahi conditions mein — powerful motivating force hain aur higher performance dete hain. Lekin increased job satisfaction ka koi evidence nahi hai.

Reinforcement Theory

Yeh theory Goal-Setting Theory ke counter hai. Kehti hai ke behavior apne consequences ka function hai.

Core Principles:

1. Behavior externally caused hota hai — goals ya expectations ki zaroorat nahi

2. **Reinforcers** = consequences jo desired response ke immediately baad aayein aur behavior ko repeat karne ki probability badhaayein

3. Theory goals, expectations, aur needs ko ignore karti hai

4. Sirf yeh dekhti hai ke action ke baad kya hua

Motivational Application:

- a. Log desired behavior tab karte hain jab reward mile
- b. Rewards most effective hote hain jab desired response ke immediately baad milein
- c. Jis behavior ko reward na mile ya punish kiya jaaye — woh repeat nahi hoga

Manager ka Role: Managers employees ke desired work behaviors ko reinforce karke unka behavior influence kar sakte hain.

Example: Agar ek factory worker PIA mein har defect-free batch pe fori bonus mile toh woh quality work repeat karta rahega — yahi reinforcement hai.

Open Book Management

Organization ke financial statements sab employees ke saath share karna.

Goals:

1. Employees owner ki tarah sochein — apne decisions ka financial impact samjhein
2. Employees ko financial statement analysis ki fundamentals sikhana zaroori hai
3. Employees ko business partners treat karna — productivity aur profitability badhti hai

Integrating Contemporary Theories of Motivation

1. Basic foundation: simplified expectancy model
2. Model achievement-need, reinforcement, aur equity theories bhi consider karta hai
3. Rewards in sab theories mein central role play karte hain

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Expectancy, Instrumentality, aur Valence Ko Mix Karna

Wrong Approach: Student effort-performance link ko "valence" kehta hai

Right Approach: Expectancy = effort→performance link; Instrumentality = performance→reward link; Valence = reward ki attractiveness — teeno alag alag concepts hain

Wajah: Exam mein teenonko accurately identify karna hota hai — ek bhi mix hua toh poor answer galat

Mistake 2: Reinforcement Theory Ko Goal-Setting Theory Ka Extension Samajhna

Wrong Approach: Student sochta hai dono same cheez hain — dono behavior improve karte hain

Right Approach: Reinforcement Theory explicitly Goal-Setting Theory ke counter hai — reinforcement goals, expectations, aur needs ko completely ignore karta hai aur sirf consequences pe focus karta hai

Wajah: Lecture clearly kehta hai "counter to goal-setting theory" — exam mein yeh distinction seedha poochha jaata hai

Mistake 3: Difficult Goals Ko Hamesha Motivating Samajhna

Wrong Approach: Student likhta hai difficult goals automatically performance badhate hain

Right Approach: Difficult goals higher performance dete hain SIRF jab employee unhe accept kare aur committed ho — bina acceptance ke difficult goals demotivate karte hain

Wajah: "When accepted" — yeh condition Goal-Setting Theory ka critical qualifier hai

Mistake 4: Self-Efficacy Ko Self-Esteem Samajhna

Wrong Approach: Student self-efficacy ko general self-confidence ya self-esteem se confuse karta hai

Right Approach: Self-efficacy specifically ek task ke liye individual ka belief ke woh capable hai — yeh task-specific hai, general nahi

Wajah: Exam mein self-efficacy ki definition task-specific capability belief pe focus karti hai — general self-confidence nahi

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

Usman works as a sales executive at a telecom company. He thinks: "Even if I work extra hours and make 50 extra calls, I probably won't hit my monthly target because the product itself is too expensive for customers." However, he also thinks: "If somehow I do hit my target, I know my manager always gives the promised bonus." Finally, he thinks: "But honestly, I don't really need more money right now — I'd rather have an extra day off."

Using Expectancy Theory, identify Usman's level of Expectancy, Instrumentality, and Valence, and explain why his overall motivation is likely to be low or high.

Hint (Roman Urdu): Teeno links alag alag assess karo — Expectancy kya hai? Instrumentality kya hai? Valence kya hai? Phir sochna ke agar ek bhi link weak ho toh overall motivation pe kya asar padta hai?

Problem 2:

A hospital in-charge tells her nurses: "Try to give better patient care this month." Another hospital in-charge tells his nurses: "This month, each nurse must reduce average patient waiting time to under 15 minutes, measured weekly, with feedback every Friday."

Using Goal-Setting Theory, which approach will produce higher motivation and performance? Identify at least three principles from the theory that support your answer.

Hint (Roman Urdu): Goal-Setting Theory mein kaunse goals best hote hain — vague ya specific? Phir feedback aur difficulty ke baare mein bhi sochna.

PART B — Challenge Problem

"Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya."

A textile factory in Faisalabad introduced two motivational programs simultaneously. Program A: Every worker who completes their daily stitching quota without any defects gets an immediate cash bonus at the end of each shift. Program B: Each worker is given a personal monthly production target (set collaboratively with the supervisor), weekly feedback on progress, and a bonus at month-end if the target is achieved.

(i) Identify which motivational theory each program primarily reflects and justify your answer with specific elements from each theory.

(ii) Program A has been very successful in the first month but workers have started ignoring quality issues that fall outside their specific task. Program B has shown slower initial results but workers seem more engaged overall. Using the theories covered in this lecture, explain why this difference exists.

(iii) If you had to integrate both programs into one system, what would that look like — referencing the integrating contemporary theories section?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why does Expectancy Theory suggest that even a highly attractive reward may fail to motivate an employee?

Think About It (Roman Urdu): Socho reward bohot acha hai — dream job, bada bonus — lekin agar employee ko lagta hai ke wo chahey kitni bhi mehnat kare, performance level achieve nahi hoga, toh kya hoga motivation ka?

Answer: Expectancy Theory mein teeno links sab strong hone chahiye. Agar effort-performance link (expectancy) weak ho — yaani employee ko lagta hai mehnat se performance nahi aayegi — toh chahe reward kitna bhi attractive ho (high valence), overall motivation low rahegi. $\text{Motivation} = \text{Expectancy} \times \text{Instrumentality} \times \text{Valence}$ — agar koi ek factor zero ho toh product zero ho jaata hai.

Q2: Why does Reinforcement Theory ignore goals and expectations, and is this a strength or a weakness?

Think About It (Roman Urdu): Socho ek kutta ko train karte hain — usse goal set nahi karte, bas treat dete hain jab sahi kaam kare. Yeh kab kaam karta hai aur kab nahi?

Answer: Reinforcement Theory ka argument hai ke behavior ke actual observable consequences hi behavior change karte hain — goals aur expectations subjective aur internal hain, measure karna mushkil hai. Strength: Simple, applicable, aur practical — managers seedha behavior reinforce kar sakte hain. Weakness: Complex human motivations — dignity, meaning, growth —

explain nahi hoti. High-skill professional jobs mein sirf external reinforcement kaafi nahi — isi liye goal-setting aur expectancy theories complement karte hain.

Q3: Under what conditions would goal commitment be highest, and why does national culture act as a contingency in goal-setting theory?

Think About It (Roman Urdu): Socho ek Pakistani worker aur ek American worker ko same difficult goal assign kiya gaya — kya dono same level ka commitment dikhayenge? Kyun ya kyun nahi?

Answer: Goal commitment highest hota hai jab: goals public hon, individual ka internal locus of control ho, aur goals self-set hon (participation ho). National culture contingency isliye hai kyunki different cultures mein individualism vs collectivism, power distance, aur uncertainty avoidance alag hoti hai. High power-distance cultures mein (jaise Pakistan) assigned goals better accept ho sakte hain kyunki authority respect ki jaati hai — jabke low power-distance cultures mein participation zyada essential hai commitment ke liye.

SECTION 7 — EXAM STYLE QUIZ

Q1: Match each term to its correct definition: (i) Expectancy, (ii) Instrumentality, (iii) Valence
Options: Importance of reward to individual / Belief that effort leads to performance / Belief that performance leads to reward

Answer: ((i) Belief that effort leads to performance, (ii) Belief that performance leads to reward, (iii) Importance of reward to individual)

Q2: Sequence the three links in Expectancy Theory from first to last.

Answer: (Effort → Performance [Expectancy] → Reward [Instrumentality] → Goal Satisfaction [Valence])

Q3: A manager sets a vague goal — "do your best this quarter." According to Goal-Setting Theory, why will this produce lower performance than a specific target?

Answer: (Specific hard goals produce higher output than generalized goals — "do your best" gives no clear direction, no measurable standard, and no way to track progress or generate meaningful feedback)

Q4: Compare Goal-Setting Theory and Reinforcement Theory on what they believe drives behavior.

Answer: (Goal-Setting: internal intentions, specific goals, and commitment drive behavior; Reinforcement: external consequences/reinforcers drive behavior — goals and expectations are ignored)

Q5: What are the four contingencies that affect the goal-setting process?

Answer: (Feedback, goal commitment, self-efficacy, national culture)

Q6: Why is pay-for-performance most compatible with Expectancy Theory?

Answer: (Because it directly strengthens the performance-reward linkage [instrumentality] — employees can clearly see that higher performance leads to higher pay, making the effort→performance→reward chain strong)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Expectancy Theory states that an individual tends to act based on:

- A) Internal needs that must be satisfied in a fixed hierarchy
- B) The expectation that an act will be followed by a given outcome and the attractiveness of that outcome
- C) The consequences that immediately follow a behavior
- D) The equity comparison between one's own and others' reward ratios

Correct Answer: B — The expectation that an act will be followed by a given outcome and the attractiveness of that outcome

Exam Tip (Roman Urdu): Expectancy Theory = umeed + attractiveness — yeh dono seedha definition mein hain, yaad rakho

Q2: In Expectancy Theory, "instrumentality" refers to:

- A) The probability that effort will lead to a certain performance level
- B) The importance an individual places on a potential reward
- C) The belief that performing at a particular level will lead to a desired outcome
- D) The individual's confidence in completing a specific task

Correct Answer: C — The belief that performing at a particular level will lead to a desired outcome

Exam Tip (Roman Urdu): Instrumentality = performance → reward link — effort wala link expectancy hai, inhe mix mat karna

Q3: A sales manager at a Pakistani textile firm tells his team: "Each of you must achieve sales of Rs. 500,000 this month, and I will review your progress every week." According to Goal-Setting Theory, this approach will likely:

- A) Reduce motivation because the goal is too specific
- B) Increase performance because the goal is specific, challenging, and includes feedback
- C) Have no effect because only self-set goals motivate employees
- D) Reduce performance because difficult goals always increase stress

Correct Answer: B — Increase performance because the goal is specific, challenging, and includes feedback

Exam Tip (Roman Urdu): Specific + challenging + feedback = Goal-Setting Theory ka ideal scenario — yeh combination exam mein scenario questions mein aata hai

Q4: Reinforcement Theory proposes that behavior is:

- A) Driven by internal goals and intentions
- B) A function of its consequences
- C) Determined by the perceived attractiveness of rewards
- D) Based on comparison with others in similar positions

Correct Answer: B — A function of its consequences

Exam Tip (Roman Urdu): Reinforcement Theory ka one-line definition yaad karo: "behavior is a function of its consequences" — exam mein exactly yahi aata hai

Q5: According to Goal-Setting Theory, which of the following conditions makes goal commitment most likely?

- A) Goals are kept confidential between manager and employee
- B) Goals are easy to achieve to avoid failure
- C) Goals are made public and are self-set with an internal locus of control
- D) Goals are assigned by top management without employee input

Correct Answer: C — Goals are made public and are self-set with an internal locus of control

Exam Tip (Roman Urdu): Goal commitment ke teen conditions: public + internal locus of control + self-set — teen mein se ek bhi missing ho toh commitment weak hoti hai

Q6: Which of the following best describes "self-efficacy" as a contingency in Goal-Setting Theory?

- A) An employee's general level of happiness at work
- B) An individual's belief that he or she is capable of performing a specific task
- C) The degree to which a goal is made public
- D) An employee's satisfaction with the reward offered

Correct Answer: B — An individual's belief that he or she is capable of performing a specific task

Exam Tip (Roman Urdu): Self-efficacy = task-specific capability belief — general self-confidence nahi, specific task ke liye confidence

Q7: What distinguishes Reinforcement Theory from Goal-Setting Theory?

- A) Reinforcement Theory focuses on internal goals; Goal-Setting focuses on external rewards
- B) Reinforcement Theory ignores goals and expectations; Goal-Setting Theory relies on

intentions and commitment

C) Reinforcement Theory applies only to managers; Goal-Setting Theory applies to all employees

D) Both theories are identical in their approach to motivation

Correct Answer: B — Reinforcement Theory ignores goals and expectations; Goal-Setting Theory relies on intentions and commitment

Exam Tip (Roman Urdu): "Counter to goal-setting" — yeh phrase lecture mein hai — reinforcement externally caused, goal-setting internally driven

Q8: Open Book Management is primarily designed to:

A) Reduce employee salaries by making costs transparent

B) Allow shareholders to monitor employee performance directly

C) Get employees to think like owners by sharing financial statements with them

D) Replace performance appraisals with financial reviews

Correct Answer: C — Get employees to think like owners by sharing financial statements with them

Exam Tip (Roman Urdu): Open Book Management = financial transparency + owner-like thinking — yeh dono ek saath yaad rakho

Q9: Pay-for-performance programs are most compatible with which motivation theory?

A) Maslow's Hierarchy of Needs

B) Reinforcement Theory

C) Expectancy Theory

D) ERG Theory

Correct Answer: C — Expectancy Theory

Exam Tip (Roman Urdu): Pay-for-performance = performance → reward link strong karta hai — yeh seedha instrumentality hai — expectancy theory ka core

Q10: According to Goal-Setting Theory, what is the effect of difficult goals on job satisfaction?

A) Difficult goals significantly increase job satisfaction

B) There is no evidence that difficult goals are associated with increased job satisfaction

C) Difficult goals always decrease job satisfaction due to stress

D) Difficult goals increase satisfaction only when combined with financial rewards

Correct Answer: B — There is no evidence that difficult goals are associated with increased job satisfaction

Exam Tip (Roman Urdu): Goal-Setting Theory performance badhata hai — job satisfaction nahi — yeh nuance exam mein trap ke taur pe aata hai

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein humne seekha ke Expectancy Theory (umeed + attractiveness), Goal-Setting Theory (specific + challenging goals), aur Reinforcement Theory (consequences drive behavior) kaise employees ko motivate karte hain — aur Open Book Management aur Pay-for-Performance inhe practically apply karte hain.

PART B — Yaad Rakhne Wali Baatein

- **Expectancy Theory mein teeno links zaroori hain:** Expectancy (effort→performance) + Instrumentality (performance→reward) + Valence (reward attractiveness) — ek bhi zero ho toh motivation zero
- **Goal-Setting mein "accepted" condition critical hai** — difficult goals tabhi kaam karte hain jab employee unhe accept kare
- **Self-generated feedback** externally generated se zyada powerful motivator hai
- **Reinforcement Theory Goal-Setting ke counter hai** — goals/expectations ignore karta hai, sirf consequences matter
- **Pay-for-performance = Expectancy Theory se most compatible** — instrumentality link strong karta hai

PART C — Zaroor Yaad Karo Yeh Frameworks

Expectancy Theory — 3 Links:

1. Expectancy — Effort → Performance (probability)
2. Instrumentality — Performance → Reward (belief)
3. Valence — Reward → Goal Satisfaction (attractiveness)

Goal-Setting Theory — 4 Contingencies:

1. Feedback
2. Goal Commitment (public + internal locus + self-set)
3. Self-Efficacy (task-specific capability belief)
4. National Culture

Reinforcement Theory — Core:

- Behavior = function of consequences
- Reinforcers = immediate consequences that increase behavior probability
- Goals, expectations, needs — ignored

Open Book Management: Financial transparency → employee thinks like owner

Pay-for-Performance: Performance-based pay → Expectancy Theory aligned

PART D — Exam Mein Ghalti Mat Karna

[!] Expectancy, Instrumentality, Valence ko mix mat karna — Expectancy effort→performance hai, Instrumentality performance→reward hai, Valence reward ki value hai

[!] Reinforcement Theory ko Goal-Setting ka part mat samajhna — yeh explicitly "counter" hai — externally caused behavior, goals ignored

[!] Difficult goals ko automatically motivating mat kehna — "when accepted" condition zaroori hai — bina acceptance ke difficult goals demotivate karte hain

Lecture 37: Motivating Knowledge Professionals and Leadership Trait Theories

Subject: MGT503 — Principles of Management

Topic Type: K + L — Motivation Theories and Leadership Models

Difficulty: Intermediate

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek IT company mein do tarah ke log hain. Ek software engineer hai jo din raat coding karta hai — use bonus se zyada yeh chahiye ke uska kaam meaningful ho aur challenging rahe. Doosra ek factory worker hai jo minimum wage pe kaam karta hai — uski priorities alag hain. Ab socho company ka manager hai jo sirf apni position ki wajah se orders deta hai — aur ek leader hai jo apni expertise aur personality se log uske peeche chal padte hain bina kisi jabardasti ke. Yahi fark hai manager aur leader mein — aur yahi is lecture ka core hai.

PART B — Core Concepts

1. Knowledge Professionals: Specialty knowledge rakhne wale log — markets, software, technology — jo 21st century organizations ke liye critical hain

2. Professional Motivation: Job challenge, meaningful work, aur support — money aur promotions unki priority list pe neeche hote hain

3. Contingent Workers: Temporary workers — security nahi, benefits nahi, organization se low commitment

4. Leadership: Ek group ko goals ki taraf influence karne ki ability

5. Manager: Appointed hota hai — legitimate power hoti hai

6. Leader: Doosron ko influence kar sakta hai — managerial authority ho ya na ho

7. Power: Doosron ke behavior ko affect karne ki capacity

- 8. Commitment:** Employee enthusiastically effort lagaye — referent aur expert power ka outcome
- 9. Compliance:** Employee minimum effort lagaye — legitimate, reward, information power ka outcome
- 10. Resistance:** Employee actually goals sabotage kare — coercive power ka likely outcome
- 11. Trait Theory:** Leadership research jo 1920s-30s mein shuru hui — leaders ke distinctive traits identify karne ki koshish
- 12. Traits:** Individual ke internal qualities — physical, personality, skills, social factors

PART C — Key Frameworks and Models

- **French and Raven's 6 Power Types:** Legitimate, Reward, Coercive, Expert, Information, Referent — har ek ka alag subordinate response
- **3 Subordinate Responses to Power:** Commitment (best), Compliance (average), Resistance (worst)
- **Trait Theory of Leadership:** 1920s-30s research — traits se leaders identify karne ki koshish — conclusive results nahi mile
- **Recent Trait Research:** Intelligence, dominance, aggressiveness, decisiveness — kuch predictable traits suggest kiye gaye

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

1. Motivating Knowledge Professionals

Knowledge professionals woh hain jinke paas specialty knowledge hoti hai — markets, customers, suppliers, software, hardware, technology. Yeh 21st century mein organizations ke smooth operation ke liye very important hain.

Key Characteristics:

- Apne profession se zyada loyal hote hain — employer se kam
- **Money aur promotions** unki motivation list pe typically LOW hote hain
- **Job challenge** unke liye HIGH priority hai
- Support chahiye aur yeh feel chahiye ke woh kuch important kaam kar rahe hain

Example: VU ka IT developer isliye kaam karta hai kyunke usse naye systems design karna intellectually stimulating lagta hai — sirf salary ke liye nahi.

Special Workforce Challenges:

Group	Core Challenge
Knowledge Professionals	Employer se zyada profession se loyalty — job challenge chahiye
Contingent/Temporary Workers	Security nahi, benefits nahi, low organizational commitment
Low-Skilled Minimum Wage Workers	Limited education/skills — higher pay often not an option

2. Managers vs Leaders

	Manager	Leader
How they get authority	Appointed — formal position se	Influence se — appointment zaroori nahi
Power source	Legitimate/formal authority	Ability to influence others
Focus	Doing things right	Doing the right things
Outcome	Compliance	Commitment

Leadership Definition: Ek group ko organizational goals ki taraf influence karne ki process.

Example: Ek army officer appointed hai — woh manager bhi hai. Lekin ek aisa officer jo apni bravery aur expertise se soldiers ko inspire kare bina order diye — woh leader hai.

3. How Leaders Influence Others — French and Raven's 6 Power Types

Power: Doosron ke behavior ko affect karne ki capacity.

1. Legitimate Power

Position ki managerial hierarchy mein placement se milta hai — formal authority.

Example: Hospital in-charge ka yeh power ke woh doctors ko shifts assign kare.

2. Reward Power

Valued rewards control aur provide karne ki capacity.

Example: Branch manager ka yeh power ke woh best performing teller ko bonus de.

3. Coercive Power

Punishment ke darr se compliance hasil karna.

Example: Supervisor ka yeh power ke woh late aane wale employee ki salary kat le.

4. Expert Power

Valuable expertise rakhne se milta hai.

Example: Senior software engineer ka yeh power ke team uski baat mane kyunke woh sabse zyada jaanta hai.

5. Information Power

Important organizational information tak access aur control.

Example: CFO ka yeh power ke sirf woh budget allocations jaanta hai — decisions mein uski baat zaroori hoti hai.

6. Referent Power

Admired, personally identified with, ya liked hone se milta hai.

Example: Ek charismatic team lead jise sab pasand karte hain — log uske liye extra effort dete hain.

4. Three Subordinate Responses to Power

1. Commitment — Best outcome

- Employee enthusiastically respond karta hai, high effort lagata hai
- **Most common with:** Referent power aur Expert power
- **Least likely with:** Coercive power

2. Compliance — Average outcome

- Employee minimum effort lagata hai, average performance deta hai
- **Most common with:** Legitimate power, Information power, Reward power
- **Possible with:** Coercive power (helpful way mein use ho) ya Referent/Expert power (apathy ho toh)

3. Resistance — Worst outcome

- Employee appear karta hai comply kar raha hai lekin actually minimum karta hai — goals sabotage bhi kar sakta hai
- **Most likely with:** Coercive power
- **Possible with:** Kisi bhi power type ka inappropriate use

Key Principle: Effective manager ek single power base pe rely nahi karta — multiple ya sabhi 6 power types mein high levels hone chahiye.

5. Leadership Trait Theories

Historical Background:

- Early 20th century mein leadership research shuru hui
- **1920s-1930s:** Trait theories — leaders ke distinctive traits identify karne ki koshish

- **Goal:** Koi ek ya zyada traits isolate karna jo leaders mein hoon lekin non-leaders mein na hoon

Traits ke 4 Categories:

- 1. Physical Characteristics:** Height, weight, appearance, energy
- 2. Personality Characteristics:** Dominance, extroversion, originality
- 3. Skills and Abilities:** Intelligence, knowledge, technical competence
- 4. Social Factors:** Interpersonal skills, sociability, socioeconomic position

Finding of Early Research:

- 1950s mein early research reanalyze ki gayi
- **Conclusion:** Koi ek set of traits nahi hai jo consistently leaders ko non-leaders se distinguish kare
- Trait theories ko prematurely abandoned samjha gaya

Recent Development:

- Zyada sophisticated statistical techniques available hain ab
- Kuch predictable traits suggest kiye gaye hain:
 - a. Intelligence
 - b. Dominance
 - c. Aggressiveness
 - d. Decisiveness
- Recent research mein communication skills, human relations skills, resistance to stress, aur tolerance of uncertainty bhi dekhi ja rahi hain
- Lekin abhi bhi yeh question open hai ke traits consistently leadership se associate ho sakte hain ya nahi

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Sochna ke knowledge professionals sirf money se motivate hote hain

Wrong Approach: Yeh maanna ke professionals ko zyada pay karo toh woh zyada motivated ho jaenge

Right Approach: Professionals ke liye job challenge, meaningful work, aur support zyada important hain — money typically LOW priority pe hoti hai

Wajah: Lecture explicitly kehta hai "money and promotions are typically low on professionals' priority list" — yeh MCQ mein seedha aata hai

Mistake 2: Manager aur leader ko same samajhna

Wrong Approach: Har manager leader bhi hota hai aur har leader manager bhi

Right Approach: Managers appointed hote hain aur legitimate power rakhte hain; leaders

influence se kaam karte hain — managerial appointment zaroori nahi

Wajah: Yeh distinction fundamental hai — koi bhi leader ban sakta hai bina formal position ke

Mistake 3: Coercive power ko effective leadership tool samajhna

Wrong Approach: Sochna ke punishment ka darr best results deta hai

Right Approach: Coercive power resistance ka likely outcome deta hai — commitment nahi milti — least effective power type hai desired outcomes ke liye

Wajah: Lecture clearly kehta hai commitment coercive power se "least likely" aati hai aur resistance "most likely" hoti hai

Mistake 4: Trait theory ko proven aur settled samajhna

Wrong Approach: Yeh sochna ke science ne prove kar diya hai ke kuch specific traits hamesha leaders mein hote hain

Right Approach: Trait theory ne conclusive universal traits identify nahi kiye — yeh question abhi bhi open hai

Wajah: Lecture explicitly kehta hai "the question remains open" — exam mein trait theory ko "proven" bolna galat hai

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

A software house in Lahore has two senior developers who have been with the company for three years. The HR manager proposes giving them both a 25% salary increase to retain them. However, within six months, both developers resign citing "lack of challenging projects" and "feeling that their work doesn't matter." Using the concept of motivating knowledge professionals, analyze what went wrong and what should have been done instead.

Hint (Roman Urdu): Yaad karo ke knowledge professionals ki motivation priority list mein money kahan hoti hai. Phir socho ke jo cheez actually unhe motivate karti — job challenge aur meaningful work — woh provide ki gayi ya nahi? HR manager ne kis cheez pe focus kiya aur kis cheez ko ignore kiya?

Problem 2:

Identify which type of power (from French and Raven's model) each of the following managers is primarily using, and predict the most likely subordinate response (commitment, compliance, or resistance):

- (a) A department head threatens employees that late submissions will result in salary deductions.
- (b) A team leader with 20 years of technical experience guides her team through complex

problems — the team follows her advice eagerly.

(c) A branch manager formally assigns tasks to employees as per their job descriptions.

(d) A manager who is genuinely liked and respected by all team members asks for extra effort during a crisis.

Hint (Roman Urdu): Har situation mein socho ke power ka source kya hai — position, punishment, expertise, likability, ya reward? Phir power type aur expected response match karo lecture ke table se.

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

You are the newly appointed Director of a Pakistani fintech startup with three distinct employee groups:

- **Group A:** 12 software engineers and data scientists (knowledge professionals)
- **Group B:** 8 contractual customer support agents (contingent workers)
- **Group C:** 5 data entry operators on minimum wage (low-skilled workers)

(a) For each group, identify their primary motivation challenge and suggest one specific motivation strategy aligned with their needs.

(b) You have a senior engineer on Group A who everyone respects for his technical knowledge. He has no formal authority but people naturally follow his guidance. What type of power does he have? What subordinate response does this typically generate? Should you formally appoint him as team lead — and what happens to his power type if you do?

(c) Early trait theorists tried to find universal leadership traits. Based on the lecture, why did this effort largely fail, and what does recent research suggest instead?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why do knowledge professionals show greater loyalty to their profession than to their employer, and how should managers respond to this reality?

Think About It (Roman Urdu): Socho ek doctor ka — woh pehle doctor hai, phir kisi hospital ka employee. Agar hospital usse boring kaam de toh woh doosre hospital chala jayega — kyunke uski identity uske profession se hai, employer se nahi.

Answer: Knowledge professionals ki identity unke field of expertise se banti hai — woh apne profession mein excellence chahte hain chahe employer kaun bhi ho. Employer se loyalty tab aati hai jab employer unhe meaningful, challenging kaam de aur unki expertise ko value kare.

Managers ko response yeh hona chahiye ke in logon ke liye job challenge design karein, unhe important projects pe lagayen, aur sirf pay ya promotions pe focus na karein — warna yeh log profession ke liye koi bhi employer choose kar lenge.

Q2: Why is relying solely on coercive power counterproductive for a manager seeking high performance?

Think About It (Roman Urdu): Socho ek school teacher jo sirf punishment se padhata hai — students darr ke classroom mein bethe hain, kuch yaad nahi kar rahe, aur class ke bahar teacher ki burai karte hain. Yeh kya hai — commitment, compliance, ya resistance?

Answer: Coercive power punishment ke darr se kaam karta hai — yeh resistance ka most likely outcome hai. Employees appear karte hain ke comply kar rahe hain lekin actually minimum karte hain aur kabhi kabhi goals sabotage bhi karte hain. Commitment — jo high performance ke liye zaroori hai — coercive power se least likely aati hai. Effective manager multiple power types use karta hai — especially referent aur expert power jo genuine commitment generate karte hain.

Q3: Why did early trait theories of leadership ultimately fail to identify a universal set of leadership traits?

Think About It (Roman Urdu): Socho — ek successful army general tall, aggressive, aur dominant hai. Lekin ek successful tech company ka leader short, quiet, aur analytical hai. Dono leaders hain — lekin unke traits bilkul alag hain. Toh koi ek "leader ka blueprint" kaise banta?

Answer: Early researchers 1920s-30s mein ek universal set of traits dhundhne ki koshish kar rahe the jo hamesha leaders ko non-leaders se distinguish kare. Lekin real world mein effective leaders bahut alag alag contexts mein bahut alag alag traits ke sath succeed karte hain — koi ek trait set universally applicable nahi nikla. 1950s mein reanalysis ne confirm kiya ke yeh traits consistently leaders identify nahi karte. Recent research ne kuch traits suggest kiye hain — intelligence, dominance, decisiveness — lekin question abhi bhi open hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Match each power type with its most likely subordinate response:

1. Referent Power — A. Resistance
2. Coercive Power — B. Compliance
3. Legitimate Power — C. Commitment
4. Expert Power — D. Commitment

(Correct: 1-C, 2-A, 3-B, 4-D)

Q2: Which of the following correctly distinguishes a manager from a leader?

(Correct: Managers are appointed and hold legitimate formal authority; leaders influence others toward goals and may or may not have a formal managerial position)

Q3: A senior data scientist at a tech firm ranks job challenge and meaningful work as his top priorities and considers salary secondary. This is consistent with which motivational concept?

(Correct: Motivating knowledge professionals — for whom job challenge and feeling of doing important work rank high, while money and promotions are typically low on the priority list)

Q4: Arrange these subordinate responses from most desirable to least desirable for organizational performance:

(i) Resistance (ii) Commitment (iii) Compliance

(Correct: ii → iii → i — Commitment is best, Compliance is average, Resistance is worst)

Q5: What was the primary conclusion of the reanalysis of early trait research conducted in the 1950s?

(Correct: No set of traits consistently distinguishes leaders from non-leaders — trait theory was considered to have been abandoned prematurely but did not produce universal conclusive results)

Q6: Which two power types are most associated with generating employee commitment?

(Correct: Referent Power and Expert Power)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following best describes what motivates knowledge professionals compared to other workers?

- A) High salary packages and frequent promotions
- B) Job security, pension benefits, and health coverage
- C) Job challenge, meaningful work, and support in their field of expertise
- D) Clear rules, structured routines, and close supervision

Correct Answer: C — Job challenge, meaningful work, and support in their field of expertise

Exam Tip (Roman Urdu): Knowledge professionals ke liye money LOW priority hai — job challenge aur meaningful work HIGH priority hain — yeh directly poochha jata hai.

Q2: According to French and Raven, which type of power results from being admired, personally identified with, or liked by others?

- A) Expert Power
- B) Legitimate Power
- C) Information Power
- D) Referent Power

Correct Answer: D — Referent Power

Exam Tip (Roman Urdu): "Admired, liked, personally identified with" — yeh sab Referent Power ke keywords hain. Expert Power expertise se aata hai — dono mix mat karna.

Q3: A factory supervisor threatens workers that missing daily targets will result in pay cuts. Which type of power is being used and what is the most likely outcome?

- A) Reward Power — Commitment
- B) Legitimate Power — Compliance
- C) Coercive Power — Resistance
- D) Expert Power — Commitment

Correct Answer: C — Coercive Power — Resistance

Exam Tip (Roman Urdu): Punishment ka darr = Coercive Power = Resistance most likely — yeh combination yaad karo.

Q4: Which of the following correctly distinguishes leaders from managers?

- A) Managers inspire people; leaders only manage resources
- B) Leaders are always appointed to formal positions; managers emerge naturally
- C) Managers are appointed with legitimate authority; leaders influence others and may or may not have formal authority
- D) Both managers and leaders derive authority solely from their position in the hierarchy

Correct Answer: C — Managers are appointed with legitimate authority; leaders influence others and may or may not have formal authority

Exam Tip (Roman Urdu): Manager = appointed + formal authority; Leader = influence — appointment zaroori nahi. Yeh distinction fundamental hai.

Q5: What is the most common subordinate response when a leader primarily relies on expert power?

- A) Resistance
- B) Compliance
- C) Indifference
- D) Commitment

Correct Answer: D — Commitment

Exam Tip (Roman Urdu): Expert Power aur Referent Power dono Commitment generate karte hain — yeh dono "best outcome" power types hain.

Q6: Early trait theories of leadership (1920s-1930s) ultimately concluded that:

- A) Intelligence and height are the two universal leadership traits
- B) No set of traits consistently distinguishes leaders from non-leaders
- C) Leaders are always born, not made, due to fixed personality traits
- D) Dominance and aggressiveness guarantee effective leadership

Correct Answer: B — No set of traits consistently distinguishes leaders from non-leaders

Exam Tip (Roman Urdu): Trait theory ka conclusion = no universal traits found — "conclusive traits prove ho gaye" bolna galat hai.

Q7: Which of the following groups presents the challenge of lacking job security, organizational benefits, and strong commitment to the organization?

- A) Knowledge professionals
- B) Senior managers
- C) Contingent and temporary workers
- D) Low-skilled minimum wage workers

Correct Answer: C — Contingent and temporary workers

Exam Tip (Roman Urdu): Contingent/temporary workers = no security, no benefits, low organizational commitment — yeh unka specific challenge hai.

Q8: An effective manager should:

- A) Rely primarily on coercive power to maintain discipline
- B) Choose one power type and apply it consistently to all situations
- C) Have high levels of power across multiple or all six power types
- D) Use only legitimate and reward power to avoid resistance

Correct Answer: C — Have high levels of power across multiple or all six power types

Exam Tip (Roman Urdu): Effective manager = single power pe rely nahi karta — multiple power types mein high levels hone chahiye.

Q9: Recent research on leadership traits has suggested which of the following as relatively predictable traits in leaders?

- A) Height, weight, and physical appearance
- B) Intelligence, dominance, aggressiveness, and decisiveness
- C) Socioeconomic background and family history
- D) Communication style and dress sense

Correct Answer: B — Intelligence, dominance, aggressiveness, and decisiveness

Exam Tip (Roman Urdu): Recent trait research ne yeh 4 traits suggest kiye hain — physical characteristics wali list early research ki hai, recent nahi.

Q10: Power is formally defined in this lecture as:

- A) The formal authority granted to a manager by the organization's hierarchy
- B) The ability to punish non-compliant employees
- C) The capacity to affect the behavior of others
- D) The influence a leader has only within their department

Correct Answer: C — The capacity to affect the behavior of others

Exam Tip (Roman Urdu): Power ki definition = "capacity to affect the behavior of others" — formal authority wali definition legitimate power ki hai, power ki nahi.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein knowledge professionals ko motivate karna, manager vs leader distinction, French aur Raven ke 6 power types aur unke outcomes, aur leadership trait theories parhi.

PART B — Yaad Rakhne Wali Baatein

- **Knowledge professionals** ke liye job challenge aur meaningful work HIGH priority — money aur promotions LOW priority hain
- **Manager = appointed + legitimate authority; Leader = influence** — formal position zaroori nahi
- **6 power types:** Legitimate, Reward, Coercive, Expert, Information, Referent — har ek ka alag outcome

- **Commitment** = best outcome — Referent aur Expert power se; **Resistance** = worst — Coercive se
- **Trait theory** ka conclusion = koi universal traits nahi mile — question abhi bhi open hai

PART C — Zaroor Yaad Karo Yeh Frameworks

French and Raven's 6 Power Types + Outcomes:

1. Legitimate Power → Compliance
2. Reward Power → Compliance
3. Coercive Power → Resistance (most likely)
4. Expert Power → Commitment
5. Information Power → Compliance
6. Referent Power → Commitment

3 Subordinate Responses (Best to Worst):

1. Commitment — enthusiastic high effort
2. Compliance — minimum effort, average performance
3. Resistance — appear to comply, actually sabotage

Trait Theory Timeline:

- **1920s-30s:** Traits research shuru — universal traits dhundhne ki koshish
- **1950s:** Reanalysis — no consistent traits found
- **Recent:** Sophisticated methods — 4 traits suggested (intelligence, dominance, aggressiveness, decisiveness) — still open question

Special Workforce Groups:

- **Knowledge Professionals:** Job challenge motivates — money low priority
- **Contingent Workers:** No security, no benefits, low commitment
- **Minimum Wage Workers:** Limited skills — higher pay often not an option

PART D — Exam Mein Ghalti Mat Karna

[!] Knowledge professionals ke liye **money LOW priority** hai — "professionals ko sirf salary se motivate karo" bolna galat hai

[!] **Coercive power** resistance deta hai, commitment nahi — "punishment se best performance milti hai" bolna wrong hai

[!] Trait theory ne **koi universal conclusive traits prove nahi kiye** — "trait theory ne saabit kar diya ke yeh traits hamesha leaders mein hote hain" bolna galat hai

Lecture 38: Behavioral and Situational Models of Leadership

Subject: MGT503 — Principles of Management

Topic Type: L — Leadership Models

Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek cricket captain hai — koi captain sirf apni personality se team nahi jeetta, balkay woh apna style situation ke hisaab se badalta hai. Naye players ke saath woh seedha instructions deta hai (telling), experienced players ko woh zimmedari deta hai (delegating). Yehi behavioral aur situational leadership ka core idea hai — ek hi style har situation mein kaam nahi karta, leader ko adapt karna padta hai.

PART B — Core Concepts

1. Behavioral Theories: Leadership traits ki jagah specific behaviors study karna — agar behaviors identify ho jayein toh logon ko leader banana sikha sakte hain.

2. Autocratic Leader: Akela faisala karta hai, kaam ka tarika dictate karta hai, workers ko limited info deta hai.

3. Democratic Leader: Group ko decision mein involve karta hai, goals share karta hai, feedback helpful hoti hai.

4. Laissez-Faire Leader: Group ko complete freedom — materials deta hai, questions ka jawab deta hai, feedback avoid karta hai — generally ineffective.

5. Initiating Structure (Ohio State): Leader apna aur subordinates ka role task achievement ke liye define karta hai.

6. Consideration (Ohio State): Leader mutual trust banata hai, ideas respect karta hai, feelings ka khayal karta hai.

7. LPC Scale (Fiedler): Least Preferred Coworker scale — leader ki personality (task vs people motivated) measure karta hai.

8. Readiness (Hersey-Blanchard): Followers ki ability aur willingness to take responsibility — leadership style isi se match honi chahiye.

9. Path-Goal Theory: Leader ka kaam followers ke liye path clear karna aur goals tak pahunchne mein help karna.

PART C — Key Frameworks and Models

- **University of Iowa (Kurt Lewin):** 3 styles — Autocratic, Democratic, Laissez-Faire — laissez-faire ineffective; democratic higher satisfaction.
- **Ohio State Studies:** 2 independent dimensions — Initiating Structure + Consideration — dono high = theoretical best.
- **Michigan Studies:** 1 continuum — Employee-Centered ↔ Job-Centered — mixed results.
- **Managerial Grid (Blake-Mouton):** 2 axes — Concern for People + Concern for Production — training tool.

- **Fiedler's Contingency Model:** LPC orientation match karo situational control se — low-LPC best in high/low favorability; high-LPC best in moderate.
- **Normative Leadership Model:** 5 decision methods (AI, AII, CI, CII, GII) — situation ke mutabiq subordinate involvement decide karo.
- **Situational Leadership (Hersey-Blanchard):** 4 styles — Telling, Selling, Participating, Delegating — follower readiness ke hisaab se.
- **Path-Goal Theory:** 4 leader behaviors — Directive, Supportive, Participative, Achievement-Oriented — subordinate motivation aur satisfaction affect karte hain.

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Why Behavioral Studies?

Trait theories ne consistent results nahi diye. Researchers ne socha — agar specific behaviors leadership effectiveness determine karte hain toh logon ko train karke leader banaya ja sakta hai. Yahi behavioral approach ka justification hai.

University of Iowa Studies — Kurt Lewin

Three Leadership Styles:

1. Autocratic:

- Unilateral decisions — akela faisala karta hai.
- Work methods dictate karta hai.
- Workers ko sirf agla step batata hai — full picture nahi.
- Feedback punitive ho sakti hai.
- Example: Army officer jo platoon ko direct orders deta hai bina discussion ke.

2. Democratic:

- Group ko decision making mein involve karta hai.
- Group khud work methods determine karta hai.
- Overall goals sab ko معلوم hote hain.
- Feedback helpful coaching ki tarah hoti hai.
- Example: VU department head jo faculty ke saath milke curriculum decide karta hai.

3. Laissez-Faire:

- Group ko complete freedom deta hai.
- Zaroori materials provide karta hai.
- Sirf questions ka jawab deta hai — feedback avoid karta hai.
- Result: Generally **ineffective**.
- Example: Manager jo team ko chod deta hai aur khud ghayab rehta hai.

Research Finding: Autocratic vs Democratic — mixed results, lekin **democratic groups mein satisfaction zyada** thi. Laissez-faire consistently ineffective raha.

Michigan Studies

Single continuum develop kiya:

Employee-Centered	←-----→	Job-Centered
Human aspects par focus		Tasks, methods, supervision par focus
Work group development		Routine tasks divide karna
High performance goals		Productivity standards enforce karna

Finding: Mixed outcomes — lekin kabhi kabhi high-producing units mein **job-centered supervisors** the. Conclusive result nahi nikla.

Ohio State Studies

Two Independent Dimensions (single continuum nahi — alag alag):

1. Initiating Structure: Leader apna aur subordinates ka role define karta hai — goals achieve karne ke liye. Example: PIA flight operations manager jo har crew member ka duty clearly assign kare.

2. Consideration: Leader mutual trust banata hai, ideas respect karta hai, feelings ka khayal karta hai. Example: Hospital in-charge jo nurses ki problems sunti hai aur unhe support deti hai.

Key Difference from Iowa/Michigan: Yeh do dimensions **independent** hain — ek high hone se doosra automatically low nahi hota. Dono simultaneously high ho sakte hain.

Finding: Dono mein high leader = theoretical best — lekin further research ne kaha yeh generalization too simplistic hai.

Managerial Grid — Blake and Mouton

Two axes:

- **Y-axis:** Concern for People (1–9)
- **X-axis:** Concern for Production (1–9)

Purpose: Training tool — managers apna style samjhein. High concern for both people AND production = theoretical ideal manager.

Michigan vs Ohio State — Quick Comparison

Feature	Michigan Studies	Ohio State Studies
Dimensions	Employee-centered vs Job-centered	Initiating Structure + Consideration
Format	Single continuum	Two Independent dimensions
Finding	Mixed — sometimes job-centered better	High on both = best (but too simplistic)

Gender and Leadership

Research shows male-female stereotypes about management styles do **not** hold. Studies indicate male and female leaders are **similar** in interpersonal and task behaviors exhibited.

Situational Theories

Behavioral studies mein koi single universal style nahi mili. Researchers ne kaha: **style effectiveness situation par depend karti hai.**

Fiedler's Contingency Model — Fred Fiedler

Step 1 — Measure Leader's LPC Orientation:

Leader rates "the person I can work least well with" on 1–8 scale.

- **Low-LPC leader:** Least preferred coworker ko negative terms mein describe karta hai → **Task-motivated.**
- **High-LPC leader:** Least preferred coworker ko positive terms mein describe karta hai → **People-motivated.**

Key Point: Fiedler kehte hain LPC orientation change karna mushkil hai — isliye leader ko situation se match karo, style change mat karo.

Step 2 — Assess Situational Control (3 Variables):

1. Leader-Member Relations: Group ka leader ko kitna support milta hai — **most important variable.**

2. Task Structure: Task kitna clearly defined hai — goals, methods, standards.

3. Position Power: Organization ne leader ko kitna power diya hai tasks accomplish karne ke liye.

Step 3 — Match Style to Situation:

Situation	Best Leader Type
High favorability (good relations, structured task, strong power)	Low-LPC (task-motivated)
Moderate favorability	High-LPC (people-motivated)
Low favorability (poor relations, unstructured, weak power)	Low-LPC (task-motivated)

Normative Leadership Model

Helps leaders decide **how much to involve subordinates** in decisions.

5 Decision Methods:

- 1. Autocratic I (AI):** Aap khud decide karte ho available information se.
- 2. Autocratic II (AII):** Subordinates se information lete ho lekin decision akela karte ho.
- 3. Consultative I (CI):** Individually subordinates se share karte ho, phir khud decide karte ho.
- 4. Consultative II (CII):** Group session mein ideas lete ho, lekin decision khud karte ho.
- 5. Group II (GII):** Problem group ke saath share karte ho, saath milke solution develop karte ho.

8 Diagnostic Questions guide karte hain which method to use:

1. Decision ki technical quality kitni important hai?
2. Subordinate commitment kitni zaroori hai?
3. Kya aapke paas high-quality decision ke liye enough information hai?
4. Kya problem well-structured hai?
5. Kya subordinates akele aapke decision par committed honge?
6. Kya subordinates organizational goals share karte hain?
7. Kya subordinates mein conflict likely hai?
8. Kya subordinates ke paas high-quality decision ke liye enough information hai?

Situational Leadership Theory — Hersey and Blanchard

Core Premise: Leaders ko apna behavior followers ki **readiness** ke hisaab se change karna chahiye.

Two Independent Dimensions:

- **Task Behavior:** Duties aur responsibilities spell out karna.
- **Relationship Behavior:** Two-way/multi-way communication engage karna.

4 Readiness Levels and Matching Styles:

Readiness Level	Follower State	Leader Style
Low Readiness	Unable + unwilling/insecure	Telling — direct instructions
Low-Moderate Readiness	Unable + willing/confident	Selling — explain aur persuade
Moderate-High Readiness	Able + unwilling/insecure	Participating — encourage involvement
High Readiness	Able + willing/confident	Delegating — zimmedari de do

Best Results: Newly hired employees aur employees in new jobs ke liye specially effective.

Path-Goal Theory

Leader ka kaam: followers ke liye **path clear karna** aur unhe **goals** tak pahunchne mein help karna — motivation aur job satisfaction improve karna.

Based on: Expectancy Theory of motivation.

4 Leader Behaviors:

1. Directive: Kya expect kiya jaata hai yeh batao, work methods guide karo, schedules develop karo. Example: New employee ko step-by-step kaam samjhao.

2. Supportive: Subordinates ki wellbeing ka khayal karo, friendly aur approachable raho. Example: Stressed team member ki problems suno.

3. Participative: Subordinates se consult karo, suggestions encourage karo, ideas consider karo. Example: Team ke saath milke project plan banao.

4. Achievement-Oriented: Challenging goals set karo, highest performance expect karo, confidence dikhao. Example: Sales team ko stretch targets dete huye kaho "tum kar sakte ho."

Situational Factors in Path-Goal Theory:

- **Subordinate characteristics:** Personality, skills, abilities, needs.
- **Context characteristics:** Task itself, work group, formal authority system.

3-Step Expectancy Diagnosis:

1. Effort-Performance: Kya meri mehnat required performance level tak le jayegi?
2. Performance-Outcome: Kya successful performance rewards tak le jayegi?
3. Valence: Kya woh rewards actually valuable hain mere liye?

Leader in sab factors diagnose karke appropriate behavior choose karta hai.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Ohio State aur Michigan Studies Ko Same Samajhna

Wrong Approach: Dono mein same single continuum hai — employee-centered vs task-centered.

Right Approach: Michigan = single continuum; Ohio State = two **independent** dimensions — dono alag framework hain.

Wajah: Ohio State ka key contribution yahi tha ke initiating structure aur consideration independent hain — ek high karo toh doosra automatically low nahi hota.

Mistake 2: Fiedler Mein Low-LPC Ko Hamesha Better Samajhna

Wrong Approach: Low-LPC (task-motivated) leader hamesha zyada effective hota hai.

Right Approach: Low-LPC high aur low favorability mein better hai; High-LPC moderate favorability mein better hai — situation matter karta hai.

Wajah: Yeh Fiedler ka core finding hai — matching zaroori hai, koi ek style universally best nahi.

Mistake 3: Situational Leadership Mein Readiness Ko Sirf Skill Samajhna

Wrong Approach: High readiness = high skill — sirf ability matter karti hai.

Right Approach: Readiness = **ability + willingness** dono — able lekin unwilling employee moderate-high readiness hai, Participating style chahiye.

Wajah: Hersey-Blanchard ne clearly define kiya — readiness mein ability aur willingness/confidence dono components hain.

Mistake 4: Path-Goal Theory Ko Sirf Ek Behavior Wali Theory Samajhna

Wrong Approach: Path-goal theory kehti hai leader ko hamesha directive hona chahiye.

Right Approach: Path-goal mein **4 behaviors** hain — leader situation aur subordinate characteristics ke hisaab se koi bhi behavior use kar sakta hai.

Wajah: Theory ki flexibility hi iska strength hai — multiple behaviors + multiple situational variables = comprehensive framework.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

Ahmed ek naya bank manager hai HBL Lahore mein. Uski team mein do tarah ke employees hain: (a) 3 fresh graduates jo kaam seekh rahe hain, enthusiastic hain lekin experience nahi; (b) 2 senior officers jo experienced hain lekin recently promotion na milne ki wajah se demotivated hain. Hersey-Blanchard ki situational leadership theory use karke Ahmed ko dono groups ke liye kaunsa leadership style use karna chahiye?

Hint (Roman Urdu): Pehle har group ki readiness level identify karo — ability hai ya nahi, willingness hai ya nahi. Phir readiness ke mutabiq style match karo: Telling, Selling, Participating, ya Delegating.

Problem 2:

Fiedler's contingency model ke mutabiq: Ek factory supervisor ki team ke saath achhe relations hain, tasks clearly defined hain (production line work), aur company ne usse strong authority di hai. Identify karo: (a) Is situation ki favorability level kya hai? (b) Kaunsa leader type (Low-LPC ya High-LPC) is situation mein better perform karega?

Hint (Roman Urdu): Teen situational variables check karo — leader-member relations, task structure, position power. Teeno favorable hain toh situation ki favorability kya hogi? Phir Fiedler ka matching rule apply karo.

PART B — Challenge Problem

"Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya."

A government hospital in Islamabad has a new head doctor (Dr. Sara) overseeing a team of: (1) Newly recruited nurses who are eager but undertrained; (2) Experienced senior doctors who are highly capable but resistant to Dr. Sara's new protocols; (3) Mid-level doctors who are competent and motivated.

(a) Using Hersey-Blanchard's situational leadership theory, identify the readiness level and prescribe the correct leadership style for each of the three groups.

(b) Dr. Sara asks a senior doctor to rate their "least preferred coworker." The doctor gives mostly negative ratings. According to Fiedler's model, what does this suggest about the doctor's LPC orientation, and in what type of situation would this doctor be most effective as a leader?

(c) Using the Normative Leadership Model, Dr. Sara needs to make a decision about changing the hospital's medication protocol — a high-quality technical decision where subordinates' commitment is critical and senior doctors have significant expertise. Which decision method (AI, AII, CI, CII, or GII) should she use, and why?

(d) Using Path-Goal theory, Dr. Sara notices that the new nurses feel unclear about their duties and are anxious about performance evaluations. Which leader behavior should she use, and which expectancy element is she trying to improve?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why did behavioral leadership research ultimately lead to situational theories, and what fundamental limitation did behavioral studies reveal?

Think About It (Roman Urdu): Behavioral studies ne kai leader styles identify kiye — lekin koi ek style consistently effective kyun nahi thi? Kya hota agar ek school principal ka style ek army officer ke context mein use kiya jaaye?

Answer: Behavioral studies ne show kiya ke koi single leadership behavior har situation mein effective nahi hota. Iowa mein autocratic vs democratic ka comparison inconclusive raha. Ohio State mein high-high leader best laga lekin generalization too simplistic nikla. Yeh "failure" ne researchers ko situational factors ki taraf push kiya — conclusion yeh tha ke effective leadership style context-dependent hai, universal nahi.

Q2: How does Fiedler's contingency model differ from Hersey-Blanchard's situational leadership in their approach to leadership flexibility?

Think About It (Roman Urdu): Fiedler kehte hain leader apni style change nahi kar sakta — toh kya karna chahiye? Hersey-Blanchard kehte hain leader ko apni style zaroor change karni chahiye. Dono approaches ke practical implications kya hain?

Answer: Fiedler ka manana hai ke LPC orientation ek personality trait hai jo change karna mushkil hai — isliye leader ko situation se match karo, style change nahi hogi. Practical implication: right person right job mein rakho. Hersey-Blanchard kehte hain ke leaders apna behavior consciously change kar sakte hain — follower readiness ke hisaab se style adjust karo. Practical implication: leader ko adaptable hona chahiye aur followers ki development ke saath apna style bhi shift karna chahiye.

Q3: How does Path-Goal theory use expectancy theory to explain how leaders can improve subordinate motivation?

Think About It (Roman Urdu): Ek employee sochta hai: "Mehnat karun toh kya performance achieve hogi? Aur performance milne par reward milega? Aur woh reward mujhe chahiye bhi hai?" Leader in teeno sawaalon ka jawab behtar banana chahta hai — kaise?

Answer: Path-Goal theory kehti hai ke leader ka kaam subordinates ki expectancy theory ke teeno elements improve karna hai: (1) Effort-performance link: directive behavior se clarity de — employee samjhe ke mehnat se performance achieve hogi. (2) Performance-outcome link: rewards clearly link karo performance se. (3) Valence: samjho ke subordinate ko kaunsa reward actually valuable lagta hai. Jab leader in paths ko clear karta hai toh subordinate motivation aur job satisfaction dono improve hoti hain.

SECTION 7 — EXAM STYLE QUIZ

Q1: Sequence the four styles of Hersey-Blanchard's situational leadership from lowest to highest follower readiness.

(Telling → Selling → Participating → Delegating)

Q2: Match each study to its correct dimension(s):

"Initiating Structure and Consideration" — (Iowa / Ohio State / Michigan)?

"Employee-Centered and Job-Centered" — (Iowa / Ohio State / Michigan)?

"Autocratic, Democratic, Laissez-Faire" — (Iowa / Ohio State / Michigan)?

(Ohio State; Michigan; Iowa)

Q3: A project manager's team has good relations with her, the tasks are clearly structured, and she has strong organizational authority. According to Fiedler, what is the favorability level and which LPC type should be matched to this situation?

(High favorability — Low-LPC / task-motivated leader)

Q4: Compare Autocratic I and Autocratic II in the Normative Leadership Model. What is the key difference?

(AI = decide yourself using available information; AII = get information from subordinates but still decide alone — key difference is whether subordinate information is gathered)

Q5: A follower is highly skilled and experienced but recently became unwilling to take responsibility due to personal issues. According to Hersey-Blanchard, what readiness level is this and which leadership style is appropriate?

(Moderate-High readiness — Participating style)

Q6: According to Path-Goal theory, what is the leader's fundamental role?

(To clarify the path to goals and help subordinates reach both work goals and personal goals by influencing their motivation and job satisfaction)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following best defines behavioral theories of leadership?

- A) Theories that focus on the personal traits and characteristics leaders are born with
- B) Theories that study specific leader behaviors to determine which make leaders more effective
- C) Theories that state leadership effectiveness depends entirely on the situation
- D) Theories that measure leader personality using psychometric scales

Correct Answer: B — Theories that study specific leader behaviors to determine which make leaders more effective

Exam Tip (Roman Urdu): Behavioral theories ka key point: behaviors study karo — agar behaviors identify ho jayein toh logon ko leader banana sikha sakte hain.

Q2: In the Ohio State Studies, which two dimensions of leader behavior were identified?

- A) Employee-centered and job-centered
- B) Autocratic and democratic
- C) Initiating structure and consideration

D) Task behavior and relationship behavior

Correct Answer: C — Initiating structure and consideration

Exam Tip (Roman Urdu): Ohio State = Initiating Structure + Consideration; Michigan = Employee-centered + Job-centered — dono confuse mat karna.

Q3: According to Fiedler's contingency model, a High-LPC leader is best suited for which type of situation?

A) High favorability situations

B) Low favorability situations

C) Moderate favorability situations

D) All situations equally

Correct Answer: C — Moderate favorability situations

Exam Tip (Roman Urdu): Low-LPC = high ya low favorability; High-LPC = moderate favorability — yeh matching rule Fiedler ka core finding hai.

Q4: A new employee at a textile factory is enthusiastic and willing to work hard but has no experience with the machinery. According to Hersey-Blanchard's situational leadership theory, which style should the supervisor use?

A) Delegating

B) Participating

C) Telling

D) Selling

Correct Answer: D — Selling

Exam Tip (Roman Urdu): Unable + willing = Low-to-Moderate readiness = Selling style. Telling = unable + unwilling. Willing but unable ka matlab Selling hai — explain aur persuade karo.

Q5: Which of the following correctly describes the "consideration" dimension in the Ohio State Studies?

A) Defining the roles of subordinates in achieving unit goals

B) Dividing work into routine tasks and closely supervising workers

C) Building mutual trust, respecting subordinates' ideas, and showing concern for their feelings

D) Setting challenging goals and expecting highest performance

Correct Answer: C — Building mutual trust, respecting subordinates' ideas, and showing concern for their feelings

Exam Tip (Roman Urdu): Consideration = trust + respect + feelings ka khayal — yeh people-side hai. Initiating structure = role definition + task side.

Q6: In the Normative Leadership Model, which decision method involves sharing the problem with subordinates as a group and working together to reach a solution?

A) Autocratic I (AI)

B) Consultative II (CII)

C) Autocratic II (AII)

D) Group II (GII)

Correct Answer: D — Group II (GII)

Exam Tip (Roman Urdu): GII = group ke saath milke solution — sabse zyada subordinate involvement. AI = akela decide karna — sabse kam involvement.

Q7: Path-Goal theory gets its name because:

A) It focuses on the path leaders take to reach top management positions

B) It focuses on how leaders influence subordinates' perception of paths to work and personal goals

C) It describes the career path of successful leaders

D) It outlines the path from behavioral to situational leadership

Correct Answer: B — It focuses on how leaders influence subordinates' perception of paths to work and personal goals

Exam Tip (Roman Urdu): Path = goals tak pohonchne ka rasta — leader woh rasta clear karta hai taake subordinates motivated rahein.

Q8: According to Kurt Lewin's Iowa Studies, which leadership style was consistently found to be ineffective?

A) Autocratic

B) Democratic

C) Laissez-faire

D) Participative

Correct Answer: C — Laissez-faire

Exam Tip (Roman Urdu): Laissez-faire = complete freedom + no feedback = generally ineffective. Democratic = higher satisfaction. Autocratic vs Democratic = mixed results.

Q9: Fred Fiedler's contingency model is based on which core premise about leadership style?

A) Leaders can easily change their style depending on the situation

B) Leadership style is a personality trait that is difficult to change, so the leader should be matched to the situation

C) All leaders should adopt a democratic style regardless of context

D) The best leaders are always task-motivated

Correct Answer: B — Leadership style is a personality trait that is difficult to change, so the leader should be matched to the situation

Exam Tip (Roman Urdu): Fiedler ka unique point yahi hai — leader ki style change karna mushkil hai, isliye leader ko situation se match karo — situation ko leader ke liye suitable banao.

Q10: Which of the following is an "achievement-oriented" leader behavior in Path-Goal theory?

A) Providing step-by-step guidance about work methods and schedules

B) Showing friendly concern for subordinates' well-being

C) Consulting subordinates and considering their suggestions

D) Setting challenging goals and conveying high confidence in subordinates' ability

Correct Answer: D — Setting challenging goals and conveying high confidence in subordinates' ability

Exam Tip (Roman Urdu): Achievement-oriented = challenging goals + high expectations + confidence dikhana. Directive = guidance; Supportive = friendliness; Participative = consultation.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein leadership ke behavioral studies (Iowa, Ohio State, Michigan, Managerial Grid) aur situational models (Fiedler, Normative, Hersey-Blanchard, Path-Goal) detail mein samjhaye gaye — koi ek style universal nahi, situation matter karta hai.

PART B — Yaad Rakhne Wali Baatein

- **Iowa Studies:** 3 styles — Autocratic, Democratic, Laissez-Faire — laissez-faire ineffective, democratic higher satisfaction.
- **Ohio State:** 2 independent dimensions — Initiating Structure + Consideration — single continuum nahi.
- **Michigan:** Single continuum — Employee-Centered ↔ Job-Centered.
- **Fiedler:** LPC orientation change karna mushkil — leader ko situation se match karo; Low-LPC best in high/low favorability; High-LPC in moderate.
- **Hersey-Blanchard:** 4 styles (Telling→Selling→Participating→Delegating) follower readiness (ability + willingness) ke hisaab se.

PART C — Zaroor Yaad Karo Yeh Frameworks

Behavioral Studies Comparison:

- **Iowa:** Autocratic / Democratic / Laissez-Faire
- **Michigan:** Employee-Centered ↔ Job-Centered (one continuum)
- **Ohio State:** Initiating Structure + Consideration (two independent dimensions)
- **Managerial Grid:** Concern for People + Concern for Production (training tool)

Hersey-Blanchard 4 Styles:

1. **Telling** — Unable + Unwilling
2. **Selling** — Unable + Willing
3. **Participating** — Able + Unwilling
4. **Delegating** — Able + Willing

Path-Goal 4 Behaviors:

1. **Directive** — clarity aur guidance
2. **Supportive** — wellbeing aur friendliness

3. Participative — consultation aur suggestions

4. Achievement-Oriented — challenging goals aur confidence

Normative Model 5 Methods: AI → AII → CI → CII → GII (increasing subordinate involvement)

PART D — Exam Mein Ghalti Mat Karna

[!] Ohio State aur Michigan ko same mat samajhna — Michigan = one continuum; Ohio State = two independent dimensions.

[!] Hersey-Blanchard mein readiness sirf ability nahi — ability PLUS willingness dono zaroor check karo style decide karne se pehle.

[!] Fiedler mein Low-LPC hamesha better nahi — moderate favorability mein High-LPC better hai — situation ka matching zaroori hai.

Lecture 39: Strategic Leadership Models

Subject: MGT503 — Principles of Management

Topic Type: L — Leadership Models

Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho Pakistan Army ka ek brigadier hai. Ek type ka officer sirf orders deta hai — "yeh karo, yeh reward milega" — yeh transactional leader hai. Doosra officer apni team ko ek badi vision deta hai — "hum mulk ki hifazat ke liye kuch extraordinary karenge" — aur log apni limits se zyada kaam karte hain — yeh transformational leader hai. Aur ek acha team leader woh hai jo apni team ko bahar se protect bhi karta hai aur andar se guide bhi — yeh team leadership hai.

PART B — Core Concepts

1. Transactional Leader: Goals clear karta hai, role batata hai, rewards/punishment use karta hai — established direction mein motivate karta hai.

2. Transformational Leader: Individualized consideration, intellectual stimulation, aur charisma — normal expectations se zyada performance nikalta hai.

3. Charisma: Leader ki ability — pride, faith, aur respect inspire kare, vision articulate kare.

4. Visionary Leadership: Charisma se aage — realistic, credible, attractive future vision create aur articulate karna.

5. Credibility: Followers ka perception ke leader honest, competent, aur inspiring hai.

6. Trust: Leader ki integrity, character, aur ability mein belief — 5 dimensions hain.

7. Team Leader: External boundaries manage kare aur internal team process facilitate kare.

8. Gender and Leadership: Women democratic/participative; Men directive/transactional — lekin situation decide karta hai kaun better hai.

PART C — Key Frameworks and Models

- **Transactional vs Transformational Leadership:** Transactional = rewards/goals; Transformational = vision/inspiration — transformational transactional ka enhancement hai, substitute nahi
- **Charismatic Leadership Theory:** Attribution theory ka extension — followers extraordinary behaviors dekh ke heroic abilities attribute karte hain
- **Visionary Leadership:** Charisma + realistic credible future vision — compelling imagery, emotions, enthusiasm
- **5 Dimensions of Trust:** Integrity, Competence, Consistency, Loyalty, Openness
- **4 Team Leadership Roles:** Liaison, Troubleshooter, Conflict Manager, Coach
- **Gender and Leadership:** Women = democratic/participative; Men = directive/transactional — situational dependency

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Transactional vs Transformational Leadership

Dimension	Transactional	Transformational
Focus	Established goals, role clarity	Broader mission, vision, inspiration
Motivation method	Rewards for good work, punishment for bad	Inspire to exceed self-interest
Needs addressed	Task responsibilities, goal recognition	Intrinsic higher-level goals
Relationship	Exchange-based	Inspirational, individualized
Key element	Clarifying expectations	Charisma + intellectual stimulation

Critical point: Transformational leadership Transactional ka **enhancement** hai — substitute nahi. Pehle transactional base hota hai, phir transformational uske upar build karta hai.

Pakistani example: HBL branch manager jo targets deke bonus deta hai — transactional. HBL CEO jo puri team ko vision deta hai ke "hum Pakistan ka sabse trusted bank banenge" aur log apni capacity se zyada kaam karte hain — transformational.

Charismatic-Visionary Leadership

Charismatic leadership theory attribution theory ka extension hai — followers kuch specific behaviors dekh ke leader ko extraordinary samajhne lagte hain.

5 Characteristics of Charismatic Leaders:

1. Vision rakhte hain
2. Woh vision articulate kar sakte hain
3. Vision achieve karne ke liye risk lene ko tayyar hain
4. Environmental constraints aur followers ki needs ke sensitive hain
5. Ordinary se alag (out of the ordinary) behaviors exhibit karte hain

Key points:

- Charisma pehle inborn trait samjha jaata tha — ab research kehti hai yeh **trainable behaviors** hain.
- High performance aur follower satisfaction ke saath charisma ka strong correlation hai.
- Charismatic leadership **har situation mein zaroori nahi** — yeh tab most appropriate hai jab employee ke kaam mein ideological content ho.

Visionary Leadership

Visionary leadership charisma se aage jaati hai:

- Realistic, credible, aur attractive future vision create aur articulate karna
- Present se grow karke behtar future dikhana
- **Compelling imagery** use karta hai — emotions aur energy tap karta hai

Key Properties of a Vision:

- Inspirational possibilities
- Value-centered
- Realizable (achievable)
- Superior imagery
- Well-articulated

3 Skills of Visionary Leaders:

1. Vision doosron ko **explain** karna
2. Vision ko sirf words mein nahi, **behavior se** express karna
3. Vision ko different **leadership contexts** mein apply karna

Trust and Credibility

Credibility: Followers ka perception — leader honest, competent, aur inspiring hai.

Trust: Leader ki integrity, character, ability mein belief.

5 Dimensions of Trust:

1. **Integrity:** Honesty aur truthfulness
2. **Competence:** Technical aur interpersonal knowledge/skills
3. **Consistency:** Reliability, predictability, good judgment

4. **Loyalty:** Physically aur emotionally protect karne ki willingness
5. **Openness:** Ideas aur information freely share karne ki willingness

Trust self-managed teams mein especially important hai kyunke traditional control mechanisms wahan hote nahi.

8 Ways to Build Trust:

1. Practice openness
2. Be fair
3. Speak your feelings
4. Tell the truth
5. Show consistency
6. Fulfill your promises
7. Maintain confidences
8. Demonstrate competence

Team Leadership

Work teams barh rahe hain isliye team leader ka role increasingly important ho gaya hai.

2 Priorities of a Team Leader:

1. Managing the team's **external boundaries** (bahar se team ko protect karna)
2. Facilitating the **team process** (andar team ko guide karna)

4 Specific Team Leadership Roles:

1. **Liaison:** External constituencies se connection maintain karna
2. **Troubleshooter:** Problems identify aur solve karna
3. **Conflict Manager:** Team ke andar conflicts handle karna
4. **Coach:** Team members ko develop aur guide karna

Key challenge: Effective team leader ko pata hona chahiye **kab team ko alone chhodna hai** aur **kab involve hona hai** — yeh balancing act hai.

Gender and Leadership

Dimension	Women Leaders	Men Leaders
Style	Democratic, participative	Directive, command-and-control
Approach	Share power, encourage participation	Rely on formal authority
Leadership type	Closer to transformational	Closer to transactional
Influence base	Self-worth enhancement, information sharing	Formal positional authority

Is different better?

- Best managers listen, motivate, aur support karte hain — inspire karte hain, control nahi karte.
- Generally women yeh cheezein men se better karti hain — research ka finding.
- **Lekin:** Gender destiny nahi — situation decide karta hai kaun effective hai. Gender sirf **behavioral tendency** provide karta hai.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Transformational leadership ko Transactional ka replacement samajhna

Wrong Approach: Transformational leader ko transactional ki zaroorat nahi hoti.

Right Approach: Transformational transactional ka **enhancement** hai — pehle transactional base hota hai, transformational uske upar build karta hai.

Wajah: Lecture specifically kehta hai "not a substitute, it is an enhancement" — yeh exact line MCQ mein aati hai.

Mistake 2: Charisma ko sirf inborn trait samajhna

Wrong Approach: Charisma janm se aati hai, sikhaya nahi ja sakta.

Right Approach: Recent research kehti hai charismatic **behaviors** train kiye ja sakte hain — yeh behaviors hain, fixed personality trait nahi.

Wajah: Yeh lecture ka important update hai — "charisma was once thought inborn" aur "most experts think it can be trained" — dono lines exam mein aati hain.

Mistake 3: Visionary aur Charismatic leadership ko same samajhna

Wrong Approach: Visionary aur charismatic leadership ek hi cheez hai.

Right Approach: Visionary leadership charisma se **aage** jaati hai — realistic, credible, attractive future vision create aur articulate karna involve karta hai. Charisma ek component hai, visionary leadership broader hai.

Wajah: MCQ mein "visionary leadership goes beyond charisma" type question seedha aata hai.

Mistake 4: Gender aur Leadership mein yeh samajhna ke women hamesha better leaders hain

Wrong Approach: Women leaders hamesha men se better hoti hain kyunki woh zyada participative hain.

Right Approach: Gender sirf **behavioral tendency** hai — situation decide karta hai kaun effective hai. Destiny nahi hai.

Wajah: Lecture specifically kehta hai "gender doesn't imply destiny" — absolute claims galat hain.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1: A VU campus director tells faculty: "Jo 90% attendance maintain karega usse bonus milega, jo nahi karega uski increment rokegi." Another director at a different campus says: "Hum VU ko Pakistan ka best university banana chahte hain — aap sab is mission ka hissa hain, aapki mehnat is sapne ko sach karti hai." Compare both directors using transactional vs transformational leadership — aur bataiye ke kya doosra pehle wale ki jagah le sakta hai?

Hint (Roman Urdu): Yaad karo ke transformational transactional ko replace nahi karta — kya relationship hai dono mein? Enhancement ka matlab kya hai?

Problem 2: A newly appointed team leader at a textile factory in Faisalabad is confused — kabhi woh team ke chhote chhote decisions mein involve hoti hai aur kabhi bilkul kuch nahi karti. Her team members complain she's inconsistent. Using the 4 team leadership roles and 2 priorities, explain what she should be doing differently.

Hint (Roman Urdu): Team leader ke 2 priorities aur 4 roles yaad karo — external boundaries aur internal facilitation ka balance kya hota hai?

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

Ayesha is a newly promoted regional head at a Pakistani NGO working on rural education. Her team is diverse — some members are highly motivated idealists, others just want job security. She has been told her predecessor was a strict directive leader who used punishment and rewards only.

- (a) Classify her predecessor's leadership style and explain which theory it represents.
- (b) What approach should Ayesha adopt, and why? Use transactional vs transformational distinction.
- (c) Her team has started doubting her because she changed three decisions in one week. Which dimension of trust is most damaged, and how should she rebuild it using the 8 suggestions?
- (d) Some team members say Ayesha is effective because she's a woman who listens and shares power. Is gender the real reason for her effectiveness? Use the lecture's position on gender and leadership to respond.
- (e) Identify which of the 5 characteristics of charismatic leaders Ayesha should develop, and give one concrete action for each.

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why is transformational leadership described as an "enhancement" of transactional leadership rather than a replacement?

Think About It (Roman Urdu): Agar ek building banani hai toh pehle neev chahiye — phir uske upar structure. Kya sirf neev se kaam chalta hai? Kya sirf structure bina neev ke khara rehta hai?

Answer: Transactional leadership neev hai — role clarity, goals, aur rewards ka basic system. Bina is foundation ke transformational leadership work nahi karti kyunke employees ko pehle basic expectations aur rewards structure chahiye. Transformational leadership is foundation ke upar build kart hai — vision, inspiration, aur higher-order motivation add karti hai. Isliye dono simultaneously kaam karte hain — ek doosre ka substitute nahi.

Q2: Why is trust particularly important in organizations that use self-managed work teams?

Think About It (Roman Urdu): Agar supervisor hi nahi hai toh team kaise kaam karegi? Kya cheez unhe ek direction mein rakhti hai?

Answer: Self-managed teams mein traditional control mechanisms — supervision, direct monitoring, regular check-ins — removed hote hain. Jab external control nahi hota toh team members ko leader ki integrity, competence, aur consistency pe rely karna padta hai. Trust woh invisible structure hai jo team ko aligned rakhta hai bina formal control ke. Isliye in-teams mein trust ka role specially critical ho jaata hai.

Q3: Why does the lecture conclude that gender "doesn't imply destiny" in leadership effectiveness?

Think About It (Roman Urdu): Ek cricket match mein kabhi aggressive batting chahiye, kabhi defensive — kya ek hi type ka batsman hamesha best hoga?

Answer: Gender sirf behavioral tendency provide karta hai — women generally democratic, men generally directive. Lekin effectiveness situation par depend karti hai. Kuch situations mein directive style better kaam karta hai (crisis, quick decisions), kuch mein participative (creative tasks, team building). Isliye ek style universally superior nahi — situation decide karta hai. Gender predict kar sakta hai default tendency, destiny nahi.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange in correct relationship: Transactional Leadership / Transformational Leadership / Charismatic Leadership

(Transactional = base → Transformational built on top of it → Charismatic is a component of Transformational)

Q2: Match each team leadership role with its function:

- Connects team with outside stakeholders → **(Liaison)**
- Identifies and solves team problems → **(Troubleshooter)**
- Handles internal team conflicts → **(Conflict Manager)**
- Develops and guides team members → **(Coach)**

Q3: A leader is honest, keeps promises, and shares information openly. Which three dimensions of trust does this demonstrate?

(Integrity — honesty; Loyalty — protecting others; Openness — sharing information freely)

Q4: Compare: What is the key difference between charismatic and visionary leadership?
(Charismatic = inspiring through extraordinary behaviors and attribution; Visionary = goes beyond charisma by creating a realistic, credible, attractive future vision)

Q5: A leader uses rewards for good performance and sets clear role expectations. A second leader inspires the team with a national mission and pushes them beyond normal limits. Classify both and state their relationship.

(First = Transactional; Second = Transformational; Relationship = Transformational is enhancement of Transactional, not a substitute)

Q6: According to research, which leadership style do women tend to use more than men?
(Democratic / Participative style — sharing power, encouraging participation, enhancing follower self-worth)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following best defines a transactional leader?

- A)** A leader who inspires followers to exceed their own self-interest through a compelling vision
- B)** A leader who guides followers toward established goals by clarifying role and task requirements
- C)** A leader who focuses exclusively on building long-term organizational culture
- D)** A leader who uses charisma to transform followers' values and beliefs

Correct Answer: B — A leader who guides followers toward established goals by clarifying role and task requirements

Exam Tip (Roman Urdu): Transactional = roles clear karna + rewards/punishment — vision aur inspiration transformational ka kaam hai.

Q2: Transformational leadership is best described as:

- A)** A complete replacement for transactional leadership
- B)** A leadership style used only in crisis situations
- C)** An enhancement built on top of transactional leadership
- D)** A style that ignores task requirements and goal clarity

Correct Answer: C — An enhancement built on top of transactional leadership

Exam Tip (Roman Urdu): "Enhancement not substitute" — yeh exact phrase yaad rakho, MCQ mein seedha aata hai.

Q3: According to charismatic leadership theory, followers attribute extraordinary leadership abilities when they observe:

- A)** A leader's formal authority and position power

- B) Certain specific behaviors exhibited by the leader
- C) A leader's academic qualifications and experience
- D) The rewards a leader distributes to followers

Correct Answer: B — Certain specific behaviors exhibited by the leader

Exam Tip (Roman Urdu): Charismatic theory attribution theory ka extension hai — behaviors dekh ke followers attribute karte hain, position ya degree nahi.

Q4: Which of the following is NOT one of the five characteristics of charismatic leaders?

- A) Having a vision
- B) Willingness to take risks
- C) Relying on formal positional authority
- D) Sensitivity to environmental constraints and follower needs

Correct Answer: C — Relying on formal positional authority

Exam Tip (Roman Urdu): Formal authority transactional aur directive leaders use karte hain — charismatic leaders behaviors aur vision use karte hain.

Q5: A manager at PTCL consistently keeps promises, admits mistakes openly, and shares departmental information with the team. Which dimensions of trust is this manager demonstrating?

- A) Competence and Loyalty only
- B) Integrity, Openness, and Consistency
- C) Loyalty and Competence only
- D) Integrity and Competence only

Correct Answer: B — Integrity, Openness, and Consistency

Exam Tip (Roman Urdu): Promise rakhna = Consistency; mistakes manna = Integrity; information share karna = Openness — teen alag dimensions hain.

Q6: Which of the following best describes the two main priorities of a team leader?

- A) Setting individual performance targets and monitoring attendance
- B) Managing the team's external boundaries and facilitating the team process
- C) Hiring team members and evaluating their annual performance
- D) Distributing rewards and resolving salary disputes

Correct Answer: B — Managing the team's external boundaries and facilitating the team process

Exam Tip (Roman Urdu): Team leader ke 2 priorities yaad karo — external boundary management aur internal process facilitation.

Q7: Research on gender and leadership found that women leaders tend to:

- A) Use a directive, command-and-control style more than men
- B) Rely more on formal positional authority than men
- C) Adopt a more democratic and participative leadership style than men
- D) Use transactional leadership more frequently than men

Correct Answer: C — Adopt a more democratic and participative leadership style than men

Exam Tip (Roman Urdu): Women = democratic/participative; Men = directive/transactional — yeh research finding hai, opinion nahi.

Q8: The lecture states that "gender doesn't imply destiny" in leadership. This means:

- A) Men and women have identical leadership styles in all situations
- B) Gender determines which leader will always be more effective
- C) Gender provides a behavioral tendency, but situational effectiveness varies
- D) Female leaders are always more effective than male leaders

Correct Answer: C — Gender provides a behavioral tendency, but situational effectiveness varies

Exam Tip (Roman Urdu): "Behavioral tendency not destiny" — gender predict kar sakta hai default style, universal effectiveness nahi.

Q9: Visionary leadership differs from charismatic leadership primarily because:

- A) Visionary leaders do not need to articulate their ideas to followers
- B) Visionary leadership goes beyond charisma by creating a realistic, credible, attractive future vision
- C) Charismatic leaders focus on long-term planning while visionary leaders focus on daily tasks
- D) Visionary leadership relies on formal authority rather than personal inspiration

Correct Answer: B — Visionary leadership goes beyond charisma by creating a realistic, credible, attractive future vision

Exam Tip (Roman Urdu): Visionary = charisma se aage — realistic credible future vision — yeh distinction direct MCQ mein aata hai.

Q10: Which of the five dimensions of trust refers to a leader's reliability, predictability, and good judgment?

- A) Integrity
- B) Openness
- C) Loyalty
- D) Consistency

Correct Answer: D — Consistency

Exam Tip (Roman Urdu): Consistency = reliable + predictable + good judgment — integrity honesty hai, dono alag hain, mix mat karna.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein humne transactional vs transformational leadership, charismatic aur visionary

leadership, trust ke 5 dimensions, team leadership ke 4 roles, aur gender aur leadership ka relationship seekha.

PART B — Yaad Rakhne Wali Baatein

- **Transformational** transactional ka enhancement hai — replacement nahi — dono saath chalni hain.
- **Charisma** ab trainable behaviors maana jaata hai — inborn fixed trait nahi.
- **Visionary leadership** charisma se aage hai — realistic, credible, attractive future vision add karta hai.
- **Trust** ke 5 dimensions: Integrity, Competence, Consistency, Loyalty, Openness.
- **Gender** sirf behavioral tendency deta hai — Women = participative, Men = directive — lekin situation decide karta hai effectiveness.

PART C — Zaroor Yaad Karo Yeh Frameworks

Transactional vs Transformational:

- Transactional = roles + rewards + established goals
- Transformational = vision + inspiration + beyond normal expectations
- Relationship: Transformational = Enhancement of Transactional

5 Characteristics of Charismatic Leaders:

1. Vision 2. Articulate vision 3. Risk-taking 4. Sensitivity 5. Out-of-ordinary behaviors

5 Dimensions of Trust: Integrity · Competence · Consistency · Loyalty · Openness

4 Team Leadership Roles: Liaison · Troubleshooter · Conflict Manager · Coach

2 Team Leader Priorities: External Boundary Management · Internal Process Facilitation

PART D — Exam Mein Ghalti Mat Karna

[!] Transformational leadership transactional ko replace nahi karta — "enhancement not substitute" — yeh exact phrase MCQ mein aata hai.

[!] Visionary aur Charismatic leadership same nahi — visionary charisma se aage jaati hai realistic future vision ke saath.

[!] Gender leadership style mein tendency deta hai, destiny nahi — situational effectiveness vary karti hai.

Lecture 40: Understanding Group Dynamics in Organizations

Subject: MGT503 — Principles of Management

Topic Type: M — Group Dynamics and Teams

Difficulty: Intermediate

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho VU ka ek project group — kuch students formally professor ne assign kiye, kuch apne aap dost ban ke kaam karte hain. Formal group mein sab ka role clear hota hai, lekin informal group mein log apni marzi se milte hain. Jaise Pakistan cricket team mein official squad formal group hai, lekin dressing room mein kuch players ki apni informal dosti ka group alag hota hai. Dono groups ka behavior alag hota hai aur dono organization (ya team) ko affect karte hain.

PART B — Core Concepts

- 1. Group:** Do ya zyada interacting aur interdependent individuals jo specific objectives achieve karne ke liye saath aate hain
- 2. Formal Group:** Organization ne officially banaya — specific purpose ke liye
- 3. Command/Functional Group:** Manager aur uske saare subordinates — identifiable work unit
- 4. Linking:** Woh individual jo do alag levels ke command groups ke beech coordinator hota hai
- 5. Informal Group:** Employees khud banate hain — organization ne plan nahi kiya — social ya common interest ke liye
- 6. Interest Group:** Informal group jo common concern pursue karne ke liye bana
- 7. Friendship Group:** Informal group jo social needs meet karne ke liye bana
- 8. Teamwork:** Jab group efficiently aur effectively milke organizational goals achieve kare
- 9. Synergy:** Group ka combined output individual outputs ke sum se zyada ya kam hona
- 10. Social Loafing / Free Riding:** Kuch members group mein hone ki wajah se kam effort lagate hain — individualism mein zyada hota hai
- 11. Group Norms:** Group mein acceptable behaviors — explicit statements, critical events, primacy, ya carryover behaviors se stem karte hain
- 12. Group Cohesiveness:** Group members ke beech attraction aur unity ka degree

PART C — Key Frameworks and Models

- **Formal Groups:** Command group (manager + subordinates) — organizationally planned
- **Informal Groups:** Interest group (common concern) + Friendship group (social needs) — unplanned
- **Group as a System:** Inputs → Processes/Transformations → Outcomes
- **Synergy:** Positive (group > sum of individuals) ya Negative (group < sum of individuals)
- **Five Stages of Group Development:** Forming → Storming → Norming → Performing → Adjourning

- **Three Key Process Characteristics:** Group norms + Group cohesiveness + Group development
- **Optimum Group Size:** 5 to 7 members — recent research ke mutabiq

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

What is a Group?

Group = do ya zyada interacting aur interdependent individuals jo particular objectives achieve karne ke liye saath aate hain.

Group teen cheezoon mein differ karta hai:

1. Mere aggregate se — aggregate mein interdependence, interaction, ya common goal nahi hota
2. Organization se — organization mein systematic efforts aur goods/services production hoti hai
3. Teamwork tab hota hai jab group efficiently aur effectively milke organizational goals achieve kare

Types of Work Groups

A. Formal Groups

Organization ne officially plan aur create kiye — specific purpose ke liye.

i. Command / Functional Group

Manager aur uske saare reporting subordinates. Har identifiable work unit ek command group hai.

- **Linking:** Woh individual jo do alag levels ke command groups coordinate karta hai — lower group mein supervisor, higher group mein subordinate ki role play karta hai
- **Example:** HBL mein branch manager aur uske loan officers ek command group hain; branch manager regional manager ke group mein subordinate bhi hai — yeh linking role hai

B. Informal Groups

Employees khud banate hain — unplanned. Organization ki zaroorat nahi — social ya interest ke liye.

i. Interest Group: Common concern pursue karne ke liye

- **Example:** VU ke kuch students milke ek study circle banate hain — organization se bahar, apne interest pe

ii. Friendship Group: Social needs meet karne ke liye

- **Example:** PTCL ke employees lunch break mein saath baithte hain — sirf dosti ki wajah se

Overview of Group Dynamics

Groups ko ek system ki tarah analyze karna useful hai:

Inputs → Processes/Transformations → Outcomes

Improving Formal Group Performance — Key Points:

- Members mein task-relevant expertise aur appropriate interpersonal skills honi chahiye
- Diversity among members usually performance add karti hai
- Group training — particularly diverse groups ke liye — useful hai

Why Members Join Groups:

- Doosre members ko like karna
- Group ki activities pasand hona
- Group ke goals se alignment
- Affiliation ki zaroorat poori hona
- Group se outside goal achieve karna

Member Roles in Groups:

1. Group task roles — kaam karne se related
2. Group maintenance roles — group ko intact rakhne se related
3. Self-oriented roles — individual ki apni zarooraton ke liye

Group Size

- **Optimum size:** 5 to 7 members — recent research
- **Small groups:** Individual differences exacerbate ho sakte hain
- **Large groups:** Social loafing / free riding zyada hoti hai — log akele kaam karte waqt zyada mehnat karte hain group mein hone se

Combating Social Loafing — Manager ke Tareeqe:

1. Sirf utne hi log assign karo jitne kaam ke liye zaroori hain
2. Har individual ka kaam visible banao
3. Individual feedback provide karo
4. Log unke saath kaam karein jinhein woh respect karte hain
5. Group performance measure karne ke standards rakho
6. Rewards individual aur group performance dono ka combination rakho

Group Processes and Synergy

Group processes positive ya negative synergy create karte hain.

Positive Synergy: Group ka combined output individual outputs ke sum se zyada

Negative Synergy: Group ka combined output individual outputs ke sum se kam

Teen Key Characteristics Jo Synergy Level Determine Karti Hain:

1. Group Norms

Group members mein acceptable behaviors. Norms in sources se aate hain:

- Explicit statements by supervisors/coworkers
- Critical events in group's history
- Primacy (pehle jo behavior set hua woh norm ban gaya)
- Carryover behaviors (doosre contexts se laye gaye behaviors)

2. Group Cohesiveness

Group mein unity aur attraction ka degree. Cohesiveness affect karta hai:

- Communication
- Satisfaction
- Performance
- Hostility toward other groups
- Willingness to innovate and change

Factors Influencing Cohesiveness:

- Members ke shared attitudes aur values
- External threats ki amount aur severity
- Group ki recognizable successes
- Group join karne mein difficulty ka degree
- Group ka size

3. Group Development — Five Stages

Stage 1 — Forming:

Members milte hain, group ka purpose, structure, aur leadership uncertain hota hai — exploration phase

Stage 2 — Storming:

Intragroup conflict hota hai — kaun control karega, kya karna hai — tension aur disagreement

Stage 3 — Norming:

Close relationships develop hote hain, cohesiveness banta hai, norms establish hote hain — unity aati hai

Stage 4 — Performing:

Group fully functional ho jaata hai aur kaam pe focus karta hai — performance peak pe hoti hai

Stage 5 — Adjourning:

Group kaam complete kar ke dissolve ho jaata hai — temporary groups ke liye

Note: Group ka performance stage ke hisaab se vary karta hai.

Groups, Creativity, and Innovation

Organizations groups ki creative aur innovative capacity encourage karne ke liye use karti hain:

- **Task forces / Ad hoc committees:** Short-term specific problem ke liye
- **Entrepreneurial teams:** Naye ideas aur ventures ke liye
- **Self-managing teams:** Autonomy ke saath kaam karne wale teams

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Formal aur Informal Groups Ko Same Samajhna

Wrong Approach: Student sochta hai sab groups organization ne banaye hote hain

Right Approach: Formal groups organizationally planned hote hain; informal groups employees khud banate hain apni social ya common interest needs ke liye — unplanned hote hain

Wajah: Yeh distinction exam mein seedha MCQ aur scenario questions mein aata hai — dono ke examples alag hote hain

Mistake 2: Synergy Ko Hamesha Positive Samajhna

Wrong Approach: Student likhta hai group hamesha better perform karta hai individuals se

Right Approach: Synergy positive bhi ho sakti hai aur negative bhi — social loafing, conflict, aur poor cohesiveness negative synergy create karte hain

Wajah: Lecture clearly kehta hai "greater or lesser" — negative synergy ka concept exam mein trap ke taur pe aata hai

Mistake 3: Command Group Aur Task Group Ko Mix Karna

Wrong Approach: Student command group aur task group ko same kehta hai

Right Approach: Command group = manager + uske direct subordinates (permanent); task group = specific task ke liye banaya gaya formal group (may be temporary)

Wajah: Dono formal groups hain lekin unka composition aur purpose alag hai

Mistake 4: Optimum Group Size Galat Batana

Wrong Approach: Student kehta hai jitne zyada members utna acha performance

Right Approach: Research ke mutabiq optimum group size 5 to 7 members hai — isse bada

group social loafing badhata hai

Wajah: Specific number exam mein directly poochha jaata hai — "5 to 7" exact figure yaad rakho

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

A textile factory in Lahore has the following groups: (i) The production manager and his 6 workers who report directly to him; (ii) A group of 3 workers who eat lunch together daily and discuss cricket; (iii) A group of 10 workers who formed a committee to petition management for better safety equipment. Identify each group type with justification and state which group is likely at risk for social loafing and why.

Hint (Roman Urdu): Pehle har group ke liye socho — organization ne banaya ya employees ne? Phir formal vs informal decide karo, aur uske andar command/interest/friendship identify karo. Social loafing ke liye size aur visibility sochna.

Problem 2:

A newly formed project team at PTCL is working on a new billing system. In the first week, team members are polite but unsure of their roles. By week 3, two members are arguing about who should lead the technical work. By week 6, everyone has agreed on roles and is working smoothly. Identify which stage of group development each period represents and predict what the group should focus on in Stage 4.

Hint (Roman Urdu): Panch stages ka sequence yaad karo — Forming, Storming, Norming, Performing, Adjourning. Har description ko ek stage se match karo aur Stage 4 mein group kya karta hai yeh bhi sochna.

PART B — Challenge Problem

"Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya."

A government hospital in Islamabad has two groups working on patient care improvement. Group A has 12 members — doctors, nurses, and admin staff — all assigned by the hospital director. After 2 months, performance is poor: some members are doing minimal work, the group has internal conflicts, and norms have not developed. Group B is a self-formed group of 6 nurses who meet voluntarily after shifts to discuss patient care issues and have developed strong cohesiveness and clear informal norms.

(i) Classify both groups by type and explain why Group B is outperforming Group A despite being informal and unplanned.

(ii) Using three specific concepts from this lecture (synergy, group norms, cohesiveness, social loafing, group size, or stages of development), diagnose what is wrong with Group A.

(iii) Recommend three specific actions the hospital director should take to improve Group A's performance — each recommendation must reference a concept from the lecture.

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why do groups exhibit behavior that is "more than just the sum total of each member's individual behavior"?

Think About It (Roman Urdu): Socho teen musicians alag alag play karein — phir saath play karein. Kya alag alag sunne aur saath sunne mein farq hai? Group mein kya cheez add hoti hai jo individuals mein nahi hoti?

Answer: Groups mein synergy hoti hai — members ki interaction, shared norms, aur collective energy ek aisa output create karti hai jo individual outputs ka simple sum nahi hota. Positive synergy mein members ek doosre ko inspire karte hain, ideas build karte hain, aur skills complement karte hain. Group norms, cohesiveness, aur interdependence milke ek aisa collective behavior produce karte hain jo individual behavior se qualitatively alag hota hai.

Q2: Why does group cohesiveness not always lead to high performance?

Think About It (Roman Urdu): Socho ek bohot tight-knit group jo sab ek doosre se bohot pyar karte hain — kya woh hamesha best kaam kareng? Kya cohesiveness aur performance hamesha saath jaate hain?

Answer: Cohesiveness group ko united rakhti hai lekin performance depend karta hai ke group ke norms kya hain. Agar cohesive group ke norms low performance ko acceptable maante hain — ya baahri changes resist karte hain — toh high cohesiveness low performance ke saath coexist kar sakti hai. Cohesive group baahri groups ke khilaf hostile bhi ho sakta hai jo overall organizational performance hurt karta hai. Performance tab high hoti hai jab cohesiveness aur performance-oriented norms dono saath hon.

Q3: Why is the "linking" role in command groups important for organizational coordination?

Think About It (Roman Urdu): Socho army mein ek captain jo apne soldiers ka leader hai lekin upar ke colonel ko bhi report karta hai — woh kya role play kar raha hai? Agar yeh link nahi hota toh kya hota?

Answer: Linking individual do alag levels ke command groups ke beech bridge ka kaam karta hai — lower group mein supervisor aur higher group mein subordinate. Bina linking ke upar ke goals neechay properly translate nahi hote aur neechay ki feedback upar nahi pohonchti. Large organizations mein jahan kai command groups hote hain, linking vertical coordination ka essential mechanism hai — iske bina information aur direction dono distort ya block ho sakte hain.

SECTION 7 — EXAM STYLE QUIZ

Q1: Sequence the five stages of group development in correct order.

Answer: (Forming → Storming → Norming → Performing → Adjourning)

Q2: Match each group type to its correct description: (i) Command Group, (ii) Interest Group, (iii) Friendship Group, (iv) Task Group

Options: Formal group for a specific project / Manager and direct subordinates / Informal group for common concern / Informal group for social needs

Answer: ((i) Manager and direct subordinates, (ii) Informal group for common concern, (iii) Informal group for social needs, (iv) Formal group for a specific project)

Q3: A group of 15 employees at a bank is performing poorly. Research suggests the group is too large and some members are not contributing fully. What concept explains this and what is the recommended action?

Answer: (Social loafing / free riding — manager should reduce group to optimum size of 5-7, make individual work visible, and tie rewards to both individual and group performance)

Q4: Compare positive synergy and negative synergy with one example each.

Answer: (Positive synergy: group's output exceeds sum of individual outputs — e.g., a 5-person team develops a product no individual could alone; Negative synergy: group's output is less than sum of individual outputs — e.g., social loafing and conflict cause a team to perform worse than members would individually)

Q5: What are the three key characteristics that determine synergy levels in a group?

Answer: (Group norms, group cohesiveness, group development stage)

Q6: What is the role of a "linking" individual in an organization's command group structure?

Answer: (A linking individual coordinates between two different-level command groups — acting as supervisor in the lower-level group and subordinate in the higher-level group, enabling vertical coordination)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following is the correct definition of a group?

A) Any collection of people who work in the same building

B) Two or more interacting and interdependent individuals who come together to achieve particular objectives

C) A formally organized unit created by top management only

D) A set of employees who share the same job title

Correct Answer: B — Two or more interacting and interdependent individuals who come together to achieve particular objectives

Exam Tip (Roman Urdu): Group ki definition mein teen keywords: interacting + interdependent + particular objectives — teeno zaroori hain

Q2: Which type of group is established by employees themselves to serve their social needs?

- A) Command group
- B) Task group
- C) Interest group
- D) Friendship group

Correct Answer: D — Friendship group

Exam Tip (Roman Urdu): Friendship group = social needs; Interest group = common concern — dono informal hain lekin purpose alag hai

Q3: A project team at a software company in Karachi is experiencing open conflict about leadership and work distribution. Members disagree on goals and approach. Which stage of group development is this team in?

- A) Forming
- B) Storming
- C) Norming
- D) Performing

Correct Answer: B — Storming

Exam Tip (Roman Urdu): Conflict + disagreement = Storming — yeh forming ke baad aur norming se pehle aata hai

Q4: According to research, what is the optimum group size for performance?

- A) 2 to 3 members
- B) 5 to 7 members
- C) 10 to 12 members
- D) 15 to 20 members

Correct Answer: B — 5 to 7 members

Exam Tip (Roman Urdu): "5 to 7" — yeh exact number yaad rakho, exam mein directly poochha jaata hai

Q5: What is "social loafing" in the context of group dynamics?

- A) When group members take turns leading the group
- B) When some members reduce their individual effort because they are part of a group
- C) When the group produces more than the sum of individual efforts

D) When group norms discourage overtime work

Correct Answer: B — When some members reduce their individual effort because they are part of a group

Exam Tip (Roman Urdu): Social loafing = free riding — group mein hone ki wajah se individual effort kam ho jaata hai — large groups mein zyada hota hai

Q6: Which of the following best describes "synergy" in group dynamics?

A) The process of assigning roles to group members

B) The stage at which a group reaches peak performance

C) The difference between group output and the sum of individual outputs — positive or negative

D) The formal rules that govern group behavior

Correct Answer: C — The difference between group output and the sum of individual outputs — positive or negative

Exam Tip (Roman Urdu): Synergy positive ya negative dono ho sakti hai — "greater or lesser" — hamesha positive mat samajhna

Q7: Which of the following is NOT a source from which group norms develop?

A) Explicit statements by supervisors or coworkers

B) Critical events in the group's history

C) Top management's annual performance appraisal

D) Carryover behaviors from other contexts

Correct Answer: C — Top management's annual performance appraisal

Exam Tip (Roman Urdu): Norms ke four sources: explicit statements + critical events + primacy + carryover behaviors — annual appraisal is list mein nahi hai

Q8: What distinguishes a formal group from an informal group?

A) Formal groups are always larger than informal groups

B) Formal groups are officially planned and created by the organization; informal groups are unplanned and employee-initiated

C) Informal groups always outperform formal groups

D) Formal groups exist only at senior management levels

Correct Answer: B — Formal groups are officially planned and created by the organization; informal groups are unplanned and employee-initiated

Exam Tip (Roman Urdu): Formal = organizationally planned; Informal = employee-initiated, unplanned — yeh core distinction exam mein baar baar aata hai

Q9: Which individual plays a supervisory role in a lower-level command group while simultaneously acting as a subordinate in a higher-level command group?

- A) Task leader
- B) Linking individual
- C) Group facilitator
- D) Informal leader

Correct Answer: B — Linking individual

Exam Tip (Roman Urdu): Linking = do groups ko connect karne wala — neechay supervisor, upar subordinate — vertical coordination ka zariya

Q10: Which of the following factors INCREASES group cohesiveness?

- A) Large group size
- B) Absence of shared values among members
- C) External threats to the group
- D) Easy entry requirements to join the group

Correct Answer: C — External threats to the group

Exam Tip (Roman Urdu): External threat group ko aapas mein jodta hai — cohesiveness badhti hai jab group ko baahri danger mehsoos ho

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein humne seekha ke organizations mein formal aur informal groups kaise kaam karte hain, group dynamics — norms, cohesiveness, synergy, social loafing — kya hoti hain, aur groups kaise panch stages mein develop hote hain.

PART B — Yaad Rakhne Wali Baatein

- **Formal groups** organizationally planned hain; **Informal groups** employee-initiated aur unplanned hain
- **Optimum group size = 5 to 7 members** — isse bada group social loafing badhata hai
- **Synergy positive ya negative** dono ho sakti hai — group hamesha better nahi hota
- **Norms** four sources se aate hain: explicit statements, critical events, primacy, carryover behaviors
- **Five stages:** Forming → Storming → Norming → Performing → Adjourning — performance stage ke hisaab se vary karti hai

PART C — Zaroor Yaad Karo Yeh Frameworks

Types of Groups:

- **Formal:** Command group (manager + subordinates) | Task group (specific purpose)
- **Informal:** Interest group (common concern) | Friendship group (social needs)

Five Stages of Group Development:

1. Forming — uncertainty, exploration
2. Storming — conflict, disagreement
3. Norming — cohesiveness, norms established
4. Performing — fully functional, peak performance
5. Adjourning — task complete, group dissolves

Three Key Synergy Determinants:

1. Group Norms
2. Group Cohesiveness
3. Group Development Stage

Social Loafing Combat Methods:

Assign minimum needed people | Make work visible | Individual feedback | Respect-based pairing | Measurable standards | Combined individual + group rewards

PART D — Exam Mein Ghalti Mat Karna

[!] Synergy hamesha positive nahi hoti — negative synergy bhi hoti hai jab social loafing ya conflict ho

[!] Interest group aur friendship group dono informal hain lekin purpose alag hai — interest = common concern, friendship = social needs

[!] Optimum group size 5 to 7 hai — large group = social loafing, small group = individual differences exacerbate — exact number yaad rakho

Lecture 41: Group Concepts, Stages of Group Development, and Team Effectiveness

Subject: MGT503 — Principles of Management

Topic Type: M — Group Dynamics and Teams

Difficulty: Intermediate

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek cricket team hai. Pehle sab players ek doosre ko nahi jaante — awkward hote hain (Forming). Phir disagreements shuru hote hain ke batting order kya ho (Storming). Phir sab milke rules decide karte hain (Norming). Phir asli game mein sab saath khelne lagte hain (Performing). Aur season khatam hone pe team dissolve ho jaati hai (Adjourning). Agar koi player kaam chhod deta hai toh woh bas dekhta rehta hai lekin mehnat nahi karta — yeh social loafing hai. Yahi sab is lecture mein hai.

PART B — Core Concepts

- 1. Work Group Inputs:** Woh sab cheezein jo group operate karne ke liye zaroori hain — composition, roles, size
- 2. Group Task Roles:** Woh roles jo group ko goals achieve karne mein help karte hain
- 3. Social Loafing:** Group mein kaam karte waqt akele se kam effort lagana
- 4. Free Riders:** Woh log jo group mein social loafing karte hain
- 5. Process Loss:** Energy jo kaam se hat ke group operations pe lagti hai
- 6. Positive Synergy:** Group ka combined output > individual outputs — gains > losses
- 7. Negative Synergy:** Group process losses > combined gains
- 8. Norms:** Group ke expected behaviors jo uniformity foster karte hain
- 9. Group Cohesiveness:** Members ka group ki taraf attraction aur ek doosre pe mutual influence
- 10. Work Team:** Formal group — interdependent individuals — goals attain karne ke liye responsible
- 11. Gain-Sharing:** Group ki efforts ke gains group members ke sath share karna
- 12. Conflict:** Ek party perceive kare ke doosri party uske interests oppose kar rahi hai
- 13. Informal Leader:** Formal leader ke alawa jo emerge ho aur major influence rakhe

PART C — Key Frameworks and Models

- **6 Group Task Roles:** Initiator-Contributor, Information Seeker, Information Giver, Coordinator, Orienter, Energizer
- **5 Stages of Group Development:** Forming → Storming → Norming → Performing → Adjourning
- **4 Norm Development Mechanisms:** Explicit statements, Critical events, Primacy, Carryover behaviors
- **4 Types of Teams:** Functional, Self-Managed, Virtual, Cross-Functional
- **8 Characteristics of Effective Teams:** Clear goals, Relevant skills, Mutual trust, Unified commitment, Good communication, Negotiating skills, Appropriate leadership, Internal/external support
- **5 Conflict Resolution Modes:** Avoidance, Accommodation, Competition, Compromise, Collaboration
- **3 Group Decision Techniques:** Brainstorming, Nominal Group Technique, Electronic Meetings

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

1. Work Group Inputs

A. Group Composition

Group ka ultimate success uski composition pe heavily depend karta hai. Members mein yeh hona chahiye:

- **Task-relevant expertise** — kaam ke liye zaroori knowledge/skills
- **Interpersonal skills** — saath kaam karne ki ability
- **Diversity** — alag alag skills aur interests

Members group se kyun attract hote hain: friendships, shared values, affiliation ki zaroorat, ya group ke bahar ke objectives fulfill karne ke liye.

B. Group Task Roles

Role	Kya karta hai
Initiator-Contributor	Goals propose karta hai, tasks approach karne ke tareeqe suggest karta hai
Information Seeker	Information, viewpoints, suggestions maangta hai
Information Giver	Information, viewpoints, suggestions offer karta hai
Coordinator	Ideas clarify aur synthesize karta hai — members ka kaam tie karta hai
Orienter	Summarize karta hai, goals se departure point karta hai, direction ke sawalat uthata hai
Energizer	Group ko higher levels of work aur better quality ki taraf stimulate karta hai

Informal Leader: Woh individual jo formal leader nahi hai lekin group se emerge ho, major influence rakhe, aur group members usse leader perceive karein.

C. Group Size

Ideal Size: 5 to 7 members

Size	Problem
2 (Dyad)	Frequently at odds ya extremely polite to avoid differences
3	Aksar 2-against-1 situations
Even numbers	Deadlocks
5-7	Ideal — enough input, no deadlocks
7+ (especially 11+)	Centralized interactions, declining satisfaction, lengthy discussions

Social Loafing:

- Group mein kaam karte waqt akele se kam effort lagana
- **Free Riders:** Social loafers
- **Individualism** social loafing lead karta hai; **Collectivism** group interest pehle rakhta hai

8 Ways to Reduce Social Loafing:

1. Sirf utne log assign karo jitne kaam ke liye zaroori hon
2. Har member ko alag tasks do
3. Har individual ka kaam visible banao
4. Individual feedback provide karo
5. Log respected colleagues ke sath kaam karein
6. Group performance ke standards provide karo
7. Rewards individual aur group performance dono pe contingent karو
8. Interesting, challenging tasks design karo ya committed members select karo

2. Work Group Processes

Process Loss: Energy jo actual kaam se hat ke group ko develop aur operate karne mein lagti hai.

Positive Synergy: Group interaction ke combined gains > process losses — $1+1 = 3$ wali situation.

Example: Cricket team mein har player individually 30 runs bana sakta hai, lekin saath mein partnership se 100 bante hain.

Negative Synergy: Process losses > combined gains — group akele individuals se bhi bura perform karta hai.

A. Norms

Expected behaviors jo group regulate karta hai — uniformity foster karne ke liye.

3 Areas Where Norms Develop:

1. Production processes
2. Informal social relationships (jaise lunch kahan khaenge)
3. Resource allocation (materials, equipment)

4 Mechanisms of Norm Development:

1. **Explicit Statements:** Supervisors ya coworkers directly expectations batate hain
2. **Critical Events:** Ek important event precedent set karta hai future ke liye
3. **Primacy:** Pehla behavior pattern jo emerge ho woh group expectations establish karta hai
4. **Carryover Behaviors:** Logon ke woh behaviors jo pehle doosre groups mein kaam kar ke seekhe hain

B. Group Cohesiveness

Members ka group ki taraf attraction degree, remain karne ki motivation, aur mutual influence.

High Cohesiveness ke Effects:

- Zyada frequent communication aur sensitivity → greater job satisfaction
- Organizational citizenship — doosre members ki madad
- Aggression among groups possible
- Performance ya bahut high ya bahut low — norms pe depend karta hai
- Innovation openness high ya low ho sakti hai

Factors jo Cohesiveness Increase Karte Hain:

1. Similar attitudes and values
2. External threats
3. Outstanding successes
4. Joining mein difficulty
5. Small group size

3. Stages of Group Development (5 Stages)

1. **Forming:** Members ground rules assess karte hain — task aur group interaction ke liye
2. **Storming:** Members ek doosre se conflict experience karte hain — differences of opinion resolve karne ki koshish
3. **Norming:** Group cohesion build hoti hai — task performance aur relationships ke liye norms pe consensus

4. Performing: Energy task ki taraf channel hoti hai — norms teamwork support karte hain

5. Adjourning: Members disengagement ki tayyari karte hain — goals near completion

Note: Yeh 5 stages primarily newly formed, relatively unstructured groups pe apply hoti hain. Membership change hone se group regress bhi kar sakta hai.

4. Group Decision Making

Advantages:

- Zyada complete information
- Zyada alternatives generate
- Solution ki acceptance zyada
- Legitimacy zyada

Disadvantages:

- Time consuming
- Minority domination
- Conformity pressure → Groupthink
- Ambiguous responsibility

Effectiveness vs Efficiency:

- Group decisions zyada **accurate** aur zyada **accepted** hote hain
- Individual decisions zyada **quick** hote hain
- Large groups se effectiveness drop hoti hai
- Groups individual decision makers se **less efficient** hote hain

3 Techniques for Better Group Decisions:

1. Brainstorming: Idea generating process — alternatives encourage, criticism withhold

2. Nominal Group Technique (NGT): Members physically present lekin independently operate karte hain

3. Electronic Meetings: Linked computers ke zariye interact karna

5. Turning Groups into Effective Teams

Work Team: Formal group — interdependent individuals — goals attain karne ke liye responsible.

Teams vs Task Forces:

- Teams **problems identify** karte hain (react nahi karte)
- Teams **implement** karte hain (sirf recommend nahi karte)

4 Types of Teams:

Type	Description	Example
Functional Team	Manager + subordinates — ek functional area	Marketing department team
Self-Managed Team	Koi manager nahi — complete work process responsible	Production floor autonomous group
Virtual Team	Computer technology se physically dispersed members link	Remote software development team
Cross-Functional Team	Alag specialties ke experts ek sath kaam karte hain	New product launch team

8 Characteristics of Effective Teams:

1. Clear goals
2. Relevant skills
3. Mutual trust
4. Unified commitment
5. Good communication
6. Negotiating skills
7. Appropriate leadership
8. Internal and external support

Managing Teams (POLCA Apply):

- **Planning:** Clear goals — every member samjhe aur accept kare
- **Organizing:** Authority aur structural issues clarify karo
- **Leading:** Leader ka role, conflict handling, communication process decide karo
- **Controlling:** Performance evaluate karo, rewards design karo

Gain-Sharing: Group efforts ke gains group members ke sath share karna — popular team incentive approach.

Entrepreneurial Team: Diverse expertise wale individuals — innovative ideas develop aur implement karne ke liye.

Self-Managed Teams Success Factors:

- Situation assessment zaroori — hamesha suitable nahi hoti
- Group makeup aur resource allocation important
- Training aur norm cultivation zaroori
- Managers performance obstacles remove karein

6. Managing Conflict in Groups

Conflict: Ek party perceive kare ke doosri party uske interests oppose ya adversely affect kar rahi hai.

Conflict ke Constructive Effects: Problems highlight karta hai, constructive change promote, morale aur cohesiveness enhance, naye ideas encourage karta hai.

Conflict ke Destructive Effects: Projects delay, costs drive up, valued employees leave.

6 Causes of Conflict:

1. Sequential ya reciprocal task interdependence
2. Scarcity of resources
3. Incompatible goals
4. Communication failure/distortions
5. Personality, experience, values differences
6. Poorly designed reward systems

5 Conflict Resolution Modes:

Mode	Approach
Avoidance	Ignore ya suppress — hope karo ke resolve ho jaye
Accommodation	Doosri party ki desires prevail hone do
Competition	Doosri party ki expense pe apna interest win karo
Compromise	Dono parties kuch chhod dein kuch hasil karein
Collaboration	Solution jo dono parties ke desired outcomes achieve kare

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Storming stage ko negative aur avoid karne wali cheez samajhna

Wrong Approach: Sochna ke agar group mein conflict aa raha hai toh group fail ho raha hai

Right Approach: Storming normal aur zaroori stage hai — conflict resolve hone ke baad hi Norming aati hai

Wajah: Group development model mein Storming ek inevitable stage hai — isko skip nahi kiya ja sakta healthy group formation mein

Mistake 2: High cohesiveness ko hamesha positive samajhna

Wrong Approach: Yeh maanna ke cohesive group hamesha high perform karta hai

Right Approach: High cohesiveness ka performance pe effect group ke norms pe depend karta hai — agar norms low performance support karein toh cohesive group consistently bura perform karega

Wajah: Lecture explicitly kehta hai "performance may be either very high or very low depending upon norms and cohesiveness" — dono possible hain

Mistake 3: Group decision ko individual decision se hamesha better samajhna

Wrong Approach: Group decisions hamesha superior hote hain

Right Approach: Group decisions zyada accurate aur accepted hote hain lekin slower aur less efficient hote hain — superiority criteria pe depend karti hai

Wajah: Lecture kehta hai "it depends on the criteria used for defining effectiveness" — blanket statement galat hai

Mistake 4: Self-managed teams ko har situation mein apply karna

Wrong Approach: Self-managed teams hamesha best option hain kyunke manager ki zaroorat nahi

Right Approach: Self-managed teams hamesha suitable nahi hote — situation assessment critical hai; proper training, norms, aur resource allocation zaroori hai

Wajah: Lecture explicitly kehta hai "self-managing teams are not successful in all situations"

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

A newly formed project team at a Pakistani telecom company (5 software developers, 2 marketers, 1 finance analyst) has been working together for three weeks. In the first week they were polite and quiet. In the second week arguments broke out about project priorities. Now in week three, they are starting to agree on how to divide responsibilities. Identify which stage of group development the team is currently in, which stage they just came from, and predict what the next stage will look like.

Hint (Roman Urdu): Pehle teen stages ke naam aur descriptions yaad karo. Phir har week ke description ko stage se match karo. Teesri week mein "agree on responsibilities" aana kaunsi stage ka sign hai?

Problem 2:

A garment factory manager notices that when workers are assigned to a 10-person team, daily output per person drops compared to when they work individually. She suspects social loafing.

Using the lecture content, identify three specific interventions she can implement to reduce social loafing in these teams.

Hint (Roman Urdu): Social loafing reduce karne ke 8 tareeqon mein se socho — kaun se factory setting mein most practical honge? Visibility, individual feedback, aur task assignment ke points pe focus karo.

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

You are a department head at a large Pakistani hospital overseeing a newly formed cross-functional team consisting of doctors, nurses, IT staff, and administrators tasked with implementing a new digital patient records system.

(a) The team has been meeting for a month. Doctors dominate discussions, nurses feel their input is ignored, and IT staff are confused about their role. Using the 5 stages of group development, identify which stage this team is in and explain what must happen to move to the next stage.

(b) Two of the eight characteristics of effective teams appear to be missing from this team. Identify which two are most clearly absent based on the description and explain how you would address each.

(c) A conflict has emerged between the IT staff (who want a 6-month implementation timeline) and administrators (who want it done in 2 months). Identify the most likely cause of this conflict from the lecture's list. Then recommend one of the five conflict resolution modes and justify why it is the most appropriate for this situation.

(d) The hospital considers replacing the cross-functional team with a self-managed team for ongoing system maintenance. What factors must be assessed before making this decision?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why does group cohesiveness not guarantee high performance?

Think About It (Roman Urdu): Socho ek group jisme sab ek doosre ke yaar hain aur bahut cohesive hain — lekin unka norm yeh hai ke "zyada kaam mat karo, manager ko pata nahi chalega." Kya yeh group high perform karega?

Answer: Group cohesiveness sirf yeh ensure karti hai ke members ek doosre ke sath strongly bonded hain aur group mein rehna chahte hain. Lekin performance depend karta hai group ke norms pe — agar norms high performance support karein toh cohesive group bahut achha perform karega. Agar norms low effort ya loafing support karein toh cohesive group consistently

bura perform karega — kyunke sab saath milke usi norm ko follow karenge. Cohesiveness ek multiplier hai — achi norms ko amplify karta hai, buri norms ko bhi.

Q2: Why is the Storming stage considered necessary rather than a sign of group failure?

Think About It (Roman Urdu): Socho ek naya class project group — agar sab pehle din se bilkul agree kar lein bina kuch discuss kiye, toh kya real problems surface honge? Ya differences baad mein aur bade ban ke aayenge?

Answer: Storming mein members apne alag alag opinions, priorities, aur working styles express karte hain — yeh natural aur necessary hai. Agar yeh conflicts early address ho jaayein toh group unhe resolve kar ke Norming stage mein ja sakta hai jahan real consensus banta hai. Agar Storming skip ho jaaye ya suppress ho jaaye toh conflicts baad mein aur bade aur disruptive form mein emerge hote hain. Isliye Storming failure ki nishani nahi — yeh healthy group development ka zaroori hissa hai.

Q3: Why is collaboration considered the most constructive conflict resolution mode compared to compromise?

Think About It (Roman Urdu): Socho compromise mein dono parties kuch chhod deti hain — toh dono parties partly unhappy hain. Collaboration mein ek aisi solution dhundhi jaati hai jisme dono ko sab kuch mil jaye — toh dono fully satisfied hain. Long term mein kaun sa behtar hai?

Answer: Compromise mein dono parties kuch desired outcomes sacrifice karti hain — result mein dono partially satisfied hote hain aur unresolved frustration remain kar sakti hai. Collaboration mein dono parties milke creative solution dhundhti hain jisme dono ke desired outcomes achieve ho sakein — no one loses. Yeh relationship ko bhi preserve karta hai aur future cooperation ke liye better foundation banata hai. Isliye collaboration most constructive hai — lekin zyada time aur effort bhi maangta hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange the 5 stages of group development in correct sequence:

(i) Norming (ii) Adjourning (iii) Forming (iv) Performing (v) Storming

(Correct: iii → v → i → iv → ii)

Q2: Match each conflict resolution mode with its approach:

1. Collaboration — **A.** Ignore conflict hoping it resolves itself
2. Avoidance — **B.** Both parties give up some outcomes to get others
3. Compromise — **C.** Allow other party's desires to prevail
4. Accommodation — **D.** Solution where both parties achieve desired outcomes

(Correct: 1-D, 2-A, 3-B, 4-C)

Q3: A team member does significantly less work in a group project than she would if working alone, knowing others will cover the gap. What concept does this illustrate?

(Correct: Social Loafing — tendency to expend less effort when working in a group than when working alone)

Q4: Compare Positive and Negative Synergy: what determines which occurs in a group?

(Correct: Positive synergy occurs when combined gains from group interaction exceed process losses — total output greater than sum of individual outputs. Negative synergy occurs when process losses exceed gains — group performs worse than individuals would alone. The balance between process losses and collaborative gains determines which occurs.)

Q5: Which type of team operates without a manager and is responsible for a complete work process delivering a product or service?

(Correct: Self-Managed (Self-Directed) Team)

Q6: A group of engineers, marketers, and finance specialists are brought together to develop a new product. What type of team is this?

(Correct: Cross-Functional Team — individuals with expertise in various specialties working together on organizational tasks)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following best defines group cohesiveness?

- A)** The number of members in a work group
- B)** The degree to which members are attracted to a group, motivated to remain, and mutually influenced by one another

- C) The set of expected behaviors that regulate uniformity among group members
- D) The formal roles assigned to group members by management

Correct Answer: B — The degree to which members are attracted to a group, motivated to remain, and mutually influenced by one another

Exam Tip (Roman Urdu): Cohesiveness = attraction + motivation to stay + mutual influence — norms wali definition mat dena, woh alag cheez hai.

Q2: During which stage of group development do members begin building cohesion and developing consensus about norms?

- A) Forming
- B) Storming
- C) Norming
- D) Performing

Correct Answer: C — Norming

Exam Tip (Roman Urdu): "Norming" ka naam hi bata deta hai — norms develop hoti hain isi stage mein. Cohesion bhi isi stage mein build hoti hai.

Q3: A project team of 10 members consistently shows that individuals contribute less effort than they would if working alone. Which concept explains this?

- A) Process Loss
- B) Negative Synergy
- C) Social Loafing
- D) Group Cohesiveness

Correct Answer: C — Social Loafing

Exam Tip (Roman Urdu): "Group mein akele se kam effort" = Social Loafing. Process loss alag cheez hai — energy jo group operations pe lagti hai kaam se hat ke.

Q4: Which of the following is NOT listed as a characteristic of effective teams?

- A) Mutual trust
- B) Unified commitment
- C) Hierarchical decision making
- D) Negotiating skills

Correct Answer: C — Hierarchical decision making

Exam Tip (Roman Urdu): 8 characteristics yaad karo — hierarchical decision making unme

nahi hai. Clear goals, relevant skills, mutual trust, unified commitment, good communication, negotiating skills, appropriate leadership, internal/external support — yeh 8 hain.

Q5: Which conflict resolution mode involves devising solutions that allow both parties to achieve their desired outcomes?

- A) Compromise
- B) Avoidance
- C) Accommodation
- D) Collaboration

Correct Answer: D — Collaboration

Exam Tip (Roman Urdu): Collaboration = dono win — "both parties achieve desired outcomes." Compromise mein dono kuch chhod dete hain — dono alag hain.

Q6: A team uses linked computers to coordinate the work of physically dispersed members toward a common goal. What type of team is this?

- A) Functional Team
- B) Cross-Functional Team
- C) Virtual Team
- D) Self-Managed Team

Correct Answer: C — Virtual Team

Exam Tip (Roman Urdu): "Computer technology + physically dispersed members" = Virtual Team — yeh definition seedhi yaad karo.

Q7: What is the ideal group size for effective decision making?

- A) 2 to 3 members
- B) 5 to 7 members
- C) 10 to 12 members
- D) 15 or more members

Correct Answer: B — 5 to 7 members

Exam Tip (Roman Urdu): 5-7 = ideal — enough input, no deadlocks. 2-3 = too small (deadlocks, 2-against-1); 11+ = too large (centralization, declining satisfaction).

Q8: Which of the following correctly distinguishes how teams differ from task forces?

- A) Teams have a permanent membership; task forces are always temporary
- B) Teams identify problems and implement solutions; task forces react to problems identified by

others and leave implementation to others

- C) Teams are always cross-functional; task forces are always functional
- D) Teams are supervised by managers; task forces operate without supervision

Correct Answer: B — Teams identify problems and implement solutions; task forces react to problems identified by others and leave implementation to others

Exam Tip (Roman Urdu): Teams ke 2 key differences yaad karo — identify problems (react nahi karte) aur implement karte hain (sirf recommend nahi karte).

Q9: Which of the following is a factor that INCREASES group cohesiveness?

- A) Large group size
- B) Diverse and incompatible values among members
- C) External threats to the group
- D) Ease of joining the group

Correct Answer: C — External threats to the group

Exam Tip (Roman Urdu): External threat = group aur zyada saath aa jata hai — yeh cohesiveness badhata hai. Large size, incompatible values, aur easy joining sab cohesiveness REDUCE karte hain.

Q10: A work group member whose role involves clarifying and synthesizing various ideas to tie together the work of members is performing which group task role?

- A) Initiator-Contributor
- B) Energizer
- C) Orienter
- D) Coordinator

Correct Answer: D — Coordinator

Exam Tip (Roman Urdu): "Clarify + synthesize + tie together members' work" = Coordinator. Orienter summarize karta hai aur direction ke sawalat uthata hai — dono mix mat karna.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein work group inputs (composition, roles, size), group processes (norms, cohesiveness, synergy), group development ke 5 stages, effective teams ke types aur characteristics, aur conflict management parha.

PART B — Yaad Rakhne Wali Baatein

- **Ideal group size 5-7** hai — chota bhi problem, bara bhi problem, even numbers deadlock dete hain
- **Social loafing** reduce karne ke liye individual accountability aur visibility zaroori hai
- **High cohesiveness + low performance norms = consistently poor performance** — cohesiveness hamesha good nahi
- **5 stages:** Forming → Storming → Norming → Performing → Adjourning — sequence yaad rakho
- **Collaboration** best conflict resolution hai — dono parties ke desired outcomes achieve hote hain; Compromise mein dono kuch choddte hain

PART C — Zaroor Yaad Karo Yeh Frameworks

5 Stages of Group Development:

1. Forming — ground rules assess
2. Storming — conflict aur differences
3. Norming — cohesion + norms consensus
4. Performing — energy toward task
5. Adjourning — disengagement preparation

4 Types of Teams:

1. Functional — manager + subordinates, one function
2. Self-Managed — no manager, complete process
3. Virtual — computer technology, dispersed members
4. Cross-Functional — multiple specialties together

8 Characteristics of Effective Teams:

Clear goals — Relevant skills — Mutual trust — Unified commitment — Good communication — Negotiating skills — Appropriate leadership — Internal/external support

5 Conflict Resolution Modes (Worst to Best):

1. Avoidance
2. Accommodation
3. Competition
4. Compromise
5. Collaboration

4 Norm Development Mechanisms:

Explicit statements — Critical events — Primacy — Carryover behaviors

PART D — Exam Mein Ghalti Mat Karna

[!] High cohesiveness ka performance pe effect **norms pe depend karta hai** — "cohesive group hamesha high perform karta hai" bolna galat hai

[!] **Compromise aur Collaboration** alag hain — compromise mein dono kuch choddte hain; collaboration mein dono sab kuch hasil karte hain — exam mein dono ko same mat bolna

[!] **Storming** group failure ki nishani nahi — yeh normal aur zaroori development stage hai jo conflict resolve karke Norming ki taraf le jaati hai



Lecture 42: Understanding Managerial Communication

Subject: MGT503 — Principles of Management

Topic Type: N — Managerial Communication

Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek hospital in-charge apne nurses ko patient care instructions de rahi hai — woh bolti hai, nurse sunta hai, samajhta hai, aur confirmation deta hai. Yeh communication hai. Lekin agar nurse apni thakaan ki wajah se aadha sune, ya in-charge ne medical jargon use ki jo nurse ko samajh nahi aayi — toh meaning transfer nahi hua, communication fail ho gayi. Manager ka kaam sirf bolna nahi, **meaning successfully transfer karwana** hai.

PART B — Core Concepts

- 1. Communication:** Meaning ka transfer aur understanding — sirf information bhejna nahi, meaning samajhna zaroori hai.
- 2. Verbal Communication:** Words se communicate karna — written (letters, memos, reports) ya spoken.
- 3. Nonverbal Communication:** Bina words ke communicate karna — body language aur verbal intonation.
- 4. Body Language:** Gestures, facial expressions, body movements se meaning convey karna.
- 5. Verbal Intonation:** Words ya phrases par emphasis — tone se meaning change ho jaati hai.
- 6. Encoding:** Sender ka intended meaning ko symbols (words, gestures) mein translate karna.
- 7. Decoding:** Receiver ka symbols ko interpreted message mein translate karna.
- 8. Noise:** Koi bhi factor jo communication mein interfere kare aur common meaning achieve hone se roke.
- 9. Feedback:** Receiver ki basic response to the message — receiver sender ban jaata hai.
- 10. Filtering:** Information ko deliberately manipulate karna taake receiver ko zyada favorable lage.
- 11. Grapevine:** Informal communication network — officially defined nahi hota lekin organizations mein hamesha mojood hota hai.

PART C — Key Frameworks and Models

- **Communication Process (7 components):** Sender → Encoding → Message/Medium → Decoding → Receiver → Feedback → Noise (throughout).
- **Two Types of Communication:** Verbal (written + spoken) + Nonverbal (body language + intonation).

- **7 Barriers:** Filtering, Selective perception, Emotions, Information overload, Defensiveness, Language/jargon, National culture.
- **4 Overcoming Strategies:** Use feedback, Simplify language, Listen actively, Watch nonverbal cues.
- **Formal vs Informal:** Formal = official chain of command; Informal = not defined by hierarchy (grapevine).
- **4 Directions of Flow:** Downward, Upward, Lateral, Diagonal.

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Nature of Managerial Communication

Communication = **transfer and understanding of meaning** — sirf transfer kaafi nahi, understanding bhi zaroori hai. Agreement zaroori nahi — clear understanding zaroori hai. Managerial communication do levels par hoti hai: **interpersonal** (do ya zyada logon ke beech) aur **organizational** (poori organization ke patterns, networks, systems).

Two Types of Communication

1. Verbal Communication — Words use karna:

- **Written:** Letters, memos, reports, newsletters, policy manuals — example: HBL ka circular sab branches ko.
- **Spoken:** Meetings, phone calls — disadvantage: time-consuming, difficult to terminate, documentation alag se karni padti hai.

2. Nonverbal Communication — Bina words ke:

- **Body Language:** Gestures, facial expressions, body movements — example: manager ka arms cross karna disapproval show karta hai.
- **Verbal Intonation:** Words par emphasis — "Yeh ACHA kaam tha" vs "Yeh acha KAAM tha" — same words, different meaning.

The Communication Process — Numbered Sequence

Step 1 — Sender: Message ka initiator — woh jo communicate karna chahta hai. Example: Factory supervisor.

Step 2 — Encoding: Intended meaning ko symbols (words, gestures) mein translate karna. Encoding affect karta hai: sender ki skills, receiver ki understanding, situation ki appropriateness, past experience, job status/education, emotional state.

Step 3 — Message: Encoding ka outcome — verbal aur nonverbal symbols ka combination jo receiver tak meaning pohonchaye.

Step 4 — Medium: Message convey karne ka tarika — telephone, meeting, formal report, email. Medium choose karte waqt consider karo: speed, cost, intelligibility, convenience, timing, feedback options, documentation.

Step 5 — Decoding: Receiver symbols ko interpreted message mein translate karta hai. Effective communication = sender aur receiver ka common meaning achieve karna.

Step 6 — Receiver: Woh person jiske saath message exchange ho raha hai.

Step 7 — Feedback: Receiver ki interpreted message par basic response — receiver sender ban jaata hai. Feedback se sender ko pata chalta hai ke communication successful raha ya nahi.

Note — Noise: Koi bhi factor jo **kisi bhi step par** interfere kare — physical noise, emotional state, jargon, cultural differences.

One-Way vs Two-Way Communication:

- **One-Way:** Feedback ka provision nahi — manager circulate kare, koi response nahi.
- **Two-Way:** Feedback explicitly included — meeting mein discussion.

Barriers to Effective Communication — Matched with Solutions

Barrier	Description	How to Overcome
Filtering	Information deliberately manipulate karna taake favorable lage — upar jaate waqt condense aur sanitize hoti hai	Culture change karo — style se zyada substance reward karo
Selective Perception	Log apni interests, background, experience ke basis par selectively interpret karte hain	Feedback use karo — verify karo ke receiver ne kya samjha
Emotions	Upset ya angry hone par receiver clearly nahi soch sakta	Composure regain hone tak communication rokho; actively listen karo
Information Overload	Itni zyada information ke processor capacity exceed ho jaaye — 600 emails inbox mein	Prioritize karo; language simplify karo; filtering reduce karo
Defensiveness	Threat feel hone par verbal attacks, sarcasm, judgmental behavior	Non-threatening environment banao; empathy use karo
Language/Jargon	Same words ke alag meanings — age, education, culture affect karta hai; jargon outsiders ko exclude karta hai	Simplify language; jargon avoid karo jab audience mixed ho
National Culture	Different cultures mein communication style alag hota hai — directness, formality vary karti hai	Cultural awareness develop karo; style adjust karo

Active Listening — Key Points:

- Listening = active search for meaning; Hearing = passive.
- Active listening: full meaning ke liye suno, premature judgments mat karo, total concentration do.
- Empathy develop karo — sender ki position mein khud ko rakho.

Organizational Communication

Formal vs Informal Communication:

Feature	Formal	Informal
Definition	Official chain of command follow karta hai	Organizational hierarchy se defined nahi hai
Purpose	Job ke liye zaroori communication	Social interaction + faster information flow
Example	CEO ka official memo	Office mein colleagues ki chai pe gossip (grapevine)
Speed	Slower — channels follow karne padte hain	Faster — directly flow karta hai

Informal communication (grapevine) organizations mein hamesha exist karta hai — ise eliminate nahi kar sakte, manage karna padta hai. Yeh alternative, faster channels provide karta hai.

Direction of Communication Flow — 4 Types:

1. Downward Communication:

Manager se employees tak — inform karna, direct karna, coordinate karna, evaluate karna.

Example: VU Vice Chancellor ka faculty ko new policy memo.

2. Upward Communication:

Employees se managers tak — employees ki feelings, job satisfaction, concerns share hoti hain.

Key Factor: Organizational culture affect karta hai — trust aur participative culture mein upward communication zyada hoti hai; authoritarian culture mein severely limited hoti hai.

Example: Factory worker supervisor ko safety issue report kare.

3. Lateral Communication:

Same organizational level ke employees ke beech.

Example: HBL ki marketing team aur IT team ka coordination.

4. Diagonal Communication:

Work areas aur organizational levels dono cross karta hai — hierarchy ignore karta hai.

Facilitator: Email ne diagonal communication bahut easy kar diya.

Risk: Agar employees apne managers ko informed nahi rakhte toh problems create ho sakti hain.

Example: Junior analyst directly senior manager of another department se data maange — apne boss ko bataaye baghair.

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Communication Ko Sirf Information Transfer Samajhna

Wrong Approach: Jab tak message send ho gaya — communication ho gayi.

Right Approach: Communication tab complete hoti hai jab meaning transfer AND understand ho — sirf sending kaafi nahi.

Wajah: Definition clearly kehti hai "transfer and understanding of meaning" — dono zaroori hain. Agar receiver ne samjha nahi toh communication fail hai.

Mistake 2: Noise Ko Sirf Physical Sound Samajhna

Wrong Approach: Noise = background sound — jaise office mein shor.

Right Approach: Noise = koi bhi factor jo communication process mein interfere kare — emotions, jargon, cultural differences, information overload sab noise hain.

Wajah: Lecture kehta hai "any factor that interferes with exchanging messages and achieving common meaning" — yeh broader definition hai, sirf physical sound nahi.

Mistake 3: Formal aur Informal Communication Mein Value Judge Karna

Wrong Approach: Informal communication (grapevine) hamesha bad hai — sirf rumours hoti hain.

Right Approach: Informal communication social interaction satisfy karti hai aur frequently faster aur zyada efficient alternative channels provide karti hai.

Wajah: Lecture explicitly kehta hai informal communication "can improve an organization's performance" — yeh negative nahi hai, manage karna zaroori hai.

Mistake 4: Active Listening aur Hearing Ko Same Samajhna

Wrong Approach: Sunna aur listen karna ek hi cheez hai — agar ears open hain toh communication ho rahi hai.

Right Approach: Hearing = passive; Active listening = active search for meaning, total concentration, no premature judgments, empathy.

Wajah: Exam mein yeh distinction seedha poochha jaata hai — active listening ek skill hai jo deliberately develop karni padti hai.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

PTCL ke ek branch manager ne apni team ko email bheji ke "Is hafte overtime karna hoga." Team ke senior employee ne socha ke yeh sirf unke department ke liye hai. Junior employee ne socha ke yeh permanent policy ban rahi hai. Ek employee emotional tha kyunki uski family issue chal rahi thi aur usne email ignore kar di. Identify karo: (a) kaunse barriers to communication operate ho rahe hain, (b) communication process mein exactly kahan failure hui.

Hint (Roman Urdu): Har employee ki situation alag hai — selective perception, emotions, information overload in mein se kaunsa kaunse employee par apply hota hai? Aur process mein decoding aur feedback ka kya role hai yahan?

Problem 2:

Ek textile factory mein workers supervisor ko production problems kabhi directly nahi batate — hamesha indirect ya chup rehte hain. Supervisor ko pata chala ke grapevine se yeh baat phail rahi thi ke machine breakdown aane wala hai, lekin usne official channel mein kuch nahi suna. Identify karo: (a) upward communication kyun fail ho rahi hai, (b) formal vs informal communication yahan kaise operate kar rahi hai, aur (c) kya remedy hai.

Hint (Roman Urdu): Upward communication ko affect karne wala key factor kya hai? Organizational culture ka role dekho. Grapevine exist karna bura hai ya iska koi fayda bhi hai? Dono sawaalon ka jawab lecture mein hai.

PART B — Challenge Problem

"Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya."

A government hospital in Karachi has the following communication issues: (1) Department heads send daily 50+ email updates to junior doctors who then miss critical patient care instructions buried in the volume; (2) A senior surgeon uses highly technical medical jargon in team briefings — new nurses nod but do not understand; (3) When nurses try to report problems to the chief doctor, they are told "we don't have time for this" — so they stop reporting; (4) The admin officer sends unofficial WhatsApp messages to doctors that bypass the formal reporting structure, and the doctors' direct managers are unaware.

For each issue: (a) Identify the specific communication barrier or concept operating. (b) Identify the direction of communication flow involved. (c) Recommend one specific solution from the lecture's framework. (d) For issue 4 — is this formal or informal communication, and what specific risk does the lecture identify for this type of diagonal communication?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why is "transfer of information" alone insufficient for successful communication, and what additional condition must be met?

Think About It (Roman Urdu): Ek manager ne memo likh diya, send kar diya — kya communication ho gayi? Agar employee ne memo padha lekin galat samjha — kya manager ka kaam ho gaya? Communication ka asli standard kya hai?

Answer: Communication ka definition hai "transfer AND understanding of meaning" — dono conditions simultaneously meet honi chahiye. Sirf information bhejna kaafi nahi — receiver ka wahi meaning samajhna zaroori hai jo sender ne intend kiya tha. Agar receiver ne galat interpret

kiya toh communication fail hui chahe message perfectly send hua ho. Isliye feedback itna important hai — yeh confirm karta hai ke common meaning achieve hua ya nahi.

Q2: How does organizational culture affect upward communication, and why is this relationship important for managers?

Think About It (Roman Urdu): Ek authoritarian boss ke saath junior employee kya sach boleگا? Agar bolne par consequence aa jaaye toh kya woh dobara boleگا? Culture communication ko kaise shape karta hai — aur manager ko yeh kyun pata hona chahiye?

Answer: Organizational culture directly determine karti hai ke employees upar kitna communicate karte hain. Trust, respect, aur participative decision-making wali culture mein upward communication considerable hoti hai — employees freely problems, ideas, aur feedback share karte hain. Highly mechanistic aur authoritarian environment mein upward communication severely limited ho jaati hai — style aur content dono mein. Manager ke liye yeh important hai kyunki agar upward communication block ho toh problems surface nahi aatein, decisions incomplete information par base hote hain, aur organizational issues undetected rehte hain.

Q3: What is the role of noise in the communication process, and why can it never be completely eliminated?

Think About It (Roman Urdu): Communication process mein encoding aur decoding dono human beings karte hain — kya do insaan kabhi bilkul same background, emotions, aur experience share karte hain? Agar nahi, toh kya hamesha kuch na kuch "gap" nahi reheگا?

Answer: Noise koi bhi factor hai jo communication process mein interfere kare aur common meaning achieve hone se roke — physical sound se lekar emotions, jargon, cultural differences, information overload tak sab noise hain. Noise completely eliminate nahi ho sakta kyunki communication do alag human beings ke beech hoti hai — unki backgrounds, experiences, emotional states, aur perceptions kabhi identical nahi hote. Manager ka goal noise eliminate karna nahi balke **minimize** karna hai — feedback use karke, language simplify karke, aur active listening se.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange the communication process in the correct sequence from initiation to completion. (Sender → Encoding → Message/Medium → Decoding → Receiver → Feedback)

Q2: Match each barrier to its correct description:

"Deliberately condensing information to appear favorable" — which barrier?

"Interpreting messages based on personal background and interests" — which barrier?

"Too many messages exceeding processing capacity" — which barrier?

(Filtering; Selective Perception; Information Overload)

Q3: A junior employee at PTCL sends a message to the marketing director of another department, bypassing her own supervisor. What direction of communication flow is this, and what specific risk does this create?

(Diagonal communication — risk: managers may not be kept informed, creating coordination problems)

Q4: Compare one-way and two-way communication. Which is more effective and why?

(One-way = no feedback provision; Two-way = feedback explicitly included. Two-way is more effective because feedback confirms whether common meaning was achieved)

Q5: What is the key difference between active listening and hearing?

(Hearing = passive; Active listening = active search for meaning, total concentration, no premature judgments, involves empathy with the sender)

Q6: In what way can informal communication (grapevine) benefit an organization?

(It satisfies employees' social interaction needs and can create alternative, faster, and more efficient communication channels that improve organizational performance)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following is the most accurate definition of communication?

- A) The process of sending a message from one person to another
- B) The transfer and understanding of meaning between parties
- C) The use of verbal and written symbols to share information
- D) The formal exchange of data within an organizational hierarchy

Correct Answer: B — The transfer and understanding of meaning between parties

Exam Tip (Roman Urdu): Definition mein "transfer AND understanding" — dono zaroori hain. Sirf transfer wala option trap hai.

Q2: Which component of the communication process translates intended meaning into symbols?

- A) Decoding
- B) Feedback
- C) Encoding
- D) Medium

Correct Answer: C — Encoding

Exam Tip (Roman Urdu): Encoding = sender ka kaam — meaning ko symbols mein convert karna. Decoding = receiver ka kaam — symbols ko meaning mein convert karna. Dono opposite hain.

Q3: A manager receives so many emails daily that he begins ignoring important messages. Which barrier to communication is this?

- A) Filtering

- B) Defensiveness
- C) Selective perception
- D) Information overload

Correct Answer: D — Information overload

Exam Tip (Roman Urdu): Information overload = itni zyada info ke processing capacity exceed ho jaaye — 600 emails wala example yaad karo.

Q4: Which of the following best describes "filtering" as a communication barrier?

- A) Ignoring messages that are not relevant to one's job
- B) Deliberately manipulating information to make it appear more favorable to the receiver
- C) Misunderstanding a message due to language differences
- D) Becoming defensive when receiving critical feedback

Correct Answer: B — Deliberately manipulating information to make it appear more favorable to the receiver

Exam Tip (Roman Urdu): Filtering = deliberate manipulation — accidental misunderstanding nahi, balke intentionally information sanitize karna taake better lage.

Q5: Communication that flows from employees to managers is called:

- A) Downward communication
- B) Lateral communication
- C) Diagonal communication
- D) Upward communication

Correct Answer: D — Upward communication

Exam Tip (Roman Urdu): Direction yaad karo: Down = manager se employee; Up = employee se manager; Lateral = same level; Diagonal = levels aur departments dono cross kare.

Q6: A new nurse nods during a senior doctor's briefing but does not understand the medical terminology used. Which communication barrier is primarily responsible?

- A) Filtering
- B) Emotions
- C) Language and jargon
- D) Information overload

Correct Answer: C — Language and jargon

Exam Tip (Roman Urdu): Jargon = specialized terminology jo group ke andar use hoti hai — outsiders ko samajh nahi aati. Yahan nurse outsider hai medical jargon ke liye.

Q7: Which of the following correctly distinguishes formal from informal communication?

- A) Formal communication is faster; informal is slower
- B) Formal communication follows the official chain of command; informal is not defined by organizational hierarchy
- C) Informal communication is always inaccurate; formal is always accurate
- D) Formal communication is only written; informal is only spoken

Correct Answer: B — Formal communication follows the official chain of command; informal is not defined by organizational hierarchy

Exam Tip (Roman Urdu): Formal = official chain follow karo; Informal = hierarchy se independent — grapevine iska example hai. Speed ya accuracy se define nahi hota.

Q8: Active listening differs from hearing in that active listening:

- A) Requires the listener to agree with the speaker's message
- B) Is a passive process requiring minimal effort
- C) Involves actively searching for meaning with total concentration and no premature judgments
- D) Is only applicable in formal organizational settings

Correct Answer: C — Involves actively searching for meaning with total concentration and no premature judgments

Exam Tip (Roman Urdu): Active listening = active search + total concentration + empathy + no premature judgments. Hearing = just passively receiving sound — koi effort nahi.

Q9: When does noise occur in the communication process?

- A) Only when there is physical sound interference in the environment
- B) Only during the encoding stage
- C) At any point in the process when any factor interferes with achieving common meaning
- D) Only when the receiver does not respond with feedback

Correct Answer: C — At any point in the process when any factor interferes with achieving common meaning

Exam Tip (Roman Urdu): Noise sirf physical sound nahi — emotions, jargon, culture, overload sab noise ho sakte hain, aur process mein kisi bhi jagah intervene kar sakte hain.

Q10: Which of the following is a potential risk specifically associated with diagonal communication?

- A) It is too slow to be effective in modern organizations
- B) It can only occur in highly formal organizational structures
- C) Employees may not keep their direct managers informed, creating coordination problems
- D) It eliminates the need for upward communication entirely

Correct Answer: C — Employees may not keep their direct managers informed, creating coordination problems

Exam Tip (Roman Urdu): Diagonal communication ka risk yahi hai — hierarchy bypass hoti hai aur direct manager uninformed reh jaata hai — email ne yeh aur easy kar diya hai.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein managerial communication ki nature, communication process ke components,

barriers aur unke solutions, formal vs informal communication, aur direction of communication flow samjhaya gaya.

PART B — Yaad Rakhne Wali Baatein

- **Communication** = transfer AND understanding of meaning — sirf send karna kaafi nahi, samajhna bhi zaroori hai.
- **Noise** kisi bhi step par intervene kar sakta hai — sirf physical sound nahi, emotions/jargon/culture bhi noise hain.
- **Feedback** confirm karta hai ke common meaning achieve hua — two-way communication one-way se zyada effective hai.
- **Upward communication** organizational culture se directly affect hoti hai — trust wali culture mein zyada, authoritarian mein limited.
- **Informal communication (grapevine)** eliminate nahi ho sakta — faster channels provide karta hai, manage karna zaroori hai.

PART C — Zaroor Yaad Karo Yeh Frameworks

Communication Process (Sequence):

1. Sender → 2. Encoding → 3. Message/Medium → 4. Decoding → 5. Receiver → 6. Feedback
(Noise = kisi bhi step par)

7 Barriers + Solutions:

1. Filtering → reward substance over style
2. Selective Perception → use feedback to verify
3. Emotions → regain composure first
4. Information Overload → prioritize + simplify
5. Defensiveness → non-threatening environment
6. Language/Jargon → simplify language
7. National Culture → cultural awareness

4 Directions of Flow:

1. **Downward** — manager → employee
2. **Upward** — employee → manager
3. **Lateral** — same level
4. **Diagonal** — levels + departments cross kare

PART D — Exam Mein Ghalti Mat Karna

[!] Communication = sirf transfer nahi — "transfer AND understanding" — agar receiver ne galat samjha toh communication fail hai.

[!] Noise sirf physical sound nahi — emotions, jargon, information overload sab noise hain — kisi bhi step par aa sakta hai.

[!] Informal communication (grapevine) hamesha harmful nahi — faster channels provide karta hai, lekin managers ko uninformed rehne ka risk bhi hai diagonal communication mein.

Lecture 43: Communication Networks, Channels, and Effect of ICT on Managerial Communication

Subject: MGT503 — Principles of Management

Topic Type: N — Managerial Communication

Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek government hospital ka in-charge hai. Woh apne nurses aur doctors ko instructions deta hai — yeh downward communication hai. Nurses apni problems upar report karti hain — yeh upward communication hai. Doctors aapas mein patient cases discuss karte hain — yeh horizontal communication hai. Aur hospital mein ek rumor phail jaata hai ke "kal strike hogi" bina kisi official announcement ke — yeh grapevine hai. Sab ek saath chal raha hota hai — sirf channel alag hota hai.

PART B — Core Concepts

- 1. Communication Network:** Task group members ke darmiyan information flow ka pattern.
- 2. Centralized Network:** Zyada tar messages ek pivotal person se guzarte hain — Wheel, Chain, Y.
- 3. Decentralized Network:** Members freely communicate kar sakte hain — Circle, Star.
- 4. Downward Communication:** Higher level se lower level tak — instructions, rationale, feedback.
- 5. Upward Communication:** Lower level se higher level tak — progress, problems, suggestions.
- 6. Horizontal Communication:** Same ya different units ke peers ke darmiyan — coordination, problem solving.
- 7. Grapevine:** Informal communication — hierarchy ya task se independent, personal relationships pe based.
- 8. MBWA:** Management by Wandering Around — managers khud ghoom ke upward communication encourage karte hain.
- 9. Formal Communication:** Official hierarchy ke paths follow karta hai.
- 10. EDI:** Electronic Data Interchange — organizations ke darmiyan standard business documents ka computer-to-computer exchange.

11. Intranet: Sirf organizational employees accessible — internet technology use karta hai.

12. Extranet: Authorized outsiders (customers, vendors) bhi access kar sakte hain.

PART C — Key Frameworks and Models

- **5 Network Structures:** Wheel, Chain, Y (centralized); Circle, Star (decentralized) — centralized simple tasks mein fast, decentralized complex tasks mein fast
- **3 Directions of Communication Flow:** Downward (5 categories), Upward (4 types of info), Horizontal (5 purposes)
- **4 Grapevine Configurations:** Single-strand, Gossip, Probability, Cluster chain
- **ICT Tools:** Email, Voice mail, Teleconferencing, Videoconferencing, EDI, Intranet, Extranet, Wireless
- **Formal vs Informal Communication:** Formal = position-based, official paths; Informal = personal relationship-based, grapevine

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Organizational Communication Networks

Communication network = information flow ka pattern task group members mein.

3 Centralized Networks (ek pivotal person se messages guzarte hain):

1. Wheel Network: Sab messages center person se guzarte hain — baki koi direct communicate nahi karta.

Example: PTCL supervisor jo har message khud filter karta hai.

2. Chain Network: Kuch members ek se zyada se communicate kar sakte hain lekin center person control rakhta hai.

Example: Army chain of command — message ek line mein upar neeche jaata hai.

3. Y Network: Y ki fork pe jo member hai woh central controller ban jaata hai.

Example: Hospital mein head nurse jo do wards aur administration ke darmiyan junction pe hai.

2 Decentralized Networks (free communication):

4. Circle Network: Har member sirf apne dono taraf wale se communicate kar sakta hai.

Example: Assembly line workers jo sirf apne agle aur peechle colleague se baat karte hain.

5. Star Network: Har member kisi bhi doosre member se directly communicate kar sakta hai.

Example: Brainstorming session jahan sab sab se baat kar sakte hain.

Centralized vs Decentralized — Key Differences:

Dimension	Centralized	Decentralized
Simple tasks	Faster, more accurate	Slower
Complex tasks	Slower	Faster, more accurate
Group morale	Lower	Consistently higher

Communication Channels and Directions

Downward Communication (Higher → Lower):

5 Categories of Downward Communication:

1. Job instructions — specific tasks ke liye
2. Job rationales — task aur organizational goals ka relationship
3. Procedures and practices — organization ke rules
4. Performance feedback — individual ka kaam kaisa chal raha hai
5. Mission and dedication — organizational goals ki taraf commitment encourage karna

Distortions in Downward Communication:

- Sender ki carelessness ya poor skills
- One-way communication — feedback nahi milta
- Filtering — information rok ke ya manipulate karke personal power badhana

How to Improve Downward Communication:

- Multiple channels use karo
- Message repeat karo
- Feedback encourage karo

Upward Communication (Lower → Higher):

4 Types of Information in Upward Communication:

1. Current work projects ki progress
2. Unsolved problems jahan subordinates ko help chahiye
3. New developments aur suggestions for improvement
4. Employee attitudes, morale, aur efficiency

Forms: Meetings, memos, reports, suggestion systems, grievance procedures, attitude surveys.

Distortions in Upward Communication:

- Subordinates information filter karte hain
- Managers upward communication encourage karne mein effort nahi lagate

MBWA (Management by Wandering Around): Managers khud departments mein ghoom ke employees se baat karte hain — upward communication naturally encourage hoti hai.

Horizontal Communication (Same level — within ya across units):

5 Purposes:

1. Task coordination
2. Problem solving
3. Information sharing
4. Conflict resolution
5. Peer support

3 Impediments to Horizontal Communication:

1. Rivalry — units information chhupaate hain
2. Specialization — apni unit ke kaam mein hi interest, doosron ki communication needs ki parwah nahi
3. Lack of motivation — horizontal communication encourage ya reward nahi ki jaati

Informal Communication — The Grapevine

Grapevine = hierarchy ya task requirements ke bina communication — personal relationships pe based.

4 Grapevine Configurations:

1. **Single-Strand Chain:** $A \rightarrow B \rightarrow C \rightarrow D$ — serial chain
2. **Gossip Chain:** A actively seeks out and tells many others
3. **Probability Chain:** A randomly tells some, woh bhi randomly phailate hain
4. **Cluster Chain (most predominant):** A tells 3 selected people, ek aur 3 ko batata hai

Grapevine Characteristics:

- Fast hoti hai
- 50 to 90 percent accurate hoti hai

Grapevine Negative: False rumors aur gossip — sabse harmful.

Grapevine Positive Uses:

- Organizational values, rules, traditions transmit karna
- Formal messages reinforce karna
- New proposals test karna
- Employee feelings ka feedback lena
- Innovation facilitate karna

How ICT Affects Managerial Communication

Networked Systems:

Tool	Key Feature
Email	High-speed written messages; saves time but removes nonverbal cues, can lead to anger venting, excess irrelevant mail
Voice Mail	Recorded phone messages; some nonverbal cues (tone, voice quality); best for short messages needing no feedback
Teleconferencing	Simultaneous group communication via phone/computer; anonymous messages; groupware used
Videoconferencing	Closed-circuit TV meetings across locations; synchronous — like face-to-face; fast
EDI	Standard business documents (invoices, purchase orders) via direct computer-to-computer networks
Intranet	Internet technology; only organizational employees can access
Extranet	Internet technology; authorized outsiders (customers, vendors) bhi access kar sakte hain

Wireless Capabilities: Microwave signals, satellites, radio waves, infrared light — physical connection ke bina communication.

Organizational Impact of ICT:

- Geography aur time communication ko limit nahi karte ab
- **Psychological drawbacks:** Employee hamesha accessible rehta hai, off-hours mein bhi "check in" karne ka pressure, work aur personal life ka separation mushkil ho jaata hai

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Centralized network ko hamesha better samajhna

Wrong Approach: Centralized network zyada controlled hai isliye hamesha better perform karta hai.

Right Approach: Centralized = simple routine tasks mein fast aur accurate; Decentralized = complex tasks mein fast aur accurate. Aur group morale hamesha decentralized mein higher hota hai.

Wajah: "Task type" ka factor decide karta hai kaun better hai — yeh combination MCQ mein directly aata hai.

Mistake 2: Grapevine ko completely negative samajhna

Wrong Approach: Grapevine sirf rumors aur gossip hai — koi positive use nahi.

Right Approach: Grapevine harmful tab hai jab false rumors ho — lekin yeh values transmit karna, proposals test karna, innovation facilitate karna bhi karta hai.

Wajah: Exam mein grapevine ke positive uses poochhe jaate hain — sirf "harmful" likh dena incomplete answer hai.

Mistake 3: Intranet aur Extranet ko same samajhna

Wrong Approach: Dono internet technology use karte hain toh same hain.

Right Approach: Intranet = sirf organizational employees; Extranet = authorized outsiders bhi (customers, vendors) — yeh key difference hai.

Wajah: MCQ mein dono options aate hain — access ki limit ka farq yaad rakhna.

Mistake 4: Upward communication distortion mein sirf subordinates ko blame karna

Wrong Approach: Upward communication distorted hoti hai kyunke employees information chhupaate hain.

Right Approach: Do reasons hain — (1) subordinates filter karte hain, aur (2) managers khud upward communication encourage karne mein effort nahi lagate — dono zimmedar hain.

Wajah: Exam mein "reasons for upward communication distortion" poochha jaata hai — sirf ek side likhna half marks waste karta hai.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1: A textile factory in Faisalabad has 5 department heads. The factory manager says all decisions must come to him first before any department communicates with each other. Employees complain about slow decisions on complex production problems and low morale. Using communication network theory, identify which network structure is being used and suggest a better alternative for complex tasks — with justification.

Hint (Roman Urdu): Centralized aur decentralized networks ka comparison yaad karo — task type aur morale dono ko consider karo. Wheel network identify karo pehle.

Problem 2: At VU's administrative office, a rumor spread that "sab contracts terminate ho rahe hain" — no official announcement was made. Within 2 hours, 80% of staff knew. Identify the type of informal communication, its grapevine configuration most likely used, and explain both a negative and a positive organizational implication of this grapevine.

Hint (Roman Urdu): Grapevine configurations yaad karo — ek se 3 ko bataya, phir ek ne 3 aur ko — yeh kaun sa pattern hai? Positive aur negative dono aspects lecture mein hain.

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

PTCL introduces a new performance evaluation system. The CEO sends an email to all regional managers explaining the system (downward). Regional managers are required to send monthly progress reports upward. Peer managers in different regions are expected to coordinate on shared customer accounts (horizontal). Meanwhile, a grapevine rumor says "evaluations will lead to mass layoffs."

(a) Identify the direction of communication for each scenario and classify the specific type/form used.

(b) What distortions could occur in the downward and upward communication — give specific reasons from the lecture for each.

(c) How should PTCL management improve both downward and upward communication effectiveness?

(d) What are the three impediments to the horizontal communication between regional managers?

(e) Should management try to eliminate the grapevine? Justify using both positive and negative aspects from the lecture.

(f) From the ICT tools discussed, which two would be most appropriate for PTCL's communication needs in this scenario, and why?

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why are decentralized networks consistently better for complex tasks even though centralized networks are faster for simple tasks?

Think About It (Roman Urdu): Agar ek mushkil math problem solve karni ho toh kya better hoga — sirf ek professor se poochho ya poori class milke sochey? Kyun?

Answer: Complex tasks mein multiple perspectives, diverse information, aur collaborative problem-solving ki zaroorat hoti hai. Decentralized networks mein har member doosre se directly communicate kar sakta hai — isliye information zyada freely flow karti hai aur complex problems faster solve hote hain. Simple routine tasks mein ek central controller kaafi hota hai kyunke decision straightforward hota hai aur speed matter karta hai. Task ki nature network choice determine karti hai.

Q2: Why does the grapevine persist in organizations even when management tries to control it?

Think About It (Roman Urdu): Sarkari offices mein official announcements kam hoti hain — employees kahan se information lete hain? Kya woh grapevine band kar sakte hain?

Answer: Grapevine personal relationships pe based hoti hai — yeh hierarchy ya formal structure follow nahi karti. Jab employees mein uncertainty ya information gap hota hai — especially jab formal channels slow ya filtered hote hain — toh grapevine naturally fill karta hai yeh gap. Isliye management chahe kitni bhi koshish kare, grapevine eliminate nahi ho sakti — smart managers isko samajhte hain aur positive purposes ke liye use karte hain.

Q3: What are the psychological costs of ICT on employees, and why should managers pay attention to them?

Think About It (Roman Urdu): Agar tumhara boss raat ko 11 baje WhatsApp pe message kare aur expect kare ke tum foran jawab do — kya yeh acha hai? Long term mein kya hoga?

Answer: ICT ne geography aur time ki limits hatai hain — lekin saath mein employee ki constant accessibility ki expectation bhi banayi hai. Off-hours mein "check in" karne ka pressure, work-life separation ka khatma, aur psychological stress — yeh sab real costs hain. Agar managers in psychological drawbacks ko ignore karein toh employee burnout, morale drop, aur productivity loss hoga. Isliye ICT ke saath boundaries zaroor set karni chahiyein.

SECTION 7 — EXAM STYLE QUIZ

Q1: Match each network with its correct structure:

- All messages must go through one central person → **(Wheel Network)**
- Each member communicates with either neighbor → **(Circle Network)**
- Any member can communicate with any other → **(Star Network)**
- Central person at the fork controls messages → **(Y Network)**

Q2: Arrange the 5 categories of downward communication in the order given in the lecture:

(Job instructions → Job rationales → Procedures and practices → Performance feedback → Mission and dedication)

Q3: A manager walks through the factory floor daily, stops to chat with workers, and encourages them to share concerns. What is this practice called and what type of communication does it promote?

(MBWA — Management by Wandering Around; promotes Upward Communication)

Q4: Compare Intranet and Extranet: What is the single key difference?

(Intranet = only organizational employees can access; Extranet = authorized outsiders like customers and vendors can also access)

Q5: Name the 4 grapevine configurations and identify the most predominant one.

(Single-strand, Gossip, Probability, Cluster Chain — most predominant: Cluster Chain)

Q6: Which type of communication network performs better on complex tasks and why?

(Decentralized networks — because free communication among all members allows better information sharing and collaborative problem-solving for complex tasks)

SECTION 8 — EXAM MCQs (VU Style)

Q1: In which communication network can every member communicate directly with any other member?

- A) Wheel network
- B) Chain network
- C) Circle network
- D) Star network

Correct Answer: D — Star network

Exam Tip (Roman Urdu): Star = sab se sab — circle mein sirf neighbors se baat ho sakti hai, yeh farq yaad rakhna.

Q2: Research has found that centralized communication networks are generally better than decentralized networks for:

- A) Complex problem-solving tasks
- B) Tasks requiring creativity and innovation
- C) Simple, routine tasks
- D) Tasks requiring high group morale

Correct Answer: C — Simple, routine tasks

Exam Tip (Roman Urdu): Simple = centralized fast; Complex = decentralized fast — task type ke saath network type yaad karo.

Q3: Which of the following is NOT one of the five categories of downward communication?

- A) Job instructions
- B) Performance feedback
- C) Employee attitude surveys
- D) Procedures and practices

Correct Answer: C — Employee attitude surveys

Exam Tip (Roman Urdu): Employee attitude surveys upward communication ka form hai — downward ke 5 categories mein nahi aata.

Q4: Management by Wandering Around (MBWA) is primarily used to improve which type of communication?

- A) Downward communication
- B) Horizontal communication
- C) Upward communication
- D) Grapevine communication

Correct Answer: C — Upward communication

Exam Tip (Roman Urdu): MBWA = manager khud jaata hai — yeh employees ko upar communicate karne encourage karta hai.

Q5: The most predominant form of grapevine configuration is:

- A) Single-strand chain
- B) Gossip chain

C) Probability chain

D) Cluster chain

Correct Answer: D — Cluster chain

Exam Tip (Roman Urdu): Cluster = A tells 3 selected, ek aur 3 ko batata hai — "most predominant" wala MCQ seedha aata hai.

Q6: Which ICT tool is described as synchronous, allowing senders and receivers to engage in simultaneous communication similar to face-to-face conversation?

A) Voice mail

B) Electronic mail

C) Teleconferencing

D) Videoconferencing

Correct Answer: D — Videoconferencing

Exam Tip (Roman Urdu): Synchronous = real-time, simultaneous — teleconferencing mein messages anonymous hote hain, videoconferencing face-to-face jaisi hoti hai.

Q7: Which of the following is an advantage of email communication over face-to-face communication?

A) It preserves nonverbal cues

B) It reduces the risk of emotional responses

C) It enables information exchange among managers who previously did not communicate

D) It eliminates the problem of irrelevant messages

Correct Answer: C — It enables information exchange among managers who previously did not communicate

Exam Tip (Roman Urdu): Email ke advantages: time saver, new connections, new types of info — nonverbal cues remove karna disadvantage hai, advantage nahi.

Q8: An organizational communication network that uses Internet technology but is accessible ONLY to organizational employees is called:

A) Extranet

B) EDI

C) Intranet

D) Teleconferencing system

Correct Answer: C — Intranet

Exam Tip (Roman Urdu): Intranet = internal only; Extranet = authorized outsiders bhi — "only employees" wala clue intranet identify karta hai.

Q9: Which of the following correctly describes a negative aspect of the grapevine in organizations?

A) It transmits organizational values and traditions

B) It helps reinforce formal messages

C) It carries false rumors and gossip that can be harmful

D) It facilitates innovation by connecting different parts of the organization

Correct Answer: C — It carries false rumors and gossip that can be harmful

Exam Tip (Roman Urdu): Grapevine ke positive aur negative dono hain — false rumors/gossip = negative; baaki sab options positive uses hain.

Q10: Which of the following is identified as an impediment to necessary horizontal communication in organizations?

A) Overuse of downward communication by top management

B) Rivalry among individuals or work units causing information hoarding

C) Excessive use of MBWA by managers

D) High formalization of organizational rules and procedures

Correct Answer: B — Rivalry among individuals or work units causing information hoarding

Exam Tip (Roman Urdu): Horizontal communication ke teen impediments: Rivalry, Specialization, Lack of motivation — rivalry wala sabse direct MCQ option hai.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein humne 5 communication network structures, 3 directions of communication flow, grapevine ke types aur uses, aur ICT tools ka managerial communication pe asar seekha.

PART B — Yaad Rakhne Wali Baatein

- **Centralized networks** simple tasks mein fast; **Decentralized networks** complex tasks mein fast — morale hamesha decentralized mein higher.
- **Downward communication** ke 5 categories hain; distortion 3 ways se hoti hai; 3 ways se improve ho sakti hai.
- **Grapevine** fast hai, 50-90% accurate hai — harmful tab jab false rumors, positive uses bhi hain.
- **Intranet** = sirf employees; **Extranet** = authorized outsiders bhi — yeh farq yaad rakhna.
- **ICT ka psychological cost** = constant accessibility, off-hours pressure, work-life separation — managers ko yeh ignore nahi karna chahiye.

PART C — Zaroor Yaad Karo Yeh Frameworks

5 Network Structures:

- **Centralized:** Wheel · Chain · Y
- **Decentralized:** Circle · Star

3 Directions of Flow:

- **Downward** (5 categories: instructions, rationale, procedures, feedback, mission)

- **Upward** (progress, problems, suggestions, morale) — MBWA improves this
- **Horizontal** (5 purposes: coordination, problem-solving, info sharing, conflict resolution, peer support)

4 Grapevine Types: Single-strand · Gossip · Probability · **Cluster (most predominant)**

ICT Tools: Email · Voice Mail · Teleconferencing · Videoconferencing (synchronous) · EDI · Intranet (internal) · Extranet (authorized outsiders) · Wireless

PART D — Exam Mein Ghalti Mat Karna

[!] Centralized network hamesha better nahi — task type decide karta hai — simple = centralized, complex = decentralized.

[!] Grapevine sirf negative nahi — positive uses bhi hain — "only harmful" likhna galat jawab hai.

[!] Intranet aur Extranet same nahi — access ki limit ka farq MCQ mein seedha test hota hai.

Lecture 44: Controlling as a Management Function

Subject: MGT503 — Principles of Management

Topic Type: O — Controlling

Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek army officer ne apne jawanon ko ek mission pe bheja. Plan ban gaya, log gaye — lekin koi check nahi ke kaam sahi ho raha hai ya nahi. Yahi problem hai controlling ke bina.

Controlling woh process hai jisme manager dekhta hai ke kaam plan ke mutabiq ho raha hai ya nahi — aur agar nahi toh kyun nahi aur kya theek karna hai. Jaise hospital in-charge har roz check karta hai ke kitne patients dekhe gaye, kaisi care mili, aur kahan kami rahi — yeh sab controlling hai.

PART B — Core Concepts

1. Controlling: Organizational activities ko regulate karna taake actual performance expected goals aur standards se match kare

2. Control System: Mechanisms ka set jo organizational standards aur goals meet karne ki probability badhata hai

3. Strategic Control: Top managers — long-term, critical environmental factors monitor karna

4. Tactical Control: Middle managers — departmental plans aur periodic results assess karna

- 5. Operational Control:** Lower-level managers — day-to-day activities, schedules, budgets
- 6. Management by Exception:** Manager sirf tab alert ho jab performance standard se significantly deviate kare
- 7. Cybernetic Control:** Self-regulating system — human discretion minimal — automatically corrects
- 8. Non-Cybernetic Control:** Human discretion essential — system khud correct nahi karta
- 9. Goal Incongruence:** Employee goals aur organizational goals mein major incompatibility
- 10. Resource Dependence:** Controls wahan lagao jahan resources pe high dependence ho
- 11. Strategic Control Points:** Performance areas jo organizational goals ke liye especially important hain
- 12. Range of Variation:** Acceptable parameters of variance between actual performance and standard
- 13. Immediate Corrective Action:** Fori fix — performance ko track pe laana
- 14. Basic Corrective Action:** Root cause dhundho aur source of deviation fix karo

PART C — Key Frameworks and Models

- **Control Process (3-Step Revisited):** Measure → Compare → Take Managerial Action
- **Control Process (7-Step Detailed):** Areas determine → Standards set → Measure → Compare → Recognize/Correct → Assess → Adjust
- **Three Types of Control by Timing:** Feedforward + Concurrent + Feedback
- **Three Control Design Approaches:** Bureaucratic + Clan + Market
- **Five Roles of Controls:** Cope with uncertainty / Detect irregularities / Identify opportunities / Handle complexity / Decentralize authority
- **Four Sources of Performance Measurement:** Personal observation / Statistical reports / Oral reports / Written reports

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Control as a Management Process

Controlling = organizational activities regulate karna taake actual performance expected standards aur goals se conform kare. Planning goals set karti hai; controlling check karti hai ke kya goals achieve ho rahe hain.

Controls Ke Paanch Important Roles:

1. Uncertainty cope karna — environment mein significant changes pe quick reaction
2. Irregularities detect karna — product defects, cost overruns, rising turnover
3. Opportunities identify karna — jab cheezein expected se better ja rahi hon

4. Complex situations handle karna — large organizations mein coordination enhance karna
5. Authority decentralize karna — lower levels pe decision making encourage karna while staying in control

Control Responsibilities by Managerial Level

1. Strategic Control — Top Managers

- Critical environmental factors monitor karna jo strategic plans ko affect kar sakein
- Long time frames — turbulent environment mein shorter time frames bhi appropriate
- Core competencies develop aur maintain karna ensure karna
- **Example:** PIA ke CEO check karte hain ke 5-year expansion strategy on track hai ya nahi

2. Tactical Control — Middle Managers

- Departmental tactical plans ki implementation assess karna
- Weekly ya monthly reporting cycles
- Department-level objectives, programs, aur budgets
- **Example:** PIA ka regional manager monthly check karta hai ke hiring targets meet ho rahe hain

3. Operational Control — Lower-Level Managers

- Day-to-day operating plans implement hone ki oversight
- Schedules, budgets, rules, aur individual outputs
- **Example:** PIA ki Lahore branch supervisor daily check karta hai ke kitni flights on-time departed

Note: Teeno levels ko concert mein operate karna zaroori hai effectiveness ke liye.

The Control Process — 7 Steps

Step 1: Determine Areas to Control

Har activity control karna impractical hai. Controls organizational goals pe based honi chahiye. Resource dependence approach — controls wahan lagao jahan doosron pe dependence high ho.

Strategic Control Points ke liye 4 Conditions:

- Resource pe dependence high ho (important + limited)
- Expected resource flow unacceptable hone ki high probability ho
- Control system institute karna feasible ho
- Control system ki cost acceptable ho

Step 2: Develop Standards

Specific criteria jo performance aur employee behavior evaluate karen.

Standards ke teen purposes:

- Employees ko batana ke kya expected hai aur kaise evaluate honge
- Job difficulties detect karna related to personal limitations
- Goal incongruence ke negative effects reduce karna

Step 3: Measure Performance

How we measure — 4 Sources:

- Personal observation
- Statistical reports
- Oral reports
- Written reports

What we measure (more critical than how):

- Quantitative aur qualitative measures dono use hote hain
- MBO performance measurement coordinate karne ka popular technique hai

Measurement period depend karta hai:

- Goal ki organizational importance
- Situation kitni jaldi change ho sakti hai
- Problem rectify karne ki difficulty aur expense

Step 4: Compare Performance Against Standards

- Planned vs actual results ke reports develop kiye jaate hain
- **Management by Exception:** Manager sirf tab alert ho jab significant deviation ho standard se
- **Range of Variation:** Acceptable parameters of variance determine karna zaroori hai
- Personal observation ya 360-degree feedback system bhi use ho sakta hai

Step 5: Recognize Above-Standard Performance

Top performing employees ko recognition dena — performance improvement ko aid karna.

Step 6: Assess Reasons and Take Corrective Action

Do Options:

a. Immediate Corrective Action: Fori activity correct karo — performance ko track pe laao

b. Basic Corrective Action: Determine karo how aur why performance deviate hua — source fix karo

Choice depend karti hai cost/benefit analysis pe.

Step 7: Adjust Standards and Measures

- Standards aur measures ki relevance check karo
- Agar standard exceed ho — opportunity ya standard raise karne ka signal
- Cost vs benefit of meeting certain standards evaluate karo

Types of Control by Timing

1. Feedforward Control

Problems hone SE PEHLE anticipate aur prevent karo.

- **Example:** PIA aircraft ka maintenance check flight se pehle karna — problem baad mein nahi, pehle identify karo
- Future-oriented — preventive approach

2. Concurrent Control

Activity HO RAHAY WAQT monitor karo aur real-time correct karo.

- **Example:** Factory supervisor production line pe khada hai aur defects immediately spot karta hai
- Also called "steering control" — course correction during execution

3. Feedback Control

Activity COMPLETE HONE KE BAAD results evaluate karo.

- **Example:** Month-end sales report dekh ke assess karna ke targets hit hue ya nahi
- Historical — already happened ka analysis

Designing Control Systems — Three Approaches

A. Bureaucratic Control

Administrative rules, regulations, procedures, policies, standardization, well-defined job descriptions pe rely karta hai.

Advantages:

- Sab requirements advance mein specify karna zaroori nahi
- Recurring predictable activities smoothly chalane ke liye useful
- Extrinsic reward systems ko support karta hai

Disadvantages:

- Innovation encourage nahi hoti
- Needed changes inhibit ho sakte hain
- Employees commit nahi karte — sirf comply karte hain regulations se

Pakistani Example: Government hospitals mein strict SOPs, leave approval forms, procurement rules — yeh sab bureaucratic control hai

B. Clan Control

Shared values, norms, traditions, rituals, beliefs, aur organizational culture pe rely karta hai — internal motivation.

Bureaucratic se Farq:

- Internal motivation emphasized — external rules se nahi
- Duties flexible, tasks broadly defined
- Influence position se nahi — relevant information aur expertise se

Primary Advantage: Innovation ke liye conducive hai

Pakistani Example: Startup companies mein culture-driven behavior — team khud motivated hoti hai bina strict rules ke

C. Market Control

External market mechanisms use karta hai standards establish karne ke liye.

Do Conditions zaroori hain:

- Goods/services area mein reasonable competition ho
- Requirements clearly specify karna possible ho

Internal Application: Profit centers — jaise photocopying center jo doosre departments ko services charge kare

Disadvantage: Limited application — competitiveness aur specificity conditions hamesha hold nahi karti

Increasing use: Outsourcing — outside vendors se services lena — market control ka example hai

Dysfunctional Aspects of Control Systems

- **Behavioral displacement:** Log controls ko game karte hain — actual goal chhod ke control metric hit karte hain
- **Game playing:** Numbers manipulate karna standards meet karne ke liye
- **Operating delays:** Control process slow down karta hai operations ko
- **Negative attitudes:** Over-control se resentment aur disengagement

Over-control aur under-control dono avoid karo.

Effective Control System Ki Characteristics:

Future-oriented | Multidimensional | Cost-effective | Accurate | Realistic | Timely | Monitorable | Acceptable to members | Flexible

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Controlling Ko Sirf "Checking" Samajhna

Wrong Approach: Student sochta hai controlling sirf yeh dekhna hai ke kaam hua ya nahi

Right Approach: Controlling ek complete process hai — areas determine karna, standards set karna, measure karna, compare karna, corrective action lena, aur standards adjust karna — yeh sab controlling mein shamil hain

Wajah: Exam mein control process steps numbered sequence mein poochhe jaate hain — sirf "checking" likhna incomplete answer hai

Mistake 2: Feedforward, Concurrent, aur Feedback Ko Mix Karna

Wrong Approach: Student feedback control ko "future mein problems prevent karna" kehta hai

Right Approach: Feedforward = pehle (prevent), Concurrent = during (steer), Feedback = baad mein (evaluate) — timing hi inhe define karti hai

Wajah: Yeh teenon exam mein scenario questions mein aate hain — timing keyword se identify karo

Mistake 3: Bureaucratic aur Clan Control Ko Same Samajhna

Wrong Approach: Student dono ko "organizational control" ek jaisa kehta hai

Right Approach: Bureaucratic = external rules, regulations, compliance; Clan = internal values, culture, commitment — motivation ka source alag hai

Wajah: Clan control innovation ke liye conducive hai jabke bureaucratic nahi — yeh distinction exam mein directly aata hai

Mistake 4: Immediate aur Basic Corrective Action Ko Same Maanna

Wrong Approach: Student har deviation pe immediate corrective action recommend karta hai

Right Approach: Immediate = fori fix, performance track pe laao; Basic = root cause dhundho aur source fix karo — dono alag situations ke liye hain aur cost/benefit pe depend karte hain

Wajah: Exam mein scenario deke poochha jaata hai ke kaun sa action appropriate hai — root cause vs quick fix distinction zaroori hai

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

A textile factory in Faisalabad conducts quality checks on fabric BEFORE it enters the dyeing process, DURING the dyeing process by supervisors on the floor, and AFTER the final product is ready before shipping.

Identify which type of control (feedforward, concurrent, or feedback) each check represents. Then state one advantage of each type for this factory.

Hint (Roman Urdu): Timing se identify karo — pehle, during, ya baad — phir har ek ka ek practical fayda sochna factory ke context mein.

Problem 2:

HBL's branch manager notices that loan recovery rate this month is 65% against a standard of 85%. He must decide what to do. Option A: Immediately reassign more recovery agents to defaulters this week. Option B: Investigate why recovery rate fell — was it poor loan screening, economic conditions, or agent performance — and fix the root cause.

Identify which option is immediate corrective action and which is basic corrective action. Which should the manager prefer and under what conditions?

Hint (Roman Urdu): Immediate = jaldi fix karo; Basic = wajah dhundho phir fix karo. Kab ek dusre se behtar hai — yeh bhi sochna.

PART B — Challenge Problem

"Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya."

A large government hospital in Islamabad has the following situation:

- The hospital director has set a standard: average patient waiting time must be under 30 minutes.
- Actual average waiting time this month: 52 minutes.
- The director receives this information only in the monthly written report.
- Doctors are meeting their personal patient quota numbers but rushing consultations, leading to poor diagnosis quality — a case of goal incongruence.
- Nurses follow strict SOPs (bureaucratic control) but rarely suggest process improvements even when they see obvious inefficiencies.
- The hospital's pharmacy outsources drug procurement to an external vendor based on market prices.

(i) Identify which step of the control process failed that allowed waiting time to reach 52 minutes before the director knew. What control type (feedforward/concurrent/feedback) is currently being used and what should be added?

(ii) Explain the goal incongruence problem occurring with doctors and how the control process step on standards could address it.

(iii) Evaluate whether bureaucratic control is appropriate for the nursing staff in this context. What would clan control look like here and what advantage would it offer?

(iv) Identify which control design approach the pharmacy represents and state the two conditions that must hold for it to work properly.

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why does a well-developed plan serve as the foundation for an effective control system?

Think About It (Roman Urdu): Socho agar map hi nahi ho toh kaise pata chalega ke rasta sahi

hai ya galat? Planning aur controlling ka kya connection hai?

Answer: Planning goals, objectives, aur standards establish karta hai — controlling in standards ke against actual performance check karta hai. Bina plan ke koi benchmark nahi hota jisse compare kiya ja sake. Ek well-developed plan specific measurable standards provide karta hai jo seedha control process ke Step 2 mein jaate hain. Isliye planning aur controlling ek special interrelated relationship rakhte hain — dono ke bina organization ko pata hi nahi chalega ke woh sahi direction mein hai ya nahi.

Q2: Why might bureaucratic control actually reduce organizational effectiveness in dynamic environments?

Think About It (Roman Urdu): Socho ek startup aur ek government office — dono mein strict rules hon. Startup pe kya asar hoga? Kyun?

Answer: Bureaucratic control rules aur compliance pe focus karta hai — employees commit nahi karte, sirf comply karte hain. Dynamic environments mein jahan quick adaptation zaroori hai, strict rules needed changes inhibit karte hain aur innovation discourage hoti hai. Employees sirf regulations follow karte hain even when they see a better way. Clan control is situation mein better hai kyunki shared values aur internal motivation employees ko independently adapt karne allow karte hain — innovation ke liye conducive hai.

Q3: Why is "what we measure" more critical than "how we measure" in the control process?

Think About It (Roman Urdu): Socho ek doctor sirf patient ka weight measure karta hai aur blood pressure ignore karta hai — measuring sahi tool se ho raha hai lekin sahi cheez measure nahi ho rahi. Kya hoga?

Answer: Agar galat cheez measure ho rahi hai toh measurement method kitni bhi accurate ho — control system fail karega. Wrong metrics behavioral displacement create karte hain — employees woh kaam karte hain jo measure ho raha hai na ke woh jo actually organizational goals achieve karta hai. Jaise agar sirf patient numbers count hon aur quality nahi — doctors rush karenge, quality giregi. Sahi cheezein measure karna ensure karta hai ke control system actually organizational goals ke towards hai.

SECTION 7 — EXAM STYLE QUIZ

Q1: Sequence the 7 steps of the detailed control process in correct order.

Answer: (Determine areas to control → Develop standards → Measure performance → Compare against standards → Recognize/Take corrective action → Assess reasons for deviation → Adjust standards and measures)

Q2: Match each control type to its timing: (i) Feedforward, (ii) Concurrent, (iii) Feedback

Options: During activity / Before activity / After activity

Answer: ((i) Before activity, (ii) During activity, (iii) After activity)

Q3: A factory manager receives a monthly report showing that defect rates exceeded the standard by 30%. He had no idea until the report arrived. What type of control is being used and what should be added to prevent this delay?

Answer: (Feedback control — reactive and after the fact; feedforward control [pre-activity checks] and concurrent control [floor supervisor monitoring during production] should be added)

Q4: Compare bureaucratic control and clan control on the dimension of employee motivation and innovation.

Answer: (Bureaucratic: extrinsic motivation, compliance-based, innovation not encouraged, needed changes inhibited; Clan: internal motivation, commitment-based, flexible duties, conducive to innovation)

Q5: What are the four conditions that must be present for a strategic control point to be justified?

Answer: (High resource dependence / High probability of unacceptable resource flow / Feasibility of instituting control system / Acceptable cost of the control system)

Q6: What is the difference between immediate corrective action and basic corrective action?

Answer: (Immediate: fix the activity at once to get performance back on track — quick response; Basic: determine how and why performance deviated and correct the source — root cause analysis)

SECTION 8 — EXAM MCQs (VU Style)

Q1: Which of the following best defines controlling as a management function?

- A) The process of setting goals and allocating resources to achieve them
- B) The process of regulating organizational activities so that actual performance conforms to expected standards and goals
- C) The process of hiring and training employees to meet organizational targets
- D) The process of dividing work among employees at different levels

Correct Answer: B — The process of regulating organizational activities so that actual performance conforms to expected standards and goals

Exam Tip (Roman Urdu): Controlling ki definition mein "regulating" aur "conforms to expected standards" — yeh dono keywords pakke yaad rakho

Q2: Which type of control focuses on preventing problems before they occur?

- A) Feedback control
- B) Concurrent control
- C) Feedforward control
- D) Clan control

Correct Answer: C — Feedforward control

Exam Tip (Roman Urdu): Feedforward = pehle — "feed forward" matlab future ki taraf — prevention oriented hai

Q3: A bank branch supervisor monitors loan officers' customer interactions in real-time and corrects mistakes immediately during the process. Which type of control is this?

- A) Feedforward control
- B) Feedback control
- C) Bureaucratic control
- D) Concurrent control

Correct Answer: D — Concurrent control

Exam Tip (Roman Urdu): "During" + "real-time" + "immediately" = concurrent control — yeh teen words scenario mein aayein toh concurrent samjho

Q4: According to "management by exception," when should a manager be informed about performance data?

- A) After every single transaction is completed
- B) Only when control data show a significant deviation from standards
- C) Only when performance exceeds the standard
- D) At fixed monthly intervals regardless of performance

Correct Answer: B — Only when control data show a significant deviation from standards

Exam Tip (Roman Urdu): Management by exception = sirf significant deviation pe alert — routine data pe nahi — manager ka time save hota hai

Q5: Which control design approach relies on shared values, norms, traditions, and organizational culture to regulate employee behavior?

- A) Market control
- B) Bureaucratic control
- C) Clan control
- D) Feedforward control

Correct Answer: C — Clan control

Exam Tip (Roman Urdu): Clan control = culture + values + internal motivation — rules nahi, norms hain — yeh bureaucratic se bilkul alag hai

Q6: Goal incongruence in the control process refers to:

- A) Setting goals that are too difficult for employees to achieve
- B) Major incompatibilities between the goals of an organization member and those of the

organization

- C) Failure to communicate standards to lower-level employees
- D) Setting quantitative standards when qualitative measures are needed

Correct Answer: B — Major incompatibilities between the goals of an organization member and those of the organization

Exam Tip (Roman Urdu): Goal incongruence = employee ka goal aur organization ka goal alag hain — standards is problem ko reduce karne mein help karte hain

Q7: What distinguishes a cybernetic control system from a non-cybernetic control system?

- A) Cybernetic controls are used only at the strategic level; non-cybernetic at operational level
- B) Cybernetic controls are self-regulating with minimal human discretion; non-cybernetic rely on human discretion
- C) Cybernetic controls are always more expensive than non-cybernetic controls
- D) Non-cybernetic controls use technology; cybernetic controls use human judgment

Correct Answer: B — Cybernetic controls are self-regulating with minimal human discretion; non-cybernetic rely on human discretion

Exam Tip (Roman Urdu): Cybernetic = automatic self-correction — human barely involved; non-cybernetic = human judgment essential — yeh distinction exam mein aata hai

Q8: Which of the following is a primary advantage of clan control over bureaucratic control?

- A) It provides clearer rules and procedures for employees to follow
- B) It is more conducive to innovation
- C) It reduces the need for organizational culture
- D) It is easier to implement in large bureaucratic organizations

Correct Answer: B — It is more conducive to innovation

Exam Tip (Roman Urdu): Clan control ka sabse bada fayda innovation hai — yeh exam mein directly poochha jaata hai — bureaucratic innovation ko inhibit karta hai

Q9: Which of the following correctly describes "basic corrective action" in the control process?

- A) Immediately adjusting the performance standard to match actual results
- B) Correcting an activity at once in order to get performance back on track quickly
- C) Determining how and why performance deviated and correcting the source of deviation
- D) Ignoring minor deviations and focusing only on major variances

Correct Answer: C — Determining how and why performance deviated and correcting the source of deviation

Exam Tip (Roman Urdu): Basic corrective action = root cause analysis — "how aur why" dhundho — immediate action sirf symptom fix karta hai

Q10: For market control to be effectively used within an organization, which two conditions must hold?

- A) High employee satisfaction and low absenteeism
- B) Reasonable competition in the goods/service area and ability to clearly specify requirements
- C) Strong organizational culture and shared norms among employees
- D) Sufficient budget allocation and top management approval

Correct Answer: B — Reasonable competition in the goods/service area and ability to clearly specify requirements

Exam Tip (Roman Urdu): Market control ke liye do conditions: competition + clear specification — dono zaroori hain, ek bhi missing ho toh market control kaam nahi karega

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein humne seekha ke controlling kya hai, control process ke steps kaun se hain, feedforward/concurrent/feedback controls ka timing-based farq kya hai, aur bureaucratic/clan/market control design approaches kaise kaam karti hain.

PART B — Yaad Rakhne Wali Baatein

- **Controlling aur planning special relationship rakhte hain** — planning goals set karti hai, controlling check karta hai ke goals achieve ho rahe hain
- **Feedforward = pehle (prevent), Concurrent = during (steer), Feedback = baad mein (evaluate)** — timing se identify karo
- **Bureaucratic = rules + compliance; Clan = values + commitment + innovation** — motivation source alag hai
- **Management by Exception:** Sirf significant deviation pe manager ko alert karo — routine data nahi
- **Basic corrective action = root cause; Immediate corrective action = quick fix** — dono alag situations ke liye

PART C — Zaroor Yaad Karo Yeh Frameworks

Control Process — 7 Steps:

1. Determine areas to control
2. Develop standards
3. Measure performance

4. Compare against standards
5. Recognize/Take corrective action
6. Assess reasons for deviation
7. Adjust standards and measures

Three Control Types by Timing:

1. **Feedforward** — before activity — preventive — Example: pre-flight aircraft check
2. **Concurrent** — during activity — real-time — Example: floor supervisor on production line
3. **Feedback** — after activity — historical — Example: monthly sales report

Three Control Design Approaches:

1. **Bureaucratic** — rules, regulations, compliance — innovation not encouraged
2. **Clan** — values, culture, internal motivation — innovation conducive
3. **Market** — external market mechanisms, outsourcing — needs competition + clear specs

Five Roles of Controls:

Cope with uncertainty | Detect irregularities | Identify opportunities | Handle complexity |
Decentralize authority

PART D — Exam Mein Ghalti Mat Karna

[!] Feedforward ko feedback mat samajhna — feedforward PEHLE hota hai prevent karne ke liye, feedback BAAD MEIN hota hai evaluate karne ke liye

[!] Clan control ko bureaucratic mat kehna — clan mein rules nahi, shared values aur culture hoti hai — innovation clan mein hoti hai, bureaucratic mein nahi

[!] Basic corrective action ko immediate se mix mat karna — basic = root cause dhundho, immediate = fori fix karo — dono ka purpose aur approach alag hai

Lecture 45: Controlling Organizational Performance Through Productivity and Quality

Subject: MGT503 — Principles of Management

Topic Type: O — Controlling

Difficulty: Intermediate-Advanced

SECTION 2 — CONCEPT IN SIMPLE WORDS

PART A — Roman Urdu Analogy

Socho ek textile factory mein kapra ban raha hai. Manager pehle raw material check karta hai ke quality theek hai ya nahi — yeh feedforward control hai. Phir jab machines chal rahi hain toh beech beech mein check karta hai ke koi ghalti toh nahi ho rahi — yeh concurrent control hai.

Jab kapra tayar ho jaata hai toh final inspection hoti hai — yeh feedback control hai. Aur overall factory ki productivity track karna, financial ratios dekhna, aur ISO standards follow karna — yeh sab controlling ka hissa hai. Manager ka kaam sirf plan banana nahi, results bhi ensure karna hai.

PART B — Core Concepts

- 1. Feedforward Control:** Inputs check karna taake problems aane se pehle rok sakein.
- 2. Concurrent Control:** Transformation process ke dauran ongoing activities regulate karna.
- 3. Feedback Control:** Output complete hone ke baad final check karna.
- 4. Cybernetic Control:** Self-regulated system — automatically monitor aur correct karta hai.
- 5. Non-Cybernetic Control:** Human discretion par based control system.
- 6. Organizational Performance:** Organization ke tamam work processes ke accumulated end results.
- 7. Organizational Productivity:** Total output divided by total inputs — management ka kaam yeh ratio badhana hai.
- 8. Organizational Effectiveness:** Goals kitne appropriate hain aur kitne well achieve ho rahe hain.
- 9. Balanced Scorecard:** Char areas — financial, customer, internal processes, people/innovation — sab ko equal importance dena.
- 10. EVA:** After-tax operating profit minus total annual cost of capital.
- 11. MVA:** Stock market ka estimate — firm ke past aur expected capital investments ki value.

PART C — Key Frameworks and Models

- **Feedforward Control:** Input stage par — problems prevent karna — "preliminary/pre-control/steering control"
- **Concurrent Control:** Transformation stage par — checkpoints se correct karna — "screening/yes-no control"
- **Feedback Control:** Output stage par — final deviations check karna — "post-action/output control"
- **Multiple Control Systems:** Do ya zyada control types ek saath use karna
- **Financial Ratios (4 Types):** Liquidity, Leverage, Activity, Profitability
- **Balanced Scorecard (4 Areas):** Financial + Customer + Internal Processes + People/Innovation/Growth
- **Benchmarking:** Best practices dhundh kar adopt karna — competitors ya non-competitors se
- **Quality Standards:** ISO-9000, Deming Prize, Malcolm Baldrige Award, European Quality Award

SECTION 3 — DETAILED EXPLANATION WITH EXAMPLES

Types of Controls — Timing Based

Control Process — Sequence

1. Inputs enter the system
2. Feedforward control checks inputs before transformation
3. Transformation process begins
4. Concurrent control monitors and applies checkpoints during transformation
5. Output is produced
6. Feedback control evaluates final output against standards
7. Corrective action taken if deviations found
8. Information fed back into planning for future cycles

1. Feedforward Control

Inputs ko transformation process mein jaane se pehle check karna taake standards meet hon.

- **Focus:** Problem prevention — reactive nahi, proactive hai
- **Other Names:** Preliminary control, pre-control, preventative control, steering control
- **Misal:** PIA mein flight se pehle aircraft ka technical inspection — problem hone se pehle pakad lena
- **Limitation:** Har situation mein feasible nahi hota

2. Concurrent Control

Transformation process ke dauran ongoing activities regulate karna.

- **Key Feature:** Checkpoints — continue karo, corrective action lo, ya kaam band karo
- **Other Names:** Screening control, yes-no control
- **Misal:** HBL mein loan processing ke dauran har step par approval checkpoint
- **Important Limitation:** Creativity ya innovation wale kaam ke liye appropriate nahi — checkpoints creative flow rok dete hain

3. Feedback Control

Product ya service complete hone ke baad final output check karna.

- **Other Names:** Post-action control, output control
- **Use Case:** Jab feedforward aur concurrent controls feasible na hon ya too costly hon
- **3 Functions of Feedback Control:**
 - 1. Final check for deviations not detected earlier
 - 2. Planning process ke liye information provide karna
 - 3. Employee performance ke baare mein information dena
- **Misal:** PTCL customer complaint data analyze karna service improve karne ke liye

Feedforward vs. Concurrent vs. Feedback — Comparison

Feature	Feedforward	Concurrent	Feedback
Timing	Before transformation	During transformation	After output
Focus	Prevent problems	Correct in progress	Evaluate results
Other Name	Preliminary/Steering	Screening/Yes-No	Post-action/Output
PIA Example	Pre-flight inspection	Mid-flight monitoring	Post-flight debrief
When Used	When inputs critical	When process checkable	When others not feasible

Multiple Control Systems

Jab process complex ho toh do ya zyada control types ek saath use kiye jaate hain — inputs, transformation, aur outputs teeno ko cover karna. Software companies iska best example hain — code writing (feedforward: requirement specs), coding (concurrent: code reviews), testing (feedback: QA testing).

Cybernetic vs. Non-Cybernetic Control

- **Cybernetic:** Self-regulated — automatically monitor aur correct karta hai bina human intervention ke. Misal: computerized inventory system jo stock level girtay hi automatic order place kare.
- **Non-Cybernetic:** Human discretion zaroori hai — manager decide karta hai kab corrective action lena hai.

Measures of Organizational Performance

1. Organizational Productivity

Total output ÷ Total inputs = Productivity ratio. Management ka kaam yeh ratio maximize karna hai. Misal: ek textile mill mein zyada meters of fabric produce karna same inputs se.

2. Organizational Effectiveness

Do cheezein measure karta hai: (a) goals kitne appropriate hain, (b) goals kitni well achieve ho rahe hain. Sirf efficiency nahi — sahi goals bhi zaroori hain.

Tools for Monitoring Organizational Performance

A. Financial Controls

Traditional Financial Ratios — 4 Categories:

1. Liquidity Ratios: Current debt obligations meet karne ki ability — Misal: kya company abhi apne bills pay kar sakti hai?

2. Leverage Ratios: Debt se assets finance karna aur interest payments meet karna — Misal: company kitni debt par chal rahi hai?

3. Activity Ratios: Assets kitni efficiently use ho rahe hain — Misal: inventory kitni tezi se sell ho rahi hai?

4. Profitability Ratios: Assets se profit kitne efficiently aur effectively generate ho raha hai — Misal: return on investment.

Budgets as Control Tools: Budgets sirf planning tool nahi hain — yeh quantitative standards provide karte hain jisse actual performance compare kiya jaaye.

Other Financial Measures:

- **EVA (Economic Value Added):** After-tax operating profit MINUS total annual cost of capital — corporate aur divisional performance measure karta hai
- **MVA (Market Value Added):** Stock market ka estimate — firm ke past aur expected capital investments ki value

B. Information Controls

- **Management Information System (MIS):** Managers ko regular basis par usable information provide karta hai
- **Data vs. Information:** Data = raw, unanalyzed facts; Information = analyzed aur processed data — managers ko information chahiye, raw data nahi
- MIS organization ke har area ko efficiently aur effectively control karne mein help karta hai

C. Balanced Scorecard

4 Areas:

- 1. Financial:** Traditional financial performance
- 2. Customer:** Customer satisfaction aur retention
- 3. Internal Processes:** Operational efficiency
- 4. People/Innovation/Growth Assets:** Employee development aur innovation capacity

Intent: Yeh emphasize karna ke sirf financial performance kaafi nahi — sab char areas equally important hain organizational success ke liye.

D. Benchmarking of Best Practices

Best practices competitors ya non-competitors se dhundh kar adopt karna. Important finding: best practices aksar organization ke andar hi exist karti hain lekin unidentified aur unused rehti hain — isliye internal benchmarking bhi zaroori hai.

Quality Management Systems

International quality standards implement karke organizations productivity aur quality boost kar sakti hain:

- **ISO-9000:** International quality management standard
- **European Quality Award:** European organizations ke liye quality benchmark
- **Deming Prize:** Japan mein quality excellence award
- **Malcolm Baldrige Award:** USA mein national quality award

TQM Philosophy — Key Contributors:

- **Deming:** Continuous improvement, statistical quality control
- **Juran:** Quality planning, control, aur improvement trilogy
- **Crosby:** "Zero defects" philosophy
- **Taguchi:** Robust design — production process mein quality banana

SECTION 4 — COMMON MISTAKES AND TRAPS

Mistake 1: Feedback Control Ko Best Control Samajhna

Wrong Approach: "Feedback control sabse important hai kyunki final check hota hai."

Right Approach: Feedback control sirf tab use hota hai jab feedforward aur concurrent feasible ya affordable na hon — yeh last resort hai.

Wajah: Feedback control tab activate hota hai jab problem ho chuki hoti hai — prevention (feedforward) hamesha zyada efficient hai.

Mistake 2: Data Aur Information Ko Same Samajhna

Wrong Approach: "MIS raw data provide karta hai — managers wohi use karte hain."

Right Approach: MIS analyzed aur processed information provide karta hai — raw data nahi. Data ko pehle process karna padta hai.

Wajah: Lecture specifically kehta hai "managers need usable information, not just data" — yeh distinction exam mein directly aata hai.

Mistake 3: Balanced Scorecard Ko Sirf Financial Tool Samajhna

Wrong Approach: "Balanced scorecard financial ratios ka doosra naam hai."

Right Approach: Balanced scorecard 4 areas cover karta hai — financial sirf ek area hai; customer, internal processes, aur people/innovation bhi equally important hain.

Wajah: "Balanced" ka matlab hi yeh hai ke sirf finance nahi — sab areas balance mein hon.

Mistake 4: Concurrent Control Ko Creative Work Par Apply Karna

Wrong Approach: "Concurrent control har jagah best hai kyunki real-time correction hoti hai."

Right Approach: Concurrent control creativity ya innovation wale kaam ke liye appropriate nahi — checkpoints creative flow disrupt karte hain.

Wajah: Lecture specifically yeh limitation mention karta hai — exam mein scenario-based MCQ mein yeh trap lagaya jaata hai.

SECTION 5 — PRACTICE PROBLEMS

PART A — Try This (With Hints)

Problem 1:

A pharmaceutical company in Karachi manufactures medicines. At what three stages should it apply controls, and which type of control is most appropriate at each stage? Also identify one situation where multiple control systems would be necessary.

Hint (Roman Urdu): Teen stages hain — raw material aane se pehle, manufacturing ke dauran, aur final product tayar hone ke baad. Har stage ka ek control type hai. Multiple controls tab zaroori hote hain jab process complex ho aur ek type se sab cover na ho.

Problem 2:

HBL wants to measure its organizational performance. Its CFO suggests only looking at profit ratios. Its COO says they should also measure customer satisfaction, employee development, and process efficiency. Which performance measurement tool supports the COO's argument, and what are its four components?

Hint (Roman Urdu): Sirf financial dekh na — yeh "balanced" nahi hoga. Ek specific tool hai jo char areas simultaneously measure karta hai. Iska naam mein "balanced" word hai.

PART B — Challenge Problem

Yeh thoda mushkil hai lekin agar yeh solve kar liya toh concept pakka samajh aa gaya.

A large Pakistani software company develops custom ERP systems for clients. Identify: (a) one specific feedforward, concurrent, and feedback control it should use — with justification for each, (b) why concurrent control may be partially inappropriate for its work, (c) how it should use EVA vs. MVA to measure financial performance and what each tells management that the other does not, (d) which quality standard would be most relevant for it to adopt and why, (e)

whether a cybernetic or non-cybernetic control system is more suitable for its project management process — justify your answer.

SECTION 6 — CONCEPTUAL QUESTIONS

Q1: Why is feedforward control considered more valuable than feedback control even though both detect deviations?

Think About It (Roman Urdu): Agar ghalti hone se pehle rok sako toh zyada nuksaan nahi hoga. Feedback control tab aata hai jab ghalti ho chuki hoti hai — phir repair karna costly hota hai. Prevention vs. cure ka concept hai yahan.

Answer: Feedforward control problems aane se pehle rokta hai — inputs check karke. Feedback control tab activate hota hai jab product/service complete ho chuki hoti hai — matlab problem already ho chuki hai. Feedforward se time, cost, aur resources bachte hain. Feedback useful hai lekin reactive hai — damage ho chuke kaam ke baad improvement sirf future ke liye hoti hai.

Q2: How does the balanced scorecard improve on traditional financial controls as a performance measurement tool?

Think About It (Roman Urdu): Sirf profit dekh na poori picture nahi deta. Ek company profitable ho sakti hai lekin customers khush nahi, employees develop nahi ho rahe, processes inefficient hain — yeh sab long-term mein company ko kamzor kar denge.

Answer: Traditional financial controls sirf numbers — profits, ratios — dekhe hain. Balanced scorecard 4 areas simultaneously measure karta hai: financial, customer, internal processes, aur people/innovation. Yeh ensure karta hai ke short-term financial gains long-term sustainability ko sacrifice na karein. Holistic picture milti hai sirf accounting numbers ki jagah.

Q3: Why is it important that managers receive "information" rather than "data" from a management information system?

Think About It (Roman Urdu): Agar manager ko 10,000 raw numbers diye jaayein bina kisi analysis ke, toh woh kya karega? Woh decision nahi le sakta. Usay analyzed, processed, meaningful information chahiye jo directly decision support kare.

Answer: Data = raw, unanalyzed facts — in themselves actionable nahi hote. Information = analyzed aur processed data — directly decisions support karta hai. Manager ka kaam controlling aur decision-making hai — iske liye usay patterns, trends, aur deviations samjhne chahiyein jo sirf processed information se aati hain, raw data se nahi.

SECTION 7 — EXAM STYLE QUIZ

Q1: Arrange the three control types in their correct sequence in the production cycle:

(a) Feedback control, (b) Feedforward control, (c) Concurrent control

(b → c → a)

Q2: Match each financial ratio to its function:

1. Liquidity — 2. Leverage — 3. Activity — 4. Profitability

A. Debt financing and interest payment ability B. Asset usage efficiency C. Profit generation efficiency D. Current debt obligations

(1-D, 2-A, 3-B, 4-C)

Q3: A computerized system at a warehouse automatically reorders stock when inventory falls below a set level without any human intervention. Is this cybernetic or non-cybernetic control and why?

(Cybernetic — it self-regulates and takes corrective action automatically without human discretion)

Q4: What is the key difference between EVA and MVA as financial performance measures?

(EVA measures after-tax operating profit minus cost of capital — internal divisional performance; MVA adds a market dimension by measuring stock market's estimate of the value of past and expected capital investments)

Q5: Why is concurrent control not suitable for work that requires creativity or innovation?

(Checkpoints during creative work disrupt the creative flow and interrupt processes that require freedom and flexibility)

Q6: Compare organizational productivity and organizational effectiveness as performance measures.

(Productivity = output ÷ input ratio — how efficiently outputs are generated; Effectiveness = how appropriate goals are and how well they are being achieved — not just efficiency but also doing the right things)

SECTION 8 — EXAM MCQs (VU Style)

Q1: What is the primary emphasis of feedforward control?

- A) Evaluating final output against organizational standards**
- B) Monitoring ongoing transformation activities through checkpoints**
- C) Preventing problems by regulating inputs before the transformation process**
- D) Measuring employee productivity after task completion**

Correct Answer: C — Preventing problems by regulating inputs before the transformation process

Exam Tip (Roman Urdu): Feedforward = prevention — inputs stage par kaam karta hai; "preliminary/steering/pre-control" — yeh sab iske doosre naam hain jo MCQ mein trap ki tarah aa sakte hain.

Q2: Which of the following is another name for concurrent control?

- A) Post-action control
- B) Preliminary control
- C) Steering control
- D) Yes-no control

Correct Answer: D — Yes-no control

Exam Tip (Roman Urdu): Concurrent = Screening = Yes-No control. Feedforward = Preliminary = Steering = Pre-control. Feedback = Post-action = Output control. Teen types ke teen teen names yaad karo.

Q3: A Pakistani manufacturing company discovers product defects only after goods have been shipped to customers. Which type of control failed, and which type should have been strengthened?

- A) Feedforward control failed; concurrent control should be strengthened
- B) Concurrent control failed; feedback control should be strengthened
- C) Feedback control failed; feedforward control should be strengthened
- D) Feedforward and concurrent controls failed; feedback control is already in use

Correct Answer: D — Feedforward and concurrent controls failed; feedback control is already in use

Exam Tip (Roman Urdu): Agar defects shipping ke baad mile toh feedback control kaam aa raha tha — lekin pehle wale controls (feedforward aur concurrent) fail hue. Scenario questions mein sequence samajhna zaroori hai.

Q4: Organizational productivity is best defined as:

- A) The appropriateness of organizational goals
- B) Total output of goods or services divided by the inputs needed to generate that output
- C) The financial profit earned by the organization in a given period
- D) Employee satisfaction with their work roles

Correct Answer: B — Total output of goods or services divided by the inputs needed to generate that output

Exam Tip (Roman Urdu): Productivity = Output ÷ Input — yeh formula yaad karo.
Effectiveness alag concept hai — goals ki appropriateness aur achievement measure karta hai.

Q5: The balanced scorecard approach to performance measurement includes which four areas?

- A) Financial, HR, Marketing, and Operations
- B) Financial, Customer, Internal Processes, and People/Innovation/Growth Assets
- C) Productivity, Effectiveness, Efficiency, and Quality
- D) Liquidity, Leverage, Activity, and Profitability

Correct Answer: B — Financial, Customer, Internal Processes, and People/Innovation/Growth Assets

Exam Tip (Roman Urdu): Char areas exactly yaad karo: Financial + Customer + Internal Processes + People/Innovation/Growth — financial ratios wali list alag hai, balanced scorecard alag.

Q6: Economic Value Added (EVA) is calculated as:

- A) Total revenue minus total expenses
- B) Stock market value minus book value of assets
- C) After-tax operating profit minus total annual cost of capital
- D) Net profit divided by total assets

Correct Answer: C — After-tax operating profit minus total annual cost of capital

Exam Tip (Roman Urdu): EVA = After-tax profit MINUS cost of capital — yeh formula directly poochha jaata hai. MVA = stock market dimension — dono confuse mat karna.

Q7: In a Management Information System, what distinguishes "information" from "data"?

- A) Data is more accurate than information
- B) Information is raw unanalyzed facts; data is processed
- C) Data is raw unanalyzed facts; information is analyzed and processed data
- D) Both terms mean the same thing in management context

Correct Answer: C — Data is raw unanalyzed facts; information is analyzed and processed data

Exam Tip (Roman Urdu): Data = raw facts; Information = processed data — yeh definition directly exam mein aati hai. Options mein D aur B dono traps hain.

Q8: Which quality management philosophy specifically advocates "zero defects"?

- A) Deming

- B) Juran
- C) Taguchi
- D) Crosby

Correct Answer: D — Crosby

Exam Tip (Roman Urdu): Char TQM contributors yaad karo: Deming = continuous improvement + statistical control; Juran = quality trilogy; Crosby = zero defects; Taguchi = robust design. Crosby = zero defects — yeh pair yaad karo.

Q9: A cybernetic control system differs from a non-cybernetic control system because:

- A) It requires more human judgment at every stage
- B) It automatically monitors situations and takes corrective action without human intervention
- C) It is used only for financial controls
- D) It depends on manager discretion for all decisions

Correct Answer: B — It automatically monitors situations and takes corrective action without human intervention

Exam Tip (Roman Urdu): Cybernetic = self-regulated, automatic — heating system ya computerized inventory system iska example. Non-cybernetic = human discretion zaroori. "Auto" = cybernetic yaad karo.

Q10: Feedback control serves which of the following functions? Select the most complete answer.

- A) Prevents input problems before transformation begins
- B) Applies checkpoints during the transformation process
- C) Checks for undetected deviations, facilitates planning, and provides employee performance information
- D) Replaces feedforward and concurrent controls in complex processes

Correct Answer: C — Checks for undetected deviations, facilitates planning, and provides employee performance information

Exam Tip (Roman Urdu): Feedback control ke teen functions exactly yaad karo — deviations check, planning information, employee performance. Option D galat hai kyunki feedback sirf tab use hota hai jab doosre controls feasible na hon.

SECTION 9 — QUICK REVISION CARD

PART A — Yeh Lecture Kya Tha? (One Line)

Is lecture mein controlling ke types (feedforward, concurrent, feedback), organizational

performance measures, aur performance monitoring tools (financial ratios, balanced scorecard, benchmarking, quality systems) cover kiye gaye.

PART B — Yaad Rakhne Wali Baatein

- **Feedforward** = prevention (inputs check karo); **Concurrent** = correction (checkpoints); **Feedback** = evaluation (output ke baad) — sequence aur timing dono yaad rakho.
- **Concurrent control** creative/innovative kaam ke liye appropriate nahi — yeh specific limitation exam mein aati hai.
- **Balanced scorecard** = 4 areas: Financial + Customer + Internal Processes + People/Innovation — sirf financial nahi.
- **Data ≠ Information**: Data raw hai; information analyzed aur processed hai — MIS information provide karta hai.
- **EVA** = after-tax profit minus cost of capital (internal); **MVA** = stock market estimate (external market dimension).

PART C — Zaroor Yaad Karo Yeh Frameworks

3 Control Types — Timing aur Other Names:

1. **Feedforward**: Input stage — Preliminary/Pre-control/Steering/Preventative control
2. **Concurrent**: Transformation stage — Screening/Yes-No control
3. **Feedback**: Output stage — Post-action/Output control

4 Financial Ratios:

1. Liquidity — current debt pay karne ki ability
2. Leverage — debt se asset financing
3. Activity — asset usage efficiency
4. Profitability — profit generation efficiency

Balanced Scorecard — 4 Areas:

1. Financial
2. Customer
3. Internal Processes
4. People/Innovation/Growth

TQM Contributors:

- **Deming** = continuous improvement
- **Juran** = quality trilogy
- **Crosby** = zero defects
- **Taguchi** = robust design

PART D — Exam Mein Ghalti Mat Karna

[!] Feedback control best nahi hai — yeh last resort hai jab feedforward aur concurrent feasible ya affordable na hon; "always use feedback" kehna galat hai.

[!] Balanced scorecard ko financial ratios se confuse mat karo — balanced scorecard 4 areas ka framework hai; financial ratios (liquidity, leverage, activity, profitability) alag tool hain.

[!] Concurrent control creative kaam pe apply mat karo — lecture specifically kehta hai yeh

creativity aur innovation ke liye appropriate nahi; scenario MCQ mein yeh sabse common trap hai.

All The Best
Fi Amaan Allah